

Granules India Ltd. (GRANULES)

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CIN: L24110TG1991PLC012471

Date: August 17, 2022

To,

National Stock Exchange of India Limited

BSE Limited

Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,

Sub: Transcript of the Earnings Conference call for QO1 of the financial year 2022-23

Ref: Our letter dated 01.08.2022 for intimation of the schedule of the Earnings Conference call for Q1 of the financial year 2022-23

Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings conference call of the Company for Q1 for the financial year 2022-23 has been enclosed herewith and uploaded on the website of the Company at the below-mentioned link:

<https://granulesindia.com/investors/investor-resources/>

This is for your kind information and records.

For GRANULES INDIA LIMITED

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CHAITANYA TUMMALA (dor

(COMPANY SECRETARY & \

COMPLIANCE OFFICER) Oo

Page 1 of 15

"Granules India Limited

Q1 FY 23 Earnings Conference Call "

August 10, 2022

MANAGEMENT : DR. KRISHNA PRASAD - CMD , GRANULES INDIA LIMITED

DR. KVS RAM RAO - JOINT MD AND CEO , GRANULES INDIA LIMITED

MS. PRIYANKA CHIGURUPATI - EXECUTIVE DIRECTOR , GRANULES PHARMACEUTICALS INC.

MR. SANDIP NEOGI - CHIEF FINANCIAL OFFICER , GRANULES INDIA LIMITED

MODERATOR: MR. ASHISH CHOVIATIA - ORIENT CAPITAL

Granules India Limited

August 10, 2022

Page 2 of 15 Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY'23 Earnings Conference Call of Granules India Limited. As a reminder, all participant lines will be in the

listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ashish Chovatia of Orient Capital. Thank you and over to you, sir.

Ashish Chovatia: Thank you, Cathy. Good morning everyone. I am Ashish Chovatia from Orient Capital, and we are Investor Relations Advisor to the company. I hope that all of you and your families are safe and healthy. On behalf of Granules India Limited, I extend a very warm welcome to all participants on Q1 FY'23 financial results discussion call. Today on the call I am joined by Dr. Krishna Prasad Sir - CMD; Dr. KVS Ram Rao Sir - Joint MD and CEO; Ms. Priyanka ma'am - Executive Director, GPI; and Mr. Sandip Sir - Chief Financial Officer.

I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded yesterday on exchanges and on our company's website. I would like to give a short disclaimer before we start this call. This call may contain some of the forward-looking statements, which are completely based upon our beliefs, opinions, and expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties. With this I hand over the call to CMD, sir, for his opening remarks. Over to you, sir.

Krishna Prasad: Thank you, Ashish. A very good morning to all you ladies and gentlemen and thank you very much for joining us today. I'm happy to inform you that we had a decent performance in Q1 and se

e positivity going forward. Our revenues for the quarter were INR 1020 Crore with EBITDA of INR 212 Crore and PAT at INR 128 Crore. Compared to Q1 of the previous fiscal year, we had a 20% growth in revenue, 10% growth in gross margin, 5% growth in EBITDA and 6% growth in PAT. We had recorded a sequential growth in terms of absolute values in gross margin, EBITDA and PAT for the last four quarters.

Our gross margin percentage, EBITDA margin and PAT as percentage of sales have also grown sequentially for the last three quarters. This performance was despite the pricing and logistics pressures we continue to face in the US. However, on the positive side, the prices of all our input materials and international freight rates have stabilized. And we see a slow downward trend. Though we do not see the prices returning to pre-COVID levels. We are confident that the downward trend will continue for a while. While we had faced challenges around the availability of PAP, the key raw material for paracetamol during the past few years. The situation had now improved with the largest manufacturer in China resuming production and a few new manufacturers coming up in India.

We now have adequate supply of PAP for manufacturing paracetamol from the month of June 22 and the plant had started running with full capacity. This stability in the PAP supplies is expected to continue in future. With the environment around us improving we are confident of improving our performance quarter-on-quarter. Due to the supply chain disruption during the pasts, our inventory and working capital had increased considerably. Now our focus had shifted to free-cash generation along with profitability. As you can see from our investor presentation, our operational cash flow had increased to INR 180 Crore as compared to INR 75 Crore in the last quarter.

Our free cash after a capex expenditure of INR 82 Crore was INR 98 Crore. And we expect this to improve going forward due to various measures that are in process. During the quarter we had filed five AND A'S and two US -DMF'S. We have received one US, one EU and one Canadian approval. We have received an approval from the department of pharmaceuticals under PLI scheme to manufacture DCDA, which is a key studying material for metformin. Our European business had seen good traction and contributed 22.5% to our Q1 revenue. The growth for Europe in upcoming years will be driven majorly by partnership business model. As this offers value-add to our partners and strengthens Granules' footprint across Europe. The Granules India Limited

August 10, 2022

Page 3 of 15 board of directors have approved a buyback at INR 400 per share at a total value of INR 250 Crore. After the year marked amount of INR 300 Crore for capex during the year. We are confident of ending this year with a much-improved cash flow and lower net debt position compared to FY'22 and it is proven to reward our shareholders. While the current business model continues to grow, we are all excited about our journey toward Granules 2.0 and I request Dr. Ram Rao, JMD and CEO to take you through this journey.

KVS Ram Rao : Thank you, Mr. Chairman. Hello everyone. As a part of Granule 's long-term strategy, science, technology and innovation has been identified as an important strategic lever and key to our success by enabling us to offer differentiation and global cost leadership position in the market. Our strategy aims at creating technology platforms in chemistry and biotransformation through partnerships and internal innovations. We continue to build the organization aligned to the transformation agenda. We are doubling down our R&D technology and sustainability, building strong R&D capability for API and formulation thereby

enhancing the scale and quality of our pipeline. Towards this goal we have recently inaugurated a new state of the art integrated product, Research and Development Center at Genome valley, Hyderabad.

The R&D setup in 20,000 square feet will function with an initial strength of more than 150 scientists across both the divisions of API and formulation. The new facility brings API R&D and formulation R&D teams together under one umbrella. This will enable seamless coordination between the teams leading to agile product development processes and collaborative problem solving. The common analytical resources will help us bring the efficiency. Our vision is to develop integrated R&D products and with this vertical integration we see Granules getting transformed into technology and R&D driven organization.

The company has acquired a small biotech company to bring fermentation and biotransformation capabilities as a part of our strategy and that a lab in the pilot scale that we can leverage for enzyme led projects of biotransformation with our partners. On the business development plan, we are currently working with several customers to provide CMO services. For our oncology block we are evaluating opportunities for offering product process and related services to the customers in that area of oncology. With this, I hand over to Sandip for taking us through a detailed financial performance.

Sandip Neogi: Thank you, sir. Let me now take you through the top financial performance for the quarter.

Revenue: The first quarter revenue was INR 1020 Crore as compared to INR 850 Crore in Q1 FY'22, a growth of 20%. This growth is mainly caused by increase in the business across all regions and by our new launches in the US region. Revenue share of noncore molecules stood at 18%, which is a percentage high than the last year, which emphasizes our long-term strategy. The sales breakup as per the business verticals and regions are presented in our investor presentation, which is available on the website.

Gross Margin: Our gross margin as a percentage for Q1 contracted by 4.6% year-on-year mainly due to pricing pressures in the US and also increase in the cost of key starting materials, solvents and logistics.

EBIDTA and EBIDTA margin : EBIDTA for the quarter was INR 212 Crore as compared to INR 201 Crore in the previous year. Same quarter as increase of 5% over the previous year mainly on account of increase in business, across various geographies.

R&D: Our R&D spend for the quarter was INR 32 Crore as compared to INR 27 Crore in the same quarter of the previous year. We have taken a new premises for our R&D setup in Genome Valley and have moved into that new premises. With an increased focus in the R&D under Granules 2.0 Strategy our effort around R&D

Granules India Limited
August 10, 2022

Page 4 of 15 would increase for sure. We have also just concluded purchase of certain assets of a small biotech company, which would increase our focus on fermentation and allied technologies. The purchase would increase our research capabilities around our technologies to the next notch.

Net debt: Our net debt was INR 613 Crore as compared to INR 697 Crore a quarter ago, which is a reduction of 2%, mainly the reduction is on account of a short-term debt.

Cash-to-cash cycle: Our cash-to-cash was at 144 days as compared to 138 days in the previous quarter. The increase of 6 days is mainly attributed to the planned inventory increase, which was required for new launches. Also restatement of trade receivable has resulted in sudden increase in the debtors also.

Operating cash flow: Operational cash flow for the quarter was INR 181 Crore as compared to INR 132 Crore in the previous quarter. High

er operating profits and focus on working capital management contributed to the higher operating cash flow in the current year.

Capex spend during the quarter was at INR 83 Crore and the free cash flow that was generated was at INR 98 Crore. Our endeavor for the whole of the balance year quarter-by-quarter will be to make sure that we generate more cash and bring the debt situation down. With this I open the floor for the question.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Krish Mehta from Enam Holdings. Please go ahead.

Krish Mehta: Hi. Thank you for taking my questions. I just have two questions; one was on paracetamol. If you could provide an update on the pricing and more on the end-user pricing in terms of customers and how you see this trend actually going forward?

Krishna Prasad: First of all, let me explain that our customers are all the top brands in the world. And also, we also sell not only APIs and PFIs to the top brands, we also sell our tablets to these people, and we also have our GCH, Granules Consumer Health in the US through which we sell different types of paracetamol tablets to all the chain stores like Walmart and Target and other people. Prices, I don't think we can share with you, but overall, I can say, the selling prices are likely to come down slowly along with reduction in cost mainly due to the reduction, possible reduction in price of PAP. There will be a downward trend based on the price of PAP. However, there will always be a lag, you can not be in the same quarter. So we see that, we'd be able to maintain our margins on all paracetamol products.

Krish Mehta: Okay. Thank you. And my next question was on peptides, if you could provide like a similar guidance or outlook on how you see the pricing evolve in going forward?

Krishna Prasad: On peptides, I think it's good that Dr. Ram Rao answers this question.

KVS Ram Rao: Sorry, can you just elaborate which peptides you're talking about?

Krish Mehta: I was asking more from a broader perspective in terms of the raw materials and input prices.

Krishna Prasad: Oh, I thought it was peptide, I was wondering what... Yes, raw material pricing, at least the increase has stopped, and they have stabilized and we see some slow downward trend. And going forward, if nothing else happens or unexpected happens in the world, we definitely see prices coming down quarter-on-quarter, and overall, there have been improvement and availability has no problem right now.

Krish Mehta: Okay. Thank you so much.

Granules India Limited

August 10, 2022

Page 5 of 15 Moderator: Thank you. Reminder to all the participants to ask a question. The next question is from the line of Yogesh Tiwari from Arihant Capital. Please go ahead. Yogesh

Tiwari, your line is unmuted. Please go ahead with your question.

Yogesh Tiwari: Hello? Am I clear now?

Moderator: Yes.

Yogesh Tiwari: Yes. So, thanks for taking my question. One question on DCDA, if you can share some details regarding what would be the capacity for the DCDA and how will it contribute to the financials? So, what would be the cost savings and what is the requirement per unit of metformin? So, if you can share some details on it and the timelines basically.

Krishna Prasad: Let me start with capacity. We have the PLI sanction for 8,000 tons per annum and we will start production at that level. And based on the overall situation in international market, we will possibly double that production going forward. And pricing and the outlook with the imports coming in from China we definitely believe we have a slightly better differentiated technology unlike what Chinese use. And we

think we will be slightly cost competitive, but the main thing here is supply security rather than cost. Definitely there'll be a little advantage, which will add to it. And consumption coefficients, I think that's what you have asked, yes, it's less than 1:1, much less than 1:1.

Yogesh Tiwari: So, it is around 0.6, some back of the envelope...

Krishna Prasad: Well, let's not go into those details. I don't think this is the right forum to talk about that. I'm sure you, by the way you're talking I'm sure you know the answer.

Yogesh Tiwari: Sure, sir. And what would be like the contribution to the financials? What will be the savings like, any quantification can be done on those slides?

Krishna Prasad: Sorry?

Yogesh Tiwari: What would be the quantification on the financials? What would be the savings on the cost basically, because of the...?

Krishna Prasad: It'd be quite decent that's all I can say. And, I mean, definitely, possibly more than

INR 10 Crore a year, but it'll be quite decent. We'll not be able to put a number today because the Chinese import prices also will keep changing, they may drop the prices or they may maintain the prices, it's a little uncertain, but overall, there will be an improvement.

Yogesh Tiwari: And lastly, sir, what would be the timeline, when can we expect this and what would be the capex involved in this?

Krishna Prasad: Capex would be possibly around INR 100 Crore; the pilot studies are almost getting completed now and after that we'll be able to put an exact number. So, I can say around INR 100 Crore and timelines could be 2 years from today, less than 2 years from today.

Yogesh Tiwari: Thank you, sir. That's all from my side. Thank you.

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial services. Please go ahead.

Tushar Manudhane: Yes. Thanks for the opportunity. So just extending on this capex question. So, this would be the part of our INR 300 Crore capex for '23, right?

Krishna Prasad: Yes, it will be part of that. Yes.

Granules India Limited

August 10, 2022

Page 6 of 15 Tushar Manudhane: Okay, great. Secondly, sir, on the noncore business it has been largely stable for three -quarters, and we have good number of ANDA's, which are already approved.

So, if you could throw some color on that aspect, when do we see the noncore business picking up?

Krishna Prasad: It is picking up slowly, Tushar. We have seen that it's just a 1% increase budget picking up, but what is also happening is on launches you see that there will be few pricing pressures that are happening. So, but going forward we are working on cost optimization of all these products. And as you keep producing, the cost can be optimized. So, we will see the better market share as we go by. So, I cannot put any number on the table today, but definitely over the next four quarters, we'll see a very positive improvement.

Tushar Manudhane: Got you. And if you could just elaborate on this biotech asset in terms of the thought process and how do we see this over next 4 to 5 years?

Krishna Prasad: Okay. I think this is a question for Dr. Ram Rao, he will answer.

KVS Ram Rao: Yes. The way we are looking at and as I told in my previous calls and current call, our one of the biggest focuses will be on the biotransformation and enzymes. And we have to build this basic capability of enzyme characterization, and then the enzyme scale up and that is where, I think, the asset that we have purchased will help us to get the competency and the capability into the organization. So as a part of our strategy, I think this is a good synergy in terms of looking at products with biotransformation and chemistry innovation. And it is exactly in

line with what we have been speaking about.

Tushar Manudhane: So, how much do you intend to invest maybe like over next 12 months in this segment?

KVS Ram Rao: Yes, in this segment there are two types of investment, and we are working out on that. One is definitely the entire laboratory pilot scale and all, and the second one is the fermentation, which is required to build. Right now, we are working on it, but definitely it'll be north of INR 75 Crore, only on biotransformation fermentation.

Tushar Manudhane: And out of that how much you would've spent already on this?

KVS Ram Rao: A little over INR 20 Crore.

Tushar Manudhane: And again, this would be also a part of your overall capex guidance of INR 300 Crore.

KVS Ram Rao: Yes.

Tushar Manudhane: All right, sir. Thanks. That's it from side. Thank you.

Moderator: Thank you. The next question is from the line of Pujan Shah from Congruence Advisors. Please go ahead.

Pujan Shah: Hello, sir. Am I audible?

Krishna Prasad: Yes, you're audible, Mr. Shah.

KVS Ram Rao: Yes.

Pujan Shah: Sir, I just wanted to ask from the previous only. So on a broader picture are we seeing the demand coming up for fermentation because is if China have been facing some issue related to pollution or something, and how will be the demand wrapping up for the fermentation process in India, on a broader picture?

Granules India Limited

August 10, 2022

Page 7 of 15 KVS Ram Rao : I would not like to comment on the broader picture, but the kind of strategies that we chose on the fermentation, I think, there will be a definite need for organizations to build their own capability because this is not available. And even if it is available only in the form of the end product. So, Granules looks at this as a strategic area of focus on the fermentation. And its impact on global cost leadership on the molecules that they're looking at, rather than looking at this as a broader fermentation factor.

Pujan Shah: Okay, sir. My second question would be on the EBITDA margin, as we have seen that there were EBITDA margin remains around 20 - 21 odd percent. So are we seeing the same trajectory going forward or like we are seeing any volume growth and that will be contributing to EBITDA margin? Like we have seen the price erosion, but are we seeing any volume growth over there?

Krishna Prasad: Yes, we do see some growth and we are also fairly confident that the EBITDA margin will be creeping up quarter-on-quarter. They may not be, I mean, we may not go with 30% like we did two years ago, but definitely the margin will creep up and there'll be an improvement quarter-on-quarter.

Pujan Shah: Okay. And my last question would be on a, you can say on a historical basis like, are we seeing a volume trajectory growth as US been, now's has been destocking and stabilizing market and we have been seeing a good traction in coming quarter. Are you seeing a volume growth of 5 to 6% or less than it would be?

Krishna Prasad: There have been definitely a volume growth led by different geographies, US there is a challenge, but Europe also, we are quite launching a few products in Europe.

Overall, we will see a volume growth.

Pujan Shah: Okay, sir. That was my side. Thank you.

Moderator: Thank you. The next question is from the line of Sreesankar from IncRed. Please go ahead.

Krishna Prasad: Go ahead, Sri Shankar.

Moderator: Okay, the current participant is moved out of the queue. The next question is from the line of Ashish Kabra, an individual investor. Please go ahead. Ashish Kabra your line is unmuted. Please go ahead with your question.

Ashish Kabra: Good morning, sir. Hello?

Krishna Prasad: Good morning, Ashish.

Ashish Kabra: Sir, regarding the buy

back, just wanted to know that will the promoters will also be participating in it or will it be only for the non-promoter?

Krishna Prasad: Yes, promoters are also going to participate. The option is for promoters to participate, it's the decision of the promoters that we'll have to wait and see, but overall, I'll say promoters will be participating.

Ashish Kabra: And, sir, can you just give like a roadmap for like FY'24 or '25 regarding our revenue growth? Can we be around 15 to 20%, like year-on-year?

Krishna Prasad: You have seen our past record; we have been growing at CAGR of 20% and I don't see any issue in continuing that growth. But the most important thing today, Ashish, is more than revenue growth and profit growth, we are focusing on cash. And if you have seen what has happened in this quarter current, last quarter, we had a positive cash of INR 95 Crore after our capex and we see this focus on cash yield in better results in the coming quarters. And we definitely see a cash buildup as we go by. So, while revenues and profits grow at a certain rate, but we see cash growing up in a little higher growth rate.

Granules India Limited

August 10, 2022

Page 8 of 15 Ashish Kabra: Yes, sir, one follow up on this cash one, since our cash is also increasing, sir, can we see any future M&A from Granules like not just for the next two quarters, but for 1 - 2 years, can we see some significant M&A activity?

Krishna Prasad: Definitely, if there's a good opportunity that comes along with, they have synergy our business and they fit into our overall plans of Granules 2.0, we will be very, very, get into that. But as of today, we are concentrating on all organic growth and we don't want to do an M&A just for the sake of M&A, but if something comes along, we definitely would like to do that. And also, I like to assure you cash may not be a big issue if you have to do some M&As.

Ashish Kabra: Thank you. Thank you so much, sir. Thank you.

Moderator: Thank you. The next question is from the line of Harith Ahmed, Spark Capital. Please go ahead.

Harith Ahmed: Good morning. Thanks for the opportunity. So, my first question is on the MUPS facility. Can you give an update on the current status of this facility and the capex that we spend here? Also, some color on the number of filings and the timelines for commencement of commercial supplies?

KVS Ram Rao : So, first one on the MUPS facility, I think we've already commercialized a couple of products and the revenue started coming from the MUPS product . I think this is exactly in line with our capital expenditure proposal that you have started under MUPS. Regarding the approvals I think, we have a few products lined up for different sets and there are at different stages of approval. And we hope to see that the regulatory review and other things happen quickly and they should be in a position to see the launches of these products.

Harith Ahmed: All right. On the new DCDA capacity under the PLI scheme, I missed the capacity that you mentioned earlier, and how much of this will be for our captive requirements and how much of this will be for external supplies?

Krishna Prasad: I think, Aditya, we did not get your question .

KVS Ram Rao : Harith, sorry.

Krishna Prasad: The capacity utilization is more than 50% and we are already having an asset turn of one time on the investment today.

Harith Ahmed: No, I'm talking about the DCDA facility lining up under the PLI scheme, what is the capacity? You mentioned a figure previously, I missed that. And how much of this will be used for our own requirement versus supplying externally?

Krishna Prasad: Got it. Today, the 8000 tons capacity will be end of for our own internal

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requirements. And if we increase the capacity, maybe we'll offer the product outside.

Harith Ahmed: Understood. Thank you very much.

Krishna Prasad: Thank you.

Moderator: Thank you. The next question is from the line of Sreesankar from Incred. Please go ahead.

Sreesankar: Sorry, earlier when I asked the question my line got disconnected, so I couldn't hear the answer. I have got couple of more questions. Earlier you had spoken about, I think the near back or so, your three -year capex program of thousand, more than thousand, around INR 1000 Crore, where do we stand right now under all these turmoil, changes, et cetera, that we have seen? You've given the number for FY'23.

What is the expectations over the next 36 months?

Granules India Limited

August 10, 2022

Page 9 of 15 Krishna Prasad: Last year we said it's going to be INR 1000 Crore, we spent 400 last year and we said INR 1000 Crore over three years. So, there's still INR 600 Crore to go. And the first quarter we spent about INR 84 Crore or INR 82 Crore, and I think we will be doing the INR 600 Crore in end of FY'24.

Sreesankar: Okay. The question that I asked earlier was, you had mentioned about the steep increase in the price charges, apart from the raw material increases, et cetera, price increases, which have resulted in margin pressures over the last few quarters. Now, to what extent is the correction that we have seen in raw material prices? I'm not asking for exact number. And the freight charges and do you think the price pressure for this, the selling price pressure that you may see going forward, will more than the correction in these freight charges as well as raw material charges?

Krishna Prasad : The freight charges have stabilized, and I've seen a slight downward trend. It's not gone down drastically, but its slight trend, but the good news is it has at least stopped increasing. And all the raw materials, prices are coming down slowly and we see about, I mean , a few percentage points every quarter. We cannot anticipate anything, but definitely there's a downward trend and the margin should definitely improve a bit while, the prices of raw materials are the same for competition. So there will be a competitive approach to the customer, but definitely I see margin slightly improving.

Sreesankar: Okay. The final question is for Sandip. Sandip, in your remark you did mention about your roughly 2% reduction in borrowings or something, I couldn't really catch that. But when they look at the net debt, net debt probably has come down to 0.7 to something from 1. So, if you can also give in that investor presentation your balance sheet, you're not required to give it every quarter, but if you can give it in the presentation, it'll be great.

Sandip Neogi: Okay. I'll look into the suggestion very positively and definitely will provide some of the extracts of the balance sheet, if that makes better sense. No problem.

Sreesankar: Thank you very much and all the best .

Sandip Neogi: Thank you.

Moderator: Thank you. The next question is from the line of Punit Mittal, from Global Core Capital HK Limited. Please go ahead.

Punit Mittal: Hi. Good morning. Thank you for the opportunity. Just one question that you have highlighted, that you will focus more on cash flow and free cash flow. From your presentation if we look at the last six years, though, the revenue has increased the

free cash flow, cumulative free cash flow is negative to INR 200 Crore . And even though your profits have been about INR 1800 Crore. Plus, your cash conversion cycle has kind of deteriorated or as the same level as March 2017. So, can you give some more color on when you say you'll focus on cash conversion or free cash flows going forward, if

you can give some numbers also, how much cash flows are you targeting for the next 2 - 3 years or what is optimal conversions cycle that you're looking at? Thank you so much.

Sandip Neogi : So, I'll take this. So, you are right that our focus was always to get into a situation where we balance between the debt and the cash that we were generated. And the debt decision was always backed up the competitive rate that we were able to achieve or into this cost it was always under control. Having said that at now the entire world we've seen upward trend in the interest rate . So therefore, the conservation of cash is becoming more important.

And we have picked up as one of our strategy for this year onward. So therefore, the endeavor that will be there is to make sure that we are utilizing the debt in a very, very judicious way. And we will keep on reducing our long-term rate year -by-year and there will be an endeavor over to generate enough cash by various inventory controlling measure. Then some of the decision and some of the negotiation that we have to do with our customers and vendors to ensure that there is a little bit of more

Granules India Limited

August 10, 2022

Page 10 of 15 cash that is getting generated in the system. So, that is what is important is that I will be able to give you a trend that in the very quarter now onward you will see that there will be a positive cash buildup in the system.

Punit Mittal: Okay. Got it. Thank you so much.

Moderator: Thank you. The next question is from the line of Deepan Sankaranarayanan from TrustLine. Please go ahead.

Deepan Sankaranarayanan: Good morning, everyone and thanks a lot for the opportunity. So firstly, I wanted to understand are we planning to source more PAP from Indian supplier? Are we foreseeing supply stability and the prices of PAP going downward?

Krishna Prasad: Yes, we do. Our decision to buy depends on who's giving us the best price, who can give us a better supply security. Definitely we want to distribute it between all the manufacturers and subject to price better share can be given to some of these people.

We're already procuring from Indian manufacturers and will continue to do so.

Deepan Sankaranarayanan: Okay. So, are we satisfied with the quality of current PAP producers in India or you think it'll take some more time for them to ramp up the capacity with adequate quality?

Krishna Prasad: Yes. I can tell you very confidently at least with one of the suppliers we have worked closely together, helped them improve the quality and the quality is quite satisfactory right now.

Deepan Sankaranarayanan: Okay. Thanks a lot.

Moderator: Thank you. The next question is on the line of Tushar Bora from MK Ventures. Please go ahead.

Tushar Bora: Yes. Thanks for the opportunity, morning everyone. And congratulations to the management for a good set of numbers. Sir, firstly, I just want to understand, we mentioned strategic buildup inventory earlier in the call, if you can help us understand whether it is for an existing product, whether it is for a potential new launch and what kind of build up have we seen over and above normal?

Krishna Prasad: It's for all products, Tushar. For existing and also new launches, we need to pile up enough inventory before we launch the product. And all the supply chain disruptions have cost us this buildup. One is, the sailing time from here to the US, which used to be 23 days, 24 days, has gone up to 45 days, 50 days. That itself doubles the quantity on water and uncertainties of material arrival in port. And once the material arrives in the US port, the problem is getting it to the distribution warehouse. There's a shortage of containers even today in the US. Although international freight

and the

availability of containers have improved, within the US there's a problem and so just to overcome all this we had to stock a lot of inventory for existing products and also new launches.

Tushar Bora: Got it, sir. Second, just an observation our share of Metformin in the overall revenue has trended down a bit recently. Is there anything to read from this trend or and how do we expect Metformin to pick up going forward?

Krishna Prasad: Metformin will continue to have the same sales, if not a little growth in US, but we

definitely see growth coming through from other geographies. We are already at a very decent market share in the US. So, I think rather than concentrating and pushing more into the US, we should concentrate on other geographies. We got an approval for UK, and we are likely to get our approval for Europe also for Metformin shortly. So, we should be getting increased revenues from Metformin.

Tushar Bora: I meant, Metformin revenue share for our overall revenues, meaning, which is about 25% overall?

Granules India Limited

August 10, 2022

Page 11 of 15 Krishna Prasad: Overall products are also increasing, Tushar, paracetamol is doing well, Ibu is doing fairly okay and other products are coming up. So, I think, it should increase slightly. Okay, Tushar, I have the numbers, value wise which has increased a little bit by INR 20 Crore, but percentage it's come down. That's what exactly I was saying there's an increase in other products also. So as a percentage, it may stay there or increase a little bit, but we see a lot of potential for paracetamol tablet launches in Europe going forward. So maybe for the time being it may stay there but slowly there could be some improvement.

Tushar Bora: If I may ask a couple of questions around the long-term strategy, one on the biotech side, if we can understand what is the product strategy or how we are intending to build up this space for the next 2 to 3 years. And even on the longer term what is the intended strategy regards this new asset? Also, on the oncology side and regarding the new block, Vizag block, if you can help us understand any progress on the CDMO or CMO front for onco and hypo products?

Krishna Prasad: Yes. I think, Dr. Ram Rao will take that question.

KVS Ram Rao : Yes. So, on the biotech side, the way we are looking at it is, we have already have a good portfolio of the existing commercial products and also the new products where there is a possibility of doing a biotransformation, which helps in three way, the first one is to look at cost leadership. The second one is to look at ESG. We also stated that Granules focus on ESG as a strategic lever, I think it is always there and we have already started working on it. So, this will help us to move in the direction. And the third one we are looking at is the future product portfolio, where that you develop the products, I think this will be the first approach that we will take on the product development side.

So, I think, we are already good with the portfolio of the product that we want to do and then how the enzymes and the biotech fermentation area that need to be built up as a capability, we have already started making our steps in that direction. We already got the R&D lab and the pilot scale fermentation done as a first step. And we will be going forward and looking at commercial production and utilization of this into our identified portfolio of the products, both from commercial as well as the future product development portfolio.

Coming to the second question, I think we have already made good progress on the oncology CDMO side. We did have some contracts that have already been done and some products will be getting commercial today. Already we have

the commercial one

or two products, but that will be the intended focus as we move forward and would allow to create that line of business in the next couple of quarters.

Tushar Bora: Thank you, sir. That's very helpful. Just if I may squeeze one last quickly. You've highlighted cost management initiatives to improve the overall margin profile and also the cash flows, if you can highlight specific initiatives we're taking and on the business side despite the higher sales from paracetamol this quarter our margins have improved, gross margins have improved. It's fair to say that in paracetamol also we have bottomed out from a gross margin perspective?

KVS Ram Rao: Yes, I think of the specific initiatives that we are looking at, I think, as a part of our overall strategy, and we have already started implementing it in some of the areas, we are looking at the product level cost leadership at a global level. So I think you see that directionally we are looking at that as a part of our overall EBIDTA transformation journey we have kicked in. And you will see some of these initiatives, which will be focused on the EBIDTA transformation going forward.

And that I think is already visible when we look at the EBIDTA percentage improvement and we hope to see that along with the stabilized freight costs and the raw material costs that are likely to be either stable or go down as we see the indications. I think the journey that we have started on a technical side on both R&D, manufacturing to really bring up the areas of focus which enable us to drive the EBIDTA transformation journey. I think these initiatives are already in place and we are also going to improve some those initiatives going forward to enable us achieve

the targets of the EBITDA which we have in our mind. That's the first one. And on Granules India Limited
August 10, 2022

Page 12 of 15 the paracetamol, I think, can you just clarify your question exactly on paracetamol, please?

Tushar Bora: So, just my understanding that paracetamol would probably be slightly lower margin product for us than the overall pro fit margin. So, when, when we see a year-on-year, sorry, quarter-on-quarter improvement in gross margin for the company this quarter, despite the higher paracetamol sale, is it fair to assume that the gross margins for paracetamol per se as a product have also bottomed out in the previous quarter? So, we are spending upwards in gross margin in paracetamol as well in addition to the overall business?

Krishna Prasad: Last quarter, Tushar, as we sell more and more of tablets of paracetamol the margins have been improved positively. So like I said, we are launching paracetamol tablets in Europe where there'll be a lot of value-add and value-add in terms of margin also. So, it's not definitely bottomed out. There's still scope for improvement in margins for paracetamol.

Tushar Bora: Got it, sir. And just the clarification when you mentioned cost management programs, you're referring not to operational, but to actual product profile, meaning, yield improvement or something on the R&D side that is improving a cost structure for specific product, is that what we refer to in the cost management side?

KVS Ram Rao: That's right. I think we are looking at several aspects of the product cost and that is the initiative that we've taken up as a part of R&D. Sandip would you like to add here?

Sandip Neogi: So, Tushar, apart from the initiative, which is specific to a product, there are also overall initiative that we've taken, which was not there earlier. That is like various places, wherever we are finding that there is increasing change in the cost than we anticipate it. There are other areas we are identifying where there is a

cope of

improvement, and we are very, very judiciously walking towards reducing the, making the cost structure same or less at an overall year basis. So, which is a pure transformation from the way we used to look at the things earlier. So, there are two ways approach, one is that product specific cost optimization approach and then cost optimization approach also. So, these are the two things which will eventually improve the EBITDA.

Tushar Bora: Got it, sir. Thank you so much. That's very helpful. I'll join back in queue.

Moderator: Thank you. The next question is from the line of Varun Pattani, from Quant Mutual Fund. Please go ahead.

Varun Pattani: Yes. Hi. Good morning. So, just one question.

Krishna Prasad: Excuse me, can you speak up aloud, your voice is feeble.

Moderator: Yes. Varun, can you speak a little louder, we unable to hear you.

Varun Pattani: Yes. Am I audible now?

Krishna Prasad: Little more louder will be better.

Varun Pattani: Okay. So, my question was with the planned capex of INR 300 Crore and INR 250 Crore of buyback. So, what is the year end net debt target that you are going to sort of achieve with the strong cash flow generations as well?

Krishna Prasad: Sure, there is a confidence that the net debt position will come down, there will be a positive cash flow after all this expenditure, the net debt position will definitely come down. By how much is something we cannot venture to say, but definitely there'll be a reduction.

Granules India Limited

August 10, 2022

Page 13 of 15 Varun Pattani: So, you are planning to cut down on the long term portion of the borrowings?

Krishna Prasad: Long term portion is very little, it's only INR 300 Crore, it is coming down year-on-year by itself, in 2 to 3 years there'll be no long-term debt. Even today if you see or by the end of the year, our cash position and long-term debt will cancel themselves. What we'll have is only short-term debt, but also will possibly be there or come down a little bit.

Varun Pattani: What gives you sort of confidence to have a better cash flow generation this year? Like what has changed fundamentally?

Krishna Prasad: It's basically the inventory management, where went haywire because of all the supply chain disruptions, that's going to slowly turn positive, number one. And also, we see improvement in reduction in receivable days. So we are working on different customers to bring down the credit days. And we have already seen some positivity

there and we see more going forward.

Varun Pattani: Okay, great. Thank you.

Moderator: Thank you. The next question is from the line of Yogesh Tiwari from Arihant Capital. Please go ahead.

Yogesh Tiwari: Thank you, sir, for taking my question. Am I audible?

Krishna Prasad : Yes, you're audible, Yogesh.

Yogesh Tiwari: Yes. So actually, I wanted to know some information on the regional revenues. So if I look at Europe, for example, it looks like that, Europe has increased by about 60% on a Y-o-Y, because of the increase in paracetamol. So just wanted to understand, what is the scenario over there and is it sustainable, this growth forward?

Sandip Neogi : Improved revenue sharing Europe from 16% to 22.5%, that's what you're saying, right? Whether it is sustainable or not?

Yogesh Tiwari: Yes. So, on a Y-o-Y basis if I multiply those proportion, I get about 60%, increase in...

Sandip Neogi : Yes, you're right. So, there will be more actually going forward in Europe because as CMD was mentioning, and as we have clearly mentioned that our next two years focus market will be Europe, expansion in LATAM and South Africa also. So whereby, and that will be core products. So obviously there will be improvement in those geographies. And

as we go back to the core versus non-core, so it'll be like this

that the entire expansion will happen in terms of all the geographies. And then the percentage of the core will be gradually increasing to 92 '22 - '23, that we are actually mentioned. So that's how the strategy will work.

Yogesh Tiwari: Sir, regarding, there were some recent news data there has been drop in PAP prices. So, is there a big, chance of an upside in margin for paracetamol going forward because of the decline in PAP prices?

Krishna Prasad: There will be a short-term upside, Yogesh, but then again when prices fall, the customers also expect us to pass on the benefits, like in the past, when prices were going up, they would not give us a price increase immediately, but over a period of time, there was always a lag. We were getting some increases. So here also with the lag, there will be drop in prices, but overall margin we believe can actually improve a bit.

Yogesh Tiwari: Yes. Coming back to Europe. So, the 60% growth, can we expect to a range of 50 to 60% for the next few quarters for Europe?

Krishna Prasad: 50 to 60% of the total revenue or of growth.

Granules India Limited

August 10, 2022

Page 14 of 15 Yogesh Tiwari: Growth, 50 to 60% Y-o-Y growth for the next few quarters for Europe?

Krishna Prasad: We have to see, we are having new launches that are coming up, very promising, but let's see how they perform. We'll be launching some products, possibly one or two products in this quarter itself, but otherwise definitely next quarter. So definitely there is going to be growth. How much? I won't be able to say today.

Yogesh Tiwari: And in terms of US, how many launches are we planning for FY'23 in US?

Krishna Prasad: Priyanka, would you like to take this?

Priyanka Chigurupati: Sure. Good morning. We have about two to three launches that are still pending for the rest of the year. We'll be launching them this in this year, but we'll see the effect of the market share pickup only in the next year. We'll see some in Q4 and remaining in the next fiscal year.

Yogesh Tiwari: Yes. And in terms of US, I understand that we have grown our revenues by 18%, 18 on a Y-o-Y basis. So, I'm just assuming that if there's a price erosion of 10% in the US market volume would've increased by about 28%. Am I correct on those things?

Priyanka Chigurupati: Volumes have certainly increased, percentage wise I need to get back to you on that, but volumes have certainly increased especially on our larger volume products.

Yogesh Tiwari: Sure. And on India business it looks like there was a degrowth in India if I just multiply the contributions. So, if you can share some light on the India business for the quarter compared to last, same period last year?

Krishna Prasad: Our objective is always to add value to our products, Yogesh, and India we only sell APIs. So, as we add value, and the PFIs and tablets are sold in other markets. So, over a period of time, unless we have new capacities of certain products coming in at surplus capacities, India business will be here or possibly there'll be a little more degrowth. Definitely it's not going to grow. Even if it grows in the short term, it'll slowly come back unless India also becomes a big market for PFIs in future.

Yogesh Tiwari: Sure, sir. And lastly on the LATAM market, so LATAM it looks like we increased by about 1% on a Y-o-Y basis, but since you told that our focus will be on LATAM.

So I assume that will grow exponentially in the coming quarters at the LATAM

market?

Krishna Prasad: Not in the coming quarters, Yogesh, but in coming years, definitely, because we have been, the focus now is from PFIs to FD in LATAM. So that's going to take some time. We've made some fil

ings, will be filing some more. So over the years definitely is going to be a growth. Definitely not in the next few quarters.

Yogesh Tiwari: But can we expect a lower single digit growth in LATAM for this year?

Krishna Prasad: Yes, it's possible. Maybe 1% or so possible, but let's say it's going to be stable.

Yogesh Tiwari: Thank you, sir, for answering the questions. Thank you very much. That's all for my end.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, this was the last question for today. I now hand the conference over to the CMD for the closing comments.

Over to you, sir.

Krishna Prasad: So, ladies and gentlemen, while I thank you all for participating in this call. Let me conclude by saying, we have ended this quarter on a very positive note, and we are also positive that quarter-on-quarter we'll see improvements, both in terms of profitability and also in terms of cash generation. And we are also confident that we'll end the year on a very positive note in terms of cash. So, with this ladies and gentleman, I thank you once again for attending this call.

Granules India Limited

August 10, 2022

Page 15 of 15 Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Granules India Limited, that concludes this conference call. Thank you for joining us. And you may now disconnect your lines.

Call: Oct 2022

REGISTERED OFFICE

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Date: October 27, 2022

To,
National Stock Exchange of India Limited
BSE Limited
Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,

Sub: Transcript of the Earnings Conference call for Q 2 of the financial year 2022-23

Ref: Our letter dated 10.10.2022 for intimation of the schedule of the Earnings Conference call for Q 2 of the financial year 2022-23

Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings conference call of the Company for the second quarter and half-year ended on September 30, 2022 has been enclosed herewith and uploaded on the website of the Company at the below-mentioned link:

<https://granulesindia.com/investors/investor-resources/earnings-call-transcripts/>

This is for your kind information and records.

For GRANULES INDIA LIMITED

CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)

Page 1 of 13

"Granules India Limited
Q2 & H1 FY2023 Earnings Conference Call"

October 20, 2022

MANAGEMENT : DR. KRISHNA PRASAD CHIGURUPATI - CHAIRMAN &
MANAGING DIRECTOR - GRANULES INDIA LIMITED
DR. KVS RAM RAO – JOINT MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER - GRANULES INDIA LIMITED
MS. PRIYANKA CHIGURUPATI – EXECUTIVE DIRECTOR ,
GPI
MR. SANDIP NEOGI – CHIEF FINANCIAL OFFICER -
GRANULES INDIA LIMITED
MR. IRFAN RAEEN – ORIENT CAPITAL
Granules India Limited
October 20, 2022

Page 2 of 13 Moderator : Ladies and gentlemen good day and welcome to the Q 2 and H1 FY2023 Earnings Conference Call of Granules India Limited . As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the

conference over to Mr. Irfan Raeen from Orient Capital . Thank you and over to you.

Irfan Raeen: Thank you Yashashri. Good evening, everyone, myself Irfan Raeen from Orient Capital . We are an Investor Relation Advisor to the company. I hope that all of you and your families are safe and healthy . On behalf of Granules India, I extend a warm welcome to all participants on Q2 and H1 FY2023 financial discussion call. Today on the call I am joined by Dr. Krishna Prasad, Chairman & Managing Director; Dr. KVS Ram Rao - Joint Managing Director and Chief Executive Officer; Ms. Priyanka Madam - Executive Director, GPI; and Mr. Sandip Neogi - Chief Financial Officer. I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded today on exchanges and on company's website. Before beginning with the call, I would like to give a short disclaimer . This call may contain some of the forward-looking statements which are completely based upon our beliefs, opinions and expectation as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties. With this I hand over the call to Dr. Krishna Prasad Sir. Over to you Sir! Thank you.

K P Chigurupati: Thank you Irfan. A very good evening to all of you ladies and gentlemen and thank you very much for joining us today . I am sure all our investors had received the proceeds from the buyback by now and are happy that the company has interest of the investors as a priority. All of you would have gone through our numbers and Sandip will also take you through the same. Let us only dwell on some key indicators.

During the current quarter we continued and improved on our performance on all fronts compared to Q2 of FY2022 and Q1 of FY2023. While net profit has grown the most important and satisfying parameter is the cash position. We had generated operational cash of Rs. 218 Crores as compared to Rs.181 Crores during Q1 2023. After accounting for capex, we generated a free cash of Rs.124 Crores compared to Rs.98 Crores in Q1. As explained in our last call our focus continues to be free cash and we will continue to focus on this. As of today, we have completed the buyback and had incurred an outflow of Rs.310 Crores including taxes and other expenses. We are confident that after taking this amount and future capex into account we will end up with a positive cash flow and reduced net debt by the end of the current fiscal year as compared to March 2022. On the business front while we continue to see price erosion in the US, we will continue to offset this through increased sales in other geographies and increased focus on operational efficiencies. This had been an ongoing issue for the past many years, but Granules had been able to successfully manage this. On the positive side

the slow downward trend in raw

material prices is continuing but the cost of energy had gone up adding to our cost. The international freight rates especially for reefer containers had not reduced much during the last

Granules India Limited

October 20, 2022

Page 3 of 13 quarter but we see a downward trend in Q3 already. To supply PAP and DCDA some of our important raw materials had been stable and we expected to continue and possibly improve. The political situation in Europe had caused disruption in raw materials coming out of this region but for us we were impacted only on excipients . We are mitigating this by qualifying alternate sources from other geographies. Work on the DCDA project is proceeding smoothly and we expect to see results in less than two years. R&D is progressing smoothly and details of the ANDA filings, approvals and DMF filings are in the investor presentation. While we continue with our current business model and keep trying to grow it, I am greatly excited that our journey towards Granules 2.0 is proceeding smoothly, and we are all excitedly looking forward to the positive outcomes from this. As usual I request our JMD, Dr. Ram Rao to take you through this journey. Over to you Dr. Ram Rao!

KVS Ram Rao: Thank you Mr. Chairman . Good evening, everyone on the call . I echo the views of the Chairman on a very satisfying second quarter performance of the company . In my last quarter remarks, I spoke about Granules' long-term strategy on science, technology and innovation. I am very happy to confirm that our strategy relating to this is on track. We made decent progress on the enzyme and fermentation technology driven product development and completed proof of concepts for a couple of projects. We are also making good progress on the continuous process development effort and DCDA and as pointed out by the Chairman we should see the commercialization of this product in the next couple of years. The R&D and portfolio management strategies are much more robust now and are based on the initiatives of science and technology and we have also made a very good progress in institutionalizing ESG as a way of doing business for us. All the science technology related initiatives are going to increase the R&D spend in the subsequent quarters. I have also communicated in the last quarter we see huge untapped market potential for our core molecules in Europe, South Africa and AMEA countries. We have now started expanding in these markets. The first set of European launch of some of these molecules through our partners is likely to happen during Q3. With this I hand it over to Sandip for financial highlights.

Sandip Neogi : Thank you Sir. Let me now take you through the top financial parameters now.

Revenue : The second quarter revenue was Rs.1,151 Crores as compared to Rs.888 Crores in Q2 FY2022 growth of around 30% . This growth is mainly attributed to increased business in the US especially in the API segment. The revenue share of noncore molecules stood at 16% which is higher mainly because of the increased core sales in the current quarter . Even though in percentage terms the others have decreased but in absolute numbers showed a marginal growth. The sales breakup as per business verticals and details are presented in our investor presentation which is available on the website.

Value addition which is basically sales minus cost of material consumed. Value addition percentage in Q2 has contracted by 1.1% mainly due to segment mix as in this quarter API sales was more.

Granules India Limited

October 20, 2022

Page 4 of 13 EBITDA and EBITDA margin: EBITDA for the quarter was Rs.243 Crores when compared to Rs.151 Crores in the previous year same quarter an increase of 61% over the previous year mainly on account of increased business across major geographies.

R&D : Our

R&D spend for the quarter was Rs.25 Crores as compared to Rs.47 Crores in the same quarter in the previous year. It is expected that R&D spending will be in the range of Rs.40 to Rs.45 Crores in each quarter going forward.

Net debt : Our net debt was Rs.553 Crores as compared to Rs.613 Crores in the last quarter mainly on account of repaying of the long-term debt. Our focus on cash collection has also resulted in free cash of Rs.124 Crores in the current quarter.

Cash-to-cash cycle : Our cash-to-cash cycle was at 141 days in the current quarter compared to 144 days in the previous quarter . The decrease of 3 days was mainly attributed to a reduction in the receivable days due to factoring of invoices.

Operational cash flow : Operational cash flow for the quarter was Rs.218 Crores when compared to Rs.101 Crores in the previous year same quarter. Higher operating profit and a focus on working capital management contributed to higher operating cash flow in the current quarter .

Capex spend during the year stood at Rs.94 Crores .

With this I open the floor for questions.

Moderator : Thank you very much . We will now begin the question -and-answer session. We have the first question from the line of Rahul Veera from Abakus. Please go ahead .

Rahul Veera : Sir just wanted to understand that is the gross margin on Paracetamol lower than other products because sequentially when the sales have gone up in Paracetamol specifically the gross margin is not up to the mark ?

K P Chigurupati: You are right Rahul. Gross margin on Paracetamol is lesser than other products.

Rahul Veera : Was there any one-off in this Paracetamol sales in this quarter or we are seeing this kind of traction going forward as well?

K P Chigurupati: There is no one-off Rahul. Actually, basically the whole thing came from availability of raw material. Now the supply of PAP has stabilized we see this going forward. Market was not a problem for us we had marquee customers and they continue to be with us.

Rahul Veera : If given the incremental sales from Paracetamol and from US the percentage of sales has increased sharply but we were targeting to more markets like Europe or even the LATAM markets right so how is the shape up now?

Granules India Limited

October 20, 2022

Page 5 of 13 K P Chigurupati: You mean Paracetamol in US compared to other geographies was that your question?

Rahul Veera : Is Paracetamol in US increases sharply as compared to other geographies?

K P Chigurupati: No, we have some marquee customers in the US and also we are trying to convert most of them from API to finished dosage and also our European launch of Paracetamol formulation is happening now in this quarter Q3 so there will be increases in both segments but I think US will be higher share for Paracetamol.

Rahul Veera : The contracts are large or key customers that we would have added in the past couple of quarters?

K P Chigurupati: No, I do not think so. These are customers who have been with us with increased wallet share we are getting with them.

Rahul Veera : What will be the capacity utilization of our plant for Paracetamol as of now?

K P Chigurupati: Paracetamol is between 90 % and 95%.

Rahul Veera : Okay fair point. I will come back in the queue.

Moderator : Thank you. We have our next question from the line of Krish Mehta from Enam Holdings . Please go ahead .

Krish Mehta : Thank you for taking my question. I just had a question to clarify in the finance cost given that the debt has come down could you explain what contributed to increasing the finance cost for the quarter and what the blended cost of borrowing was?

Sandip Neogi: So, finance cost has increased. Actually, for everybody because the SOFR rate has increased so when we started the year and where we are seeing the SOFR now there is a 3.5% to 4% increase in the SOFR that has resulted

ed. The spread has not increased for any of us, but SOFR rate increase has actually resulted in a kind of cost borrowing being higher.

Krish Mehta: How do you view the finance cost over the next few quarters as you now when debt comes down how do you view the mix changing?

Sandip Neogi: We do not see that the SOFR is coming drastically; if the SOFR continues at that level we can only ensure you that the spread will not go up, so obviously it will be the same range.

Krish Mehta: Okay thank you so much.

Moderator: We now have our next question from the line of Ashwini Agarwal from Demeter Advisors LLP.

Please go ahead.

Granules India Limited

October 20, 2022

Page 6 of 13 Ashwini Agarwal: What I am saying was I am trying to figure out the way forward last two years have been very challenging for the company because first we saw excessive one-off gains because of COVID-related shortages especially in Metformin and excessive demand for Paracetamol and then we saw product shortages and shipping cost coming down, now at least on the raw material shortages and shipping cost things are normalizing the FD contribution to overall revenues have also gone up and we are kind of right sizing the sales across various geographies so if I look at the long-term history value addition has been more or less around 50% and if I look at the long-term EBITDA margin has been in the region of about 21% to 22% in some years, but on the lower side with (inaudible) 16:56 over the next two to three years where do you see gross margins and EBITDA margins stabilizing given all the initiatives that you are taking?

K P Chigurupati: First of all let me say like you said 21 and 22 both are aberrations, 21 is a positive aberration and 22 is a negative aberration and 23 it starts off returning to normalcy but due to uncertainties today in the world I am not able to say how much improvement we will make, so I do not see any possibility of deterioration, any normal possibility but in this uncertain world we do not know where we will go. I always said we will be slowly creeping from our 20% so we crept a bit and year-on-year we will definitely creep up and our target is to get to 25% and when it comes to value add the situation is it is the product mix that always dictates so we are going towards high margin products but all these things will be visible only after two years onwards. Like I said it is Granules 2.0 which is going to transform the company and there we will see definitely higher margins. Meanwhile we continue to face and mitigate the challenges that are occurring in today's world especially price erosion in the US and disruption of supply chains in different parts of the world, initially it was China now it is Europe. There are many mitigations that are going on so I cannot see gross margins going up but definitely once 2.0 takes place we will definitely see a great upside and we are all looking excited for that.

Ashwini Agarwal: On a more specific basis could you quantify the size of savings that are possible on shipping rates?

K P Chigurupati: I will just give an example for reefer container prices were as high as I would say \$12,000 to \$13,000 per container Q1, Q2 it came to around 12 but this quarter we are already seeing 8.5, 8 and looks like they are still going to possibly go down.

Ashwini Agarwal: Pre-COVID these rates were at 3, 3.5 would that be fair?

K P Chigurupati: No, reefer container would have been around 4 to 5.

Ashwini Agarwal: Would this kind of offset the R&D expense pickup because R&D has obviously helped the EBITDA margin in the current quarter, but R&D is being normalized over the next two quarters that we suggest so will lower shipping cost kind of offset the R&D headwinds?

Granules India Limited

October 20, 2022

Page 7 of 13 K P Chigurupati: There are a few

areas where we see savings coming in and definitely freight cost is one. If we see in the second quarter the freight cost has drastically played a very important part of our cost so freight is one and there are few other areas where we see which will offset the R&D expenditure.

Ashwini Agarwal: That is all I had. Congratulations once again.

Moderator: Thank you. We now have the next question from the line of Rashmi Sancheti from Dolat Capital. Please go ahead.

Rashmi Sancheti: Hi good evening management and thanks for the opportunity. First I want to know about US related to the price erosion in the first quarter you all mentioned that Granules is facing high double digit price erosion so what are the current status over there whether it has really come down or not and how many new launches have we done in first half and if we can quantify out of the new launches how many new MUPS technology launches we have done from Gaglilapur?

Priyanka Chigurupati: To answer your first question in terms of price erosion, there is still slight a bit of price erosion

that we are having to deal with but the good news is that it not as drastic as high double digits right now so the market is slowly beginning to stabilize but we are positioned and we are positioning ourselves to make sure that we do not lose out market share of price alone. In terms of the number of launches from MUPS we have done two launches in Q4 of this last year, and we have been increasing market share and winning more awards for those two products. Outside of those two products we will be launching a few products in Q4 of this fiscal and Q1 of next year. In addition to that we did one more controlled substance launch from the US.

Rashmi Sancheti : How many would be total new launches which include MUPS & other products in first half?

Priyanka Chigurupati : We did about three launches in the first half and going forward in the second half we will be doing about one to two more launches and we have not reached our target market share for these three products yet so we will be aggressively bidding on these products as well.

Rashmi Sancheti : What about Metoprolol succinate approval we had some query on it have you responded to the USFDA or what is the current status over there?

K P Chigurupati: Rashmi you seem to be knowing more than us about what is happening .

Priyanka Chigurupati : Everything is going on track, and we should be able to launch it as planned .

Rashmi Sancheti : Related to the Paracetamol the revenue has gone up this quarter we should take it this as a pent-up demand because PAT has stabilized or based on some order visibility and all we believe that Paracetamol revenue run rate would be higher in the second half as well as in FY2024 also ?

K P Chigurupati: The same trends will continue Rashmi. It is not a pent-up demand. People were waiting for us to come back on track, and it is also like I always said we cannot balance on other suppliers, so it is a shift from some other supplier to us.

Granules India Limited

October 20, 2022

Page 8 of 13 Rashmi Sancheti : Okay understood. Can you give some direction in terms of revenue growth for API, PFI, and FD

because this quarter we have seen some extraordinary growth and even the first half the growth is extremely high especially in the API as well as in the PFI segment is first half would reflect similarly in the second half or we are seeing that there would be some lower growth which would be due to the season in the second half?

K P Chigurupati: We could see improvement in the second half but mainly Rashmi it is not revenue that we are looking at and it is not even the bottomline it is the cash that we are generating so without revenue without bottomline we can not get the cash but it is also a product mix and what business to take what business not to take that determines the margin, so

definitely we will be improving

on our cash position and bottomline so let us not focus too much on revenues.

Rashmi Sancheti : Alright Sir. Thank you. That is , it from my side.

Moderator: Thank you. We have our next question from the line of Varun Basrur from Julius Baer Wealth Advisors India Private Ltd. Please go ahead .

Varun Basrur : So, a couple of questions first what percentage of the finance cost in this quarter is attributable to factoring of receivables and the second question is of the cash -to-cash cycle what percentage or what kind of raw materials inventory are we keeping on hand?

Sandip Neogi : Factoring cost is around 4.0% of the total finance cost for this quarter and regarding the inventory cost you may want to.

K P Chigurupati: I do not have just the raw material number with me it is the total inventory which includes inventory here on the sea and also in the US. Last quarter we had 179 days as compared to 182 days in the previous quarter and receivable days have come down it was 74 from 83 and payable days also have come down from 121 to 112 so overall the net effect is three days on cash -to-cash cycle. Again, let me just clarify a bit Varun when Sandip said 40% is the cost of factoring if not factored, we would have had to take some working capital debt and the difference is not much between factoring cost and the working capital PCFC it is a marginal difference.

Varun Basrur : I understood Sir. Thank you.

Moderator: Thank you. We have our next question from the line of Maitri Parikh from Pi Square Investments . Please go ahead .

Maitri Parikh : My first question is that what is our market share in Paracetamol domestically and globally if we have the number?

K P Chigurupati: I do not think we can give out that information Maitri it is a little sensitive with competition and we prefer not to discuss this in open forum.

Maitri Parikh : The second question is that what is the revenue concentration of the top five customers?

Granules India Limited

October 20, 2022

Page 9 of 13 K P Chigurupati: I think it should be around 30 % to 40% Maitri a little more than 30 % I would guess. I do not have the number offhand with me, but I can definitely tell you top 20 customers will not be more than 60%.

Maitri Parikh : The third question that I have is that is the raw material that we import so what is the percentage

of total raw material that we import and from which countries do we import?

K P Chigurupati: Mostly we import from China and Europe, a little bit from US also, about 10% of our total imports may be coming from the US and overall, our imports should be about 30% of our revenue.

Maitri Parikh : How much are we dependent on China, there is some problem and if we are not able to import from China do we have the alternative?

K P Chigurupati: The two materials we import from China have been DCDA and PAP and now PAP there was a shortage in China that is streamlined now. We also have Indian manufacturers and other international manufacturers who have come up so there is lot of mitigation that has happened, and we do not see a very great challenge on this product. On DCDA we have one supplier out of Europe so now with the cost of energy going up in Europe they are not very economical. Now China is economical so basically if you say DCDA we are still quite dependent on China and again to add to this the whole world is dependent on China for Metformin for the intermediate of Metformin no other country makes this expect one company in Germany.

Maitri Parikh : Okay no issues. I think that is all from my side. Thank you.

Moderator: Thank you. We have the next question from the line of Tushar Bohra from MK Ventures . Please go ahead.

Tushar Bohra : Thanks for the opportunity and congratulations to the management for excellent set of numbers. Sir couple of things (A)- I wanted to understand

and about some of the new initiatives so details

around the hypo and onco plant and also the biologic asset that we acquired if there is clarity on the strategy regarding biologics as a whole going forward as well as some of the other work that we are doing under Granules 2.0 if you could sort of explain in more detail?

KVS Ram Rao: As I mentioned in my speech. We are focused on high potential oncology block and hypo block. I think earlier also we indicated that we are going to focus on the oncology formulations and as discussed and the progress is in the right direction. We are able to see good traction with the customers in terms of business development teams and also how we can use the capacity utilization there, so I think it is going in the right direction as far as the hypo block is concerned. Coming to your second point on the entire enzyme fermentation and what R&D assets and capabilities that we have got we are able to really foray ourselves into enzyme driven product development and we have done a proof of concept of a couple of products and we seemed to be quite happy in the direction in which the results have come and very soon we will see this getting Granules India Limited

October 20, 2022

Page 10 of 13 commercialized through our enzyme and fermentation technology route into that API manufacturing, so I think as a part of the strategy what we started in the beginning as explained in the first quarter we continue to have this journey and we have made sufficient progress to see that the strategy has now started into the execution mode and definitely fermentation enzyme is much ahead of ours and also on the continuous process development we have started looking at couple of products and including DCDA and the Chairman has pointed out in his speech and he also told in the next couple of years we should be able to come out with commercialization of the continuous process development of this molecule and we are also looking at several others, so suffice it to say that the strategies that we are now calling it as Granules 2.0 has taken off both in terms of execution of the products, projects and also reshaping our portfolio as a long-term strategy for the organization.

Tushar Bohra : Thanks Sir as a followup to this, also on the MUPS side and some of the complex generics we have been filing last four years and pretty much last two, two-and-a-half years we have got a number of approvals in place, which we have steadily been launching in US markets, just want to understand as a execution where we are vis-à-vis what we were envisaging this portfolio to be and how soon can we see real traction in the other molecules such that it starts to become a much more meaningful percentage of the total?

K P Chigurupati : Some of the very important filings which we have made are yet to be approved in the MUPS area, as Priyanka said we will see some in Q4 of this year and some in Q1 of next year, so those will be decent products, meanwhile we have some products which have been approved and we are steadily launching them and the strategy of going slow I think it is better we hear it from Priyanka.

Priyanka Chigurupati : In terms of going slow like we have always said Granules will continue to focus on maintaining and gaining market share with our threshold of profitability in line, so in the US market with an increased amount of competition for all the products our first goal is to maintain security of supply and too slowly but steadily gain market share which involves a little bit of patience and making sure we have a certain amount of inventory ready to go at given point of time. So if we have to get a large market share, the only way to do it overnight is to cut down the prices which is not what we plan on doing, so like I said we are in the third quarter of gaining momentum for two of the products from the block in India

and we continue to gain market on those two products, but customers themselves reached out to us say your competitors are not able to supply to us, can you give us .. so with that we are able to make sure that we set a value proposition right in the US market and that is why we want to be as a company. Going forward we have been doing the same with all the MUPS products coming out at this time.

Tushar Bohra : Great. There is one point based on Metformin I think on the DCDA on the supply side some issues, overall Metformin has been slightly flattish for us in the last couple of quarters in fact even this quarter Y-o-Y we are flattish, is it something that due to supply security or supply related concerns we are not able to fully leverage the potential or do we see this as a transient phase and we should be able to grow back in Metformin aggressively?

Granules India Limited
October 20, 2022

Page 11 of 13 K P Chigurupati : In the US we already have a decent share and I do not think we should try to get more share at

the cost of margin, so like Priyanka said we are going slow, we expect to maintain our margins. There is price erosion, we can give in some but we cannot give too much, so we would like to stabilize that rather than increasing market share at low margin, but other geographies we have just started launching, this quarter we are launching Paracetamol products in Europe and possibly next quarter we should be launching some Metformin products in Europe and other geographies in the form of formulations, so this should keep growing, but it would not grow at a very rapid pace. Europe is still virgin, but we will do well.

Moderator : Thank you. We have the next question from the line of Kaushik Mohan from Ashika Group . Please go ahead.

Kaushik Mohan: Sir, I just wanted to know on the PAP side do we buy PAP from India?

K P Chigurupati : We do Kaushik.

Kaushik Mohan : Can I know the supplier; is it from Sadhana Nitro Chem or something like that?

K P Chigurupati : Not from Sadhana Nitro Chem that I can tell you.

Kaushik Mohan : What are the Indian prices that we buy Sir?

K P Chigurupati : Prices are almost the same competitive everywhere today, there is a surplus product, and it is almost the same.

Kaushik Mohan : It is as equivalent as the China?

K P Chigurupati : A little bit here and there, they vary but more or less.

Kaushik Mohan : What is the strategy for Paracetamol in Europe, how are we going there in Europe?

K P Chigurupati : We sell a lot of Paracetamol, API and PFI in Europe and we also do some contract manufacturing of Paracetamol tablets for certain customers including some brands, but right now we are launching our own dossiers along with our partners. We have filed for some products and this quarter we will launch in two countries.

Kaushik Mohan : Is there any change in Paracetamol because of the quality of PAP?

K P Chigurupati : The quality of PAP is not bad; it is the same quality. We had some problems with one or two new suppliers but work with them to make sure the quality comes out well.

Kaushik Mohan : There is a new evolution in this PAP right it is Nitrobenzene route, do we buy PAP in that route or in any other format of PAP that we are buying?

Granules India Limited
October 20, 2022

Page 12 of 13 K P Chigurupati : Nobody makes it from Nitrobenzene today for sale in the market.

Kaushik Mohan : Thanks Sir and Happy Diwali.

Moderator : Thank you. We have the next question from the line of Maulik Varia from Anand Rathi . Please go ahead.

Maulik Varia : Good evening, Sir. Our sales have grown on the API side and mainly from the Paracetamol side, so just wanted to know that is it because of increase in realization of that product or is it increase in volume of that product?

K P Chigurupati : It is actually volume; I do not know if you are here in the call right from be

ginning, we mentioned that we have availability of more raw materials and that has led to increased production and increased sale.

Maulik Varia : Sorry I would have missed that. Thanks a lot.

Moderator : Thank you. We have the next question from the line of Suresh Agarwal an Individual Investor. Please go ahead.

Suresh Agarwal : Good evening, Sir. What is our dividend policy Sir?

K P Chigurupati : You know the amount of buyback with it, we will give it back in the form of dividend or buyback whichever way, our priority is to make sure the investors are benefitted and if you calculate the amount of money that was given you can understand what we are planning to do.

Moderator : His line is disconnected. We will move on to the next question from Ashwini Agarwal from Demeter Advisors LLP . Please go ahead.

Ashwini Agarwal : Just a followup question from me. I am referring to your opening remarks where you said that

notwithstanding buyback and the client capex you still expect to generate free operating cash flow, which will be used to reduce debt and considering that the value addition margins and EBITDA margins are likely to be steady that kind of hints at very strong second half in revenue growth and I just wanted to understand what driving that contract?

K P Chigurupati : It is mainly going to be working capital management Ashwini and it is working with our customers where quicker payments and reducing the receivable days and also we are working with our suppliers to increase the payable days and inventory is a very cautious approach we are taking because if you do not have enough inventory in the US you could end up with failure to supplies, penalties which could be disastrous, we need to really study this but we are very cautious on that. So, to answer your question once again to sum up it is mainly reduction of receivable days and increase of payable days and also raw material inventory in India we could possibly reduce, but not the finished product.

Granules India Limited

October 20, 2022

Page 13 of 13 Ashwini Agarwal : It is essentially working capital is going to get a lot tighter in the second half?

K P Chigurupati : All our money are conversion of operational profit into operational cash was not great in the past because all our money was getting added to working capital and our borrowing was so low the cost of borrowing we felt it was okay too, at point of time it was only 0.6% before the SOFR went up, so we did not really bother, but now we thought the focus has come on cash and cash alone, so we thought let us get the cash in.

Ashwini Agarwal : That is helpful. Thank you and all the best and Happy Diwali.

Moderator : Thank you. We have question from the line of Tushar Manudhane from Motilal Oswal Financial Services . Please go ahead.

Tushar Manudhane : Just one question on the overall investments into onco, hypo and biologic assets till date and how much do you intend to invest maybe in FY2023 and 2024?

Sandip Neogi and K P Chigurupati: Onco investment is Rs.90 Crores and for this biotech company we have only invested Rs.13 Crores. We have given guidance for this year and next year is going to be Rs.300 Crores each. We do not expect to invest anything in the onco plant, but on the biologic side we will definitely be investing and after this the investments could be higher after this year, next year, we will see how it turns out, but this year, next year will be Rs. 300 Crores each.

Tushar Manudhane : Fair enough. Thank you.

Moderator : As there are no further questions, I would now like to hand the conference over to Dr. Krishna Prasad for closing comments. Over to you Sir!

K P Chigurupati : Ladies and gentlemen once again thank you very much for joining us today and I would like to reiterate that we are working hard to continue the run up just like we had in Q2 and we will try our best to make

sure that we continue to grow profitably, so thank you very much.

Moderator : Thank you Sir. On behalf of Granules India Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2023

G GRANULES

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CIN: L24110TG1991PLC012471

Date: January 31, 2023

To,

National Stock Exchange of India Limited

BSE Limited

Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,

Sub: Transcript of the Earnings Conference call for Q3 of the financial year 2022-23

Ref: Our letter dated 16.01.2023 for intimation of the schedule of the Earnings Conference call for Q3 of the financial year 2022-23

Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings conference call of the Company held on January 24, 2023 for the third quarter and nine-months ended on December 31, 2022 has been enclosed herewith and uploaded on the website of the Company at the below-mentioned link:

<https://granulesindia.com/investors/investor-resources/earnings-call-transcripts/>

This is for your kind information and records.

For GRANULES INDIA LIMITED

CHAITANYA TUMMALA

(COMPANY SECRETARY &

COMPLIANCE OFFICER)

Page 1 of 18

"Granules India Limited

Q3 and 9M FY '23 Earnings Conference Call"

January 24, 2023

MANAGEMENT : DR. KRISHNA PRASAD – CHAIRMAN AND MANAGING DIRECTOR

DR. KVS RAM RAO – JOINT MANAGING DIRECTOR

AND CHIEF EXECUTIVE OFFICER

MS. PRIYANKA CHIGURUPATI – EXECUTIVE

DIRECTOR , GPI AND GUSA

MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER

MR. PUNEET VARSHNEY – GM, BUSINESS FINANCE

AND INVESTOR RELATIONS

INVESTOR RELATIONS : MR. IRFAN RAEEN – ORIENT CAPITAL

Granules India Limited

January 24, 2023

Page 2 of 18

Moderator: Ladies and gentlemen, good day and welcome to the Granules India Limited Q3 and 9M FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions, after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Irfan Raeen from Orient Capital. Thank you, and over to you, sir.

Irfan Raeen: Thank you, moderator. Good evening, everyone. Myself, Irfan Raeen from Orient Capital. We are an Investor Relation Advisor to the company. I hope that all of you and your families are safe and healthy. On behalf of Granules India Limited, I extend a very warm welcome to all participants on Q3 and 9 -month FY 23 financial result discussion call.

Today on the call, we have Dr. Krishna Prasad sir, Chairman and Managing Director; Dr. KVS Ram Rao sir, Joint Managing Director and Chief Executive Officer; Ms. Priyanka Chigurupati,

Executive Director, GPI and GUSA; Mr. Mukesh Surana, Chief Financial Officer; Mr. Puneet Varshney, GM, Business Finance and Investor Relations. I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on exchanges and on company's website.

I would like to give a short disclaimer before we start the call. This call may contain some of the forward-looking statements which are completely based upon our beliefs, opinion, and expectation as of today. These statements are not a guarantee of our future performance and involve unfortunate risks and uncertainties.

With this, I hand over the call to MD sir. Over to you sir. Thank you.

Krishna Chigurupati: Thank you, Irfan. A very good evening to all of you, ladies and gentlemen, and thank you very much for attending our Q3 earnings call today. As you are all aware, Mr. Mukesh Surana has joined us as our new CFO, and this will be his first call, and I'm glad to introduce him to you.

A detailed presentation of our Q3 performance had been uploaded on our website and I'm sure all of you would have gone through it by now. However, I will dwell on a few important aspects and later, Mukesh will go into a little more detail. Our current quarter performance had improved year-on-year. It had declined slightly compared to the sequential quarter.

As I mentioned in the earlier calls, we were in the process of changing our 3PL service provider in the US and though this process is now complete, the new company continues to have teething issues and missed out on quite a few deliveries to our customers. This has not only resulted in lesser revenue but also certain failure to supply penalties, both of which had impacted our bottom line.

Overall, I'm personally satisfied with our performance in Q3. We expect the 3PL performance to improve before the end of Q4. Our operational cash flow, though healthy year-on-year, there

Granules India Limited

January 24, 2023

Page 3 of 18

has been a decline compared to the sequential quarter. The price erosion in the US continues and we keep on mitigating this by geography expansion and product mix rationalization.

The most important piece of information I want to share with you today is that we recently set the groundwork for our vision of going green, saving the planet and its people and, at the same time, generating positive returns for all our stakeholders.

I want to briefly discuss the dilemma facing our world before going into further details.

According to the most recent World Economic Forum study of Global Risk, 6 of the 10 biggest dangers of the future are all connected to our inability to reduce or mitigate climate change, all of which will result in disasters which are unthinkable.

sasters which are unthinkable.

These risks rank even ahead of global confrontation. The greater service that any individual or corporation can provide is to at least reduce this risk in their line of business. It is surprising to learn that the pharmaceutical industry is not as environmentally friendly as we may think. The CO2 equivalent emissions in 2015 were 55% higher than those from the automotive industry. I'm not sure if the pharmaceutical industry is working as quickly to reduce emissions as the automotive industry is.

It is highly unexpected to learn that the emissions from the pharmaceutical businesses increased by 15% between 2020 and 2021, reaching 260 million tonnes of greenhouse gases equivalent to -- carbon dioxide equivalent. When several nations set goals to achieve carbon neutrality by the year 2050 to 2070, big pharma too set goals between 2025 and 2030 with AstraZeneca being the most ambitious with the target date of 2025.

Though this is a very positive step, these dates only apply to Scope 1 and Scope 2 emissions, which form approximately 20% of all the emissions in pharmaceutical manufacturing. Scope 3 generates about 80% of the emissions and it is here that they must focus on supply chain and vendor management, neither of which are simple tasks, until each vendor is incentivized and motivated to work towards aggressive targets.

Further, carbon water tax, which has already started rolling out in Europe for certain products, will come into effect in many countries and also for pharmaceuticals over a period of time and buyers will have to pay for emissions caused by their vendors, which will motivate them to incentivize products with the least carbon footprint.

While this is most common knowledge to most of you, I wanted to set the context for our work towards reduction or elimination of greenhouse gas emissions. Many countries are working on around the clock carbon-free electricity, hydrogen and ammonia. India is most likely to be a leader on this front. Automobiles, shipping, fertilizer and even steel companies are working towards making a net zero by using this initiative.

I was actually surprised to learn that Volvo even made a truck with green steel and run by green energy. At Granules, we always believed in reimagining existing processes, systems, convention and beliefs. We always took the least trodden path.

Now we are reimagining chemistry. We recently entered into an MOU with Greenko, one of the largest suppliers of carbon-free energy, and we'll be partnering with them for supply of power, hydrogen, ammonia, nitric acid and a few other chemicals, which will all be carbon-free, made with carbon-free electricity as the base. On our part, we'll convert some of these chemicals from Greenko to raw materials required for our intermediates and APIs.

We have developed processes for this over the years and we will not use any form of energy or any derivatives of fossil fuel in our processes. We will be located adjacent to the Greenko site and also close to a port. We will be starting with two products, paracetamol and metformin, and slowly expand into other products, which we are working on.

Our target is to have product with the lowest carbon footprint from cradle to port. 90% of raw materials will be made in-house at one site and there will be very negligible dependency on any other company, unless they are also green. During the process, while we maintain our current plants, current and future products which we are working on, we propose to set up additional capacities for these two products to meet more than 50% of the global requirement.

Negligible emissions may happen from a small supply chain and we plan to offset this by carbon sequestering. We are also working on developing carbon sinks by afforestation with select high carbon absorbing plants while still

maintaining the biodiversity of the ecosystem. I'm highly

excited and could not avoid sharing a few of my thoughts and plans with all of you today.

Research has shown that sustainability-driven companies had always outperformed others and it is my firm hope that more companies or organizations will make sustainability the heart of their operations and create value for themselves, stakeholders while also heal the planet.

With this, ladies and gentlemen, I pass this over to Dr. KVS. Ram Rao, our Joint Managing Director.

KVS Ram Rao: Thank you, Chairman. Over the last few quarters, I spoke about Granules' long-term strategy of science, technology and innovation. Strengthening the R&D and product pipeline is key to our strategy. We have revisited our product portfolio, which will focus on reasonably short-term and medium-term commercialization. Also, the portfolio focuses on development of controlled substances, both API and formulation, and backward integration of these products.

The emphasis has been on the product leveraging on the current strength of Granules in India and US and also bringing in approach of global cost leadership and sustainability. Enzyme fermentation technology is an area of focus and we have made very good progress on the select set of molecules. For these set of products, we have done work on the genetic engineering of enzymes. Interface work of enzymes and chemistry is under progress. We expect to see the first validation of our enzyme-based APIs by quarter 3 of next year.

On our key product, paracetamol, the supply challenges of PAP are behind us and we are running at full capacity. Our focus is now geared towards significantly improving our paracetamol API capacity along with increasing the yield through continuous process improvements. Our backward integration program for DCDA and PAP are also progressing well.

Granules India Limited
January 24, 2023

During the quarter, we have initiated profitability improvement programs across direct and indirect procurement, API manufacturing, finished dosage manufacturing and commercial excellence through consumption and technical levers. We have partnered with a leading global consulting firm and several projects have been initiated and are being implemented, which will make a material impact on our profitability in short to medium term.

As we have communicated, US FDA conducted a pre-approval inspection of our Gagillapur facility from January 9 to 13. We have received 3 from 483 observations. The company will respond to these observations within the stipulated time area.

With this, I hand it over to Mukesh, who will take us through the financial section.

Mukesh Surana: Good evening, everyone, and thank you, CMD and JMD. Let me take you all through the top financial parameters now. On the revenue side, the third quarter revenue was INR 1,146 crores as compared to INR 997 crores in Q3 of '22 at a growth 15%. This growth is primarily attributed to increased efforts in all major geographies, including USA.

Revenue was flat as compared to Q3 F '22, primarily on account of change of the retail partner, which has impacted our FD sales from GPI in the US, despite having orders in hand. The sales breakup as per business verticals and regions are presented in our investor presentation, which is available on the website.

On the value -add side, as a percentage to sales for Q3 F '23, it was 48.4% as compared to 46.6% in Q3 F '22. Value added as compared to Q3 F '22 is down by 1.3% points , primarily on account of higher sales of API and lower FD sales in the USA impacted by the 3PL partner transition which I just mentioned earlier. Along with that, we have also seen some price erosion challenges in the markets, including USA.

On the EBITDA and EBITDA margin trend for the quarter, we were at INR 231 crores as compared to INR 174 crores in Q3 F '22, an increase

of 33% over the previous year, mainly on

account of increased business across all major geographies. R&D spend for the quarter was at INR 23 crores as compared to INR 35 crores in Q3 F '22. It is expected that R&D spending will be in the range of INR 35 crores to INR 40 crores in each quarter going forward.

Net debt was INR 894 crores as compared to INR 697 crores at the beginning of the year, mainly on account of reduction in cash position. We did a buyback of shares including transaction and cost, it was INR 311 crores. And there is a deployment of capex funds of about INR 50 crores in our new expansion plan with green initiatives in Kakinada and INR 42.5 crores for land acquisition in Visakhapatnam for expansion.

Cash -to-cash cycle was at 137 days in the current quarter as compared to 138 days at the beginning of the year and 141 days in Q2 F '23. Operational cash flow for the quarter was INR 161 crores as compared to INR 23 crores in the previous year same quarter. Higher operating profits and a focus on working capital management contributed to the higher operating cash flow as compared to the previous year.

Granules India Limited

January 24, 2023

Page 6 of 18

Capex spend during the year was INR 194 crores, including the advance paid, which I explained early, INR 50 crores for the latest purchase of land in Kakinada for green initiatives and INR 42.5 crores in Visakhapatnam. Free cash flow this quarter has been negative at INR 32.5 crores as compared to a negative of INR 72 crores in the previous year same quarter. However, it was down from Q2 F '23 where it was positive INR 124 crores. So this quarter, primarily on account of little lower operating cash flow and higher capex spend, which we have just explained earlier, has resulted in negative INR 32.5 crores.

ROCE for Q3 F '23 increased to 25.6% as compared to 21.2% in Q3 F '22. We expect improvement in ROCE year -on-year basis to continue in Q4 F '23 despite higher spends on capex for green initiatives.

With this, I open the floor for questions.

Moderator: The first question is from the line of Apoorva Bahadur from Goldman Sachs.

Apoorva Bahadur: Sir, I wanted some clarity on the arrangement with Greenko. So if you could just throw some light on the financial viability of these projects, even without CBAM, right, and what will be the type of the structure of this agreement?

Krishna Chigurupati: Okay, Apoorva. There is a -- Greenko supply us carbon -free electricity around the clock along with certain other chemicals, like I said, ammonia, hydrogen, nitric acid which they're producing in large quantities with export across the world. The economies are going to be -- the economies of scale are going to be with a great advantage, and there will be fixed price contracts for these products.

And from these products, like I said, we will be making some other products or other raw materials and finally converting them to our APIs. The advantage is there is no transportation of chemicals, it's all in one site. And green power at a reasonable price is available around the clock and we're also next to the port.

Apoorva Bahadur: And how do the pricing at which probably Greenko will supply the chemical, does it hold against the current, say, gray chemical pricing?

Krishna Chigurupati: Yes, it will definitely hold against the gray chemical pricing. And the cost of raw material chemicals, which they produce also, for overall cost when you take the total cost will definitely not be more than the gray chemicals.

Apoorva Bahadur: Including freight and all?

Krishna Chigurupati: When you take into account the transportation and other costs, they'll be at the same price or possibly a little lesser.

Apoorva Bahadur: Good to hear that, sir. So where is this site exactly? Sorry. You said that you'll be co -located with them?

Krishna Chigurupati: It's in Kakinada in Andhra Pradesh.

Granules India Limited

January 24, 2023

Apoorva Bahadur: And you said, sir, it's -- it will be a fixed -price contract. What will be the tenure over here?

Krishna Chigurupati: I think about 10 years to start with.

Apoorva Bahadur: And the structure -- as by structure, I meant that will you be incurring the capex for the renewable capacity or the electrolyzers? Or it will be like a fixed take -or-pay type of a contract straight for the chemicals and the electricity?

Krishna Chigurupati: Definitely, we are not involved in any of the capex either for storage of energy or for the electrolyzers. It's all their effort. And the percentage we are going to draw from them, if it's a small fraction of what they propose to manufacture. They're going to plan surprise to the whole world. And what we are going to take is a very small quantity.

Apoorva Bahadur: Just one last question, if I may. And again, this is on the costing of the green chemicals. So now as we understand that there is an expectation that this entire -- the hydrogen pricing -- green hydrogen pricing will sort of see a very sharp correction over time. So is there any risk of getting tied to a high -cost source, say, in future, maybe it might decline quite significantly?

Krishna Chigurupati: Ten years is not a very long time Apoorva, number one. And number two, when we -- as the pricing with our partners, we have taken into account all the developments that are going to happen in the world for solar panels, number one, wind turbines. And most importantly, we also have calculated the efficiencies that are expected in electrolyzer.

Electrolyzer technology is going through a great change. So we are very well aware of that, what the future costs will be, what the current cost will be. And we are very cautious in not overcommitting ourselves where we may get ourselves stuck with a higher cost.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just continuing with this green initiative. So which all other entities have also sort of tied up at this site other than Granules?

Krishna Chigurupati: No. There's no other company tied up at this site as of today. They only have contracts to supply green chemicals to countries across the world and even with our EBIT, even within India. But at this site, there's no other company tied up with them. And we will also be an exclusive pharma company with them. There will be no other pharmaceutical company there.

Tushar Manudhane: And sir, this sales getting pushed because of the logistics issue. So any guideline you would like to give that how much of the sales has got deferred for the fourth quarter?

Krishna Chigurupati: I think Priyanka is online to share. I think it's where she answers that. Priyanka, are you there?

Priyanka Chigurupati: Yes, I'm here but I couldn't really hear Tushar's question. Could you please repeat it?

Tushar Manudhane: I'm referring to these logistical issues, so there are deferred certain sales in the US market. So if you could just quantify how much of that could come up in Q4?

Granules India Limited

January 24, 2023

Priyanka Chigurupati: How much of that will come into Q4, did I hear you right?

Tushar Manudhane: Yes.

Priyanka Chigurupati: So right now, it is a couple of million dollars of sales that we couldn't hit in Q3 -- at the end of Q3 because of the logistical issues. How much of that will come into Q4 is a question that -- we need to figure it out because they're still having some of those issues in January. We look -- we are trying to resolve it in a few more weeks. So how much of that will come into Q4 is something that is subjective depending on the customers replacing the orders.

Tushar Manudhane: And outlook on paracetamol, are you seeing the demand still strong? And how long, maybe

a

couple of quarters? Or what we could gain, now the incremental businesses is going to be a normal paracetamol business?

Krishna Chigurupati: Paracetamol is growing, Tushar. There's a huge growth in paracetamol business at the expense of a few other molecules, and we see a double -digit growth for the next few years. But more than the growth of the market, as you have seen, our model is always to -- I need to use this word, but we cannibalize on other businesses. We are effective, our service levels are great, all the biggest brands in the world trust us. They like to work with us on long -term contracts. And especially for us, there's a lot of demand.

And when I said that we are not taking into account existing capacity which we are also expanding, we are planning to set up new capacities of more than 50% of the world's requirement. And again, for this, many of -- as long as we are green, there are enough companies in the world who want to tie up long -term contracts with us.

Tushar Manudhane: And just last...

Krishna Chigurupati: Tushar, the carbon tax and other benefits which people get and the commitments they make, there is no option but for companies to go for products with the lowest carbon footprint.

Tushar Manudhane: Just lastly on the -- considering this green initiative and the existing capital expenses, if you could just refresh the capex requirements for '23 -'24.

Krishna Chigurupati: '23-'24, we are all along planning will be around INR 300 crores, Tushar, but that was taken into existence -- or account DCDA, our formulation capacity increases and some initiatives which Ram Rao was mentioning about, enzymatic reactions and some flow chemistry initiatives. But what we are doing right now is a big initiative, and we feel that in the next four to five years, we should be spending at least INR 200 crores just on this -- INR 2,000 crores just on this green initiative.

And when we do this green initiative, it's not only paracetamol and metformin that will come out, but there will be a few other by-products and few other chemicals that can also add revenue to us. So in addition to whatever we have planned, this will be INR 2,000 crores extra in about 4 to 5 years.

Moderator: The next question is from the line of Yogesh Tiwari from Arihant Capital Markets Limited.

Granules India Limited

January 24, 2023

Page 9 of 18

Yogesh Tiwari: My first question basically is regarding -- there has been some drop in gross margins on a quarter-on-quarter basis. So is this related to higher sales of paracetamol?

Krishna Chigurupati: Yes, Yogesh, you're perfectly right. As you're all aware, API themselves have a lesser margin than the finished dosages. So, Paracetamol API sales have increased and finished dosage sales in the US have decreased. So that's the reason for the drop in margin for last quarter.

Yogesh Tiwari: And the second is like on the interest and depreciation also there has been an increase both on quarter-on-quarter and Y-o-Y. So what would be the driver for that?

Krishna Chigurupati: I think it's best Mukesh answers that, Yogesh. Mukesh, go ahead.

Mukesh Surana: So the finance costs have gone up. Primarily, SOFR the index rates have gone up. The working capital, we continuously want to bring more free cash flow. So you would see that the debts are under control. It's just that SOFR rates are going up.

And in the Q4 also, we are expecting SOFR it will have a little rise. So interest cost in Q4 also will be slightly higher side. On the depreciation, this -- because of some capitalization we have done timely, there are depreciation which has come in Q3. And this will be quite normal.

Krishna Chigurupati: There will be increase in costs, Yogesh, but like you know, we are expecting some new launches and the MUPS block is going to go full commercial with some of the new approvals coming through in the next 1 or 2 months.

ths. So increased revenues and increased product -- varied product mix can make up for some of these extra costs.

Moderator: We'll move on to the next question that is from the line of Sajal Kapoor, an Independent Investor.

Sajal Kapoor: To begin with, I have a small appreciation for the management team at Granules. I've been tracking this business for over two decades now when our sales used to be in the INR 20 crores, INR 25 crores range. Management has clearly executed very well to grow sales by a factor of a double century in less than 24 years, so congratulations for that.

I've got two questions and both are long-term in nature. Coming to my first question, the DNA of Granules has been in large volume, compliance-led manufacturing of molecules like paracetamol. And so economies of scale has been our competitive advantage, right?

So while these new recent announcements around bio-manufacturing and green science is clearly a bold new thinking and a new direction. It also means a new set of execution risk and challenges that we have never faced before, right? So what could go wrong in this new approach? What are those potential pitfalls?

Krishna Chigurupati: First of all, thank you very much, Mr. Kapoor. You have been with us and tracking us for so many years. My sincere thanks for that. But I think you answered part of your question, our DNA. Our DNA is different. Like I always said, we travel the least trodden path. We don't think like others.

Granules India Limited

January 24, 2023

Page 10 of 18

And one of the things we did was large volume products with economies of scale and even large volume products, we never did it in the typical way other people manufacture. There was a differentiated way and differentiate then we went into tablets and into high-volume tablets.

So everything was different. So what differentiates us is our thinking. And this applies to other products, large volume or small volumes. And on this particular front of the new molecules and small molecules, enzymatic reactions, I think it's best that Dr. Ram Rao, who has been working on this for such a long time, answers this.

KVS Ram Rao: Thank you, Sajal. Just the first question, on the way we are really looking at the new -- the shift rather, I call it. So first is the innovation mind-set that need to set in to the people. So we already have the leadership in place who have enough experience of looking at these kinds of molecules

with such technological options available.

And I think that will help us to really make sure that the pitfalls you have rightly pointed out in terms of how do you look at the product development, how do you integrate the technologies together, and then actually weave out the final product, which will be a combination of separate things. So we looked at it.

So the first thing on the people front, I think we have done enough homework. And we have a new R&D center, which has got opened up about six, seven months ago. The team is in place to take care of these challenges. The second one we are looking at is how do we really get to the world class approach onto this.

So we have certain tie-ups and we have certain partnerships with those people who have built the expertise in these particular areas. And that and with the collaboration between the internal Granules team and the external collaboration, we are pretty confident that the execution engine will actually run. And this is our DNA. We really don't think the way others think.

I think that's what Chairman alluded to, giving examples of green chemistry, the green initiative, coupled with the kind of initiatives that we are bringing on. The portfolio, the shift in the portfolio and the application of the science, technology and the innovation into the portfolio through human capital and also the infrastructure will enable us to lead in, this is my firm belief.

Sajal Kapoor: T

That's very reassuring. And my second question is on the 4Q FY '22 call, you were elaborating on the new oncology block and the services-based partnership model going ahead, where you quote, and I'm now quoting yourself, you said that, once our technology strategies kick in, CRAMs will become an important business element in our journey. Unquote.

So please, can you elaborate the medium-term plans for CRAMs in terms of how many scientists can we integrate? And what kind of additional or incremental infrastructure, we would require to put a credible CRAMs strategy in place?

KVS Ram Rao: So I think it is -- just to let you know that we made certain initiatives towards the technology and green. Unless these two mature, I think we will not be able to offer a differentiated approach into the area of CRAMs, in the pharmaceutical industry.

Granules India Limited

January 24, 2023

Page 11 of 18

So our first step towards the entire journey of considering ourselves as a science, technology and innovation-led organization, we made three, four different moves. The first move, Chairman explained, how do you go green, which is the most important requirement.

The second, by going green on the energy and also based on certain fundamental chemicals, how do you really build your platform of chemical intermediates for pharma, which is both for the current product and also for looking at the future pipeline of the product.

I think we need to establish this platform and then we should be able to really think about a much larger picture of how do we contribute towards the global platform of pharmaceutical industry on a CRAMs mode and otherwise. I think so the stage is set, but it is difficult to put a quick timeline to this. But our endeavour -- first endeavour is to make sure that whatever we are thinking, we will get to a degree of maturity.

Moderator: The next question is from the line of Varun Basrur from Julius Baer Wealth Advisors Private Limited.

Varun Basrur: First is, post the INR 1,000 crores capex, which was announced in FY '22 for over three years, I think the exit cap -- the exit gross block would be somewhere around INR 3,100 crores. I understand some of this capex is towards backward integration. Just want to understand what sort of revenue potential is INR 3,100 crores of gross block can achieve at current prices? And over what period of time the management wants to scale up the revenue?

Krishna Chigurupati: While Mukesh answers this question, Varun, just let me explain. This is also backward and forward integration. So revenue will not be the main key here because it's all in the company's advice. So revenue will be eliminated at every stage. However, the profitability will improve.

And all our future investments, whatever we are doing, we are looking at least 2.5x to 3x of asset turns, with this particular model. And I would like Mukesh to add to this.

Mukesh Surana: So some of the gross block which we have are some capex initiatives, which we have taken up and also some initiatives which we are planning to take in the next couple of years. It's a long-term project.

So some of the differentiation and maturity, which Dr. KVS. also was talking about -- will get into pay back mode in starting from next few years. So currently, the gross block looks high, but the revenue generation is going to start...

Krishna Chigurupati: I'd just like to add here, Varun, MUPS block, like I said, is going to go fully commercial shortly with the new approval coming through. And that is going to make a large difference to asset turns on capex on gross block.

Varun Basrur: Sir, second question is just building on what our previous participant had asked. If you can split

the finance cost into what the debt service cost is. And there's a factoring element also there. What is that factoring of receivables? And what is the cost of funds today, as and at

the end of
this quarter?

Granules India Limited
January 24, 2023

Page 12 of 18

Mukesh Surana: So the finance costs, we see it holistically. The factoring cost also indirectly, it's a financing of cost only. There is a significant cost for factoring also. But the difference between the factoring cost versus borrowing cost are not significantly different.

And the factoring has definitely helped us to bring the free cash flow timely. And so the overall finance cost is primarily because of SOFR movement, which has been ramping up quarter-on-quarter. So every time when fed rate increases, RBI rate increases and SOFR has the impact. So that is what is impacting.

Varun Basrur: What is the cost of fund, if you can just -- what was the average cost of funds this quarter?

Mukesh Surana: Average cost of funds this quarter is, closer to 5%.

Moderator: The next question is from the line of Pujan Shah from Congruence Advisers.

Pujan Shah: First of all, I just wanted to ask a question on the raw material easing price -- the price erosion in the US. So could you just get a sense of how much price erosion is done in the quarter on a blended side? And on a year-on-year basis, how -- like from the top, how much it has been eroded?

Krishna Chigurupati: I think once Priyanka answers, what is the erosion that could be happening in the U.S. Maybe if required, I will answer our mitigation measures, but let Priyanka go ahead and answer that.

Priyanka Chigurupati: So if I understood your question correctly, you're asking about the erosion expected for the next year. Am I right?

Pujan Shah: Yes, So I'm -- first of all, I'm expecting the erosion for this specific quarter, and the price erosion from the top, so the high which made -- it has made. And that from that how much percentage is...

Priyanka Chigurupati: Sorry. Could you please put the phone a little bit away please? Very muffled.

Pujan Shah: So first of all, I just wanted to ask that for this specific quarter, how much your percentage of price been eroded. And the second question would be -- like the continuous question would be the -- how much the prices has the eroded from the high it has made in the year-on-year basis. So like, let's say, it has made a high. So currently, the price of 60 -- the erosion price is 40. So what is the actual from the high, it has been eroded in percentage terms?

Priyanka Chigurupati: It's very different -- I mean, different sets of products, different categories of products have, a different weight of erosion...

Pujan Shah: Yes. I wanted to talk on a blended basis. So you can get sensible on a range basis, it's okay.

Priyanka Chigurupati: On a blended basis, we can't define it by quarter. But YTD, we expect -- we had a total erosion of roughly around 12% to 15%.

Pujan Shah: 12% to 15%.

Granules India Limited
January 24, 2023

Page 13 of 18

Priyanka Chigurupati: Yes, 12% to 15%.

Pujan Shah: And are we seeing this price like erosion is bottoming out due to destocking? Has it been like lesser than the previous quarter and now is becoming -- US becoming stable and predictable in all means? Or it seems still concerning -- is still US being a concerning stage for us?

Priyanka Chigurupati: The US market will -- has been concerning and will continue to be a little bit concerning for the next couple of quarters. But that said, prices have bottomed out to a large level to a point that customers, who have quoted very -- without thinking big picture, has gotten out of products. So now most of our customers, especially on the controlled and large volume products, which are essentially our bread and butter, are really looking backwards to understand every integration strategy and/or any other strategy that you might have and are paying more attention to the supply chain versus erosion.

So while there will be erosion year-on-year, the rate at

which the market erodes will certainly

get better. And I think this upcoming year will not be bad for us in the US market.

Pujan Shah: And one last question from my side is from Greenko, which we have made a tie-up. So how many percentage of our raw material is being supplied by the Greenko?

Krishna Chigurupati: Basic chemicals, like I said, ammonia and hydrogen, nitric acid, and one or two other chemicals will be supplied by them. And we will use these chemicals to further transform them into other

chemicals, which will be used by our products and possibly we'll have some surplus material to sell outside, too. So as of now, I'd say about four, five -- four chemicals, which they'll supplying in addition to carbon-free energy.

Pujan Shah: And let's say, in four, five years, how many chemicals could they supply to us or something like any blueprint plan we have made, something like that?

Krishna Chigurupati: We have not made any blueprint plan. We are working together in the true spirit of partnership. It's a constant innovation that's going on. So we will as we go back, we will get to have new ideas and new ways of working.

Moderator: The next question is from the line of Darshil Jhaveri from Crown Capital.

Darshil Jhaveri: I just want to congratulate on great set of results and your new green initiative. That sounds very promising. So I would just like to ask about whether our performance currently in the December quarter, would that be taken as a base for our future performance, maybe next year or something? For FY '24, could we have some target of our revenue and margins? That could help me out a lot.

Krishna Chigurupati: Mr. Jhaveri, basically let me not talk on quarter-to-quarter. But year-on-year, definitely, there's going to be an improvement. And like I said in the last few calls, there will be creeping up of EBITDA margins and revenues. And we see that path very clearly.

Granules India Limited

January 24, 2023

Page 14 of 18

But year-on-year, definitely, there's going to be a good growth and especially with all the new initiatives we are taking, while we can't put a number on it today, I think it will be an exciting journey going forward.

Darshil Jhaveri: So could -- so what could be our -- on the backward integration, and so at peak utilization, could you help out with some numbers? That would be very helpful. Like maybe INR 5,000 crores at a 20%, 22% margin. Something or the other, not a specific number, but some range would help out a lot.

Krishna Chigurupati: It's too early to talk about this Mr. Jhaveri. But one thing, like I mentioned a little while ago, some of our new investments, we are looking at, at least 2.5x to 3x as returns. So we still need to validate this, but they look very promising. And the biggest path here, Mr. Jhaveri is, I don't know if you heard in my speech, if not today, in a few years, the carbon border tax will be implemented.

And people who are buying products from other countries for all the Scope 3 emissions, they're importing -- they're bringing into their country, they have to pay tax or they have to incentivize people like us to make sure that there is no carbon footprint.

So definitely, the margins could be a lot different than what we are expecting today. The world is going through a great change. And I think there's a great sense of urgency and the way we work year-on-year is going to change.

Moderator: The next question is from the line of Tushar Bohra from MK Ventures.

Tushar Bohra: A couple of questions. First, on the operations side -- or rather, first, I'll ask on the capex side. Sir, I just want to understand how much of the current gross blocks is not optimally utilized or will get optimally utilized say, over the next few quarters.

Especially, I want to look at some color on MUPS Swiss facility as well as on the Onco block. Since you are planning such a large new capex

, it would be good to understand the status of the existing large capex already executed?

Krishna Chigurupati: Let me answer this about the current gross block before Mukesh steps in. The MUPS block, which was underutilized, maybe we spent about INR 280 crores, INR 290 crores on that. And definitely, they're going to see at least 2.5x asset turn on that very shortly.

And this possibly very decent margins, too. So that's with the MUPS block. The Onco block, there are so many things happening there and that's one of the things that will take a little more time to start yielding. But some of our expansions, which we are doing using enzymatic reactions and all, are going to be made in the buyback side, though not on the Onco block, on the other blocks which we have commercialized. So that also should turn around soon.

And the only asset that may not be paying optimum today, could only be the Vizag site. All other sites are being optimally utilized. And going forward, we are very, very confident about our

Granules India Limited

January 24, 2023

Page 15 of 18

capex. And also to let you know, we are not going to take huge debt to put up the capex. We are very confident of our cash generation and cash flows. And I don't see it as a great risk, Tushar.

Tushar Bohra: Sir, it would be fair to assume that the new capex, obviously, would be put up in phases and we

would continue to monitor the progress of, say, a given phase before we commit to greater capex.

And what would be the kind of payback period --intended payback period? I know it's too early.

But you would have a target in mind for all new capex as to the payback period, right?

Mukesh Surana: Tushar, currently, as we -- as Chairman has clearly explained, we don't see any issues in terms of the sufficient cash generation from operations, which will take care of the loan for the new capex. And capex, we generally have a payback period anywhere from three to six to seven years.

So depending on some of the small capex's and small debottlenecking, can give a payback period quicker. Some of the large initiatives can be six years kind of payback also.

Tushar Bohra: My second question is on the operations side. Just an observation from the numbers. This quarter, our other molecule contribution is about 13%, 13.5%, and it was about close to 19% last time around. Quick back-of-the-envelope calculation shows me about INR 40 crores, INR 50 crores, drop in revenue on the other molecules.

Second, US business contribution to overall has increased sharply from 43% to 49%. And this is despite the lost sales in US. And third observation is that my stand-alone gross margin is over 300 bps up quarter-on-quarter, whereas the console margin is down by close to 100 bps. So just help us understand, what's leading to these kind of readings on the numbers front?

Mukesh Surana: Tushar, some of the breakup we have already shared it in the investor presentation. So --and also it is difficult to tell you what happened in stand-alone to console because in the stand-alone, many a times in Q3 when we have the performance, there are inventory which is dispatched to USA for Q4 dispatches there.

And particularly coming to quarter 3, you are right, there is a mix change and there is a lower sale in FD and PFI and that FD lower sales is primarily also because of that 3PL transition issue, which has been taking some time. It is, of course, for betterment.

The capability of the new 3PL is good in terms of automation and digitization. It's just that stabilization is taking time, and we are expecting in Q4, it would improve. So Q4, we are seeing the mix should be changing. And -- but overall, still the value addition percentage also, we would be improving.

Krishna Chigurupati: Tushar, let me just add, there was an increase in paracetamol sale to the US, which the margins are not similar to FDs. But now going forward, again,

some of these paracetamol sales are going

to get converted to FDs to the US market itself. That itself is going to correct. And through the 3PL dispatches that are going to improve, there will be better margins on the regular FDs also.

Granules India Limited

January 24, 2023

Page 16 of 18

Tushar Bohra: Sir, just a qualitative follow-up on this, please. Just to understand, so we have, in the past, guided that our other molecules would start to contribute meaningfully. And I understand it's a gradual process for a few years. But by when do we really start to see meaningful traction in the non-para, metformin and ibuprofen?

KVS Ram Rao: So Tushar, as you have likely seen there, the first the drop in the other molecules is not on account of not new products but the products where we are making the low throughputs or low-value additions. That is the products where we have taken a conscious call not to promote the products in the markets where there is no profitability or less profitability.

The second part where we have shifted our portfolio. I've already told in my opening statement that in the short to medium term, we should be able to start seeing both the API and the finished product commercialization into markets in US and other geographies. So that shift is going to really take place.

Probably from two years from now, you start seeing a shift where you will start getting into products, which are of different nature as compared to the standard five products, which we normally have as a part of our commercial basket which occupy a higher percentage.

However, for the shift to go into the direction in a much stronger way, I think our focus will be that four to five years down the line, we will have a dominant segment of new product portfolio coming to launches in various regulated market geographies.

Krishna Chigurupati: And to add to that, Tushar, if you have seen, we have been getting some approvals lately. Today also we got an approval for one controlled substance. And one that's already approved will be mentioned shortly. And the next two months, we are expecting some more approvals.

All these things also will definitely add to our increase in new products market share. So let's see how things go. But what Dr. Ram Rao was mentioning in some of those real, real attractive products with the differentiated chemistries and all, that should take about two years.

Moderator: The next question is from the line of Anirudh Gangahar from Avendus Wealth Management.

Anirudh Gangahar: I've got two questions. First is just on the US sales that, we have not materialized during the last quarter. If they had, what would be the delta in the revenue and probably in the EBITDA level?

Whether it materializes in this quarter or next quarter, this is something which should come

through, hopefully.

And the second thing -- second query is on the press release that has been given. There's a comment that we are also seeing a price and margin erosion in Q3 and expect a similar trend in Q4. Are we referring to the US market only? Or are we referring to the overall consolidated picture that we are going to see some more margin erosion in the current quarter as well? Those are my two questions, sir.

Krishna Chigurupati: I will do the second question first. And -- we were only referring to the US market, and Priyanka has said, we are already almost bottoming out. Erosion will subside. And also my personal view

Granules India Limited

January 24, 2023

Page 17 of 18

is that people were competing to get market share all along because there were no new approvals coming for people because FDA was not inspecting many customers, many of our companies here.

Now the FDA has started inspections, more approvals are coming through. And I don't think people will be fighting for the same market and prices may -- if not go up, definitely may stop eroding, but

it will see as we go back. So -- and the other thing what the number should have been there. Priyanka?

Priyanka Chigurupati: Sorry, I would just say that in addition to that, our view on erosion is pretty optimistic because like CMD said, outside of the approvals coming in, if you looked at the FDA -- the trajectory over the last couple of weeks and months -- actually weeks for many of the big pharma companies who are essentially our competitors, you will see a weakness. We just had our FDA audit in. And we don't have that weakness right now.

So there are many opportunities that are coming up which we are taking while placing a lot of onus on the longevity of it. So considering that, I do think that customers are looking very closely at the supply chain versus just pricing in the market. So I do see next year will be much better in terms of erosion than we had in the past year.

Krishna Chigurupati: And I think Mukesh can answer the first question?

Mukesh Surana: So the USA sales, what probably we might have lost, Priyanka also had clarified earlier to one of the questions, a couple of million dollars is what we would have lost. And adding to that, there is -- this sale is on FDA. So that also has impacted the VA percentage and EBITDA percentage.

Anirudh Gangahar: So that loss of sales would largely be directly flowing to the EBITDA number?

Mukesh Surana: Yes. The substantial margin on that is because FDA has the highest value addition percentage, so directly to EBITDA.

Krishna Chigurupati: And also, there was also a failure to couple of penalties, which we had to pay, that also has contributed. Once the supplies are streamlined, the margins certainly are going to improve. They cannot put a number right now, but definitely, there seems to be a positivity.

Moderator: The next question is from the line of Harith Ahamed from Avendus Spark

Harith Ahamed: There's a land acquisition in Vizag that you talked about, a spend of around INR 43 crores. This is for which business of ours?

KVS Ram Rao: So we have acquired the land to look at the continuous flow of intermediates and some of the APIs that we want to put it as a part of our strategic journey. So we were looking at the site, which will have the advantages of looking at it. So the Vizag site is going to focus on these technology-based platforms on flow and the engineering excellence.

Granules India Limited

January 24, 2023

Page 18 of 18

Harith Ahamed: And on the operating cash flow, there's roughly INR 50 crore's reduction versus last quarter, and this is despite the cash conversion cycle improving. So any reasons that you can call out here?

Mukesh Surana: The current year operating cash flow has been healthy, INR 161 crore's. And the primary reason why the free cash flow is negative is because of the capex. But operating cash flow has been slightly lower than sequential quarter, is on account of some delayed sales, and that has resulted in a little higher side on the deltas.

Harith Ahamed: Lastly comment on the paracetamol demand, you've commented that it's been strong. So trying to understand, when I look at the numbers also the last couple of quarters, we've seen a step-up in our paracetamol sales. So any particular factors that's driving this demand? Any disruptions with competitors that's turning out to be a positive for us? Or is it just more customer or contract range from our side?

Krishna Chigurupati: Harith, one of the smaller reasons is growth in usage of paracetamol. But the main reason is supply security. We supply to a lot of the biggest brands in the world. And their current suppliers,

they don't feel very comfortable with and they want to make a big change to us. And that's one of the reasons we see that there is a good potential as we go by.

Harith Ahamed: Last one with your permission, just on the R&D spend. We've been guiding for a step up there to around

INR 40 crores, INR 45 crores a quarter, we're tracking roughly half of that. So by when should we factor this set up?

Krishna Chigurupati: Actually, some of the filings got delayed, Harith, and that's the reason the cost has come down. And also there has been some efficiencies built into the R&D organization. But the main reason is the delay in filings. So the filing fees and the bio developments and the bio studies, some of them were delayed.

So next quarter, we should come back to normalcy. And after that, a little more shift in our R&D strategy towards high technology products, I think there could be a little extra increase on R&D spend.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was our last question. I now hand the conference over to Dr. Krishna Prasad for his closing comments.

Krishna Chigurupati: Once again, ladies and gentlemen, thank you very much for spending the evening with us today. And while I personally am very excited with the new journey and also I'm very proud about what we are doing. In fact, I feel that we could be the first pharmaceutical company in the world to make a pharmaceutical API. I was so happy to share all this with you.

Once again, thank you very much for spending your time with us today. And in case of any further questions on green initiatives, please feel free to write to us. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Granules India Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2023

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CIN: L24110TG1991PLCO12471

Date: May 22, 2023

To,

National Stock Exchange of India Limited

BSE Limited

Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,

Sub: Transcript of the Earnings Conference call for Q4 and financial year ended on March 31, 2023.

Ref: Our letter dated 24.04.2023 for intimation of the schedule of the Earnings

Conference call for the Q4 and financial year ended on March 31, 2023.

Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, the transcript of the earnings conference call of the Company for the Q4

and financial year ended on March 31, 2023 has been enclosed herewith and uploaded on the website of the Company at the below-mentioned link:

<https://granulesindia.com/investors/investor-resources/earnings-call-transcripts/>

This is for your kind information and records.

For GRANULES INDIA LIMITED

CHAITANYA TUMMALA

(COMPANY SECRETARY &

COMPLIANCE OFFICER)

Page 1 of 18

"Granules India Limited

Q4 FY '23 Earnings Conference Call"

May 16, 2023

MANAGEMENT : DR. KRISHNA PRASAD CHIGURUPATI – CHAIRMAN AND

MANAGING DIRECTOR – GRANULES INDIA LIMITED

DR. KVS RAM RAO – JOINT MANAGING DIRECTOR

AND CHIEF EXECUTIVE OFFICER – GRANULES INDIA LIMITED

MS. PRIYANKA CHIGURUPATI – EXECUTIVE

DIRECTOR , GPI AND G USA

MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER –

GRANULES INDIA LIMITED

MR. PUNEET VARSHNEY – GENERAL MANAGER ,

BUSINESS FINANCE AND INVESTOR RELATIONS –

GRANULES INDIA LIMITED

MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL

Granules India Limited

May 16, 2023

Page 2 of 18

Moderator: Ladies and gentlemen, good day and welcome to the Granules India Limited Q4 and FY '23

Earnings Conference Call. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Irfan Raeen from Orient Capital. Thank you, and over to you, sir.

Irfan Raeen : Thank you. Good evening, everyone. Myself Irfan Raeen from Orient Capital. We are an investor relation advisor to the company. On behalf of Granules India Limited, I extend a very warm welcome to all participants on Q4 and FY '23 financial discussion call. Today on our call we have Dr. Krishna Prasad sir, Chairman and Managing Director , Dr. KVS Ram Rao sir, Joint Managing Director and Chief Executive Officer , Ms. Priyanka ma'am, Executive Director GPI & GUSA, Mr. Mukesh Surana sir, Chief Financial Officer , Mr. Puneet, Head Investor Relation & GM Business Finance.

I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on exchanges and on company's website. I would like to give a short disclaimer before we start the call. This call may contain some of the forward-looking statements which are completely based upon our beliefs, opinions, and expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risk and uncertainties.

With this, I hand over the call to CMD sir. Over to you, sir. Thank you.

Krishna Chigurupati: Thank you, Irfan. Ladies and gentlemen, a very good evening to all of you. And thank you very much for attending our Q4 earnings call today. A detailed presentation of our Q4 and FY '23 performance has been uploaded to our website, and I'm sure all of you would've gone through it by now.

Our full year performance had significantly improved year-on-year. Revenue for FY '23 grew by 20% and PAT grew by 25% compared to FY '22. It had declined slightly compared to the sequential quarter. This was despite the continued price erosion in the US markets and the problems in our distribution due to our 3PL provider. The problems with the 3PL had caused missed shipments, resulting in lost revenue and failure to supply penalties. We have now switched over to a new 3PL provider and the transition would be complete by the end of this month, that is May '23.

I'm very happy to state that FY '23 was a great year in terms of operational cash flow. Due to various measures that we had initiated, we generated an operational cash flow of INR739 crores, which is a very healthy sign. Despite the buyback, which we had this year where the company - where the cost to the company were INR311 crores and an unbudgeted capex of INR92 crores for our new initiatives in green technology, our net debt had increased only by INR71 crores as compared to FY '22.

Granules India Limited

May 16, 2023

Page 3 of 18

During this year, we commercialized our new packaging facility in Virginia, US and also received FDA approval. This facility will help us immensely on the OTC side, which is having a healthy growth and also the Rx side for our US-manufactured products. This will also help us improve our working capital cycle.

We have successfully introduced paracetamol and metformin formulations in selected European countries, with plans to expand our presence to additional countries and geographies. Currently our paracetamol formulation are sold in Hungary, Ireland, Germany and the UK. Paracetamol and metformin formulations. Our aim is to expand to the entire continent with these formulations in the coming years. With a s

trong market share for these products, we are targeting a substantial portion of the global market. As we continue to launch new products both within our core portfolio and in new areas, we anticipate the EU region to contribute significantly to our overall performance.

I would now like to share details about the most important project that Granules had taken up, which aims to tackle climate change while simultaneously enhancing our supply chain. As you know, we have partnered with Greenko to establish the integrated green pharmaceutical zone in Kakinada, Andhra Pradesh. To support this endeavour, we have established a fully owned subsidiary of Granules India Limited called Granules CZRO, which is carbon zero. The primary focus of this company is to manufacture products with near-zero carbon footprint. We have made significant progress in developing various technologies for this purpose, and we are also partnering with renowned European academic institutions and European companies.

The initial objective of Granules CZRO will be to strengthen our key molecules, paracetamol and metformin. We will be producing not only the KSMs for these products here, but most of the chemicals to make the KSMs at this site only, which will also make the API close to zero-carbon footprint. After achieving this, we'll be working on various other initiatives towards manufacturing KSMs for most of our APIs and some products based on fermentation.

At this point, ladies and gentlemen, I would like to emphasize, and we all feel proud of this, is that Granules India will be the only company in the world to make any API starting from the base raw materials, making of base chemicals ourselves starting from ammonia and hydrogen. This will be like a dream project, and we are all working effortlessly towards this.

We expect the capex towards this initiative, to be INR2,000 crores over the next five years. In

FY '23, we had invested INR100 crores in CZ RO towards land and in FY '24, we plan to invest INR250 crores. Of the INR250 crores, INR100 crores will be used for land and civil works and INR150 crores will be used to set up a pilot plant for validations of two KSMs and a commercial plant for one of the KSMs. Granules will ramp up the facility in a phased and stage gate manner, starting with pilot scale validations, and after successful completion of the pilot, invest in full at-scale commercial manufacturing. We expect that we should be able to commercially manufacture all the raw materials required for paracetamol and metformin by the end of FY '25 or early FY '26.

For funding of C ZRO over the next five years, Granules is in a very comfortable position with its anticipated free cash flow. However, we have been receiving keen interest from various Granules India Limited

May 16, 2023

Page 4 of 18

global institutions to participate in C ZRO towards equity and debt at concessional pricing. We will evaluate and consider this at the appropriate time in the future. While we are excited and progressing at a fast pace in CZRO, business at GIL is progressing decently. This year we'll be filing DMFs and ANDAs for exciting and potential products. We also expect approvals of already filed products and expect the new investment in MUPS, in the new MUPS block to reach an asset turn of two, which should improve going forward. Construction of the new formulation facility at Genome Valley is progressing at a good pace and we expect Phase 1 to be completed by October '23 and Phase 2 by May '24.

The planned capital outlay in FY '24 for two phases will be in the range of INR250 crores. This plant when completed will add a capacity of 8 billion units finished dosages to the current 24 billion units.

With this, ladies and gentlemen, I pass on the mic to Dr. KVS Ram Rao, our Joint Managing Director.

Kandiraju Rao : Thank you, Chairman, and good evening, ladies and gentlemen . F

or the past one year we have

been focused on building our R&D and product development capabilities based on innovation and technology platforms. These initiatives aim to position Granules as an R&D -driven organization thus broadening our capabilities, enhancing portfolio quality and increasing regulatory filings . In line with this strategy, R&D expenditure has been ramped up significantly, starting with quarter 4 of FY '23. During FY '23 we filed seven DMFs, six ANDAs, 5 CEPs, and other dossiers across Europe and rest of the world. We have made significant progress in the development of KPIs and formulations, and we expect to file a very high number of DMFs and ANDAs in FY '24. We'll also be expanding our filings of both API and formulation dossiers to Europe and rest of the world.

We have made very good progress on our enzyme and bio transformation driven product development. We are expecting to complete the validation for a couple of enzyme -driven APIs over the next few quarters. In line with this strategy, our R&D expenditure is going to increase every quarter of the current financial year.

We are all aware of the pricing pressures in the generic business, primarily in the US and in some other geographies as well. We have embarked upon a very important initiative across the organization on improving the profitability.

The areas being focused are the gross margin improvements in API and formulation manufacturing, operations excellence leading to higher productivity, excellence in sourcing procurement and logistics. These efforts have shown initial results and hold the promise of potentially expanding our margin profile from Q2 FY '24 onwards in a sustainable manner. We are institutionalizing this approach as a way of continuously improving our profitability through multiple value engineering projects. The improved margin from our core business allows us to invest in our future growth drivers and fuel innovation -driven R&D projects.

We have seen a lot of inefficiencies in 3PL operations in the US, which has resulted in supply disruptions and FTS penalties. We have proactively addressed these issues by changing the 3PL Granules India Limited

May 16, 2023

Page 5 of 18

in the short term. We have commissioned our new greenfield packaging facility at Virginia. The addition of this FDA -approved facility will enable us to streamline our supply chain in the US, reduce costs and improve our working capital cycle. While this facility is partially operational in quarter 1, the full commercialization is expected in September of this year.

We have entered a new year with a good traction of our paracetamol business in the US and other geographies. We are ramping up our paracetamol capacity to meet the increased demand.

Our US business will also be bolstered by exciting new product launches planned for this year. We continue to expand our Europe presence through business development deals and dossier sales on our finished formulations. Our growth for the rest of the world will be driven by improved market share and improved share of wallet.

The Chairman spoke about sustainability and our subsidiary Granules C ZRO. On the Granules India Limited side, we have made good progress in institutionalizing ESG as a way of doing business for us. We are currently developing a comprehensive long-term sustainability and ESG road map for Granules. We have already completed stakeholder engagement, benchmarking and materiality assessment. We will soon be announcing our long-term and medium-term decarbonization commitments to our stakeholders.

I pass on the mic to Mukesh for the finance.

Mukesh Surana : Thank you, Chairman, and thank you, JMD. Let me take you all through the top financial parameters now.

Revenue : Fourth quarter revenue were INR11,955 million as compared to INR10,300 million in quarter 4 financial year '22 at a growth

of 16%. This growth is mainly attributed to our increased commercialization efforts in all major geographies, including US and Europe.

Revenues grew by 4% as compared to Q3 FY '23, primarily on account of increased FD sales in key geographies, including US.

The full year FY '23 revenue were INR45,119 million as compared to INR37,649 million in FY '22 at a growth of 20%. This growth is mainly attributed to increased API and FD sales in key geographies, including US and Europe.

The sales breakup as per business divisions, geographic regions and major products is presented in our investor presentation, which is available on the website.

Value added : Our value added as a percentage of sales for Q4 FY '23 was 47.8% as compared to 48.9% in Q4 FY '22. Value -added as compared to Q4 FY '22 is down by 1.1%, primarily on account of higher sales mix of API and price erosion in key geographies.

Value added as a percentage of sales for Q4 FY '23 is down by 0.5 % points from Q3 FY '23, primarily on account of price erosion in major geographies including USA.

Granules India Limited

May 16, 2023

Page 6 of 18

Our value -added as a percentage of sales for FY '23 was 48.9% as compared to 50% in FY '22. Value -added as compared to FY '22 is down by 1.1 percentage points, primarily on account of higher sales mix of API and price erosion in major geographies, including US.

EBITDA and EBITDA margin : EBITDA for the quarter was INR2,281 million. That is 19.1% of sales as compared to INR1,927 million. That is 18.7% of sales in Q4 FY '22, a growth of 18% over the previous year mainly on account of increased business across all major geographies. EBITDA for the year was INR9,138 million as compared to INR7,222 million. From 20.3% of Sales - it has moved from 19.2% of sales to 20.3% of sales, a EBITDA growth of 27% over the previous year, mainly on account of increased business across all major geographies.

R&D : Our R&D spend was, for the quarter was INR369 million as compared to INR229 million in Q3 FY '24 and INR339 million in Q4 FY '22. R&D spend for the year was INR1,164 million. And we are going to continue to spend on R&D in the coming quarters as well, as explained by our JMD.

Net debt : Our net debt was INR7,671 million as compared to INR6,966 million at the beginning of the year. The net debt has increased only by INR705 million despite two major spends, which is explained by our chairman also. Buyback of shares, including taxes and transaction cost of INR3,106 million and deployment of funds of about INR925 million in our new green initiatives expansion plans.

Cash -to-cash cycle : Our cash -to-cash cycle was 132 days in the current quarter as compared to 130 days at the beginning of the year.

Operational cash flow : Operational cash flow for the quarter was INR1,794 million and for the year was INR7,387 million as compared to INR3,321 million in FY '22. Higher operating profits and a focus on working capital management contributed to the higher operating cash flow as compared to the previous year.

Capex spend during the quarter was INR407 million and during the year was INR4,105 million.

ROC E: We have refined our ROC E calculation by incorporating short-term borrowings in addition to long-term borrowings in the denominator to make it in line with general reporting standards. As per the revised calculation, ROC E for FY '23 increased to 21.1% as compared to 19.3% in FY '22.

With this, I open the floor for questions.

Moderator: Thank you. The first question is from the line of Harith Ahamed from Avendus Spark. Please go ahead.

Harith Ahamed : My first question is on our Gagillapur facility where we had a U.S. FDA inspection in Jan this year. And I think you had disclosed a couple of observations in -- post that inspection. So, I would like to know if there is a final classification from the U.S. FDA for that inspection a

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whether we've received any approvals from the facility for the inspection.

Granules India Limited

May 16, 2023

Page 7 of 18

Kandiraju Rao : So, the U.S. FDA inspection which has happened is per -- is a pre-approval inspection for 2 products. They have given 6 observations, and we have already replied to those observations, and we are waiting for the reply from U.S. FDA for the approval of those products.

Harith Ahamed : Okay. Understood. Sir, in your opening remarks you touched on attaining a asset turnover of 2x for the MUPS block next year. So, can you indicate the kind of revenues or asset turns currently for the facility for FY '23? And also, if you could remind us again about the total investment that's gone into this particular MUPS block.

Krishna Chigurupati: I think Mukesh will answer that.

Mukesh Surana: Thanks, Harit, for that question. So, in the current year we are closing close to one a sset turn and that we are expecting it to closer to two in the next coming years.

Harith Ahamed : And then the gross block would be around what amount?

Mukesh Surana : INR245 crores is the gross block for MUPS block.

Harith Ahamed : Okay. And then last one with your permission. You mentioned capex of INR250 crores for the Granules C ZRO initiative for FY '24. Can you also give us a guidance on the total capex , including this for the year FY '24 and if possible, for FY '25, the overall capex .

Mukesh Surana : Yes, sure. So, FY '24, as we were explaining, INR250 crores, we are expecting for C ZRO . Another INR250 crores we are expecting for Granules Life Science, which is additional FD business facility. And regular capex for rest of the blocks will be about INR200 crores. So closer to INR700 crores, including INR500 crores of big initiatives.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane : So, for this quarter, in particular, how much was cost-borne because of failure to supply?

Mukesh Surana : The cost in the current quarter, we have incurred INR8 crores.

Tushar Manudhane : INR8 crores. And this is in raw material consumed or in other expenses.

Mukesh Surana : To other expenses.

Tushar Manudhane : Understood. And approximately how much revenue we would have lost because of this?

Mukesh Surana : So, it is difficult to quantify and also of course there is a good amount of sales lost. Last quarter also we have indicated some number. It is in similar range, about \$4 million to \$5 million of sales loss has happened. And we are expecting this some smoothening to happen June onwards.

So, April, May also there are some challenges we have. We have already taken up changeover of our 3PL. I would request Priyanka to explain this further.

Priyanka Chigurupati : Thank you for the question. Like CMD said in his opening remarks, we have changed the 3PL . We've been working over the last 60 days to do that. And we expect to go live on May 23.

Granules India Limited

May 16, 2023

Page 8 of 18

Tushar Manudhane : Understood. And secondly, on ibuprofen per se, the sales have been moderate for the year. So how to think about ibuprofen outlook?

Krishna Chigurupati: Priyanka , you can take that.

Priyanka Chigurupati : Ibuprofen, we've actually, in the U.S. we've been stable over the last 2 years on the Rx side. On the OTC side, we expect to pick up more this year with some recent awards that we received from -- on the OTC side. And most importantly, we also have a 5 -year lock -in government business for ibuprofen. So, sales have been pretty stable with a little bit of an increase this year, potential increase this FY '24.

Tushar Manudhane : Understood. And lastly on paracetamol, if you could also share how has been the pricing trends? How has been the volume pickup for us?

Kandiraju Rao : I think the pricing change has been significant in terms of PAP price

s going down. And volume

increase has been very positive to us in terms of presence of increased market share in the U.S.

and also in other parts of the world. So, this is a positive impact on the volume. And the pricing

I think has been in line with the reduction in the prices of PAP.

Tushar Manudhane : Has that now stabilized? Or we think that -- or you think that there could be still further lowering of pricing?

Kandiraju Rao : I think we feel that the pricing is now coming to kind of an equilibrium.

Moderator: The next question is from the line of Sajal Kapoor, an individual investor.

Sajal Kapoor : I hope we can sustain the cash flow momentum going forward. So that's just our hope because I think we do need a sustainable cash flow engine to fund all our future initiatives. I do like the prudent approach to investment side in the end. And clearly, we are embracing industry five, so that's good news. And question is, after we had the green chemistry back-end for our prime molecule sorted and can this enzymatic and green hydrogen engine in the name of Granules CZRO be explored further for green chemistry CDMO services?

Krishna Chigurupati: KVS, I think you should take that.

Kandiraju Rao : Yes. So, our first endeavour is to -- this itself is a, Sajal, it is a very big initiative from our side. So, we would like to make sure that in the coming 1 to 2 years window we would like to establish ourselves as the green company with top commercial products that we have in line paracetamol, metformin and couple of other products. So, until and unless we complete these big initiatives, we will be not focusing on the right areas, although it is a very important point that you have raised.

We feel that the next 2 years, the organization will focus on 3 major areas. One is R&D effort in the organization to build API and formulations of a different order. Second, we would like to focus on the green chemistry and get the backward integration going. And third, integrating these 2 pieces to ensure that we are known as a green player in the pharmaceutical segment. Once we achieve that and we prove this concept to the world, then we will come back and actually face it Granules India Limited

May 16, 2023

Page 9 of 18

up to see what kind of benefits that accrue further by business diversification. Chairman would like to add.

Krishna Chigurupati: Yes, Sajal, I think let me just expand a little bit on this. First of all, we have a few products which we traditionally call core products, which have been performing very well and which has been giving us lot of cash for funding our future growth. And there's a lot more potential for these products we have hardly touched. We have about 30% of the world market today for paracetamol, metformin a little less. And we expect that we should go to about 50% of the world market and become clearly the leaders. For this, first of all, we need to strengthen our entire supply chain.

And to become true leaders, you have to be fully integrated. And I would even go to the extent of saying we want to be invincible. So, with green chemistry, we are going to do that. As I explained in my opening remarks, we will start from basic hydrogen and water. So that's where we are starting from. And once we achieve this, our cash flows would be still much, much more healthier and then they will definitely be attempting the other areas. We are working on the other areas today, but that definitely is not our focus.

Sajal Kapoor : That's helpful. And then second question would be related to our green initiatives. So, we mentioned the 2 KSMs for paracetamol, which is PAP of course and then for metformin, which is a DCDA. I mean the current technology that the Chinese manufacturers are using for DCDA is highly polluting and no one in India as on today is making that intermediate.

And how confident are we in terms of given our enzymatic route

that we have successfully

registered at the pilot of the lab scale? Then how confident are we that the DCDA new technology will be available at commercial scale starting back end of FY '25 or beginning of FY '26? And then are we also thinking in terms of having it at the right scale so that we can make it commercially viable and available for other players in India?

Krishna Chigurupati: Yes, Sajal. First of all, we are very confident of the technology. We had demonstrated this to ourselves at a level of 100 kilos per day piloting. The next step is we want to go for 1 ton per day. The equipment has been ordered, and we should be able to set this up before September. And once we tweak this, I won't even say establish, but we are sure of establishing once we tweak finer parameters.

The main equipment also is under order. And the next step will be to start with 10,000 tons per annum full-scale capacity and later on expand that to 30,000. When we reach the 30,000, we'll definitely be able to service, I would say, 80% to 90% of the world metformin market with just DCDA, which will be green, not polluting, made locally. And most of the DCDAs for the world is made in India. We'll have indigenous supply for these people. And by the way, we will also be expanding our metformin capacity, which will also be green. And all the raw materials for metformin, not only DCDA, all other raw materials will be made in the same site. And they will be green.

Moderator: The next question is from the line of Varun Basrur from Julius Baer Wealth Advisor. Granules India Limited

May 16, 2023

Varun Basrur : So, when I refer to the comments you made earlier on ramping up the MUPS block and some other capex coming online on formulations in the next year or 2. So what kind of revenue growth can you -- are you building in over the next couple of years from whatever growth capex is done? Assuming of course that whatever price depreciation is there is in line with the long-term depreciation?

Krishna Chigurupati: First of all, let me answer the capacity and what growth rate we are building. The capacity always has to be a little ahead of what growth rate we are anticipating. And we will be having a healthy growth rate. And if you see the last 5 years, we have grown at a healthy more than 20% on revenue and 25% on PAT. And we expect that this sort of growth should continue. And on the depreciation, Mukesh, you want to say anything on the depreciation? Your voice was not fully clear, but I think Mukesh got the questions.

Mukesh Surana : So, you were referring to depreciation of the block four facility, is it?

Varun Basrur : No. Sorry, what I meant was I think Mr. Chairman answered the question. From the perspective that price depreciation or deterioration in formulation has been a lot more than the long-term trend. So, if we had sort of normalized that number for what it was over the last 5 years, what sort of revenue growth would be there?

I think that question was answered. The next question is, so you're looking at doing INR250 crores of capex on Granules C ZRO next year. This is largely for backward integration. So, what kind of payback or IRR are you building in? Of course, this would come as something towards gross margin expansion or VA expansion. But when you look at these projects, what kind of IRR or payback are you building in?

Krishna Chigurupati: It's a difficult to answer at this point of time because there are so many initiatives happening. And also, we are not taking into account any possible premium we may get for green products. But it looks very healthy, Varun. And definitely the IRRs will not be less than what we have been making before. It could possibly be more.

Varun Basrur : So, could I say a payback of about 4 years or so? Would that be accurate?

Krishna Chigurupati: We will see, Varun. These are huge projects. So, you also have to

o -- you may not be able to

consume all the raw materials in-house. We may also have to establish a market. But all I can say is, overall, there will be healthy cash flows in the company, and we should be in good shape.

Mukesh Surana : Just to add to that, we are doing in a phased manner. So, each phases we are seeing success and we are adding it. So, the payback and IRR will be done phase by phase. So currently we are seeing that it is going to be better for the first phase. But we would not be able to give a number to you.

Varun Basrur : All right. So, my last question is on the interest cost, it's a little difficult to sort of factor in how the interest cost would look going ahead because I assume that a lot of the operating cash flow would be consumed by the capex or would be utilized for capex going ahead. So, the last couple

Granules India Limited

May 16, 2023

of quarters, the interest cost has been INR17 crores or INR18 crores. Would this continue at the current clip or the current run rate?

Mukesh Surana : See, the interest rate is the key issue. Our working capital cycle is definitely healthier. It's just the interest rate. And the interest rate currently after some time we are looking at a pause and then of course reduction also. But looking at the current trend, the interest costs will be slightly higher than the quarter 4, which is INR18 crores, slightly higher, with the increase in volume. At the same time, our debt-to-EBITDA, our net debt to EBITDA, which is less than 1 and 0.84 now. And we are going to maintain less than 1. I'm not talking about debt to equity, I'm talking about debt to EBITDA. So that kind of a healthy ratio, we will maintain even with the higher capex.

Varun Basrur : So why I asked this question is because there's also some element of factoring that's coming into the interest cost?

Mukesh Surana : Yes, that's true.

Varun Basrur : Which is not split in either the cash flow statement and there's no breakup. So that's why I asked what -- how would it look going ahead. I understand that there is some element of interest rates going up and down.

Mukesh Surana : Yes, that's right. So factoring, we have been increasing nonrecourse factoring, and we are also adding new customers in our nonrecourse factoring program. That is also increasing the finance cost a bit. But this is going to help the company also in terms of overall cash flow and balance sheet ratios and also the timeliness and discipline with the customers. And this, we are seeing going forward also we will continue to have. But as such, the delta increase because of factoring versus borrowing for the overall year, we would have spent about INR2.5 crores only.

Krishna Chigurupati: Okay. Finally, the cost difference because of factoring is INR2.5 crores. And I don't think it will go up a lot.

Moderator: The next question is from the line of Punit Pujara from Helios Capital.

Punit Pujara : So last quarter we gave an indication year -to-date price erosion in the U.S. market is 12% to 15%. So, can we call out that number for the full FY '23?

Krishna Chigurupati: Priyanka, you want to take that?

Priyanka Chigurupati : Sure. So, the pricing erosion as a percentage hasn't really changed as much. It's still within the same range of about 10% to 12% per year if you look at the overall basket together. And I'm talking primarily on the front of B2C US Rx Dem and.

Punit Pujara : Sure. A follow -up to that would be what's the outlook going forward because we understand that there have been certain discontinuations in the U.S. market by some of the players that is leading to some sort of sanity coming back to the pricing environment. Are you also seeing similar trends? If yes, then what's the range it can stabilize going forward, maybe for the company or at the industry level also would be help ful.

Granules India L imited

May 16, 2023

Page 12 of 18

Priyanka Chigurupati : So, you're absolutely right in the fact that there have been a lot of discontinuations in the recent past, but there's 2 ways to look at it. One, on the control substances, it's not more about of discontinuations, it's more about quotas, and there has been a lot of disruptions because of that. We have picked up share wherever we could. But we are also, like I've always said, we don't like to be very, very aggressive with controlled substances because of quota issue. Till date we haven't had it, but we want to be a little conservative as we keep going.

But like I said, we have picked up market share for the products that we have in our portfolio.

For some other products that we have seen discontinuation. We don't have anything on our portfolio from the list tha t have been discontinued. But the market has stabilized to a certain level. What the outlook would be going forward, that really depends on the mix between our portfolio and essentially the number of players in each of the molecules that are being discontinued. I can't put a number to it as of now. But there is a lot of positivity in terms of how much the price erosion can go down going forward.

Moderator: The next question is from the line of Rashmi Shetty from Dolat Capital.

Rashmi Shetty : So, one clarifi cation on capex , I want for FY '24. You called out a number of INR700 crores. Is it for FY '24 alone or it is spread over FY '24 and '25?

Mukesh Surana : It is for FY '24. So, these are because of 2 big initiatives also which we have taken up. This is for the year. And with this capex also we will maintain the healthy debt -to-EBITDA ratio.

Rashmi Shetty : Okay. So, from the current levels of the long -term debt, how much additional debt are you planning to raise because of this high capex ?

Mukesh Surana : So cu rrently, we are evaluating whether it should be funded through internal accrual or should we go for long -term debt. That is under discussion. But overall, total net debt level, there won't be significant increase in terms of the ratio which I just mentioned.

Krishna Chigurupati: Rashmi, I think we should be able to fund this mostly thro ugh our internal accruals itself. We have the capability to do that. But at the same time, we have very little long -term debt. So, we are looking at -- as you know, these are in 2 subsidiary companies, C ZRO for the green initiative and Granules Life Scienc es for the additional capacity. And one of the reasons is focus for setting up these companies and other thing is also the income tax benefit of 15%. So, these 2 are there. So, we had some ideas we're evaluating. Like I said, C ZRO , there's lot of interest for participation in equity and also low -cost debt, long -term debt. So, we are evaluating. We'll take the decision at the right time in the future.

Rashmi Shetty : But still any target like how much debt -to-EBITDA you will be maintaining it, even though if you take some additional debt or something?

Krishna Chigurupati: It will always be less than one , Rashmi , debt-to-EBITDA. Yes, Net debt-to-EBITDA will be less than one .

Rashmi Shetty : Okay. And what would be for FY '25 your capex ?

Granules India L imited

May 16, 2023

Page 13 of 18

Krishna Chigurupati: We are still evaluating it, Rashmi. And we do some of the pilot runs. And as we expand the CZRO , we'll have a better idea. We'll be able to place this come up with a number sometime in the second half of this fiscal.

Rashmi Shetty : And out of this INR700 crores, INR250 crores -- sorry, INR150 crores, you will be doing for your green chemicals and KSMs, out of that, how much would be for DCDA?

Krishna Chigurupati: It's very difficult to split up , but it's not INR150 crores, it's INR250 crores fo r the green initiative.

It's very difficult to split up because so many of these raw materials that we will be making is part of the -- they can be

used for many products.

Rashmi Shetty : So, your DCDA project is basically the part of this green chemical initiative. There won't be a separate capex spend for this, right?

Krishna Chigurupati: No, this is out of that. Out of the INR250 crores we are speaking about. Part of this will be DCDA.

Rashmi Shetty : Okay. If I just see your quarter 4 numbers, our gross margin on quarter -on-quarter has come down, i.e., very well understood from your presentation that this is mainly due to the higher API sales and specifically paracetamol. But when I see quarter -on-quarter, your paracetamol as well as your sales mix more or less look same, in the similar range when it comes to absolute number.

So, I'm just trying to understand that still, quarter -on-quarter, we have seen a dip in the gross margin. So, what is the specific reason for it? If you can call out that. And also, if you can just let us know that in FY '24, '25, how would you see the gross margins, whether we are going to see any sort of expansion from the current FY '23 level? And as you mentioned that your R&D and everything would increase, if you can give some ballpark number on your R&D as well as your EBITDA margin guidance number.

Mukesh Surana : So, I will take question by question. One, Q3 to Q4, the margin primarily is also because of some price erosion. And at EBITDA level, the major dip in the margin from Q3 to Q4 is higher R&D spend in Q4. Third question which you have asked on the R&D spend; it is going to increase compared to Q4 spends. But at the same time, we are also looking at a better sales CAGR, EBITDA CAGR. So overall full year, we should be able to sustain the kind of EBITDA margin we are looking at. But quarter -on-quarter, we should not be looking at it. But overall FY '24, we are going to see a sustainable or some improvement in the margins.

Krishna Chigurupati: Rashmi, on '24 -'25 for your question, we have some very interesting launches coming up this year and some of the initiatives we are taking, we expect that there will be expansion of margins.

Rashmi Shetty : So, on your R&D part, we can still assume that it would normally -- even though if it increases, it would be in the range of 3% around of the sales?

Kandiraju Rao : It will be slightly -- it will be more than 3%.

Moderator: The next question is from the line of Tushar Bohra from MK Ventures.

Granules India Limited

May 16, 2023

Page 14 of 18

Tushar Bohra : Sir, first, just quickly I want to check, we mentioned that our margins should improve and sustainably from quarter 2 onwards. So, and we also mentioned that the logistics -related issue, whatever third party will get done by end of May. So, we should assume that we'll continue to have maybe a softer margin profile in Q1 in general. And Q2 is the margin level that we should start to benchmark the organization for the future?

Krishna Chigurupati: You're right, Tushar. Q2 onwards, not only margins, we also expect revenue to increase. So, some new businesses are taking off and with stability of 3PL sales in the U.S. also should increase.

Tushar Bohra : Sir, if you can highlight 2 things mentioned. One is, you mentioned a couple of times a number of interesting launches this year. That is front ended in H1 or H2. And the nature of these launches, what kind of products or therapeutic areas or specific substances? And similarly, on the research R&D front, you mentioned that the number of ANDAs and DMFs both will move up significantly this year. So again, if there is anything interesting further that you can highlight, maybe some more subjective, qualitative comments around that?

Kandiraju Rao : Yes. On launches side, we have both controlled substance launches and also the products that we have filed in the last couple of years, we have been getting the approvals. So, I think from quarter 2 onwards, we will see the new product launches

which will come up in the U.S. And

also, we will be launching some products in Europe. So, this will be the launch plan for us as we travel from Q2 to Q3. And second, on the R&D side, I think there is a significant ramp -up on the DMF and the ANDA filings as compared to this year.

Tushar Bohra : Yes, that you mentioned, but any like which kind of therapeutic areas or any specific products you may want to highlight or potential around some of them?

Kandiraju Rao : I think we will not highlight right now. But as we start filing, you will get to know. But suffice it to say that in my opening remarks, I told that these products that we are going to develop are backed up by the technology platforms that we have created and under the process of creating. So that we expect it to add a lot of value to the core strength of Granules.

Krishna Chigurupati: And Tushar, I think I'll give you a part answer for that. Mostly they will be in the MUPS type of products.

Tushar Bohra : Great, sir. One quick question on the green capacities that we are setting up for paracetamol and

metformin to start with. Sir, I'm assuming you already have a pipeline of products beyond these two in place when we say that these will not be the only two products that will come out of that facility over the next three, five years period?

Krishna Chigurupati: What we are doing, Tushar, while these are the first products that will be commercialized going green, we are building the chemical block, the building blocks for different chemicals. So basic chemicals, we are building. From there, we can go into many other products. Yes, we do have ideas, but it's too early to talk about those products. But once we have the building blocks in place, so many things can be done. And it need not be only pharmaceutical, it can be many areas.

Granules India Limited

May 16, 2023

Page 15 of 18

It can be chemicals, it can be agrochemicals, so many other things can be made. But the basic thing is to make the building blocks.

Tushar Bohra : Interesting, sir. Just one quick one more point on paracetamol and metformin. So given that these are obviously first line of defence molecules, but essentially commoditized products. And in U.S., we've seen a history of price erosion being a constant issue for a lot of our peers as well as for us. We are taking such a large initiative on essentially commoditized products. Have we gone into any kind of discussion with some of the potential clients? Or have you sensed an interest from market for long-term contracts around paracetamol and metformin through this route. That gives us better security or comfort in taking such a large capex, even though it may be in phases?

Krishna Chigurupati: Okay, Tushar. To answer this question, first of all, we have been in this product for 35 years. And we have great experience, we have great relationship with all the top consumers in the world. And there's a lot of interest from them for more and more products, that's why we have expanded, and we are still expanding. And we are very confident that at 50% of the capacity, we'll be able to sell everything. We have long-term contracts. I don't say long term what you mean by long term, but multiyear contracts up to 5 years we do have with some of these people. And once we go green, I'm sure there will be many more for much longer-term contracts coming in.

Moderator: The next question is from the line of Harith Ahamed from Avendus Spark.

Harith Ahamed : Can you share the GPI sales for the year FY '23?

Mukesh Surana : Yes. So, it is INR1,341 million API sales. It is also covered in our investor presentation.

Harith Ahamed : This is the US subsidiary when you ...

Krishna Chigurupati: Sound was feeble, Harith, can you come up again?

Harith Ahamed : No. I was looking at the revenues at our US subsidiary, Granules Pharmaceutical Inc.

Krishna Chigurupati: You're talking about

the revenues?

Harith Ahamed : Yes.

Krishna Chigurupati: Yes, 1 minute. Yes, it is INR1,119 million.

Harith Ahamed : Okay. And then when you shared the details around our capex for next year, you mentioned Granules Life Sciences. I missed the amount you mentioned. And could you also give more colour on the activities and the nature of products under this entity? And then where exactly is the facility?

Krishna Chigurupati: This is in Genome Valley, close to Hyderabad. And it's going to be INR250 crores for '24. We have already spent some money in '23. In '24 we will complete the project. And you said what type of products. There are different range of products. All the products which are under filing will be made -- will be filed from this area only. The Stage 1, Phase 1 will be ready shortly,

Granules India Limited

May 16, 2023

Page 16 of 18

September. And we'll be doing the filings from there. So, all the new products will be filed from there.

Harith Ahamed : So, this is a formulation facility?

Krishna Chigurupati: Formulation facility.

Mukesh Surana : Just one correction, Mr. Ahamed, I just said crores, it is -- not million, INR1,119 crores.

Moderator: The next question is from the line of Yogesh Tiwari from Arihant Capital Markets Limited.

Yogesh Tiwari : I just want to confirm on one previous question asked on paracetamol. So, when I look at FY '23, paracetamol, which is approximately 50% of our revenues, it has grown between 25% to 30% on a Y-o-Y basis. And that was the major driver -- one of the major drivers. So just to confirm like what is happening in the industry, like will we be able to keep a similar growth rates in paracetamol so that the U.S. and the Europe business continue to grow in like more than 25% in FY '24 also?

Krishna Chigurupati: Yes, Yogesh, paracetamol, we see a very clear growth. And also, there's a move away from our

India's biggest competitor. People are wanting to buy more from other areas. But unfortunately, or fortunately, only 2 countries in the world make paracetamol, the U.S. production is very little. So, there is a move towards more reliable suppliers. And we being in this business for more than 30 years, people trust us, and we see more and more business coming our way. But not only the paracetamol API, we have competition for paracetamol API from many other people. But when it comes to PFI and tablets, we are in a very, very sweet spot.

And most of our customers are moving away from API into PFIs and FDs. Today, our paracetamol FDs by themselves are about 50% of our total API capacity. And this is going to go up. And once people are locked up with FDs with you, some of the biggest innovators, biggest brand leaders in the world are locked up with us.

And also, we have our own OTC front in the U.S. that are applying to store brands like Walmart, Target and other people. And we are also licensing many people in Europe with our own dossiers for paracetamol and metformin and other products. And we are also working on South Africa.

We are working in Southeast Asia, Australia. So many of these places, there's a lot of interest and we are licensing products, and we have no doubt paracetamol market will keep growing for us. Overall, the market growth in single digits, low single digits, but for us it's going to grow at a much rapid pace because there are not too many reliable suppliers in the world today.

Yogesh Tiwari : And just one balance sheet-related question. So, there's a jump in lease liabilities, although the number is small, from it's like INR7 crores to about INR70 crores. So, what would be the drivers for it?

Mukesh Surana : Sorry, which head you said?

Yogesh Tiwari : Lease liabilities under the balance sheet.

Granules India Limited

May 16, 2023

Page 17 of 18

Mukesh Surana : Yes, sure. So, we have taken warehouse under lease for our USA facilities. So GPAC, we have

one, and also, we have taken a warehouse under lease. There is asset also of right-of-use asset, and there is a lease liability also.

Moderator: Ladies and gentlemen, we'll be taking the last question. That is from the line of Rashmi Shetty from Dolat Capital.

Rashmi Shetty : Sir, out of your INR700 crores capex, you mentioned that for Genome Valley INR250 crores project would be completed by FY '24. What about this green chemical initiative, when are we going to complete our project? And when do we expect the commercialization and everything to happen?

Krishna Chigurupati: One product, like I said, the piloting will be done in September of this year. And another product, there will be a little more capex, but the commercial production will start in end of '25 or early '26. That will be the first product. And '26, we expect another product also to come online, possibly end of '26.

Rashmi Shetty : And these products are basically FD products or, I mean, or the API products?

Krishna Chigurupati: These are KSMS, for KSMS and the chemicals that go into making the KSMS for paracetamol and metformin to start with, and we'll follow up with other products.

Rashmi Shetty : Understood. And one last question on PFI segment. I mean we were getting a lot of orders from the South American market like LATAM and all. But in second half of FY '23, we have seen a very subdued growth. And that is why we competed with a single-digit sort of growth in FY '23. In FY '24 and '25, how do we see the demand? And are we expecting that it should crop back double-digit sort of growth?

Mukesh Surana : Yes. I will just clarify this. PFI third-party sales has come down, because we have used that for FD business. So, where the margins are also better. So PFI has become a unit transfer to FD for third party sales.

Rashmi Shetty : Okay. So, we should normally build up the similar sort of growth in FY '24-'25 also?

Mukesh Surana : Yes. So better to see FD growth. So, if you are modelling, you can model for FD business growth.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for the closing comments.

Krishna Chigurupati: Thank you very much. Ladies and gentlemen, we had some very interesting Q&A session today. And I was quite excited to share my thoughts on the green initiative we are going through. And I would like to thank you once again and end this meeting on a very positive note about our green chemistry. Thank you very much.

Granules India Limited

May 16, 2023

Page 18 of 18

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Granules India Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2023

REGISTERED OFFICE

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Date: August 14, 2023

To,
National Stock Exchange of India Limited
BSE Limited
Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,
Sub: Transcript of the Earnings Conference call for Q1 of FY24.

Ref: Our letter dated 26.07.2023 for intimation of the schedule of the Earnings
Conference call for Q1 of FY24.

Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, the transcript of the earnings conference call of the Company for the Q1
of FY24 has been enclosed herewith and uploaded on the website of the Company at the
below -mentioned link:

<https://granulesindia.com/investors/investor-resources/earnings-call-transcripts/>

Kindly take the above information on record.

Yours sincerely,

For GRANULES INDIA LIMITED

CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)

Page 1 of 18

“Granules India Limited Q1 FY24 Earnings Conference
Call”

August 09, 2023

MANAGEMENT : DR. KRISHNA PRASAD – CHAIRMAN & MANAGING
DIRECTOR , GRANULES INDIA LIMITED
DR. KVS RAM RAO – JOINT MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , GRANULES INDIA
LIMITED
MS. PRIYANKA CHIGURUPATI – EXECUTIVE DIRECTOR

GPI & GUSA
MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER ,
GRANULES INDIA LIMITED
MR. PUNEET – HEAD - INVESTOR RELATIONS & GM
BUSINESS FINANCE , GRANULES INDIA LIMITED
MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL

Granules India Limited
August 09, 2023

Page 2 of 18

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY24 Earnings Conference Call of Granules India Limited.

As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Irfan Raeen from Orient Capital. Thank you and over to you, sir.

Irfan Raeen : Thank you, Seema. Good evening , everyone. Myself , Irfan Raeen from Orient Capital. We are Investor Relation Advisor to the Company .

On behalf of Granules India, I extend a warm welcome to all participants on Q1 FY24 financial result discussion call .

Today on our call, I am joined by Dr . Krishna Prasad sir - Chairman and Managing Director ; Dr. KVS Ram Rao sir - Joint Managing Director and Chief Executive Officer ; Ms. Priyanka - Executive Director , GPI & GUSA ; Mr. Mukesh Surana - Chief Financial Officer and Mr. Puneet - Head, Investor Relation & GM, Business Finance.

I hope everyone had an opportunity to go through our "Investor Deck and Press Release" that we have uploaded on Exchanges and on Company 's website .

Before starting this call, I would like to give a short disclaimer . This call may contain some of the forward-looking statements which are completely based upon our beliefs, opinion and expectation as of today. These statements are not guarantee of our future performance and involve risks and uncertainties .

With this, I hand over the call to Dr. Krishna Prasad sir. Over to you, sir. Thank you.

Krishna Prasad : Thank you, Irfan . A very good evening to all of you ladies and gentlemen and thank you very much for attending our Q1 Earnings Call today. A detailed Presentation of our Q1 FY24 performance had been uploaded to our website and I am sure all of you would have gone through it by now.

IT update :

Firstly , I would like to update you regarding the recent cyber -attack incident. Our systems were breached by a ransomware group on the 22nd of May. The effect of this included a breach of our systems and test of our data while swift measures were taken to contain and mitigate the situation and production activities were restored to a large extent by the first half of July. There were a lot of restoration activities on the quality front which are non-negotiable . Due to this ,
Granules India Limited

August 09, 2023

Page 3 of 18

releases of products were delayed and there were several scheduling conflicts that will percolate their way into Q2 as well . By early Q3, we would have made up for all the backlogs and production activities will be back to normal. The impact of these production timelines have delayed some of our launches which will now move to Q3 and Q4 versus the original Q2. Barring Q1 and Q2, our growth trajectory is on track. While we are confident of getting back on track post Q2, there will be a revenue loss for the year, which will be irrecoverable , the value of which cannot be entirely estimated at this time. We will continue to strive to strengthen our IT systems and processes, so we do not have an incident like this in future .

FDA inspection and product approval :

During the quarter , we had two FDA inspections at Jeedimetla plant in Hyderabad and at Unit IV API plant in Vizag. Both inspections were completed with zero 483 observations. We recently concluded a pharmacovigilance audit at GPI for all our products, which we went through with zero 483 observations as well . Along with GPA K audit in Q4 of last year, we had four consecutive US FDA inspections with zero 483 observation. During the quarter, we also received the EIR for Gagillapur facility.

During Q1, we received 4 ANDA approvals. These were for Venlafaxine Extended -Release capsules , Metoprolol Succinate Extended -Release tablets and Levetiracetam tablets and Ibu plus Paracetamol combination. The construction of our

new formulation facility at Genome Valley is progressing at a good pace and we anticipate the completion of Phase -1 by October 23 and Phase -2 by May '24. Upon completion, this plant will increase our current capacity of 24 billion units of tablets by an additional 8 billion units. Along with the recently launched Greenfield packaging facility in Virginia, we now have our capacity in place for us to cater to emerging new opportunities and demand in the near future.

R&D :

Over the past 1 year, we have strengthened our R&D and product development capabilities and we now have close to 300 strong R&D team members across our various laboratories at Genome Valley, Pragathi Nagar in Hyderabad, Pune and Virginia. These are geared towards fast tracking integrated product development, building expertise in the area of control substances, complex products and biocatalysis and enzymes. Shortly, Dr. KVS Ram Rao will take you through more and explain about our R&D. As of today, we have 57 approved US A NDAs, 5 European dossiers, 3 in the UK, 6 in Canada and one in other regions. We have a total of 42 DMFs filed across several regions.

Climate change and sustainability opportunity :

The global climate crisis, rising temperatures, extreme weather events, and environmental degradation have heightened the call for transformative change. Businesses that can meet the need for innovative and sustainable products will be well positioned to capitalize on the emerging opportunities and succeed in the years to come. Granules is taking a pioneering approach at embedding sustainability within its business operations and decision-making

Granules India Limited

August 09, 2023

Page 4 of 18

process. Our ambition is to become an industry leader and global forerunner in sustainability, driving positive change in healthcare. Driven by a strong sense of environmental responsibility, we are announcing our commitment to a sustainable future by setting a goal to reach Net Zero by 2050.

Granules CZRO :

Earlier this year, we announced our partnership with Greenko to establish the integrated green pharmaceutical zone in Kakinada, Andhra Pradesh. Granules CZRO marked a significant milestone in our journey towards decarbonization across the supply chain, including mitigation of scope 3 emissions and aiming for a near Net Zero carbon footprint on cradle to gate basis. At CZRO, we are adopting a frugal approach to investment, prioritizing a phased and stage-gated strategy. We have identified and finalized 2 sites, Vizag with 12 acres and at Kakinada 100 acres. The first phase will focus on strengthening our core business for backward integration of Paracetamol and Metformin. Using Phase -1 at Vizag, we are putting up a pilot plant for DCDA and a commercial plant for PAP. The pilot DCDA plant will be completed by end of FY24, and commercial PAP plant is expected to be completed by end of FY25. The project work for Phase -2 at Kakinada will start in FY25 after completion of the detailed feasibility report and once we have all the statutory approvals in place.

Organization transformation :

Over the past 1 year, we have shared our road map for organization transformation. The 3 central themes of this transformation journey are strengthening the core, R&D and innovation and sustainability, the themes on which I have elaborated earlier in my remarks. In summary, our transformation journey rests on a steadfast dedication to creating a future-ready organization capable of thriving in the face of evolving challenges and seizing emerging opportunities.

Our new "Purpose, Vision and Value" :

As we embark on this transformation journey, we have revitalized our purpose, vision and

values, ensuring we embody our commitment to transformation. Our newly adopted purpose is healing lives responsibly through pioneering green science. It is just not a statement, it is the very essence of our passion, guiding us towards transforming healthcare through innovation and sustainability. Our vision is to establish ourselves as a world leader in green chemical and pharmaceutical industry by harnessing cutting edge technologies to enhance quality of life. Our vision is ambitious, inspiring us to push boundaries, redefine possibilities and create change that extends far beyond our horizons.

With this, I hand over the call to Dr. KVS Ram Rao.

KVS Ram Rao: Thank you, Chairman. Good evening, everyone. I would cover a little more detail, the quality audits of our facilities, our response to IT incident and progress on our R&D led transformation.

Granules India Limited

August 09, 2023

Page 5 of 18

On quality, Granules India Limited stands as a responsible leader in the manufacturing industry dedicated to providing medicinal products that adhere to the highest standards of quality and

compliance. Compliance is considered essential and given utmost priority within the organization. It plays a vital role in nurturing a culture of quality among all individuals, resulting in a transformation that permeates throughout the organization. The recent US FDA inspections of two of our API manufacturing facilities at Hyderabad and Vizag resulted in zero 483. The regulatory success in the manufacturing plants was in spite of a critical cyber-attack at the manufacturing site. The methodology of handling the cyber-attack, the investigational reports, the actions taken post the cyber-attack were well appreciated. A recent pharmacovigilance inspection of our Chantilly facility also resulted in zero observations. These outcomes demonstrate the management's commitment towards quality. On the cyber-attack and our bounce back, the issue of cyber-attack and our actions have already been notified, a little bit has been told by the Chairman right now. I wish to present a brief summary.

On 24th May 2023, systems got attacked by LockBit 3.0 ransomware which encrypted the critical servers, mailboxes, networks and endpoints. Immediate actions were taken post the incident at all our facilities, including containment and isolation. All the systems, including servers and endpoints were disconnected from the network at switch level, affected servers and desktops were switched off and isolated them from the network to contain any further spread. We disabled the internet access and e-mail influx so that the systems would be disconnected with the external environment to contain any data exfiltration. The restoration methodology created a completely new green network with new network and micro segmentation, and we added all the systems into the new network. We built new servers in place of affected servers such as Empower, AD servers, A DC Servers separate VLANs, R&D servers, file servers and QAQC systems and enterprise applications like DMS, QAMS, etc., and restored all the plants, all manufacturing facilities and the support services within the shortest possible time, including qualifications as required by the regulatory environment. Serialization of four lines in the manufacturing was restored within couple of weeks, timeline to include qualification and to restart our manufacturing activities. All the backups were restored in all the Empower servers which are created new, standalone systems backups were created with only one day data loss which has been recovered. All the Office 365 mails were cleaned and protected with the security tools and laptops, Trelis and Sentinel One, XDR used for monitoring and protection. The mobile device management, Intune tool was used to protect

mobiles for all the data protection installed on all the official mobiles of the organization. We have concentrated a team of internal and external experts and designed the system architecture and controls which enables us to focus on prevention as well as preparation from future attacks. This total solution is expected to be in place in a couple of weeks.

A review and governance mechanism is established with the management to bring the sharp organizational focus on this very critical and identified high risk area. With all these efforts which have been relentlessly carried out and operations have been restored at all locations

Granules India Limited

August 09, 2023

Page 6 of 18

including the US, it has resulted in supply interruptions which led to shortage of sales in the quarter. Mukesh will read the details.

Regarding the transformation journey, over the years, the Granules R&D strive towards establishing the Company's dominance and select generic products and has been very successful in that endeavor and the effort continues to be the dominant leader in these products. However, in the last one year, there has been a paradigm shift in focus on R&D. The Company has shifted its focus on portfolio to ensure that we leverage our core strength and build the future for that. The shift in focus called for bolstering the R&D strength, both in terms of manpower, infrastructure and the analytical equipment, this has resulted in setting up state-of-the-art integrated product development centers in Genome Valley in Hyderabad. This center where both formulations R&D and API R&D are housed under one roof seamless execution of projects has happened. The entire development at the center is based on green and eco principle as enunciated by the Chairman just now as the purpose that we want to live now.

In our earlier calls, I mentioned that the renewed focus of the organization on R&D it is time also to talk a little about its nature and a bit of quantification of the effort. At present, there are more than 30 products which are under various stages of development in our centers which include oncology, controlled substances and other therapeutic category. A majority of these projects are scheduled to be filed in the next couple of quarters. The mix of the portfolio included launch and approval products, Day 181 launches and first to launch products and NCE -1 filing. The portfolio aims at launching these products globally in all the geographies of our business interest. Yet another significant aspect of the R&D is its focus towards sustainable new technologies. The Company is laying special focus on products where the biocatalysis can be successfully employed. To create a differentiation, R&D has joined hands with companies specializing in enzyme design and green synthesis and be successful in developing proprietary

enzyme solutions for desired chemical transformations. We have had initial success in getting cost effective, non-exchanging enzymes and have been successful in scaling up at our enzyme facility, which we acquired a couple of quarters ago. We expect the commercialization of these products using the in-house enzymes to happen in the next couple of quarters. This is an outcome of the transformation that the Company is presently undergoing in the area of science, technology and innovation.

Thank you all, and I will handle it over to CFO, Mukesh.

Mukesh Surana : Thank you, CMD and JMD.

Now, let me take you all through the top financial parameters :

The 1st Quarter revenue were Rs. 9,855 million as compared to Rs. 10,196 million in Q1 FY 23, a decline of 3%. This decline is primarily on account of business interruption due to the IT incident happened during this quarter. Despite the IT incident, which has impacted expected revenue growth in all geographies and price

erosions across markets on year-on-year basis ,

Granules India Limited

August 09, 2023

Page 7 of 18

North America registered a 10% value growth and Europe registered a 5% value growth. Latin America and ROW revenue decline was steep year-on-year, which is also on account of inventory correction by customers in these regions.

Our API business grew year-on-year primarily on account of Paracetamol volumes, despite the impact from the IT incident. Share of PFI business has reduced as more customers are converting into FD from PFI coupled with corrections and inventories in the LATAM and ROW markets.

The Q1 FY24 revenues declined by 18% sequentially as compared to Q4 FY23. We are carefully assessing the loss of sales in Q1 FY24 due to this IT incident and our current estimate is more than Rs. 1,500 million. The sales breakup detail as per business division in geographic region is presented in our investor presentation, which is available on the website.

Value added :

Our value added as a percentage of sales for Q1 FY24 was 51.4% as compared to 49.6% in Q1 FY23. Value added percentage as compared to Q1 FY 23 is increased by 1.8% points primarily on account of better product mix and reduction in rates of key raw materials. Value added as a percentage of sales for Q1 FY24 is up by 3.6% points from Q4 FY 23, primarily on account of better product mix and reduction in rates of key raw materials.

EBITDA and EBITDA margin :

EBITDA for the quarter was Rs. 1,378 million that is 14% of sales as compared to Rs. 2,115 million that is 20.7% of sales in Q1 FY23, a decrease of 35% over the previous year. EBITDA value mainly on account of reduction in revenue due to the IT incident and increase in operating expenditure in line with the expected revenue increase coupled with increase in R&D spend by Rs. 94 million. We were impacted by failure to supply penalties of Rs. 211 million in GP I this quarter. We have incurred so far about Rs. 50 million related to the IT incident and its incidental expenses such as detention and demurrage due to the business interruption. We have been incurring operating expenses and depreciation in our new packing facility in USA whose savings will start from Q2 FY24 in the form of improvement in VA percentage. Our R&D spend for the quarter was Rs. 413 million that is 4.2% to sales as compared to Rs. 319 million in Q1 FY 23 that is 3.1% to sales and Rs. 369 million that is 3.1% to sales in Q4 FY23. We are going to continue to spend on R&D in the coming quarters as well for the planned R&D pipelines for our future growth.

Net debt :

Our net debt was at Rs. 8,569 million as compared to Rs. 7,671 million at the beginning of the year. The net debt has increased by Rs. 899 million primarily on account of the reduction in operating cash due to reduction in revenues and operating profit and also resultant higher cash to cash cycle. Cash to cash cycle was at 170 days in the current quarter as compared to 132 days

Granules India Limited

August 09, 2023

Page 8 of 18

at the beginning of the year. The increase is primarily on account of the increase in inventories as we could not sell as per our expected plans due to the IT incident.

Operating cash flow :

Despite business interruption, we ended the operating cash flow with a positive Rs. 35 million as compared to Rs. 1,807 million in Q1 FY23. The reduction is primarily on account of lower revenues and operating profit and resultant higher cash to cash cycle.

CAPEX:

CAPEX spend during the quarter was Rs. 741 million. It is in line with our plan for FY24 as guided in our last call.

ROCE :

ROCE for Q1 FY 24 is 9.4% as compared to 21.1% in Q4 FY 23 primarily on account of reduction in EBITDA due to the reasons mentioned earlier.

With this , I open the floor for questions.

Moderator: Thank you very much , sir. We will now begin with the question

and-answer session. We take

the first question from the line of Rahul Veera from Abakus. Please go ahead, sir.

Rahul Veera : Sir, just wanted to understand one thing that since you mentioned there will be some delay in launches of products from Q2 to Q3, are there any commitments or in terms of supplies for Q2 that you were expecting from these products? Is there a possibility of one more FTS coming through failure to supply in Q2 as well ?

Krishna Prasad : Rahul, we have not committed to anybody. There were interest , there were preliminary discussion with customers and of late till the product reaches the US , we have not been making any commitments. So definitely there is no possibility of FTS on account of late launches.

Rahul Veera : And sir , all the FTS that was required to be accounted this quarter has been done or any pending FTS is expected in the coming quarters?

Mukesh Surana : Yes, I will just clarify . All failure to supply penalties have been taken into account in Quarter 1 and Priyanka can add it, but I just want to clarify also Quarter 2 , we see that there is a major improvement in the new 3PL, and we don't foresee a major expenditure of failure to supply in Q2.

Rahul Veera : What was the amount of Q1 for FTS ?

Mukesh Surana : Q1 Rs. 211 million.

Granules India Limited

August 09, 2023

Page 9 of 18

Moderator : Thank you, sir. We take the next question from the line of Rashmi Shetty from Dola t Capital. Please go ahead.

Rashmi Shetty : Just a follow up on the earlier participant, you mentioned, Rs. 21 crores of FTS is sitting in other expenses , these are all related to only US geography or with the other markets also and was this for specifically API segment or it is spread across the segment ?

Mukesh Surana : So, this is largely in USA, and it has happened in GPI entity , so this is not related to API, these are control substances and some of those FD products.

Rashmi Shetty : And you mentioned this is all done in Quarter 1 right now, nothing is expected in Quarter 2 ?

Mukesh Surana : Yes, so the migration of the new 3PL happened around Quarter 3 May 23, 3rd week of May 23, and it has significantly improved with the new 3PL now in Quarter 2 .

Krishna Prasad : But we don't expect too much , there could be very minor FTS, Rashmi. We still don't know, but they could be very minor.

Rashmi Shetty : If I exclude this Rs. 21 crores from your other expenses, excluding the R&D cost of Rs. 43 crores, then your other expenses have actually come down quarter -on-quarter, so any specific reason for that you are taking some any cost initiatives or anything like that?

Mukesh Surana : Other expenses also include freight cost and also selling commission. So those are related to sales and in addition to that the freight rates also have slightly reduced sequentially also and there were some failure to supply expenses in the Quarter 4 as well.

Rashmi Shetty : And can you also quantify what are the lost sales due to this IT incident during the quarter?

Mukesh Surana : Yes, I just covered in my speech. We are currently, carefully assessing , our current estimate is more than Rs. 1,500 million.

Rashmi Shetty : And sir, when you said that all the systems have been restored in July month, is it fair to assume that in the second quarter also we will have some 15 -20 days impact coming in the quarter?

Krishna Prasad : There is some spillover due to quality systems , Rashmi . There would be some effect in Q2 also and Q2 not only in loss of some dispatches , the main hit will come from the anticipated launches.

What we planned in Q2 will now move to Q3 and Q4. So, there will be some impact of IT that is coming into Q2, mainly the launches.

Rashmi Shetty : So sir, then any guidance would you like to give for FY24 on revenue numbers or specifically on EBITDA margins because of this IT incident that you are downgrading

your earlier EBITDA

margin guidance that it would not be in the range of 18 % to 20% or anything you would like to say or you feel that Quarter 3 and Quarter 4 are sufficient to adjust the guidance ?

Granules India Limited

August 09, 2023

Page 10 of 18

Krishna Prasad : So, Rashmi, in my speech I mentioned we are assessing how much of the lost sales we can recover and some of it is definitely not recoverable. So, it is a little difficult to estimate right now and we would definitely not like to give any guidance.

Rashmi Shetty : And sir, last question to Priyanka, if you can revise the number of , what are the total commercialized launches in the US market and how many launches are we expecting in Quarter 3 and Quarter 4 , for the entire FY24 and what is the price erosion currently looks like , whether it is still in high double digits or due to supply disruption, it has come down?

Priyanka Chigurupati : I think if I got your question right, your first question was how many launches, how many overall products we have in the US, am I correct ?

Rashmi Shetty : Yes, what are the total commercialized launches till date and how many are you planning in FY24 and what is the price erosion currently like whether it got stabilized from the high double digit price erosion or we are still in high double digits ?

Priyanka Chigurupati : So, to answer your first question in total in the US we have about 37 to 39 products launched already . Over the next 2 quarters , we are definitely going to launch 3 products, but if everything works out we will launch close to 6 products , the effect of which you see primarily in FY25 and in terms of price erosion there has been a sign of things easing up, I said this even in the last investor call , this since the beginning of this fiscal year, I would say it has been pretty much stable at least for the last 4 months.

Moderator : Thank you. We take the next question from the line of Tushar from Motilal Oswal Financial Services. Please go ahead, sir.

Tushar : Sir, given that if I adjust for this Rs. 21 crores failure to supply then broadly we should be Rs. 200 crores sort of run rate for other expenses on an absolute basis in the coming quarters ?

Mukesh Surana : Yes, you were asking about the failure to supply Rs. 21 crores?

Tushar : Excluding failure to supply ?

Mukesh Surana : Excluding failure to supply , there were expenses we cannot take simply as run rate because some are related to sales expenses also as just clarified , freight and sales commission are also there. So, there are certain variable expenditures also in other expenses.

Tushar : So, as a margin trajectory, we will have a gradual uptick in EBITDA margin, or we will see a good improvement from 2Q or 3Q onwards ?

Mukesh Surana : Of course, there will be a gradual improvement in EBITDA margin.

Tushar : And secondly, just on the CAPEX with Rs. 74 crores in Q1, is there any revision in the full year 24 CAPEX range? There are these issues ?

Granules India Limited
August 09, 2023

Page 11 of 18

Mukesh Surana : We are saying we are in line with whatever we have guided in our last call. So, we are in that plan.

Moderator : Thank you. We take the next question from the line of Deepak Poddar from Sapphire Capital. Please go ahead, sir.

Deepak Poddar : Sir, I just have one question on R&D expense , so I think this current quarter it was around Rs. 43 crores, right?

Krishna Prasad : Yes.

Deepak Poddar : So how do we see that trend in coming quarters on R&D expenses?

KVS Ram Rao : I think the R&D expenditure is only going to go up in the next 3 quarters because as I told in my speech, we are going to really look at filing the products in this year, which will be of a much higher level compared to what we used to do in the last couple of quarters. So therefore, R&D expenditure definitely will go up .

Deepak Poddar : So

Rs. 43 crores to around Rs. 50 crores, maybe next 2 -3 quarters , right?

Mukesh Surana : So, Quarter 2 can be little more than 50, but Quarter 3 , Quarter 4 , we might spend more.

Deepak Poddar : We might spend more ?

Mukesh Surana : Yes, more than 50 in Quarter 3 , Quarter 4 .

Deepak Poddar : And on EBITDA margin , you mentioned like we expect a gradual improvement in EBITDA margin, right , so any numerical sense would you be able to provide, so that we get some understanding ?

Mukesh Surana : We don't give the guidance, but you could see our gross margin has improved in Q1 and we are looking Quarter 2 also gross margin would improve. So accordingly, our EBITDA margin will also improve, but we don't give a detailed guidance.

Moderator : Thank you, sir. We take the next question from the line of Mr. Aditiya, an Individual Investor. Please go ahead , sir.

Aditiya : Sir, my question is related to this pricing erosion, right, when you talk about the pricing erosion, but I don't see that in the numbers , so how one should understand about the pricing erosion in our scenario?

Mukesh Surana : I will just clarify, when we have said price erosion, it is Quarter 1 of the last year to the Quarter 1 of the current year. So last year, Quarter 1 , the raw material prices are at the peak level

Granules India Limited
August 09, 2023

Page 12 of 18

accordingly sales prices are also at higher level , so both have fallen. So, our margins, despite price erosions, we are trying to maximize .

Aditiya : But last year, our gross margin was at ?

Mukesh Surana : We were at 49% last year, currently it is 51.4%.

Aditiya : If there is a price erosion or something that sort of it should reflect in our gross margin, right , if my understanding is correct ?

Mukesh Surana : No, so what I am trying to explain is price is reducing, key raw material prices are also reducing . My margin percentage is currently better as we are also maximizing the cost improvement areas , so my gross margin is better.

Aditiya : And since I see there is a lot of employee expense going on as we are ramping up our R&D , could you talk about which areas like how much because I see there is an increase in R&D in Quarter 3 and Quarter 4 , so basically this year will be investment phase , what kind of talent are we hiring and what are the areas we are looking forward and how is our green chemistry is going on? Can you throw some light here?

KVS Ram Rao : Yes, as mentioned in my speech, there are 3 areas where we have really ramped up our capacities , number 1 in terms of our API and chemical development of the new products. I think last year we filed 7 drug master files and this year we are targeting a much higher number. Not only that, we shifted our portfolio to looking at complex products. We are looking at some kind of a newer opportunities and the global development of the products. This is one shift which is there in the R&D which calls for talent in terms of chemistry, analytical chemistry and also engineering excellence to take the products into smoothly, they are transferring into manufacturing. So, we established this entire talent pool, processes and systems to enable us to ramp up to this capacity, which is not so easy in less than one year. So, the whole organization is looking at transformation. The second area of transformation is actually focusing on new technologies. I have been consistent in my last 3 quarters that we have been working on fermentation and biotechnology in the area of enzymes and every quarter we improved and this quarter I told you that we have successfully scaled up the enzymes in our newly acquired facility, which we have taken over about 6 to 8 months before and then we started building up the enzymes and we have already started optimizing the products . We hope to commercialize at least two products in the next couple of quarters. The third

area is in the ANDA filings. This is not only to US, but we have a global filings in Europe and rest of the world and with that type of orientation, it is a paradigm shift in the way we look at product development including the biostudies and the talent and the expertise has been built to that level to enable us to do global product development and look at various geographies of filing . I think these three areas put together is not only enhancing our capability to file, not only in US but in the rest of the geographies of business interests, but also the talent and the additional resources which are required to deliver these

Granules India Limited

August 09, 2023

Page 13 of 18

goods and services and we have continued and continuously committed to making sure that this happened and therefore the R&D expenditure will go up in the next 3 quarters.

Krishna Prasad : Aditiya to add to that , the manpower expenses have also gone up at GPA K, the new packaging facility which we started in the US that is to start yielding results only from Q3, end of Q2 to Q3. That is one of the reasons for manpower expenses going up in addition to R&D manpower and also, we have increased some capabilities and capacities in our Gagillapur plant. There also the manpower cost has gone up a little bit.

Aditiya : Sir, if may I ask in , like for the green chemistry, I think the growth from these will meaningfully start from FY26 or 27, correct ?

Krishna Prasad : Yes, you are in the ballpark number, Aditiya. Like I covered in my speech, we are setting up a pilot plant for DCDA in Vizag which will not be green, but we are establishing the technology which we developed in-house and as most of you know, DCDA is not manufactured by anybody outside China. It is a complex chemistry that we were able to breakthrough, that the pilot plant will demonstrate. So, we have been very cautious in our major investments , so before we go to Kakinada to do the green plant, we are just demonstrating this year for ourselves . Also, PAP also we are putting up a small demo plant, commercial plant and later on we will scale up in Vizag . 26-27 is where we will see the real effects.

Aditiya : But if I see right for the next 2 years, we have to generate enough cash flow in order to like more give power to the more chemistry and further also , so coming to the shorter term in this 2 years since we are having a problem on the pricing and we are delaying launches for one of the quarters , so where do you see in this couple of years , you see the growth will coming in based on the commercialization of products or which area should we see that there is uptick possible here?

Krishna Prasad : Like you heard, Dr . Ram Rao and Priyanka mentioned , we are filing for a lot of products.

Already filed products, we have received some approvals, we will be receiving some more approvals as we go by. Every quarter, there will be some approvals coming in. All the new launches are going to drive the growth and we do not see cash as a major problem. There could be short-term blips like this quarter because our cash generation has slowed down, there could be small blip, but going forward we don't see a major problem in generating cash to meet our CAPEX commitments. There could be blips in a year or two, but overall, we are confident we can generate and fund these projects internally.

Aditiya: So, talking about the products, these are since Paracetamol and Metformin as we are expanding, any other specialty product we are working on which gives you the confidence that we will have a good cash flow here, if you could talk about some of the products here?

Krishna Prasad: Yes, Aditiya, I cannot name the products, but there are a lot of products that we have been working on in the past and we have launched, and they have actually taken a good shape. In fact, Granules India Limited
August 09,

2023

Page 14 of 18

we used to talk of core products which are Paracetamol, Metformin, Ibuprofen, Guaifenesin, but now if you see there are more products that have come into this basket and more and more products will be adding up. So, all our current launches, past launches have been very successful and control substances in the US also are gaining strength. So, there are a lot of products that are gaining strength and we expect new launches also to gain strength as we go by.

Aditiya: So, by next year, you would say that we would be adding one of the meaningful products, so that we will be able to see up in the slides, so that will be meaningful contribution to our revenue, or it will be all?

Krishna Prasad: Already there are some products, a few products which giving meaningful revenue and as we go by definitely the new launches also will add up. There are some very good products in the new basket.

Moderator: Thank you. We take the next question from the line of Ashish Gaur from Standard Chartered Bank. Please go ahead.

Ashish Gaur: So I just want to know the positive takeaways post this cyber security incident and is there any increase in expense related to cyber security going forward and how much time did it take to return to normalcy and this short-term working capital, which was caused because of this cash crunch, do you think it is going to subside post 3-4 quarters once that things absolutely returns to normal?

KVS Ram Rao: So on the cyber security, we have taken three different actions which are towards prevention as well as preparation of ourselves to make sure that the organization is very resilient and this includes lot of system architecture improvements as well as certain new software solutions and we continue to look forward to the new solutions and also continue to build the system architecture with external experts in such a way that this incident will never repeat and therefore this is going to have some kind of an expenditure in terms of the IT as a major area to focus upon and we continue to invest in this area.

Ashish Gaur: Do you expect the working capital that Rs.89 crores, almost Rs. 89 crores to gradually come down when the operations are normal completely?

Mukesh Surana: Yes, the working capital cycle, 170 days will dramatically come down for sure. After we ended at 132 days last year, we are at 170 days. So, we will go to normalcy and the expected plan is to improve over last year.

Moderator: Thank you, sir. The next question is from the line of Vikas Sharda from NT Asset Management. Please go ahead, sir.

Vikas Sharda: Could you also touch base upon the molecule mix performance for this quarter? I think it is not included in this quarter's presentation?

Granules India Limited
August 09, 2023

Page 15 of 18

Krishna Prasad: Vikas, very consciously, we have not given this in the presentation because the entire basket has gone through shift and the top 3 products, 4 products are no longer top 3 or 4 products, other products have replaced some of them and this information is becoming very sensitive in regard to competitors, because it goes into the public domain. So, we will not be able to give you the breakup.

Vikas Sharda: Could you give some qualitative color on like what is the share of the top 3 molecules as a trend and where do you think this ratio is expected to settle, say in 1 or 2 years down the line with new products coming in?

Krishna Prasad: Like you said, Vikas, some other products have actually replaced the order of the top products and when I give you the breakup, it really gives out a lot of information about what is happening. So, like I said, it is sensitive, we prefer not to discuss that.

Moderator: Thank you. The next question is from the line of Nirali Shah from Ashika Group. Please go ahead, ma'am.

Nirali Shah: Can you share some qualitative light

on the new product launches that are expected in second half of the year ?

KVS Ram Rao : So, the launches that we are looking at as Priyanka has just now informed that we are looking at 3 launches to at least 6 to 7 launches in Quarter 3 to Quarter 4 . Originally , we were planning to do a few launches in Quarter 2 because of the I T and cyber security issues we have to look at the launches in Quarter 3 , but suffice i s to say that we have significant number of launches where approvals have already been there, and we expect it to be around 6 and more.

Priyanka Chigurupati: Just to add to that, most of these products which you asked on the qualitative li ght, they are from our MUPS block, and they are relatively more complex products. There is a very large opportunity that is available at least in the US market, because the primary launches are in the US market, even those in the European market, which will be launching in Q3 ongoing for the rest of the year are pretty large in terms of volume and value.

Nirali Shah: And my second question is, can you update us on the development of KSM for the backward integration of Paracetamol and Metformin?

Krishna Prasad : Nirali, like I just mentioned a little while ago, D CDA is one of the key raw materials for Metformin, and we are setting up a pilot plant and then the commercial plant we will start in 25 .

In 24, we would have demonstrated the working of the pilot plant and then PAP, the other raw material for Paracetamol, we are setting up a small commercial plant in Vizag and once this is pure demonstrated and parameters are fixed, w e will build a bigger plant i n Vizag using all green raw materials in Vizag, gre en raw materials generated i n Vizag. In Kakinada , sorry in Kakinada .

Moderator : Thank you. The next question is from the line of Ms . Richa from Equity master. Please go ahead , ma'am.

Granules India Limited

August 09, 2023

Page 16 of 18

Richa : My question is w ith these new launches and products that you are coming up, where do you see the share of value added products, which is currently adding around 50% and if you could also give us sense of what kind of margin difference is there when you categorize somethin g as value added versus what is not value added. That is the first question . And the second question is , considering that we are keeping our CAPEX intact, what kind of incremental debt are you

looking at and if you could also share the peak debt that we could expect in the coming quarters ?

KVS Ram Rao : On the new launches, I think as mentioned by Chairman and in our speech, I think when we start adding new products to our overall portfolio, we see that the va lue add is going to be better and that is where we don't want to disclose a lot on the combination and also the percentage where it will be shifting . Suffice it to say that the number of new product launches both in controlled substances as well as the lau nches that we are going to do from India r arely are utilizing our capacities. I think we will be able to really see a good combination of the products changing the mix over a period of next couple of years . Coming to the CAPEX investment, I think Mukesh can talk about it.

Mukesh Surana : So, CAPEX investment we have guided. This year, we will be doing close to Rs. 700 crores including the future growth expansion. So that is intact. So, we are having the same guidance for the rest of the year.

Richa : Sir, my question was on the incremental debt that you could go for this considering that there has been some kind of slow down and delaying launches and what is the peak debt that you could expect ?

Mukesh Surana : So, there will be some increase in the debt and need to fund increase in working capital also and CAPEX also, but operating cash flow is going to be more or less sufficient if I take 2 to 2.5 years cumulatively . For the current year, there wil

I be increase in debt. We are not quantifying the debt, otherwise it would become a guidance.

Richa : And sir, I just wanted to understand some kind of if you could add some color on the margin difference when you categorize something as value added purchase on an average basis ?

Priyanka Chigurupati : Like CMD said earlier , there is competitive knowledge to a very large extent because we have the limited number of products. I think if you said value added, we have already mentioned the name s of the product, I think that will end up being a little bit of competitive information at this point.

Moderator : Thank you. We take the next question from the line of VKS Choudhary , an I nvestor. Please go ahead , sir.

VKS Choudhary : My question is about GPI, i t has been operational for about more than 3 years , but their contribution to the bottom line has been positive in only about a couple of quarters despite having had quite a few approvals from that site. Is there any reason as to why it is continuing in losses ?

Page 17 of 18

Mukesh Suran : Sorry the question was not very clear. Can you just repeat it please?

VKS Choudhary : My question is about GPI, it has been operational for more than 3 years and they had several approvals, including 3 or 2 control substances, yet their contribution to the bottomline has been rarely positive in a couple of quarters, rest of the quarters it will be negative, are there any persistent reasons as to why GPI has been drag on the Company?

Krishna Prasad : You were not very audible, Mr. Choudhary, but whatever I understood your question. I will attempt to answer that. First of all, GPI has been in existence for more than 3 years, number one and it was contributing handsomely to the bottomline a few quarters ago, but now off late last few quarters we have been discussing this all along that we had issues with our 3PL and which resulted in lot of failure to supply and also loss of sale. So, this has really impacted us and overall, even though as a standalone performance has been fairly okay, but the failure to supply from GPI had hit us. That is the main reason why GPI has not contributed much to the bottomline.

VKS Choudhary : What about control substances? I think you had about 3 to 4 approvals, but are all of them launched?

Krishna Prasad : Yes, all the products have been launched, but Priyanka, I think it is for you to give this answer.

Priyanka Chigurupati : We launched all the products, but because of the ongoing quota issue, I am sure you have seen this at the news, we are going conservatively on the quantum of market share that we capture, but needless to say, we have launched all the products at a small scale.

VKS Choudhary : You expect to ramp up like current and next quarter?

Priyanka Chigurupati : Yes, absolutely.

VKS Choudhary : My second question is about the Biotech foray?

Priyanka Chigurupati : Biotech foray?

VKS Choudhary : Yes, your fermentation plant. Are you planning to stick to pharmaceutical related products only? Or are you thinking in terms of catering to other industries like textiles etc., from the fermentation and enzyme division?

KVS Ram Rao : See, currently our focus is to stick to the pharmaceutical industry and to the portfolio that we have and we are trying to look at this from the perspective of a) making sure that our products are green, which is a part of our vision and our mission and the second one is to really look at, how do you make sure that you bring this new technologies as a long-term sustainability. So, we are going to stick right now to our own area and our own portfolio.

Granules India Limited
August 09, 2023

Page 18 of 18

Moderator : Thank you, sir. We take the next question from the line of Mr. Tushar from Motilal Oswal Financial Services. Please go ahead, sir.

Tushar : J

ust on gross margins where I see that the proportion of API segment has increased both year-over-year as well as quarter-on-quarter, still we have seen improvement in the gross margin, so anything we are looking out here?

Mukesh Surana : Yes, sure. There is an overall product mix in API and also in the FD there is overall product mix which has impacted positively on the gross margin. In addition to that, the key raw material price also has helped in improving the gross margin.

Tushar : So gross margins should subsequently improve, right with recovery in the formulation business in the coming days?

Mukesh Surana : Yes. So that is right.

Moderator : Thank you. The next question is from the line of Madhav Marda from FIL. Please go ahead, sir.

Madhav Marda : Just one quick question, the IT incident that we had, was there any one-off cost related to any consultants that we had to hire or anything else like that which you need to follow for this quarter?

Mukesh Surana : So, IT incident expenses I have covered in my speech is we have incurred about Rs. 50 million for IT expenses and also related incidental expenses such as detention and demurrages which has impacted the business.

Madhav Marda : This probably after Quarter 2 or maybe Quarter 2 onwards should not recur, right? This is related to getting things in order again?

Mukesh Surana : Some expenses would be there, but it won't be substantial.

Krishna Prasad : We still need to keep strengthening our systems, Madhav. There will be some expenses and also, we may have to sort of hire this security experts or an agency to help us with this. So that will also take up the expenses a little bit, but I don't think it will be major.

Moderator : Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Krishna Prasad : So, ladies and gentlemen, once again, thank you very much for joining us and I wish you all a very good night today and look forward to meeting you with happier results next quarter end.

Moderator : Thank you. On behalf of Granules India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line s.

Call: Nov 2023

REGISTERED OFFICE

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Date: November 16, 2023

To,
National Stock Exchange of India Limited
BSE Limited
Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,

Sub: Transcript of the Earnings Conference call for Q2 and half year of FY24.

Ref: Our letter dated 31.10.2023 for intimation of the schedule of the Earnings
Conference call for Q2 and half year of FY24 .

Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, the transcript of the earnings conference call of the Company for the Q2
and half year of FY24 is enclosed with this letter and it has been uploaded on the website of
the Company at the below -mentioned link:

<https://granulesindia.com/investors/investor-resources/earnings-call-transcripts/>

Kindly take the above information on record.

For GRANULES INDIA LIMITED

CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)
Encl: As mentioned above

Page 1 of 18

“Granules India Limited Q2 FY-24 Earnings
Conference Call”

November 09, 2023

MANAGEMENT : DR. KRISHNA PRASAD – CHAIRMAN & MANAGING
DIRECTOR , GRANULES INDIA LIMITED .
DR. KVS RAM RAO – JOINT MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , GRANULES INDIA
LIMITED
MS. PRIYANKA CHIGURUPATI – EXECUTIVE DIRECTOR
GPI & GUSA
MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER ,

GRANULES INDIA LIMITED
MR. PUNEET – HEAD - INVESTOR RELATIONS & GM
BUSINESS FINANCE , GRANULES INDIA LIMITED .
MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL .

Granules India Limited
November 09, 2023

Page 2 of 18

Moderator: Ladies and gentlemen, good day and welcome to the Granules India Limited Q2 & H1 FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Irfan Raeen from Orient Capital . Thank you and over to you sir.

Irfan Raeen: Thank you, Sharad. Good afternoon everyone. On behalf of Granules India Limited, I extend a very warm welcome to all participants on Q2 and H1 FY 24 Financial Results discussion call. Today on the call we have Dr. Krishna Prasad sir - Chairman and Managing Director; Dr. KVS Ram Rao - Joint Managing Director and Chief Executive Officer; Ms. Priyanka - Executive Director, GPI & GUSA; Mr. Mukesh Surana - Chief Financial Officer and Mr. Puneet - Head, Investor Relations & GM, Business Finance .

I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on Exchanges and on Company's website. A short disclaimer I would like say before we begin the call. This call may contain some of the forward -looking statements which are completely based upon our beliefs, opinion and expectation as of today. These statements are not guarantee of our future performance and involve unforeseen risks and uncertainties. With this, I hand over the call to Krishna Prasad sir for his opening remark. Over to you, sir. Thank you.

Dr. Krishna Prasad: Thank you Irfan. A very good evening to all of you, ladies and gentlemen. And thank you very much for attending our Q2 earnings call today. A detailed presentation of our Q2 performance has been uploaded to our website, and I'm sure all of you would have gone through it by now . Our EBITDA, PAT and other ratios have improved and will further improve in the coming quarter. Some of the launches of the approved products, both in the US and other geographies were delayed and will be launched in this and the coming quarters, which will contribute to higher revenue and resulting profitability.

On the IT incident update, production and sales have almost rebounded to their three incident base. We have fortified our cyber security measures, establishing a more robust security environment to safeguard our operations, and we have instituted a comprehensive upgrade to our systems and security protocol. While we are trying to recover the business loss, we anticipate a revenue shortfall versus the planned production and sales as part of the lost sale is irrecoverable .

Granules India Limited
November 09, 2023

Page 3 of 18

During the quarter, ANVISA audit at our Gagillapur formulations plant was successfully completed with zero critical observations. We also received approval from ANVISA for compliance with the guidance of cGMP for our Bonthapally factory . Health Canada audit was completed with zero observations for the Jeedimetla API plant . We also received the accreditation certificate of foreign drug manufacturers from PM DA Japan for the Jeedimetla facility. The construction of our new formulation facility at Genome Valley is progressing at a good pace. And we have completed the first phase during October 23 as communicated in the last con call. We are targeting to complete the next phase by May 24 with 2.5 billion dosages per annum capacity . Upon completion across all the phases by December 24 this new plant will add 8 billion doses to our finished dosage capacity. As shared earlier with this facility, along with the recently launched new Greenfield packaging facility in Virginia, USA. We now have capacity in place for us to cater to emergin

g new opportunities and demand in the near term.

Our focus on R&D over the past six quarters with enhanced outlay is geared towards fast tracking , integrated product development, building expertise in the areas of controlled substances, complex products and biocatalysis and enzymes. As of today, we have 59 approved and two tentatively approved US ANDA . Five European dossiers in the UK, six in Canada, and three in other regions, a total of 75 dossiers approved and 21 global dossiers to be approved. We have a total of 33 US DMFs, 24 CEPs, five EDMFs, eight KDMFs, four Canadian DMFs,

four China DM Fs, two Japanese DM Fs and 50 filed across several regions. We have launched four products in the US and one product in the UK in H1 23 and we expect to launch about seven products in the US, two products in South Africa, two products in the UK and two products in Europe in H2. The complete effect of which will be seen in quarters going forward.

Climate change and sustainability opportunity:

Our newly adopted purpose is healing life responsibly through pioneering green science. This is guiding us towards transforming healthcare through innovation and sustainability. We are resolute in driving a positive transformation within healthcare. Our commitment is further solidified by our pledge to achieve net zero emissions by the year 2050. Ladies and gentlemen, I would like to once again emphasize, we pledged to achieve net zero emissions by 2050. This is a very ambitious target and every person in the company is striving towards this. Earlier this year, we completed the measurement of our scope one and scope two emissions. Now we are in the process of inventorizing our complete scope three emissions as per the GHG Protocol. Making a significant stride in our journey, we have received a BB rating in our first MSCI ESG evaluation. Acknowledging our initial effort in environmental, social and corporate governance criteria. We aim to improve our rating in the subsequent years through sustained efforts and excellence in our sustainable practices. In tandem with our strategic vision, we have pledged allegiance to the science based targets initiative SBTi ensuring that our climate goals are aligned with the latest scientific consensus. Our dedication to sustainable practices resonates to the ethos

Granules India Limited
November 09, 2023

Page 4 of 18

of United Nations Global Compact, UNGC, to which we are committed, signifying our support for responsible business practices globally. A landmark in a sustainable journey, is the MOU with NIPER Mohali, handling the inception of the center of excellence, in innovative and sustainable pharmaceutical development. The envisaged outcome is a suite of innovative pharmaceutical products and processes that are resource efficient, as well as optimized for energy conservation.

Granules CZRO :

As shared during the last call, at CZRO, we are focused on strengthening our core business for backward integration of Paracetamol and Metformin in the first phase, as we are putting up a pilot plant for DCDA and a small commercial plant for PAP at the Vizag plant. We have received the technical feasibility report and we are under final review and discussions with AM Green, which is part of Greenko on the project planning for the Kakinada site, which will be our main facility for CZRO. We are targeting to start the project work at Kakinada during FY 25. With this ladies and gentleman, I hand over the call to Dr. KVS Ram Rao.

KVS Ram Rao: Thank you, Chairman. Good afternoon everyone. I wish to update you all on the progress of the transformation journey. As briefed in my last couple of conversations, there's a paradigm shift in the management of portfolio of our new products. From a traditional Para-II filing, the company has shifted its focus to Para-III and Para-IV filings. The shift in focus is followed by strengthening of

portfolio teams, R&D teams, technology transfer teams, to enable smooth integration and filing of the products. The new portfolio of the organization is aimed at not only oral solids, but also other dosage forms, leveraging the capability of Granules, technological capabilities in API, and formulations. Significant progress has happened on these dosage forms, and we expect to file new dosage forms in the near future.

At present, there are about 41 products which are under various stages of development at Granules integrated product development center. All these products are scheduled to be filed in FY24 and FY 25. Out of these 41 products, launch and approval of 16 products, day 181 launches are around 13 products. The first wave launches are around nine products, and one is an NCE - 1. To add to the numbers stated by the Chairman in his opening remarks. We are geared up to double digit filing of DMFs and ANDAs that is of strategic importance to us. The progress of our commitment is in execution of our strategy. Yet, another significant aspect of strategy is to focus on sustainable new technologies. The technology development team has made significant progress on the application of Biocatalysis to some three products, two products have completed the pilot scale and commercial production at plants. And the third molecule has completed optimizations in the lab. These three products can give significant and sustainable advantage for Granules when they are commercialized.

Global cost leadership has been one of the strategic levers identified by the organization, while the backward integration from CZRO will give us the leadership for Paracetamol and Metformin, we have started our work on additional 10 products which are critical for the organization in

Granules India Limited
November 09, 2023

terms of both profit optimization and of protecting market share in geographies of interest . The program is expected to bring in the desired results in a year from now. With this , I hand over to Mukesh.

Mukesh Surana: Thank you, CMD and JMD.

Let me take you all through the top financial parameters :

Revenue :

The second quarter revenue were Rs.11 ,895 million as compared to 11,507 million in Q2 FY23.

A growth of 3% in value terms . Volume growth year-on-year was higher as compared to the value growth. Sales in the US region grew well, partially offset by the decline in the LATAM and Europe regions . Revenue grew by 21% as compared to Q1 FY 24. The sales breakup as per the business division and geographic regions is presented in our investor presentation which is available on the website.

Value added :

Our value added as a percentage of sales for Q2 FY 24 was 51.7% as compared to 49.7% in Q2 FY23. Value added percentage as compared to Q2 FY 23 is increased by 2% points. Primarily on account of better product mix , increase in sales of formulations . Price erosions were offset by the reduction in rates of key raw materials. Value added as a percentage of sales for Q2 FY 24 is up by 0.3% points from Q1 FY 24 primarily on account of better product mix, increase in sales of formulation s. Price erosions were offset by the reduction in rates of key raw materials , and an increase d focus on product level cost reduction s.

EBITDA and EBITDA margin :

EBITDA for the quarter was , Rs.2130 million, 17.9% of sales as compared to 24 29 million, 21.1% of sales in Q2 FY 23, a decrease of 12% in value terms over the previous year, primarily on account of increase in operating expenses such as manpower and R&D, increase as part of capability and capacity building, which will drive future growth in short to medium term .

R&D:

Our R&D spend for the quarter was , 496 million as compared to 246 million in Q2 FY23 and 413 million in Q 1 FY24. We are going to continue to spend on R&D in the coming quarters as well.

Net debt :

Granules India Limited

November 09, 2023

Our net debt was 98 95 million as compared to 7 671 million at the beginning of the year. The net debt has increased by 2 224 million primarily on account of reduction in operating cash due to reduction in revenues in Q1 .

Cash -to-Cash cycle :

Our cash-to-cash cycle was 162 days in the current quarter as compared to 132 days at the beginning of the year and 170 days in the previous quarter. Th e decrease as compared to Q1 happened because of a decrease in inventory days as sales picked up this quarter post the IT incident in the last quarter .

Operational cash flow :

Operational cash flow for the quarter was 329 million as compared to 35 million in Q1 FY 24.

Increas e is primarily on account of inc rease in EBITDA and better cash -to-cash cycle compared to Q1.

CAPEX :

CAPEX spend during the quarter was 1029 million .

ROCE:

ROC E for Q2 FY 24 is 12.8% as compared to 9.3% in Q1 FY 24, primarily on account of increase in EBITDA due to the reasons stated above.

With this , I open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Megh Shah from Prospero Tree. Please go ahead.

Megh Shah: I just have one simple question. Time and again, there have been many media sources and article telling us about the sale of the company. Many times Priyanka and the promoter team both have denied such a possibility and have clarified over the same. But ag ain, in the last one week, we have again begun to hear that you are close to finalization of a sale with some private equity player. And usually media sources won 't keep sharing such things again and again for no reason at all. So, can you pleas e comment on the same?

Dr. Krishna Prasad: Okay, Mr. Shah, I understand your concern. Let me tell you , denying this over and over again and the rumors erupting over and over again is really disturbing. But in my opinion, and just to put this at rest, rather than just denying I would like to mention the initiatives which we have taken now towards sustainability, the green chemicals, enzymatic reaction, flow chemistry, so many things formulation development, green development. A nd the investments we are making

today are like a dream for us. Everyone in the company is so excited and they are working
Granules India Limited
November 09, 2023

Page 7 of 18

towards this. They're putting in their best effort and if at all, there is any intention of doing what you suggested. This is not the way we would be going. And we would not be spending our time and effort and our blood and heart into this, what we are doing. It's something what we are trying to achieve, it is something nobody has done so far I can even proudly say somebody who has something which has not been attempted so far in the world, we expect to be one of the first few companies to achieve this. And do you think we will just give up this grand dream, just for a little bit of money. Money doesn't mean much, what we have planning to do, trying to be responsible, trying to save the planet is much more important than a few 1000 crores. I don't think, I can add more than this. And I wish people are convinced and the media stops this type of rumors.

Megh Shah: We completely understand it, just that the media reports keep on coming again and again. So, as investors we are just a little bit concerned, that's all

Dr. Krishna Prasad: I understand it, but I'm sure I don't know if you are convinced, but I don't know what more convincingly I can say, this is the best answer I can put forward.

Moderator: Thank you so much. The next question is from the line of Suresh Agarwal, who's an Individual Investor. Please go ahead.

Suresh Agarwal: Sir we are on expansion spree from last few years, but it's not generating any profit or rewards for shareholders. We are

in the range of 100 to 140 crore profit range, our expenses on all fronts increasing, but not fruitful. Please throw a light on this?

Dr. Krishna Prasad: Suresh, if you see, your statement saying we have not grown may not be right, if you see our last five years of CAGR on both top line and bottom line are about around 25%. So, both bottom line and top line are growing at 25%. And I think it's a decent growth in my opinion, some companies may have a quicker growth but Granules has been growing sustainably. And this growth is just not over the last five years. Even if you see the last 15 years, the CAGR is almost like that. And it's in proportion to our investments too. And without investments, you can never get growth, some investments may take a little time to pay off, some pay off immediately. So, this is what is happening and we have been investing very responsibly, prudently. And even in CZRO. It could be a dream, but we are also responsible. We are not investing blindly, if we are putting pilot plants, demonstrating our ability to make green products, and only after that we are going to the next stage. So, I have to say that we are growing, and our investments are paying off and will continue to pay off.

Suresh Agarwal: So, do we have any dividend policy in the company?

Dr. Krishna Prasad: We have a dividend policy, which Mukesh will explain.

Mukesh Surana: So, we do have a dividend policy and it is also put out in our website you can take it and it's a pretty standard dividend policy.

Granules India Limited
November 09, 2023

Page 8 of 18

Suresh Agarwal: So, can you give some light on that?

Mukesh Surana: So, you can take it offline, but it is there in the stock exchange in our website, but in the policy, we are not saying specifically percentage payout and all, it depends on profit and results and also availability of cash flow and depending on the future expansions.

Dr. Krishna Prasad: Mr. Agarwal, let me also add, I think we have been one of the, okay I don't want to say but I personally feel we have been very liberal and we have rewarded our shareholders liberally. In the last three years, four years if you see we had two buybacks, which are more interesting than even a dividend, we also had dividend last year of close to about 80% or 90% in addition to the buyback. So, buyback was about around 270 crores and that's been very liberal and two years before that, we had another buyback. So, we have been quite liberal in our rewards to the shareholders. In fact, we have been criticized by many investors for wasting money to some extent, they feel that we should have kept it for our expansion.

Suresh Agarwal: Thank you sir. We hope that the company actually in the first few years, actually I am invested since 2011, it has rewarded a very good in 2017-18, but after that the company has become lethargic, like we are expanding in the America and all these, we have put a plant there, Priyanka is looking after that, only revenue is generating there is no profit from there. So, we are in some vicious circle of expansion and expansion and growth and growth, but not reflecting truly in the balance sheet. So, it's my suggestion please do something like our Unit-5 we have done molecules also, but it has not been materialized now, like our new JMD he is also going for expansion in some other fields. So, please, consolidate. We are long term investor we are with you.

Dr. Krishna Prasad: We understand, but Mukesh maybe you can wrap up this question.

Mukesh Surana: Sure. So, since 2011 which you are mentioning, if you see our return on capital employed, return on equity, net debt to EBITDA, in all the parameters we have done extremely well. So, we are ensuring that we are also growing and also we are ensuring that our balance sheets and financials are healthy. So, that's what I could say.

Moderator: Thank you so much. The next

question is from the line of Harith Ahamed from Avendus Spark.

Please go ahead.

Harith Ahamed: I'm looking at the segmental break up of revenues, and the F D sales has increased sharply on a quarter-on-quarter basis. And looking at the geographic mix as well, it's the US market which is also seeing a sharp increase on a quarterly basis. So, it appears that we've done quite well in that market on the formulation side. So, what exactly is driving this, are there some specific launches or it's the general pricing and demand environment that we are seeing in that market?

Dr. Krishna Prasad: Okay, Priyanka is going to take that.

Granules India Limited

November 09, 2023

Page 9 of 18

Priyanka Chigurupati: Hi, good evening. Like you rightly said, the US market grew quite significantly this quarter based on our formulation growth. The only thing I would like to add to that is, while new launches certainly are responsible for some of the growth. I think, most of the growth for this quarter came from existing products and the one stance that we have always taken is that, once we enter a molecule we don't really exit because we work on constant cost improvement activities, we work on sustainability which CMD also mentioned earlier in this call about sustainability being a cornerstone for our growth. So, considering all that, I do want to point out that most of this growth came from our existing molecules where other companies could not sustain or supply some product. So, that's where the major formulation growth came from.

Dr. Krishna Prasad: You see our PFIs has come down a bit, most of our PFIs customers are converting to finished dosages that's the reason these are also growing a bit.

Harith Ahamed: Okay. So, we can look at a similar run rate in the coming quarters, and maybe growth on top of this level going forward?

Dr. Krishna Prasad: There could be changes here and there, but definitely this is the ratio and like I always mentioned, FDs will be going up and PFIs and APS will be coming down as we go. As you go up the value chain. And this can be seen quarter-on-quarter.

Harith Ahamed: Okay. So, I'm looking at the employee cost for the quarter and for the first half, there's a significant increase on a Y-o-Y basis. And this is largely responsible for our EBITDA margins being a bit muted despite the expansion that we've seen on the gross margin front. So, what is leading to this, Y-o-Y increase in employee cost, have we commissioned some new facilities and you said there is an element of higher R & D spend, but it looks quite high even after factoring that?

Dr. Krishna Prasad: Okay, we basically our MUPS block is fully operational now. And we have beefed up manpower for extra revenue. Because there was still some delay in launches resulting from offshoot of IT incident the launches were delayed, and I mentioned in my last call, Q2 also will be hit to some extent that has happened. So, this manpower is built for higher revenue, and we are working toward higher revenue. And also another reason for extra manpower is in addition to R&D is packaging sites in the US, new packaging site which we have built in Virginia, that is fully operational now people are there, but is yet to stabilize, we expect that end of Q4 the plant will be generating cash, and then the whole manpower is going to be justified. But we had to put in people ahead of the actual return coming in. And again, we talk about R&D, R&D manpower has also gone up quite a bit. Dr. Ram Rao would add. You want to talk about how many people we have?

KVS Ram Rao: Yes, so we have both API and formulations put together we have ramped up the manpower by almost 50% compared to last year. And that is clearly reflecting in our productivity of R&D. So, we are geared up for the future growth both in operations as well as in our R&D filings.

Granules India Limited

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November 09, 2023

Page 10 of 18

Moderator: Thank you so much. The next question is from the line of Nikhil Yadav from Motilal Oswal Services Limited. You may go ahead.

Tushar: Tushar here. Sir just extending the earlier comment, so with new launches like Metoprolol. So, Metoprolol is launched is the first question?

Dr. Krishna Prasad: No, that's what I was referring to as delays. Metoprolol is not launched, there are few other products where validations are just getting completed and will be launched by the end of this

quarter, or early next quarter.

Tushar: Okay. And so that should then ideally further drive the US sales going forward?

Dr. Krishna Prasad: Yes, that 's the whole expectation it should .

Priyanka Chigurupati: Tushar , just to add to that we have about seven launches planned in the US and the UK and one in Europe over H2. So, the next two quarters you 'll see quite a bit of an increase in formulation growth .

Tushar: Understood. A nd just on the raw material or let say the gross margin side if you could bifurcate the benefit in terms of due to the segmental mix change and due to the lower raw material cost ?

Mukesh Surana: I will clarify Yadav. T he raw material cost benefit and cost improvement benefit is largely offset by price erosions also and product mix also , the major improvement has happened because of increase in the ratio of formulation sales.

Tushar: Okay. And secondly, even on the other expenses side it has now moved almost up to 250 crores. So, now that the MUPS facility is operational and even the packaging si te is operational. So, should this be considered as a base going forward ?

Mukesh Surana : This is to be considered as base and some of the results will start coming from Q4, Q1 onwards .

Tushar: And I missed the net-debt number if you could just share at end of first half FY24?

Mukesh Surana : Net debt is 990 crores.

Moderator: Thank you so much. The next question is from the line of Rahul V eera from Abakkus . Please go ahead.

Rahul Veera: Just a quick question on the Genome Valley formulation facility , if the CAPEX is on track starting this quarter ?

Dr. Krishna Prasad: Yes Rahul, its on track but the first thing that we actually , we did a puja few days ago, that is for the pilot plant. And now there is a manufacturing section, which will come up in another six months, with 2.5 billion capacity and maybe end of December of calendar year 24, the entire Granules India Limited

November 09, 2023

Page 11 of 18

capacity of 8 billion will be online, if everything is on track, we will be making some filings from the pilot plant in the next month. And which will trigger off an inspection from the FDA . And by the time the site is approved, we would have had the capacity running , a few months here and there .

Rahul Veera: Sir so over the n ext six months other than Metoprolol , which could be the other large key molecule where our expectations are very high ?

Dr. Krishna Prasad: I don't think we can share the products but we do have quite interesting molecules. And as and when we launch maybe you will be understanding or as you keep tracking our approvals also you would understand , but I don 't think we should be naming these products ourselves.

Rahul Veera: Which are the ones where our expectations are very high , which are in the public domain but our expectations are very high like two key molecules, because for H1 we have done 2000 crores of top line and our ideal guidance in the last quarter was 20% on last year 's base s, 4500 crores was the topline in FY 23. So, to move to 5 400 crores of topline we have to do like 1700 crores over the next two quarters each.

Dr. Krishna Prasad: This quarter there is some , this year there is a loss sale which cannot be recovered. But still, all I can tell you is there are good launches which we are sure we can pick up , we have already b

een

talking to customers. There 's a good traction happening , they cannot name what it will be but definitely it 's interesting and exciting. But again, I have to remind you we cannot keep looking on quarter -on-quarter, its a long term strategy we are playing , even though we are confident of the next few quarters and we will be seeing good improvement .

Rahul Veera: Sure sir. A nd our CAPEX is 700 crores for this full year FY24?

Mukesh Surana : So, our CAPEX is 700 crore is the guidance we had given , we have spent so far about close 180 crores , and we probably would spend another 400 crores or so in the H2.

Moderator: Thank you so much. The next question is from the line of Madhav Marda from FIL. Please go ahead.

Madhav Marda: Just wanted to understand on in the beginning of the call, sir mentioned about EBITDA ratio for us to improve in the coming quarters, just if you could remind us what are the key drivers is it basically newer launches, which have seen the better margin and then operating leverage from the fixed cost that we have added , is that the right way to look at the drivers of the margin improvement?

Dr. Krishna Prasad: Madhav as I mentioned a little while ago, the entire infrastructure is now built for higher capacity. Now, we need to produce high which we will and sell them. And this is also be partly driven by existing molecules in new geographies, like I said, we have some approvals in Europe, South Africa and all, and also new products in US. So, these are the new launches , plus increase in existing products which will drive growth.

Granules India Limited

November 09, 2023

Page 12 of 18

Madhav Marda: Got it. And also, if you could just remind us of our basically Paracetamol which we wanted to sell more in outside of the US market, how is that scale up happening for us, like Europe, et cetera or South Africa?

Dr. Krishna Prasad: We've got quite a bit of approvals more than 50% of those are Paracetamol in Europe and South Africa, UK. So, the Paracetamol in these geographies is growing in the form of formulations. And in the same market, the API sale of Paracetamol we expect will be coming down as formulations increase.

Madhav Marda: And obviously, formulation should be better margin than selling API?

Dr. Krishna Prasad: That's right, the product mix is what will drive the margins as we graduate more towards FDs the margins also should keep changing. That's the expectation we had all these years and we keep harping on that. But without the support of APIs and PFI the whole equation is not worth it.

Madhav Marda: And sir the IT incident, there was some impact in the early part of the Q2 as well. You all did quantify, in Q1 there was about 150 crore of sales impact, anything that you could share for Q2, how much was that impact for us, in the early part of the quarter?

Dr. Krishna Prasad: It is a little difficult to quantify that Madhav, because some of the launches were delayed too. It's not only the production, but I'm happy to say that the last month of the quarter was normal, we have return to normalcy that's why I said in my opening statement, we are back to near normalcy. We are in a normal state of running right now.

Madhav Marda: So, basically like Q3 we should see full normalize operation now, there's no like issue?

Dr. Krishna Prasad: Q3 should be a normal operation as anticipated in the past.

Moderator: Thank you so much. The next question is from the line of Varun Basrur from Julius Baer. Please go ahead.

Varun Basrur: So, a couple of questions. Number one is that, there has been some inventory built up, I'm assuming this is in line, this is to support whatever launches are happening in H2, has there been an element of, will there be some sort of write off, in line with whatever lost sales have been, we have done in the first half, that's my first question. The second question is, there have been

ave been

issues in the last couple of, last three quarters also first with the three PL changeover and then with the cyber-attack. Is there any element of this which is going to come into H2, or just if you could reiterate over that, and that's all from my side, and Happy Diwali to all the participants.

Dr. Krishna Prasad: Okay, Mukesh will be planning to take that.

Mukesh Surana: Varun it's a valid observation, the inventory built up has happened and also largely for the new launches, and also to serve the US region, because we need to carry some inventory in USA to Granules India Limited

November 09, 2023

Page 13 of 18

serve there. And there are no such issues in terms of inventory write off or anything or loss of sale or anything in H2, so these are inventory built up to serve launches and the expected sales.

Varun Basrur: And OPEX there was some issue with third party logistics switch over, that entire thing is behind us at this point or is there some spill over just want to ask that?

Mukesh Surana: The expenditure has substantially come down almost to negligible, I would request Priyanka to add on to it.

Priyanka Chigurupati: I just want to add one point in the transition to our new 3 PL has completed. And we've seen very significant improvement in our OTIF rates. So, there might, this past quarter we might have had a very small spillover, and possibly a very small spill over the next quarter, but there's nothing that is substantial enough to discuss right now.

Moderator: Thank you so much. The next question is from the line of Vikas Sharda from NT Asset Management. Please go ahead.

Vikas Sharda: Couple of questions. One is on the product mix, you talked about increasing share of formulations and this quarter it is over 60%, any guidance you can give on where do you think the share can go up to say in next two to three years?

Mukesh Surana: So, two to three years should be in that range, but quarter-on-quarter, we should not be tracking so this quarter let's say whatever we show whether it will be same in Q3, Q4 difficult to answer but year-on-year it should be in that range and going forward it will go beyond 60%.

Dr. Krishna Prasad: Why don't we take the next question and come back to Vikas.

Moderator: Yes. So, we will take the next question from the line of Mr. Yash Malhotra from JM Mutual Fund. Please go ahead.

Yash Malhotra: I just would like to know your current optimization levels and where do you plan to take it further?

Mukesh Surana: So, the optimization levels have to kick in Q3 onwards. So, as Chairman has explained, we have taken a higher expenditure in quarter two, the optimization and automation, effectiveness will start from Q3 onwards. Is that the question, have I answered the question what you raised?

Yash Malhotra: Okay, on those levels as in percentage ?
Mukesh Surana: Sorry.
Yash Malhotra: I understand , you expect to kick in Q3 onwards ?
Mukesh Surana: That's right.
Granules India Limited
November 09, 2023

Page 14 of 18

Moderator: Thank you. The next question is from the line of Nirali Shah from Ashika Group. Please go ahead.

Nirali Shah: So, in the last we had actually mentioned that the legacy , that our top legacy products were no longer the top products that is the Paracetamol, Metformin, Ibuprofen, and that the second order will change and probably these products will be replaced by more complex products for the upcoming. So, if you could update us on this, these products ?

Dr. Krishna Prasad: Nirali , the legacy products will always keep growing , always maintain, there 's a lot of market for those products and new geographies. And they continue to grow while in the new market , new products while we launch which will be better profitable. And volumes may not be the same level. But going forward in the next one or two years, we still see that our legacy product will at

least be more than 65% and the rest of this are new products. Even though the margins may vary, but the sales mix will be somewhat like that.

Nirali Shah: Okay, thanks. And my second question is, can you also update us on the backward integration projects, namely DCDA and PAP?

Dr. Krishna Prasad: DCDA we have put up a small pilot plant because this is a technology being implemented by us first time in the world and patented technology. So, we just wanted to start with a pilot plant and then go on to the main plant, the pilot plant will start in February. And meanwhile the planning for the main plant is on , the equipment also has been ordered and that should start sometime in FY25 for DCDA. And for PAP we are planning to start a mini commercial plant in Vizag . Along with the DCDA, which should happen next year, the reason of starting in Vizag, Kakinada site where we plan to do CZRO and all the greens, chemicals and intermediates is still not ready the power has to come in. Rather than waiting , we just wanted to start something, run it and master the whole art . And then by the time the site is ready, we 'll be ready to go there .

Moderator: Thank you. The next question is from the line of Mr. Varun Mishra , who is an Investor . Please go ahead.

Varun Mishra: Actually, I just had one question. Like we have seen the raw material prices have come down in this current quarter. So, do we see the similar trend to continue for the rest of the year or is like the prices it has stabilized ?

KVS Ram Rao : We see that the raw material prices have come down, we believe that it has touched its bottom plateau. And we will continue to monitor it as the signals from the external world keep coming in. But as of now, it is at a reasonably low level.

Moderator: Thank you so much. The next question is from the line of Nagesh Motamarri , who was an Individual Investor . Please go ahead.

Nagesh Motamarri: I would like to know about the debt component, is it in Indian rupees or foreign currency debt , and what is the cost of the debt?

Granules India Limited
November 09, 2023

Page 15 of 18

Dr. Krishna Prasad: Before , CFO takes that question, I just want to tell you Nagesh , thank you very much for the congratulatory message. But we all realize we have a long way to go , we're working towards it.

Nagesh Motamarri: Yes, it's a continuous process, it 's not a destination.

Dr. Krishna Prasad: Yes, it is a continuing process, and we are trying to make up for lost ground . Mukesh you can go ahead and answer that.

Mukesh Surana: So, our borrowings are in foreign currency and it 's a mix of long term loan as well as short term working capital and we are borrowing in SOFR plus effective spread so which is at a very competitive rate.

Nagesh Motamarri: Okay, what is the component of working capital and the term loans ?

Mukesh Surana: Sorry, what is the ?

Nagesh Motamarri: Breakup of the total debt?

Mukesh Surana: So, out of 990 crore , 150 crore is long term.

Nagesh Motamarri: Okay, the balance is the working capital ?

Mukesh Surana: Yes.

Nagesh Motamarri: And by any chance you are in the PLI scheme ?

Mukesh Surana: So, currently, we have applied for PLI scheme for our new DCDA project , other than that there are no other PLI schemes.

Nagesh Motamarri: Okay. And no dividend has been declared for this quarter right ?

Dr. Krishna Prasad : No.

Nagesh Motamarri: Will there be a quarter we have been getting some interim dividend retirements ?

Dr. Krishna Prasad : We will go for a final dividend, at least that will be a sizable number.

Moderator: Thank you so much. The next question is from the line of Rahul Veera from Abakkus . Please go ahead.

Rahul Veera: By any chance, any update is there for the DCDA getting the PL I approval for us?

Granules India Limited

November 09, 2023

Page 16 of 18

Dr. Krishna Prasad: It's approved actually,

we have approval for DCDA, it's for 8000 tonnes, we don't want to go

beyond that. Even though our plans for manufacturing is 30,000 tonnes, when we applied, we applied only 8000 , because there 's a liability if you don 't get to that number fast.

Moderator: Thank you so much. The next question is from the line of Shivendra NS , who is an Investor. Please go ahead.

Shivendra NS: I just have one clarification not sure if it's already covered in the call, what is the updates of the IT issue and how did you see that , did you see that impacting margins going forward or is this done and has been resolved and it's in the past?

KVS Ram Rao : So, the IT issue , whatever we have faced in the quarter one. It had a spillover effect till middle of the next quarter and we are currently resolved all the issues and as pointed out by Chairman in his speech , and later that the last month has been normal. And we are absolutely back on track for the regular production and dispatches. And all operations have become normal and although it has got its own regularization happened last month, but it had its impact in terms of the revenue, which was also stated in the speech of the Chairman.

Dr. Krishna Prasad: And going forward , the last part of your question , we have taken enough security measures, we've done a lot. And we are at a much, much , much better state of preparedness to face the cyber -attack . People keep getting attacked every day. And we keep monitoring what 's happening.

Moderator: Thank you so much. The next question is from the line of Tushar Bohra from MK Ventures. Please go ahead.

Tushar Bohra: Sir, quickly couple of questions. First, in the last couple of years something or the other has continued to bog us down in terms of execution. We hit a quarterly high somewhere in mid-2020 about 164 crores of PAT and then obviously a lot of things have happened since then. But it would it be safe to assume that, with the IT incident and the third party logistics issue behind us, we can look at next few quarters strong set of execution and on a much higher revenue base. Can we expect that, we can have much better profitability, should we look at most of these execution challenges or sporadic issues are now behind us. And we can look for a few quarters of really strong execution net growth for the company?

KVS Ram Rao : IT issues are almost behind us and the raw material prices have started stabilizing much lower , at a lower level. So , the residual impact of some of these issues on the execution will be there for or a quarter or so. But as we expect the operations coming back to normalcy, and then the execution going to a highest level, our capacity is coming up in quarter four and quarter one, you can see progressively there will be a very good improvement. And we are all striving to achieve that.

Granules India Limited

November 09, 2023

Page 17 of 18

Tushar Bohra: Got it sir. And the sharp formulation growth in US, is it more to do with your core molecules , like something to do with the core molecules or is it the newer molecules have now started to contribute at a higher run rate ?

Priyanka Chigurupati: I'll take that question. It 's a mix of major products, some of which are some dosage forms of the core molecule, but also a lot of them are from previously launched non -core molecules. And this primarily came from GP I.

Tushar Bohra: So, ma'am like, since the new products typically, they have given the granules strategy of gradually looking at market share increases and sustainably building the products over several years, can we say that we are finally starting to get meaningful traction from some of our launches over say FY 21 to 23 ?

Priyanka Chigurupati: If you look at the IMS numbers for our market shares, we 've picked up market share quite fast for most of our major products. And there are some changes that I mentioned earlier in my

discussion that have happened in the market, which have enabled us to pick up more market share and or potentially change some level of pricing with customers, because our competitors in the market , the competitive landscape in the market changes little bit. So, to answer your question, yes we have increased market share quite a bit. But it 's not something that has grown gradually. This has, we are seeing the market dynamics change, and this is of granules backward

integration and all the other pillars that we have to support our front end, we 've been able to increase prices to a certain extent , very certain extent and then sustainably grow market share.

Dr. Krishna Prasad: Just to complete that , fully answer your question, some of the new launches we were able to get a very good market share.

Tushar Bohra: So, therefore sir, just a follow up on this, so therefore we should be able to see a more consistent increase further from here on , the overall traction in US. And assuming that the incremental sales also pick up in Europe, once you have fully normalized from Q3 and beyond. Can we expect that the overall contribution from formulations will continue to trend up or remain strong in percentage terms?

Priyanka Chigurupati: Absolutely, you'll see an increase in trend of formulation in absolute terms. Like I mentioned earlier, in this call, we have seven launches over the second half, most of which the market shares which will be seen through the next couple of quarters. So, outside of that , we also have new products being approved in the next fiscal year, like Dr. Ram Rao mentioned, we have a double digit ANDA filing that we are aiming to achieve this year all those products and some of the products might be approved in FY 25. And there 'll be a continuity of it in FY26. So, at least will be a strong pillar of our growth globally , supported very strongly by our growth and investment into PFI s and APIs .

Tushar Bohra: Great. Just one last on the overall strategic initiatives going forward. So, we see a lot of emphasis in the last few quarters on R&D and innovation and also the work that is being done in controlled

Granules India Limited

November 09, 2023

Page 18 of 18

substances and new technologies, which was also mentioned earlier in this call, maybe if you can highlight few more qualitative details and as well as highlight the path to commercialization of these new molecules or these new initiatives across enzymes and biocatalysis as well as some of the work that has been done of the Pune laboratory ?

KVS Ram Rao: Yes, highlighting down the qualitative side definitely, on the enzymes we have gone ahead with the three molecules as I mentioned in my speech, and then we will be looking forward to commercialization of at least two molecules in the coming 12 to 14 months , commercialization plan. And then when we really look at the entire portfolio, it is very, very clearly mentioned that we have different types of products. And we are also looking at something slightly outside the overall solid forms , first wave launches and also we are looking at NC E-1 filings, all this endeavor is from the strategic side is to ensure that we have a very healthy pipeline and focused on Day-1 launches. So, with our propensity to pick up market shares, through the Global cost leadership, backward integration, we will be able to clearly see that as the pipeline keeps filling up year-on-year. And these are all the launches which are likely to happen if things go well, but project six to 30. So, with that type of a mid-term and short-term plan together in the portfolio, as what Priyanka has very clearly stated, we will be seeing the launches, and we will be seeing actually the market share picking up for these new products. And , I have also stated in my speech that, we are also looking at global cost leadership. And this is very important from the perspective t

hat always the generic pricing in the markets, both US and Europe is going to go down. So, should we need to compete, then cost leadership is an important element. And therefore, as an overall strategy, we have portfolio, we have largest from approval products to the wave ones to the Day-1s and to NCEs , and then cost leadership , everything put together should give a lot of value to organization in the next couple of years.

Tushar Bohra: Thanks, just one last if I may squeeze very quickly. Be you mentioned on the formulation side , have any of the new products already surpassed Methocarbamol and Guaifenesin for us in terms of contribution to revenues on an annualized basis ?

Dr. Krishna Prasad: Yes, a few products that have been far better than them.

Moderator: Thank you. In the interest of time, that was our last question. I now would like to hand the conference to the management for closing comments.

Dr. Krishna Prasad: Once again, thank you very much, ladies and gentlemen, for attending this call. I would like to end this on a very positive note saying that , we do expect to do better quarter -on-quarter and we will all be seeing better results going forward. So, with this, I wish you all a very Happy upcoming Diwali . Thank you very much.

Moderator: Thank you . On behalf of Granules India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: Jan 2024

REGISTERED OFFICE

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Date: January 25, 2024

To,
National Stock Exchange of India Limited
BSE Limited
Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,

Sub: Transcript of the Earnings Conference call for Q3 of FY24.

Ref: Our letter dated 11.01.2024 for intimation of the schedule of the Earnings Conference call for Q3 of FY24.

Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings conference call of the Company for Q3 of FY24 is enclosed with this letter and has been uploaded on the website of the Company at the below -mentioned link:

<https://granulesindia.com/investors/investor-resources/earnings-call-transcripts/>

Kindly take the above information on record.

For GRANULES INDIA LIMITED

CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)

Page 1 of 17

“Granules India Limited Q3 & 9M FY24 Earnings
Conference Call”

January 23, 2024

MANAGEMENT : DR. KRISHNA PRASAD CHIGURUPATI – CHAIRMAN AND
MANAGING DIRECTOR
DR. K.V.S RAM RAO – JOINT MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MS. PRIYANKA CHIGURUPATI – EXECUTIVE DIRECTOR
MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER
MR. PUNEET VARSHNEY – HEAD INVESTOR
RELATIONS & GM FINANCE

MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL PTY LTD.

Granules India Limited
January 23, 2024

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to Granules India Limited Q3 and 9 months FY24 Earnings Conference Call .

As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Irfan Raeen from Orient Capital. Over to you, sir.

Irfan Raeen: On behalf of Granules India Limited, I extend a very warm welcome to all participants on Q3 and 9 months FY24 Financial Results Discussion Call .

Today on our call, we have Dr. Krishna Prasad sir – Chairman and Managing Director; Dr. K.V.S. Ram Rao sir – Joint Managing Director and Chief Executive Officer; Ms. Priyanka ma'am – Executive Director (GPI & GUSA); Mr. Mukesh Surana – Chief Financial Officer; and Mr. Puneet – Head (Investor Relations) & GM (Finance).

Before beginning with this call, I would like to give a short disclaimer :

This call may contain some of the forward -looking statements which are completely based upon our beliefs, opinions, and expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

With this, I would have to hand over the call to Krishna Prasad sir for his opening remarks. Over to you, sir.

Dr. Krishna Prasad: Thank you, Irfan. A very good evening to all of you, ladies and gentlemen. And thank you very much for attending our Q3 Earnings Call today.

A detailed presentation of our Q3 FY24 performance has been uploaded on our website. And I'm sure all of you must have gone through it by now.

We had a stable Q3 after the I T incident had an impact on our previous 2 quarters' performance. Our Finished Dosage contribution during the quarter had increased to 66% resulting in an improved VA of 57% and improved EBITDA of 21.7% for the quarter. Our operating cash flow for Q3 stood at Rs.188 crores, driven by better collections and an improved EBITDA margin. Our operational expenditure is higher compared to the previous year, driven by higher manpower cost, which is built for higher revenue and growth.

We expect the Formulation segment to drive the volume growth in the short -to-near term, primarily in North America and Europe. We are gearing up our Finished Dosage capacity to cater to this incremental demand. The construction of the new Formulation facility at Genome Granules India Limited

January 23, 2024

Page 3 of 17

Valley as part of Granules Life Sciences is progressing at a good pace. This plant when fully completed will add another 8 billion dosages to our Finished Dosage capacity.

We inaugurated the pilot plant at this site in the month of November 2023. In addition to new filings, commercial supply of monograph tablets is expected to start in Q2 FY25 which will gradually be ramped up during the coming year to go up to 2.5 billion capacities in the first phase. We expect the second phase to be completed by Q3.

During the quarter, we received approvals for 3 ANDAs from US FDA and 1 EU approval.

Launches of these and a few previously approved products were delayed, and we expect to catch up in the next few quarters. During this quarter, we filed 2 ANDAs for the US. As of today, we have 62 approved and tentatively approved US ANDAs; 8 European dossiers, two in the UK, six in Canada, and three in other geographies – a total of 75 dossiers approved and 21 global dossiers to be approved. We have a total of 36 US DMFs, 24 CEPs, 5 EDMFs, 9 KDMFs, 5 Canadian DMFs, 5 Chinese DMFs, 2 Japanese DMFs, and over 50 filed across several regions. We are anticipating a higher number of ANDAs filing during Q4 FY24 and according

gly a higher
R&D outlay.

At Granules India Limited, sustainability is a core element of our DNA. We are committed to healing lives sustainably through pioneering green science. I am happy to share that Granules India Limited has been honored with the prestigious Economic Times RE -Pharma Award for Excellence in contribution towards sustainability. This recognition is not just an honor but a significant motivator bolstering our confidence to continue our journey with conviction. At CZRO, a green pharma initiative, we are focusing on strengthening our core business for backward integration of paracetamol and metformin in a sustainable manner. In the first phase at Vizag, we are putting up a pilot plant for DCDA and commercial production of PAP. The DCDA plant at Vizag with a capacity of 108 tonnes per annum is expected to start by Q4 FY24. The PAP plant at Vizag with 10,000 tonne capacity is expected to be completed by the end of FY25. The project work at the main Kakinada plant is expected to start in FY25.

Over the past 2 years of organizational transformation, we have strengthened the organization and the leadership at R&D, operations, and other functions. The focus now turns to further strengthening the sales & marketing organization. I am pleased to announce the joining of Mr.

David Gonzalez as CMO of B2B business. David joins us from Polpharma, and he has been previously associated with Teva and Glenmark Life Sciences in global roles. Most importantly, we have also strengthened our board by inducting Mr. Sethurathnam Ravi as Independent Director. Mr. Ravi was and is on boards of many prestigious companies in the public and private sectors in various capacities including Chairman in some of them. We have also inducted Ms. Priyanka Chigurupati as Executive Director. Priyanka will be responsible for global marketing, portfolio, and new product launches.

With this, ladies and gentlemen, I hand over the call to Dr. K.V.S. Ram Rao.

Granules India Limited

January 23, 2024

Page 4 of 17

Dr. K.V.S. Ram Rao: Good evening everyone. As briefed in my last couple of conversations, there is a paradigm shift in the management of portfolio of new products from the traditional Para 2 filing, the company has shifted its focus to Para 3 and Para 4 filings. The shift in focus is followed by strengthening of portfolio teams, R&D teams, and technology transfer teams to enable smooth integration and filings of the products. The new portfolio of the organization is aimed at not only oral solids but also other dosage forms, leveraging the capability of Granules' technological capabilities in API and formulations. Significant progress has happened on these dosage forms, and we expect to file new dosage forms ANDAs in the next financial year. The mix of portfolio includes launch on approval, Day 181, first to launch, and NCE -1 products. Most of these products are in the area of non-oncology.

Granules has built excellent infrastructure in APIs and formulations in oncology at our Vizag facility. We have started building a very strong portfolio of oncology products. The dosage forms of oncology products include oral solids and others. The portfolio, again, is focused on Day 1, NCE -1, and first-to-launch products. The approach here is also global product development.

This should enable us to leverage our infrastructural and R&D capabilities and build a very strong oncology pipeline for the organization. This strategic shift in portfolio has led us to build platforms around the strength of Granules and the global product development should enable us to become a strong player in most of the chosen geographies including the US.

I'm happy to say that this year, we will have double-digit filing of DMFs and ANDAs including Quarter 4, the progress demonstrates our commitment in execution of our strategy. This is going to increase the R&D spend in Quarter 4. Yet another

significant aspect of strategy is to focus on

sustainable new technologies. The technology development team has made significant progress on application of biocatalysis. Two products have completed the pilot scale and commercial production plants are under preparation, and the 3rd molecule has done the optimization in the lab and we are planning to commercialize the product.

Global cost leadership has been one of the strategic levers identified by the organization. While the backward integration from CZRO will give us leadership for paracetamol and metformin, we have started our work on additional 10 products which are critical for the organization in terms of both profit optimization and protecting market share in geographies of interest. The program is expected to bring in the desired results a year from now. With global product development as the chosen portfolio in oncology and non-oncology products, we have now embarked on a commercial excellence program. This program will serve as a catalyst for our business growth and business building in both new and existing commercial portfolios across the chosen geographies. To accomplish this, we have recently appointed a new Chief of Sales & Marketing as explained by the Chairman earlier.

We are also actively reinforcing our commercial team to ensure we have the necessary talent and expertise to expand in these chosen geographies. This also includes our capabilities in regulatory filings and addressing the nuances of regulatory requirements across the geographies to enable smooth market entry and long-term success. This leadership capability building,

Granules India Limited

January 23, 2024

Page 5 of 17

excellence in our commercial processes, and customer centricity will be instrumental in the success of this program. This should result in larger market opportunities and drive profitability and growth for the organization.

With this, I hand it over to Mukesh, CFO.

Mukesh Surana: Let me take you all through the top financial parameters now.

Revenue:

The 3rd quarter revenues were Rs. 11,556 million as compared to Rs. 11,461 million in Q3 FY23, a growth of 1% in value terms. Sales in the US region grew well, led by both existing and new products. Revenue declined by 3% as compared to Q2 FY24. The sales breakup as per business division and the geographic division are presented in our investor presentation which

is available on the website. You can see that the focus on Formulation sales has increased resulting in the momentum shifting from API and PFI to Formulations.

Value Added:

Our value added as a percentage of sales for Q3 FY24 was 57% as compared to 48.4% in Q3 FY23. The value-added percentage as compared to Q3 FY23 has increased by 8.6% points, primarily on account of better product mix - increase in sales of formulations. Price erosions were more than offset by the reduction in prices of key raw materials. The value added as a percentage of sales for Q3 FY24 is up by 5.3% points from Q2 FY24 as well, primarily on account of better product mix - increase in sales of formulations coupled with the reduction in rates and prices of key raw materials.

EBITDA and EBITDA margin:

EBITDA for the quarter was Rs. 2,505 million which is 21.7% of sales as compared to Rs. 2,313 million, 20.2% of sales in Q3 FY23, a value growth of 8% over the previous year primarily on account of better product mix. EBITDA for Q3 FY24 is up by 3.8% points from Q2 FY24 with a value growth of 18%, primarily on account of better product mix - increase in sales of formulations, coupled with reduction in price of key raw materials.

R&D:

Our R&D spend for the quarter was Rs. 468 million as compared to Rs. 229 million in Q3 FY23 and Rs. 496 million in Q2 FY24. We are going to continue to spend on R&D in the coming quarters as well.

Granules India Limited
January 23, 2024

Page 6 of 17
Net Debt :

Our net debt was Rs. 9,285 million as compared to Rs. 7,671 million at the beginning of the year. The net debt has increased by Rs. 1,614 million, primarily on account of reduction in operating cash flow. Net debt has decreased by Rs. 610 million from September 2023, primarily on account of improvement in operating cash flow in Q3.

Cash to Cash Cycle :

Our cash-to-cash cycle was 162 days in the current quarter as compared to 132 days at the beginning of the year and 162 days in the previous quarter.

Operational Cash Flow :

Operational cash flow for the quarter was Rs. 1,880 million as compared to Rs. 329 million in Q2 FY24. Higher EBITDA and improved cash realization from receivables resulted in higher operating cash flow.

Capex spent during the year was Rs. 1,047 million.

ROCE:

ROCE for Q3 FY24 is 15.3% as compared to 12.9% in Q2 FY24, primarily on account of increase in EBITDA due to the reasons stated earlier.

With this, I open the floor for questions.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Please go ahead.

Tushar Manudhane: Sir, just on this DCDA, now that plant is expected to start in Q 4 FY24, so effectively stabilization and then meaningful contribution to profitability when should we start expecting?

Dr. Krishna Prasad: Tushar, like I said in my remarks, the pilot plant from where we would be doing filings and also site transfers has already been inaugurated. Work is going on on the filings. Meanwhile, in the same block in another floor, we are putting up some compression machines and coating machines where we will be doing monograph products for the US, which doesn't need an FDA inspection to start with; they'll come later. Meanwhile, when we do new product filing and also site transfers, the FDA will come to inspect us even before the main block is ready. Once they inspect this pilot plant where there is some product running, the site is approved and then we are ready to go which will be in Q3 -Q4 of next fiscal. We can straightaway start production.

Granules India Limited
January 23, 2024

Page 7 of 17

Meanwhile, we will also look for expediting the European approval. So, rather than waiting for 1.5 to 2 years applying after the site starts, we are applying for an FDA approval from the pilot plant itself and also some production will happen there from Q2 of next fiscal – Q2 or end of Q1.

Tushar Manudhane: This is to do with DCDA, right? Not the FDA?

Dr. Krishna Prasad: DCDA pilot plant trial runs will start in March of this quarter.

Tushar Manudhane: So, effectively, the commercial meaningful benefit will start hitting....

Dr. Krishna Prasad: The commercial, again after the pilot plant run, we will have to possibly modify the main equipment a little bit if required and then erection and all that will go into FY26, Tushar. PAP will start in '25 but this will go into '26. That will happen in the big site in Kakinada with renewable power.

Tushar Manudhane: Sir, the LATAM business with this inventory in the channel, is largely that correction done or you can expect some more in the coming quarters?

Dr. Krishna Prasad: It's a mix of inventory correction and also some of our important customers have lost certain government tenders. So, I'm not sure it will come back to normal, but it will definitely improve. And as of today, we are a little tight on capacity. In case we don't have too much PFI from LATAM, we will make it up for PFI from some other market. That's not a big issue. That's not going to hit us too bad.

Tushar Manudhane: Likewise, paracetamol as a product given that this quarter was not great as far as paracetamol in Europe is concerned, but how to think about it in the coming quarters?

Dr. K.V.S. Ram Rao: I think our pa

racetamol, again, the inventory which have been built up by our customers, include Europe, and as we see and move into Quarter 4 and Quarter 1, I think the inventory levels are expected to come down, and then will start picking up the business in Europe for paracetamol.

The trend will continue for some time in Quarter 4 because we bounced back to normalcy.

Dr. Krishna Prasad: Basically, there has also been a sale price decrease in paracetamol. So, when you look at revenue numbers, they will come down, but the margins are intact since raw material prices also have come down.

Tushar Manudhane: Lastly, the metoprolol, when do you expect it to launch in the US?

Dr. Krishna Prasad: It's on the sea, delayed by the ship going around the cape. Once it reaches, I think they will start.

Moderator: The next question is from the line of Tarang Agrawal from Old Bridge Asset Management.

Please go ahead.

Granules India Limited

January 23, 2024

Page 8 of 17

Tarang Agrawal: Just a couple of questions. This recent dichotomy seen in your performance in your US and ex-US business; while I understand the situation with LATAM and the general trend of raw material prices going down, I just wanted to get a sense on your comment on both US as well as ex-US business. In the US, if you could give us a sense on how your volume has grown this quarter and some of the key products that have contributed to that? And similarly, if you could give us a sense on what really has happened in Europe and ROW business, maybe some commentary on the volumes there.

Dr. Krishna Prasad: Actually, the US Finished Dosage business has grown and continues to grow, mainly driven by new products made from India and also products made at our US facility. The controlled substances business is growing and some of our new launches are also contributing. And as we launch a few more products, the revenues of FDs in the US are going to increase. Europe was mainly a paracetamol driven market and especially API. So, we had the sale price reduction in paracetamol and that's why the revenues have come down. And while volumes will be there, the revenue will definitely not catch up to the old level where after COVID, the prices were very high. I don't expect the price to go there. However, our formulations that we are launching in Europe are going to drive the growth in this region, and we see a steady increase in Europe too. So, while the US will be doing better than Europe in the short term, like I say 1 year or 1.5 years, after that, the growth rate in both geographies should sort of be equalized. LATAM, we are now trying to get into Finished Dosages in LATAM and it's going to take some time. While it will improve as a percentage of revenue, I don't think it will go back to those old levels because the US and Europe are growing very fast, and as a percentage, LATAM will continue to be low.

Tarang Agrawal: Just a follow-up; if I look at your dossier filings for Europe, right from June 2021 till December 2023, almost 2-1/2 years, the number has moved up from, say, 5 total filings to about 9 filings. How should we see this? Should the intensity or the speed of these filings increase as we move forward?

Dr. K.V.S. Ram Rao: As I said in my brief, the focus is on global product development and we are getting into the filings across the chosen geographies in the globe. Europe is a preferred destination. Already we have started working on more filings in Europe and you will see this number increasing very rapidly each quarter from Quarter 4 onwards, and we will be able to see a lot of traction in Europe on the dossiers and also a lot of focus on the launches of these dossiers which we have filed sometime back. So, Europe is going to be definitely a value-added formulation supply business through dossiers. That is the focus of the organization. And also the portfolio that we have created in the last 1.5 years

rs, I think all those are also destined to be filed in Europe in the next 2 to 3 quarters of time.

Moderator: The next question is from the line of Sajal Kapoor, an individual investor. Please go ahead.

Sajal Kapoor: How much of the gross block is not optimally utilized today or waiting for ramp up but we are incurring fixed costs there?

Granules India Limited

January 23, 2024

Page 9 of 17

Dr. Krishna Prasad: Mr. Kapoor, the number will be given by Mukesh in terms of rupees. But the Vizag site at unit #5, the onco and the other APIs, due to delay in approvals of some of our formulations, which will be using APIs from that site, that have been idle for a long, long time. And also, onco block has been idle. You just heard Dr. Ram Rao say that there are lots of very exciting plans for onco, APIs, and FDs. And we also expect with some approvals for some of the MUPS products formulations we have filed, the APIs will start being manufactured in that site; and maybe within a year or so, we should start seeing some good revenues from there. In terms of gross block, Mukesh will answer that question.

Mukesh Surana: The net block is about Rs. 350 odd crores where we use commercial as well as R&D. So, partially it is commercial and partially it is R&D.

Sajal Kapoor: Dr. Prasad, I just wanted to understand, as a percentage, by the sound of what you just explained in the response, it seems like a significant or a material part, if not significant, of the gross block is still fairly underutilized but the fixed costs are already flowing through the P&L. Is that a fair assumption?

Dr. Krishna Prasad: You are perfectly right, Mr. Kapoor. That still forms a sizable portion of our net block.

Sajal Kapoor: And the second related question is, what could be the EBITDA on about 70% capacity utilization assuming no material change in product mix and no material change in the cost of raw material?

With 70% capacity utilization, we keep the same product mix as in the current quarter, let's say, assumption, of course, and the cost of material also remains kind of largely stable. I'm just trying to get a sense on what could be the optimal EBITDA margins and ROCE because the current numbers are not giving a true reflection of the business potential.

Mukesh Surana: Currently, we still have a lot of room for capacity utilization both in Gagillapur as well as Bonthapally which are our largest plants. And there the utilization is higher than 70% but still we have room to go up to 90% to 95%. And also, we are continuously investing on debottlenecking and also improving production. It's a continuous process. And currently, we have in Gagillapur, the capacity in the range of 23 billion to 24 billion. With various improvements, we can further increase. And we are also adding one more facility, Granules Life Sciences. So, always it will be ever evolving. We will continuously add capacity. We will always have some capacity to be utilized.

Sajal Kapoor: Just a small clarification. Yes, I get that Mukesh. On a dedicated capacity, we expect no less than 95% steady state utilization. But on the fungible capacity, is it difficult to go beyond, let's say 85%? So, capacity utilization on a blended basis on a steady state will be hovering between, let's say, 85% and 95%, including both fungible and dedicated capacity. Assuming we don't do any fresh CapEx which is not correct – I know that what I'm trying to understand is, can we get to 25% EBITDA margin when we get to optimal capacity utilizations across dedicated and fungible capacities? Or can we even breach 25% with the improvement in the product mix?

That's the sense I'm trying to get here.

Granules India Limited

January 23, 2024

Page 10 of 17

Dr. Krishna Prasad: I understood that Mr. Kapoor. And basically, with optimal product mix it can definitely go up to, a few percentages than what we are doing now, not 25% but

close to that. But the product mix

will happen with the new launches. So, new launches, we have to see how they go in the market, we are quite excited, but we have to see how they perform. Definitely, the margins will go up.

And again, another thing to add here is if you, if we remove Unit-V, where you rightly said, a lot of assets is not being utilized. Definitely our EBITDA levels will be higher than what you are saying. That means when that asset is utilized we can see some much better numbers.

Moderator: Thank you. The next question is from the line of CA Nihar Shah from Crown capital. Please go ahead.

CA Nihar Shah: I have two questions. One is on margin, though our margin has seen a good jump this quarter, like we are around 21.5% to 22% level. So, what are the sustainable rate at which we are looking at going ahead?

Dr. Krishna Prasad: It will be around this number Nihar definitely, and like I always say that we are always aiming for above 20% and every quarter, or maybe year-on-year, we will see the EBITDA levels going up. Definitely and as like I said, when discussing with Mr. Kapoor, the product mix which when it becomes optimal definitely the margins will go up. But it will take maybe a few quarters to

see the effects.

CA Nihar Shah: Understood . And also our revenue this quarter went down on quarter -on-quarter basis like slightly. So , we are looking to improve from this at what rate and how can we look the revenue outlook for next year ?

Dr. Krishna Prasad: Next year should be quite decent. But again, to answer your question for this quarter, the revenue I won't say de-growth, no growth in revenue was caused because of prices of Paracetamol, like I said the margins were there. If you see the value -add was fairly good. But the revenue came down and next year definitely we will see an upward trend. Also, this year, if you see we also lost the first quarter. So, this quarter , this year is going to be not so exciting, but next year seems to be going great .

CA Nihar Shah: So, any ballpark figure, what kind of revenue are we looking for next year or any year-on-year growth rate which you would like to give?

Dr. Krishna Prasad: No, we made it clear a few quarters ago that we will stop giving guidance . But you will see the improvement Nihar .

Moderator : Thank you. The next question is from the line of Rashmi Shetty from Dolat Capital . Please go ahead.

Rashmi Shetty: Sir, basically on the US business and just to understand more on the gross margin side, the entire gross margin expansion, that we are seeing a sharp jump from quarter -to-quarter as well as on Granules India Limited
January 23, 2024

Page 11 of 17

Y-o-Y basis, it is mainly driven by this US business only or some other factors are also contributing it ?

Dr. Krishna Prasad: It's a mix, actually it 's a mix of product mix, which we are selling in the US. So, you are right, it is the US business that is giving us a higher value add.

Rashmi Shetty: Okay. So, if I try and understand, what is the volume growth currently, which you are seeing in the US business and what is the kind of price erosion that we are seeing in the US?

Mukesh Surana : We have multiple products ; some are in metric tonne and some are in tablets so it is difficult to give.

Rashmi Shetty: On an average if you can give something, some ballpark number just to understand ?

Mukesh Surana : So, currently we are much higher in terms of volume compared to the value. So, just to give some ballpark number, the price erosion range ranges from 6% to 10% at selling price levels .

Raw material level will be much higher .

Rashmi Shetty: Got it. And, what, I understand that the FD sales contribution has seen a sharp jump if I just compare nine months data to nine months data of FY 23 from 50% contribution it has gone to 61% and our API and PFI segment has actually come down. So, whether this ki

nd of

performance will be there in the subsequent quarter also or we will see some fluctuation going ahead ?

Dr. Krishna Prasad: There will be some fluctuations Rashmi , but definitely they will be at the same sort of at these levels with minor fluctuations .

Rashmi Shetty: Okay, but this from 61%, any aim or anything which you are targeting that in next two years the FD contribution to overall sales to go to any particular number ?

Dr. Krishna Prasad: I cannot give you a number, but definitely our objective is to have an increased FD contribution because the FDs gives us the best margin . So, we are aiming for a higher percentage, and we definitely see the number growing , I cannot give you an exact numbers.

Rashmi Shetty: Okay. And what is the outlook on the API and PFI business because we have seen a big decline this quarter , this year which I understand is due to the pricing and also due to the Paracetamol pricing on higher base. But going ahead, have you seen that most of the impact has already come in and now the prices are stable, or do you feel that we are going to see much more impact in the coming quarters also ?

Dr. Krishna Prasad : Again, our objective is to convert API 's and PFIs into FDs, which has started, so you will not see any as a percentage. The APS BFI s would stay approximately around this range.

Granules India Limited

January 23, 2024

Page 12 of 17

Priyanka Chigurupati: Rashmi , just to add to that, can we say the percentages that remain same, but the volume growth will be quite significant, which means in terms of absolute numbers, you will see an increase primarily on the larger volume API . There has been a little bit of inventory stocking that happened because of COVID for some molecules, which as we go increase, because our customers will be depleting in the existing inventory. So, we do have some capacity available for them and we will be utilizing that going forward.

Rashmi Shetty : Okay . And in your FD business , how much does US geography contribute , as of now . Now the US has become a big business , so you can at least give some idea. Only in your FD segment,

how much is the US contribution, followed by Europe?

Dr. Krishna Prasad : Majority of our FD business is from US, Rashmi so as major part, Europe is growing now.

Rashmi Shetty : Okay . And how many launches have we done till date? Till date in the sense for this year in the US business only for this year ?

Priyanka Chigurupati: We've done about four to five launches this year. But some of them have been soft launches like CMD indicated in his speech earlier. Some of them have been delayed because of logistics issues. But those will be resolved because we are building inventory in the US before we take on new businesses and we will see our continuous stream of launches going forward. In Q4, we estimate to launch between three to four products and Q1 in addition to gaining more market share from the existing products we 'll be launching about three to four products.

Rashmi Shetty : So, this year you will end up by eight to 10 launches ?

Priyanka Chigurupati: No, we will have about four or five launches yet another three launches about seven new launches.

Rashmi Shetty: Seven to eight launches and next year how much are we targeting?

Priyanka Chigurupati: With the visibility we have across the regions we will have between four to eight launches with the current visibility.

Moderator : Thank you. Our next question is from the line of Harith Ahamed from Avendus Spark. Please go ahead.

Harith Ahamed: So, in recent months, you had some interesting approvals like generic s of Toprol -XL, Protonix and a few others . So, can you give an update on launches of these products and how the market shares have ramped up and also try to understand if there is a change in the contribution from our top five core molecules, which has historically been above

80%?

Priyanka Chigurupati: So, like I mentioned just now when Rashmi was speaking to us, we have delayed a few launches intentionally because of logistics issues. Now that said, we have already launched four to five products we will be launching during a soft launch of three products in this Q4. And going

Granules India Limited

January 23, 2024

Page 13 of 17

forward, we 'll be doing the remaining launches. Sorry, what was the second half of your question ?

Harith Ahamed: Given these are molecules outside our core, top five molecules . I was trying to understand if, there will be a change in the contribution or decrease in the contribution from top five molecules when we launch these products?

Priyanka Chigurupati: Yes. So, as we have always committed, if you see our numbers over the last couple of years in quarters, our core contribution has always been around 85%. As of this quarter, it 's about 72% , so this goal is always to increase the contribution from the new products, and you will see that going forward as well.

Dr. Krishna Prasad : Harith to add to that also, the margin contribution from the newer products is quite decent compared to the older products as of today.

Harith Ahamed : Did I hear correctly that the core molecules this quarter contributed 72% ?

Dr. Krishna Prasad : Priyanka, yes.

Priyanka Chigurupati: Sorry, you cut off for me.

Dr. Krishna Prasad: She is right, around 72%.

Harith Ahamed: Okay, 72% of the overall revenues?

Dr. Krishna Prasad : That's right.

Harith Ahamed : Not the FD revenues?

Dr. Krishna Prasad : No. Overall.

Harith Ahamed : Okay . And when I think of CAPEX in FY25, in FY 24, we are tracking around Rs. 400 crores, estimated for the full year. Now when we are starting phase two at Kakinada how should we think about CAPEX in FY25 and this phase two at Kakinada approximately, how much will be the overall spend and over what timelines ?

Mukesh Surana : Harith, I will give you a complete perspective on the CAPEX, as of now for first three quarters we have spent Rs. 283 crores and we are expecting to spend for the full year around Rs. 500 crores so that is the reduction in the capital expenditure primarily Granules C zro and that Kakinada as Chairman has explained in will start in F25 and commercial will start in F26 so there will be some deferment of capital expenditure but not so much substantial in the next year as well. Next year, we are planning for over all Rs. 600 crore CAPEX, Rs. 200 would be regular and Rs.400 crores would be on the growth project like Granule Life Science and Granule Czro and few other projects which we are exploring .

Granules India Limited

January 23, 2024

Page 14 of 17

Moderator : Thank you. The next question is from the line of Bino Pat hiparambil from Elara Capital . Please

go ahead.

Bino Pat hiparambil: Just a quick one on raw material. So, when you say the decline in raw material prices helped margin, are there any two or three key raw materials which has mainly contributed to this?

Dr. Krishna Prasad: The main thing is the biggest product for us today are Paracetamol and Metformin. And the raw material for Paracetamol is PAP para-aminophenol and Metformin is DCDA. So, both these products prices have come down drastically. Of course, so as the selling price grew, but these are the two main products that have contributed.

Bino Pat hiparambil: Understood. And what do you attribute this reduction in prices to and how do you think it will remain though?

Dr. Krishna Prasad: Sorry, I lost you, I didn't get you.

Bino Pat hiparambil: What would you ascribe this reduction in prices of these raw materials to, is there a specific reason and how you think it will sustain at those levels?

Dr. Krishna Prasad: During COVID that this price has shot up, there were shortages and now after COVID new capacities also were added and as of today their surplus material

and I do have every reason to

believe with the surplus capacity available the prices should hold on for a few years. Plus, or minus some percentage.

Moderator: Thank you. The next question is from the line of Nagesh M an Individual Investor. Please go ahead.

Nagesh M: Just wanted to know your viewpoints on dollar INR how it works in future. And what is your hedging policy, because for the last six, eight months the dollar has been stagnating it around 83 only?

Dr. Krishna Prasad: Mukesh will answer that.

Mukesh Surana: So, dollar -INR there are divergent views, our internal view is, in this range for next quarter and also next year in this range of 82 to 83. And as a hedging policy, we have a risk management policy and also we have a clear hedging policy in terms of whatever net exposures are there we take time to time coverage.

Nagesh M: Okay. What will be the average dollar rupee for your entire nine months period this year, realization?

Mukesh Surana: Around Rs. 82.5.

Granules India Limited

January 23, 2024

Page 15 of 17

Nagesh M: Okay. One more question is, is there any chances of getting a bonus shares, because the company has not issued any bonus?

Dr. Krishna Prasad: Nagesh we did two buybacks, and that was really something we thought we were doing something very good. So, now with all the CAPEX and other things that we are doing, we may not do a buyback at least another year or two. Bonus shares, we have not thought of it, and we don't think I can commit at this moment in time.

Nagesh M: Okay. And any chances of the pledge of shares being totally released because you have done the reduction for a very long time and now it is stagnated?

Dr. Krishna Prasad: It will be totally released. You will see that shortly.

Moderator: Thank you. The next question is from the line of Vikas Sharda from NT Asset Management. Please go ahead.

Vikas Sharda: You mentioned that the raw material prices for like PAP and DCDA have fallen quite sharply this year. So, I was just wondering when you are talking about backward integration in your, Czro subsidiary. So, how does the viability of those projects change with say the changes in the prices or are these not really linked, how do you look at that prospect of that backward integration?

Dr. Krishna Prasad: Even though the price dropped, when we make a product, going based on current yields, and other data we have now, we should still be profitable, not an exorbitant profit, but we will be profitable. And we have been able to justify our investment. More than just this, I've mentioned many times, the entire world is dependent on China for DCDA, and the geopolitical crisis somewhere there can lead to global shortages of Metformin. So, once we make the DCDA ourselves, it's a lot of self-reliance and customers would prefer to buy from a company which is fully integrated, and the other advantages. We will have the lowest carbon footprint when we make our DCDA, our product Metformin will be green compared to anybody else. Even though you don't see it today, a few years from today, you will see the effects. And people, every company in the world pharma company, distribution company, including Walmart's and all have taken targets for achieving net zero, and the only way they can achieve that number is to buy products with less carbon footprint. And they do believe there will also be a premium for having products with carbon footprint. To sum it, its self-reliability and also premium price based on green chemistry, in addition to nominal margin.

Vikas Sharda: Thank you. And one more question that, like when one looks at say the revenue growth for this quarter overall, it's a 1%. How would you look at the volume growth versus the price movement

mix?

Granules India Limited
January 23, 2024

Page 16 of 17

Mukesh Surana : So, it depends on a lot of product combi

nations and also a new metric ton ne and tablets. On

average , from lower side to the higher side 5% to 6% to 10% range of price erosion has been there.

Moderator : Thank you. The next question is from the line of Saurabh Shukla , an Individual Investor . Please go ahead.

Saurabh Shukla: Actually, I have two questions. The first one is, like related to this R&D section, which is research and development. So, may I know how much increase we can see in the R &D spending in the upcoming quarters for the financial years and in addition to this, is there any specific new products in the pipeline that is going to be adding new portfolios ?

Mukesh Surana : R&D expenditure, we are spending 4% of sales , this quarter we have spent about 47 crores. In the Q4 we probably would be spending much more than the 47 crores . As a percentage to sales also, we will increase our spend in Q4. A lot of filings are in process in the next two months. So, expenditure is going to go up and some new launches.

Dr. K.V.S. Ram Rao : So, on the new product launches, Priyanka has just spoken. So, we have done about four to five launches now. New products in R&D. So, as I said in my brief, regarding the new products in R&D, we do 10 to 12 filings every year. And this you will see, based on our R&D expenditure that we are already slated for Q4, we will be ramping up around 10 to 12 every year , not only in the US, but I 've also mentioned that this is a global product development. And we will be looking at not only filing in the US, but extending these filings into the chosen geographies, including Europe. So, overall, we will be looking at as Chairman has pointed out earlier, more of converting assets into a good finished dose players in markets outside the US along with the API sales. So , it will be 10 to 12 products every year in the R&D for at least the coming couple of years.

Dr. Krishna Prasad: A lot of development oncology also is happening in the R&D as of today and will continue.

Saurabh Shukla: Okay . One more question, like as I said, as I saw there are two si tes that are being, Vizag and Kakinada apart from that, is there any other like other new sites that Granules India basically going into find out in India or any other geographies in the upcoming years or upcoming quarter itself. And I just wanted to please emphasize that part, that is the question.

Dr. Krishna Prasad: Let me try to understand your question a little better, it wasn 't clear. So, are you asking if other than Kakinada are we having any other expansions in different geographies?

Saurabh Shukla: Correct.

Dr. Krishna Prasad: Okay, we have a lot of investments going on right now. And even though Kakinada is delayed, it's not going to be small. And also, we have this in Genome Valley, which is a different site other than current form ulation facility, about 500 crores of investment is going on there . And recently, we have started a packaging unit at a fairly high investment in Virginia, in addition to

Granules India Limited
January 23, 2024

Page 17 of 17

our GP I facility . So, we have already invested in we have made plans for some more . And as I see it today, I don 't think any other geography is visible.

Moderator : Thank you. Ladies and gentlemen that was the last question of the day. I now hand the conference over to Mr. Krishna Prasad for closing comments.

Dr. Krishna Prasad: Ladies and gentlemen, thank you very much for attending this call. And I hope that you have got all your answers. And if you have any other questions, please feel free to reach out to our team Puneet or Mukesh , and we will be glad to clarify. So, once again, thank you very much. And have a good evening.

Moderator : On the behalf of Granule s India Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: May 2024

REGISTERED OFFICE

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Date: May 21, 2024

To,

National Stock Exchange of India Limited

BSE Limited

Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,

Sub: Transcript of the Earnings Conference call for Q4 and financial year ended on March 31, 2024.

Ref: Our letter dated May 02, 2024 for intimation of the schedule of the Earnings Conference call for Q4 and the financial year ended on March 31, 2024.

Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings conference call of the Company for Q4 and the financial year ended on March 31, 2024 is enclosed with this letter and has been uploaded on the website of the Company at the below -mentioned link:

<https://granulesindia.com/investors/investor-resources/earnings-call-transcripts/>

Kindly take the above information on record.

For GRANULES INDIA LIMITED

CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)

Page 1 of 17

"Granules India Limited
Q4 FY '24 Earnings Conference Call"
May 15, 2024

MANAGEMENT : DR. KRISHNA CHIGURUPATI – CHAIRMAN AND
MANAGING DIRECTOR – GRANULES INDIA LIMITED
DR. KVS RAM RAO – JOINT MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – GRANULES INDIA
LIMITED
MS. PRIYANKA CHIGURUPATI – EXECUTIVE DIRECTOR
– GRANULES INDIA LIMITED
MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER –
GRANULES INDIA LIMITED

MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL

Granules India Limited
May 15, 2024

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to Granules India Limited Q4 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch -tone telephone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Irfan Raean from Orient Capital. Thank you, and over to you, sir.

Irfan Raean: Thank you, Steve. On behalf of Granules India Limited, I extend a very warm welcome to all participants on Q4 and FY '24 financial results discussion call. Today on the call, we have Dr. Krishna Prasad sir, Chairman and Managing Director; Dr. KVS Ram Rao sir, Joint Managing Director and Chief Executive Officer; Ms. Priyanka Chigurupati, ma'am, Executive Director; Mr. Mukesh Surana, sir, Chief Financial Officer. Before we begin the call, I would like give you a short disclaimer. This call may contain some of the forward -looking statements, which are completely based upon our beliefs, opinion, expectation as of today. These statements are not a guarantee of our future performance and involve unfortunate risks and uncertainties.

And with this, I would like to hand over the call to Krishna sir. Over to you, sir. Thank you.

Krishna Chigurupati : Thank you, Irfan. A very good evening to all of you, ladies and gentlemen. And thank you very much for attending our Q4 earnings call today. A detailed presentation of our Q4 and full year FY '24 performance has been uploaded to our website, and I'm sure all of you would have gone through it by now. We had a strong performance in Q4, with continued growth in the formulation share of the business.

This was driven by new products manufactured in India and mainly in the U.S. and also sales in new geographies . While the year wasn't as per our expectations due to several reasons, including the cyber -attack and changing marketing dynamics for some of our products, mainly paracetamol, we are very excited to see our strategic initiatives take shape. Our FD segment has grown by 41% in Q4 FY '24 compared to Q4 FY '23 and contributed 65% of our revenue in FY '24. The sales of new products other than our legacy five products have been growing well and now contributes 25% of our revenue versus 15% one year ago. We continue to prioritize investment in building R&D capabilities and improve the quality of our product pipeline.

We have exciting product pipeline in oncology, antidiabetic segment, large volume molecules and select non -OSD forms. Dr. Ram Rao will elaborate on this further in his speech . We have made good progress on products being developed on innovation and technology platforms, such as biocatalysis and continuous manufacturing. The pilot plant validation for two API products has now been completed, and we are gearing to build commercial scale manufacturing capacity at Unit V in Vizag . We have approved ANDAs for the finished products, finished dosage forms of these APIs, and with this backward integration enabled by the differentiated technology platform, we are aiming to reach the leadership position in these molecules.

We expect the formulation segment to drive the growth going forward with API and Select KSMs supporting this growth. We are gearing our FD capacity to cater to this incremental Granules India Limited

May 15, 2024

Page 3 of 17

demand. The construction and capacity ramp -up of the new formulation facility at Genome Valley as part of Granules Life Sciences is progressing well. This plant will add 8 billion dosages to our finished dosage capacity.

The plant successfully commenced operations in the month of March, and the capacity is being

ramped up progressively. On the sustainability front we have committed to achieving net zero by 2050 , aligned to SBTi's 1.5 -degree pathway. We have conducted one of the most comprehensive assessments of our Scope 3 emissions in the pharma industry.

Our net -zero road map has been finalized, and action plans have been initiated on efficiency measures, adoption of biofuels, renewable energy, supplier sustainability programs and green molecules platform. At CZRO , our green pharma initiative, we are focused on strengthening our core business for backward integration of paracetamol and metformin in a sustainable manner. We commenced operations for DC DA at the newly built pilot plant in Vizag during March '24. The pilot DCDA plant has a capacity of 108 tons per annum. Plants are being worked out for a larger commercial facility at Kakinada.

To summarize, we are excited about the various venues for growth, including advancing our core products up the value chain, introducing differentiated new product lines and expanding and deepening our presence into new geographical markets.

With this, I hand over the call to Dr. Ram Rao.

KVS Ram Rao: Thank you, Chairman, and good evening, everyone. We have been communicating for some time about our strategy and transformation journey at Granules. After several quarters of focus and hard work, I'm happy to share that our strategy is strengthening the core, focus on R&D,

technology and innovation and strong focus on quality have been paying off well in the markets or in other words, we have strategy in action.

Following our examples of transformation of our strategic thinking and execution into tangible business results. Our first strategy of strengthening the core, we have proven the strategy for two components of our portfolio, regular commercial products and new product launches. Our approach is through commercial excellence, innovation in R&D and technology and manufacturing excellence.

For commercial products, our program is focused on market share expansion in the chosen geography, resulting in moving up the value chain from API to Finished Dosages. Expansion of business in geographies outside the U.S., a sustainable and healthy bottom line. Following the key reasons in the strategy in action, the Finished Dosage business is now contributing 65% of the revenue, while our API and PFI businesses are around 35% in FY'24.

Comparatively in FY'23, the finished dosage business stood at 50% of the revenue. This is a significant shift in our business model, driven by strong focus on North America, Europe and chosen geographies of rest of the world. This is an outcome of our strategy of strengthening the core.

Granules India Limited

May 15, 2024

Page 4 of 17

Another important guidance is the revenue and the market share growth of our core molecules in North America. We have grown more than 20% in the last couple of years very tough generic competition in this geography. This growth is led by products where we have achieved and has continued to remain between the two top players over several years. We continue to maintain this dominant position in these molecules.

Our Finished Dosage business revenue has also gone up significantly in Europe and some of the chosen regulated markets. The revenue has gone up from INR248 crores in FY'23 to INR327 crores in FY'24, an increase of 32%. The approach of strengthening the core, which has also made us build a packaging facility, GPAC, in the U.S. has grown our OTC business by around 25% in FY'24. This move has made us one of the key players in the private label OTC space and the only integrated player right from raw materials to distribution.

New product launches, we have received 16 dosage approvals from various regions in FY'24 on account of the excellent work from our R&D and regulatory teams. Several of these molecules have been launched in

U.S. We continue to gain momentum on products we launched in quarter 3 and quarter 4 of FY'24, primarily in the U.S. Majority of these molecules have been filed in Europe and some of the chosen ROW markets.

We have already received some approvals from Europe and expect most of the approvals in Europe and other geographies in the next couple of quarters. Some of these molecules will become a part of the existing core molecules, and our approach of strengthening the core will enable the molecules to become market leaders in our chosen geographies. We are not only strengthening the core, but we are also expanding the core.

Through these achievements of strategy in action, I wish to state that our first pillar of strategy has been successfully executed and the results are clearly visible through market share increase, revenue growth and geography expansion, along with healthy and sustainable bottom line.

Coupling this with our backward integration strategy and green chemistry, we wish to build a robust and an expansive core for the organization.

The second strategy on R&D, technology and innovation through our efforts in portfolio management, R&D and continued innovation in new molecules, we have successfully created four major platforms for the organization. The first platform, CNS, specifically in ADHD, is a growing therapeutic category in U.S. and in other parts of the world.

Our R&D infrastructure at our Chantilly facility in Virginia in U.S. is focused on development and manufacturing of CNS medication with special focus on ADHD products. Our strict policies and management around manufacturing and commercialization of these products have allowed us to gain momentum in the U.S.

Our R&D in Chantilly also focuses on complex products, some of which have been launched at a brand level for several years without competition, owing to the complexity in development.

The composition of this portfolio includes a Para IV, Para IV-181, first-to-file and Para III products. With this well-balanced portfolio of immediate launches and IP-driven litigation launches in the next couple of years, we see a lot of excitement in this category.

Granules India Limited

May 15, 2024

Page 5 of 17

Oncology platforms, leveraging our excellent infrastructure in API and combination of oncology as unit, we started developing our oncology portfolio of first to file, first to launch Para III and Para IV and Para IV -181 products in the U.S. and Europe. This portfolio will also extend through the rest of the world, including India.

These products will be developed for the global markets, and we expect to launch them from FY'26 onwards. A lot of commercial work in this direction was already taken, and we expect to play a very significant role in the overall solid oncology business across the globe in the coming years.

And then in manufacturing technology platform, we have been communicating for the last four quarters on our progress on this platform. Five projects are significantly advanced and almost at the stage of completion of optimization. One of the projects has been tried at the plant scale successfully. We are focused on creating manufacturing technology infrastructure and start validation of at least three molecules in quarter 3 FY'25.

This platform is expected to bring us global cost leadership, manufacturing technology excellence and help us lead towards our journey on sustainability. The progress of this platform in a short period of four quarters demonstrates our commitment towards transforming the organization through science and technology.

As is clear from the above, Granules is fully focused on building world-class product platforms through science and technology and drive business growth through bottom line sustainability and living the purpose and vision of the organization. To achieve this transformation, spend in R&D has also b

een increased to around 4.5% of the sales.

Strong focus on quality, I wish to share our happiness with all of you on the Zero 483 outcome of our Unit V facility of USFDA in April this year. Quality everywhere is the value of the organization, and we wish to percolate the quality culture across all areas of the organization. Several initiatives focused on behaviours, technology, systems and processes drive excellence in quality. We will continue to have strategic focus on quality, and we make this a formidable strength of Granules.

Thank you, and over to you, Mukesh.

Mukesh Surana: Thank you, CMD and GMD. Let me take you all through the top financial parameters now, Revenue: The fourth quarter revenue were INR11,758 million as compared to INR 11,955 million in Q4 FY'23, with a decline of 2%. Formulation growth, including GPI-manufactured products, offset by decline in Para API sales volume and price erosion.

Revenue grew by 2% as compared to Q3 FY'24, in line with our strategic focus, continued FD sales growth, including GPI-manufactured products, offset by decline in Para API sales volume and price erosion, the full year FY'24 revenue were INR45,064 million as compared to INR45,119 million in FY'23.

Granules India Limited

May 15, 2024

Page 6 of 17

Despite the cyber incident and decline in Para API volume and price erosion, transformative focus into formulations, including GPI-manufactured products enabled the company to sustain the similar turnover year-on-year. The sales breakup as for business division, geographic regions are presented in our investor presentation, which is available on the website.

Value-added: Our value added as a percentage of sales for Q4 FY '24 was 60.1% as compared to 47.8% in Q4 FY '23. Value added as compared to Q4 FY '23 is up by 12.2% points, primarily on account of higher FD sales including GPI manufactured products and lower material costs.

Value added as a percentage of sales for Q4 FY '24 is up by 3.1% point from Q3 FY '24, primarily on account of higher FD sales. Our value added as a percentage of sales for FY '24 was 55.1% as compared to 48.9% in FY '23. Value added as compared to FY '23 is up by 6.3 % primarily on account of higher FDs including GPI manufactured products and lower material costs.

EBITDA and EBITDA margin. EBITDA for the quarter was INR 2,557 million that is 21.7% of sales as compared to INR2,281 million that is 19.1% of sales in Q4 FY '23 an increase of 12% in value terms over the previous year mainly on account of improved VA percentage. EBITDA for the year was INR 8,560 million as compared to INR 9,138 million in FY '23 a decline of 6% over the previous year mainly on account of increase in R&D spend for R&D pipelines.

R&D: Our R&D spend for the quarter was INR609 million as compared to INR 369 million in Q4 FY '23 and INR 468 million in Q3 FY '24. R&D spend for the year was INR 1,986 million.

We are going to continue to spend on R&D in the coming quarters as well. Freight costs: Freight expenses increased by INR 128 million compared to Q3 FY '24 mainly on account of Red Sea surcharge issues. Out of this, an amount of INR 75 million is inventoried on the dispatches made to US A subsidiaries.

Net debt: Our net debt was INR 8,421 million as compared to INR 7,671 million at the beginning

of the year. The net debt has increased only by INR 750 million. Cash -to-cash cycle. Our cash -to-cash cycle was 161 days in the current quarter as compared to 132 days at the beginning of the year. New launches and Red Sea issues impacted both inventory days and overall CCC days. Cash flow from operations : Cash flow from operations for the quarter was healthy INR 2,150 million as compared to INR 1,794 million in Q4 F Y '23. And for the year was INR 4,394 million as compared to INR 7,387 million in FY '23. Cash flow from operations for the year has

d

decreased due to reduction in EBITDA and an increase in inventory days.

Capex : Capex spend during the quarter was INR 1,006 million primarily invested in Granules Life Science and Granules CZRO. During the year we spent INR 3,823 million primarily invested in Granules Life Science amounted to INR 1,560 million and Granules CZRO INR 565 million. ROC E for FY '24 is 16.5% as compared to % 21.2% in FY '23. The decline is primarily on account of decrease in EBIT, investments in Granules Life Sciences and Granules CZRO and increase in inventory days.

With this, I open the floor for questions.

Granules India Limited

May 15, 2024

Page 7 of 17

Moderator: The first question is from the line of Ashish Soni, an individual investor. Please go ahead.

Ashish Soni : This is regarding the new capacity of build. So, when do you think optimally it can be used within this year or maybe next financial year?

Krishna Chigurupati: Yes. I think you are referring to the formulation capacity. Assuming it's that, I think in July the ramp up will happen. By August we should be touching about something like 100 million per month and over the next eight months from then, maybe into April, May of next fiscal, we should be able to touch at least 4 to 5 billion annualized capacity.

Ashish Soni : And regarding this new product approval, so how much it can contribute to our revenues going forward this year, next year?

Krishna Chigurupati: Priyanka, you want to answer that?

Priyanka Chigurupati : Sure. good evening, everybody. Going forward, we are looking for new products to contribute about 7% to 10% if everything goes well up next year's revenues.

Ashish Soni : Okay. And how is our progress on the DDCA, the green chemistry, what you are planning to do? So how is the progress right now looking like?

Krishna Chigurupati: We started pilot plant production in March. We commercialized production from the pilot plant and a lot of trials and variations are happening. We are also streamlining and tweaking the process. This process is first time in the world anybody has done it. It's our own proprietary patented technology. It needs a lot of refinement. So it's going on in the right direction.

Everything is planned. And once it's finalized, we should be, we are already making arrangements for commercial production in Kakinada. So things are going well on that front.

Moderator: The next question is from the line of Darshil Jhaveri from Crown Capital.

Darshil Jhaveri : Just wanted to ask right now sir, seeing improvement in our gross margins right now then. So what kind of margin trajectory would you see in FY '25? Will we be able to keep bettering margins as quarters go by?

Mukesh Surana : Yes. Thanks for the question, Darshil. We have achieved 48% gross margin in F Y '23, and F Y '24 we have achieved 55%. Last two quarters, we are in the range 57% to 60% . That is also because of higher FD sales, and we continue to see that the higher FD sales will be there in the next year as well. And the raw material cost also has helped us in the current year. So depending on the raw material costs and our product mix we see the sustainability in the range of 55% to 58%.

Darshil Jhaveri : Okay. So sir, how much would that translate to as an EBITDA? So can we see around like a broad range maybe 24% to 26% EBITDA. Is that possible, sir, if you could help in that, sir?

Krishna Chigurupati : I would be very conservatively say something around 22%, 23% is possible. That's what we have been maintaining throughout , and we are trying for more, but let's see what happens.

Granules India Limited

May 15, 2024

Page 8 of 17

Darshil Jhaveri : Okay. Perfect. And sir, with regards to our higher interest cost, so what would be the trajectory that you would see, maybe will that this run rate would continue for a year or two? Or how would we look at our higher interest costs, sir?

Krishna Chigurupati : That would all depend on the U.S. Fed, but I would let Mukesh answer that in detail.

Mukesh Surana: Yes, Thank you, CMD, for putting that rightly. So yes, it is largely dependent on our SOFR rate.

If you see, our net debt has not gone up despite investments in capex, so it is largely dependent on Fed rate. And based on the current conditions, we see the Fed rate is not going to come down in the next six months also. So in the upcoming 2 quarters, we see the similar interest cost of Q4.

Darshil Jhaveri : Okay. So that helps a lot. And just like, sir, one last question. In terms of revenue, would we like to guide something that how much better could we do it in FY '25, sir? Any quantitative, qualitative guidance that can we grow at a certain rate? That would be very helpful, sir.

Krishna Chigurupati : We'll definitely do better, Jhaveri. And how much better, I don't want to mention anything. Like I said before, we have taken a decision not to give any guidance.

Darshil Jhaveri : Okay. Perfect, sir. And just one last question, sir. In terms of our demand environment, do we see any, how is the demand environment currently going? Is it buoyant right now? Or, what do you see around, sir?

Krishna Chigurupati : The demand for all our products is quite good. As we add new geography, the sales are also increasing. And there is a fairly good demand, a very healthy demand for all our products.

Except, of course, with the exception of paracetamol, where we have had some challenges in the last quarter.

Moderator: The next question is from the line of Nirali Shah from Ashika Stock Broking. Please go ahead.

Nirali Shah: So my first question is that paracetamol API sales have been declining and is witnessing price erosion. So where do you see this stabilizing now?

Krishna Chigurupati : Actually, this demand is also partly because of overstocking by some of the large brand leaders in the world. And that I think should start stabilizing from Q3. And also, there's also an issue of excess capacity that was built up after COVID. So, there's a lot of competition and that is causing to price erosion. I think this year most of this thing may continue. Next year onwards, FY '26, things should stabilize. But even during this year, quarter-on-quarter, I think there will be some improvement.

Nirali Shah: Understood. Thank you. And my second question is on our debt profile, where do we see a comfortable net debt number, say, over the next 2 to 3 years?

Mukesh Surana : So internally, we want to manage net debt to EBITDA at 1 to 1.1 level, 1.1, we are comfortable. Hope that answers your question.

Moderator: The next question is from the line of Aditya Sen from RoboCapital. Please go ahead.

Granules India Limited

May 15, 2024

Page 9 of 17

Aditya Sen : Sir, this new formulation capacity that we have installed, how much revenue do we foresee from this plant itself in this fiscal and in the coming year?

Mukesh Surana : The new capacity is in granules life sciences Pvt Ltd. So, CMD has already answered that. 100 million per month, we are expecting July 24 onwards. And next fiscal year, we are looking at 4 to 5 billion.

Krishna Chigurupati : Revenues depend on the product also we are trying to finalize, which products to commercialize there. It will depend on that.

Moderator: The next question is from the line of Nirali Shah from Ashika Stock Broking.

Nirali Shah: So I just have one more question that we see that the product mix over the next 2 years, it has changed from 25% new products to 25% legacy products. So, when can we expect the shift in the margins due to this product mix?

KVS Ram Rao : Yes. So, as I already pointed out that we have a product mix change from API to finished product. And as CFO has already explained, we already moved up our margins because of the shift in the business model. All the new products which we are launching now and we are going

to get approval in the next 1 to 2 years also will add to this shift in the business model more towards the FD. And also in other regions also, we have the contributions coming from the finished dose. So, overall, I think the moment will be quite positive on the finished dose side and that should help us to have much better and sustainable margin of bottom line.

Moderator: The next question is from the line of Madhav from Fidelity.

Madhav: Good evening, sir. Thank you so much for your time. My question was that if you look at our employee cost and other expenses this year, they have gone up by almost 20 %-25%. And I think some of it seems to be that we are kind of investing ahead of the curve in new plants and I think we have had the new packaging facility in Virginia as well. So, is it the right understanding that in the coming couple of years, as revenue scales up, some of these cost line items should kind of grow lesser than revenues? Basically, is there a scope for operating revenues to kick in given how the business is kind of positioned right now?

Krishna Chigurupati: Yes, Madhav, you have been perfectly right saying that the new facilities and expansions that have led to increase in manpower cost. It's R&D too. R&D, GPAC, the packaging facility in the U.S. And also, most importantly, we are investing in building a future-ready organization. In the U.S., not only the packaging side, there's been a lot of investment on the marketing team and

also building up capacity in the U.S. manufacturing. So both these things also have taken up a lot of manpower.

And also, we have invested a lot on the global marketing team. We have built up a new organization to serve customers in a better way. And we have people of very high caliber and a lot of people have been added to various services. They have customer-specific representatives. There's a big change happening in the organization. This cost increase has happened. But going Granules India Limited
May 15, 2024

Page 10 of 17

forward, it will not be at this rate, definitely. This is a big shift that has happened this year. So, it will be in control.

Madhav: Okay. And then the second question which I had was, like we were, I think in the presentation you have highlighted in the -- I think this is the second part of that slide, which is the portfolio expansion slide, Slide 7, you have spoken about the CNS, ADHD products and the MUPS products. And I think you have also mentioned about getting approval for Metoprolol and I think one other product which has come through. So I just wanted to understand that some of these products, will they start contributing in a healthy way from Q1 FY '25? Is that how we should think about it?

Krishna Chigurupati: They will not contribute heavily from Q1. But as we go by, these are very big products for us. We are banking heavily on these products. And the margins and the revenues from these products are going to really propel the growth of revenue.

Madhav: Okay. So could you share a bit more on the timeline, like when do we expect more material ramp up from these newer products?

Krishna Chigurupati: This year itself, FY '25 will see a good contribution from these products and a good growth due to these products. But '26 should be the year where we will see a very marked difference.

Madhav: Okay. And I think, I think Priyanka was referring to, I don't know if I have picked it up. No, I was just saying that I think in the earlier comment, you have mentioned that 7% to 10% of contribution should come from new products in FY25. So, did I get that right? 7-10% of FY24 revenue basically should be like new products in FY25. Is that right?

KVS Ram Rao: I think so. What we are looking at right now when the question was asked was on the 7% to 10% of the contribution coming from new products. But as we see the number of app

rovals and the

launches that we are doing in the US, this percentage of the new products will definitely go up.

And it continues to grow as we go from FY25 to 2026 and 2027, this is expected to grow much faster.

Mukesh Surana: Madhav, I just want to add a clarification, in the presentation that we have circulated. It is a history of 10 years. So, in the history of 10 years, if you see the 5 products were the legacy and everything else were new products. What JMD has just clarified is, in addition to that another 5%-7% contribution from more new products.

Krishna Chigurupati: Not the growth of new products introduced already, but the products that will be introduced.

Madhav: And has Metoprolol being launched in the US or that is going to happen going ahead and Ibuprofen OTC as well?

KVS Ram Rao: Mostly US, but it is happening in other countries also. So, nowadays whatever the new filings that we do, it is for across the world, global filings. So, most probably we launch in US and Europe at the same time. Other countries will be in the next phase.

Madhav: Okay, got it. And just a last question was our capex expectation for FY25?

Granules India Limited

May 15, 2024

Page 11 of 17

KVS Ram Rao: FY25 capex, we are estimating about 6,000 million, INR600 crores. So, half of that will be granules lifesciences expansion, other half will be for other projects as well as maintenance capital.

Madhav: Okay, got it.

Krishna Chigurupati: Just to elaborate a little bit on that, Madhav, we have decided to go a little slow on C ZRO, take a very cautious approach. And only after each state gate is passed, we are investing money on it.

Moderator: Thank you. The next question is from the line of Foram Parekh from Share Khan. Please go ahead.

Foram Parekh: Yes, thank you for the opportunity. Sir, my first question is, you mentioned that value added products now contribute 65% of the sales. So, may I ask, what is the percentage contribution do we envisage? I mean, till what percentage do we want to go?

Mukesh Surana: I will just clarify your question a little bit. So, value added, we call it as gross margin as value

added, which is 55% for the year and if you are asking about formulation, in the quarter 4 we were at 73%, overall year we were at 65%.

Foram Parekh: So, this 65% is expected to reach to what number? I mean, how much do we envisage?

Mukesh Surana : We are looking at around 70% moving forward. It could be a little more too, but we will see as we go. We expect some API sales also to keep increasing. We don't want to cannibalize that totally.

Foram Parekh: Okay. So, this 75% is expected like in one year's time or it will be spreaded over a period of two years?

Krishna Chigurupati : It will be next year. One year's time is best.

Foram Parekh: Okay. So, then my second question is, you mentioned that EBITDA margin is expected to reach to 22 %, 23%. So, again, this would be like over a period of two years or we see this coming and being executed next year?

Krishna Chigurupati : If you see in the past few years, also, we were around 21%, 22% EBITDA margin. So we expect that to be reached as early as possible. But going forward, we say that this is what we will maintain, but the possibility of doing better is always there.

Foram Parekh: Okay. And sir, in the presentation, I see on the Slide 22, geographically, all the geographies are not -- have not performed in FY '24. So could you just elaborate? I mean, why are we not able to grow in all the regions like Europe, Lat am, India, ROW?

Krishna Chigurupati : In these markets, Lat Am and ROW, especially these two markets and in Europe, our sales were mostly profiled by Paracetamol, API and PFI. So, we had an issue on Paracetamol, API, PFI due to market demand coming down and also the price erosion. Now, just to give you an example, Granules India L imited

May 15, 202 4

Page 12 of 17

the prices have come down from something like INR600, INR650 to INR250 or INR300, it was lower than that. So, that is what has contributed to the decline in sales in this region.

Foram Parekh: Okay, so sir...

Krishna Chigurupati : FDs have gone up in Europe, they have compensated to some extent.

Foram Parekh: Okay. But sir, in ibuprofen, we see that prices have come down and probably we do not see it going back to the COVID days. So how do you see the demand? I mean, is there demand? And with this kind of prices, how do you see ibuprofen sales ramping up in the next years?

Krishna Chigurupati : Ibuprofen sales will have to ramp up only by volume increase. It is not going to be driven by value. I think the value is the lowest, and it will continue for a while. The market for these products like Paracetamol and ibuprofen don't grow too much. They grow by single digit or possibly 2 digits. And the only thing we have been growing is to get increase our market share and then very crudely put it cannibalized on other people's market share. We have done it successfully in the past. And even for ibuprofen going forward, we expect to im prove our market share mainly in the U.S.

But the good news is we have some European approval, and we already have tied up some sales contracts with some customers there. So, Ibuprofen will only grow by cannibalizing on others.

Foram Parekh: Okay. And sir, can you just give us the number what would be the market share for ibuprofen in the European market?

Krishna Chigurupati : There are different forms, OTC, Rx window, it is a little difficult to estimate. But we do not have a presence today but we will be getting a detailed market share as we go forward in Europe.

Moderator: The next question is from the line of KVKS Choudary , an individual investor.

KVKS Choudary : My first question is with regard to MUPS Block. Can you give us an idea about the current capacity utilization in the product from that line?

Krishna Chigurupati : MUPS Block, we're contributing quite well to the revenue and profitability, but actually, M UPS Block will also do a little bit of granulation and other type of compression too. And we have packaging lines. But actually going to just the M UPS products, we are doing around 40 % to 50% capacity utilization. And by the end of this year, we expect it will go up to 70%.

KVKS Choudary : My second question is with regard to Granules Incorporated, GI Incorporated. We have had some controlled substances approvals and as well as ADHD. But the ramp up doesn't seem to be commensurate with the number of approvals. What is the current investment and asset turnover EBITDA in Granules?

Mukesh Surana: Can you come back on that question?

Krishna Chigurupati : Asset turnover. Let's talk about asset turnover for GPI asset turnover.

Granules India L imited

May 15, 202 4

Page 13 of 17

Mukes Surana: GPI asset turnover, we have invested there in the intangible assets as well as fixed assets. Fixed

assets turnover significantly better. So it is in excess of five. And now GPI manufactured products is also going up. Some of the launches that you rightly said, which will get launched in the next couple of years. So we will get a good return on the intangible assets also.

KVKS Choudary : The controlled substances are not under patent. Isn't it possible for you to launch them immediately?

Krishna Chigurupati : We have a lot of controlled substances being sold from GPI from our US facility already. And that facility has been set up only to concentrate on these products. And we have more products coming up and we will be selling more of these products.

KVKS Choudary : Okay. What is your ADHD line?

Krishna Chigurupati : Sorry ?

KVKS Choudary : What are the products lined up for ADHD? ?

Krishna Chigurupati : We have many products lined up but I don't think we should talk about them.

KVKS Cho

udary : Hello?

Krishna Chigurupati : Yes, we can message out there. I don't think we can give you the names of products.

Moderator: The next question is from the line of Nilesh Prasad from Motilal Oswal.

Tushar : Hi, sir. Tushar here .

Krishna Chigurupati : Hi, Tushar.

Tushar : Sir, on Metoprolol and subsequent to that, how do we see good any potential product for '25, '26, if you would throw some, light?

Krishna Chigurupati : It's got -- yes, go ahead. Anything else?

Tushar : Yes. Maybe if you could answer this and then...

Krishna Chigurupati : Tushar, Metoprolol has a very good potential and things are looking very, very positive. And we are ramping up production for the U.S. market. So we are very happy with the progress there. And the good news is Europe also, we got approval. We are going for national phase. And this year, we will start sales of Metoprolol in Europe also. So two regions we will be selling and we are also planning to take this product into LATAM and other countries. The outlook looks quite good.

Tushar : Sir, anything on the price erosion on Metoprolol per se with, in terms of the competition?

Krishna Chigurupati : Not a great price erosion. There's normally , whenever a newcomer come, there will be a fight, so prices will go down a bit, but it's nothing drastic.

Granules India Limited

May 15, 2024

Page 14 of 17

Tushar : Okay. And sir, any other like this interesting product in the portfolio which can come up for approval in '25?

Krishna Chigurupati : Yes, they're quite interesting products Tushar and as we get the approvals, you will know about them. And maybe later on, possibly, we could look at how they're doing. But we have many exciting products there in the pipeline.

Priyanka Chigurupati: And just to add to that, we have a total of about 16 to 18 launches coming up this fiscal year, out of which 14 products will be new and remaining will be essential extensions of the launches -- ramp-up of the launches that we've already made in Q4.

Tushar : 14 new launches, right?

Priyanka Chigurupati: Yes. Yes.

Tushar : Interesting. So that should further build up at least as far as the U.S. market is concerned ?

Priyanka Chigurupati: It's not just the U.S. market. It's both , sorry, U.S. and Rest of the World markets.

Krishna Chigurupati: And mainly Europe, Tushar.

Tushar : Okay. So the 16 to 18 launches is combining of U.S. and Europe market largely ?

Krishna Chigurupati: Yes.

Priyanka Chigurupati: Correct.

Krishna Chigurupati: That's right. It's a big challenge for us and the excitement expecting to say this is the first time in Granules, we'll be launching so many products in 1 year.

Tushar : Yes, that could help grow the sales at a healthy level in '25, '26, right?

Krishna Chigurupati: Yes, that definitely Tushar you are , right. We are working towards that.

Tushar : And so if I connect this comment with the EBITDA margin also moving up to 22%, 23% for FY25, so effectively and subsequently, the cash flow generation and considering the capex, the net debt level to what it would come down to maybe by end of FY25?

Krishna Chigurupati: Net debt will not -- possibly may not come down, Tushar. We are looking at maintaining our net debt-to-EBITDA at less than 1, and if at all, we can get great opportunities to 0, we may not want to grow if the net debt-to EBITDA has grown more than 1, but we are not trying to make it zero debt, bring it down totally. We want to have a healthy net debt to EBITDA.

Tushar : Understood. So no, I didn't mean zero net debt, but will there be any reduction in net debt, INR INR500 crores to INR100 crores ?

Mukesh Surana : Not expected, Tushar. We are at INR 840 crores. So net debt to EBITDA of around 1 level is

what we are saying .
Granules India Limited
May 15, 2024

Page 15 of 17

Tushar : No. I mean INR50 crores to INR100 crores reduction is what can be expected?

Mukesh Surana : Not really so , because of the growth there is the investment in working capital and also Granules Life Sciences capacity expansions are planned. So we would positively manage the net debt to EBITDA . Ratios is not worsening, it is improving.

Krishna Chigurupati : Just to clarify this were INR842 crores is the net debt as of today, as of year-end. And I don't think we are planning to bring it down drastically . Maybe there could be a small change, plus or minus here and there.

Tushar : Got it. And lastly, because I joined late, so I would have missed it. Just if you could elaborate on the paracetamol situation, what has happened exactly because of which there has been significant price reduction? Is there any new competition that has come out or existing players have lowered the prices significantly?

KVS Ram Rao : So Tushar, there are three components to this issue. The first one is many players who are end customers of paracetamol have actually got a lot of inventory stored. And as explained by Chairman earlier, it will take a couple of quarters to actually get to the position of liquidating their inventories, and therefore, the paracetamol situation is expected to not to go back to the original levels, but definitely go back to some higher levels by quarter 3 or quarter 4 of this year. That is the first reason.

The second reason, because the offtake is low and the capacities which have come up thanks to COVID are high, so there is an excess supply to the demand and some of the organizations are looking at lowering the prices to actually survive the capacity utilization. So therefore, the price has been significantly down at the numbers shown by Chairman just a few minutes ago. So I think that's the second.

And the third one, we actually did -- and as I told in my communication that we are moving towards the finished dose on paracetamol and therefore, we will be in a position to look at overall balancing at paracetamol in the next couple of quarters. But suffice it to say that this situation will continue for the next 2, 3 quarters.

Krishna Chigurupati: Just want to clarify, Tushar, except us at Granules India, every other paracetamol manufacturer is a single product company and they will fight tooth and nail, and if they don't sell enough, they will be dead. So, they are desperate and at this point in time, I don't think they should go and fight for that market with no margin. We would stick to our regular customers, and once their inventories are rationalized, we would get back into business. .

Tushar : Got it, sir. And this is more specific to paracetamol, right? We are not seeing such situation in either Metformin or Ibu or Methocarbamol , right ?

Krishna Chigurupati: No, no. It's only paracetamol.

Moderator: The next question is from the line of Harith Ahamed from Avendus Spark.

Granules India Limited
May 15, 2024

Page 16 of 17

Harith Ahamed: Sir, can you disclose the sales from our GPI subsidiary for FY'24 Granules Pharmaceuticals Inc ., for U.S. subsidiary?

Krishna Chigurupati: Did you say revenue, Harith?

Harith Ahamed: Yes, yes, yes. .

Mukesh Surana : So GPI full year turnover INR1,619 crores, Harith and for the quarter is INR477 crores.

Harith Ahamed: Okay. Okay. So, when I look at FY24, we've had a very strong growth in our FD segment, more than 25%. So, when I think of FY25, should we extrapolate a similar growth? Should we be able to maintain a similar momentum for the segment? And if you can also share the number of launches that you're targeting particularly in the U.S.?

Krishna Chigurupati: Harith, all the growth going forward is only going to come mainly coming from FD. So if you look at the overall growth, obviously, the FD growth has to be very decent and very healthy. Definitely there will be a very healthy growth and possibly a little better than last year's growth.

Harith Ahamed

: Okay. So, when I look at the filings, the data that you've given in one of the slides, we have, from both GPI and GIL, together we have around 13 ANDAs pending approval. For the size of our FD business in the U.S., it's supposed to be slightly on the lower side. So, should we expect a further step up in R&D spends going forward? And if you can share the spends that you're anticipating in FY25, R&D spends that you're anticipating ?

KVS Ram Rao : So, we have already communicated that our R&D spend has gone up, and it continues to remain around that and likely to go up in the coming years, because we have a very good pipeline and the delivery of the pipeline in the various categories, as I mentioned before. So, we expect the R&D spend to be, you know first-to-file. Go ahead.

Krishna Chigurupati: So, I'll... Go ahead. I think Dr. Ram Rao said in the speech that we are working on a lot of first-to-file 181 days and all these 3 -4 launches. So, there's a lot of work going on, especially in the Onco and other areas. There could be a slight increase, but overall I don't anticipate there'll be a great increase in R&D spend. Already, we have provided for the growth, and we are already there.

Harith Ahamed: Got it, sir. And then last one, when I look at other expenses for the quarter, there's been a sharp increase of around INR50 crores quarter -on-quarter. I understand all that is probably because of the quarter -on-quarter increase in the R&D spend, but it still seems to be on the higher side , any one-off that's there in the number, the other expenses number?

Mukesh Surana : Yes, Dr.Hari th, as we have explained, one is the R&D expenditure, which has gone up. Second is the freight cost, which also has gone up because of red sea issues . In addition to that, there are a few one -off costs, such as consultancy costs and quality audit costs, which also have gone up, which were specific to a quarter.

Harith Ahamed: So we should expect some normalization when you think of the coming quarter ?

Granules India Limited

May 15, 2024

Page 17 of 17

Mukesh Surana : Yes. So going forward, you know, R&D, there will be a similar expenditure quarter -on-quarter. Other expenditure should come down.

Moderator: Ladies and gentlemen, in the interest of time, this was our last question. I would now like to hand the conference over to Mr. Krishna Chigurupati , for closing remarks.

Krishna Chigurupati: Ladies and gentlemen, once again, thank you very much for attending our call. In spite of your very busy schedules today between the earnings season. So once again, thank you very much, and we look forward to meeting you all in the next investor call with better news.

Moderator: On behalf of Granules India Limited, that concludes this conference. Thank s for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

REGISTERED OFFICE

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Date: August 02, 2024

To,
National Stock Exchange of India Limited
BSE Limited
Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,

Sub: Transcript of the Earnings Conference call for Q1 OF FY25

Ref: Our letter dated July 15, 2024 for intimation of the schedule of the Earnings
Conference call for Q1 of FY25.

Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, the transcript of the earnings conference call of the Company for Q1 of
FY25 is enclosed with this letter and has been uploaded on the website of the Company at the
below -mentioned link:

<https://granulesindia.com/investors/investor-resources/earnings-call-transcripts/>
Kindly take the above information on record.
For GRANULES INDIA LIMITED

CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)

Page 1 of 16

“Granules India Limited Q1 FY25 Earnings Conference
Call”

July 30, 2024

MANAGEMENT : DR. KRISHNA PRASAD – CHAIRMAN & MANAGING
DIRECTOR , GRANULES INDIA LIMITED
DR. KVS RAM RAO – JOINT MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER , GRANULES INDIA
LIMITED
MS. PRIYANKA CHIGURUPATI – EXECUTIVE
DIRECTOR , GRANULES INDIA LIMITED
MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER ,
GRANULES INDIA LIMITED
MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL

Granules India Limited
July 30, 2024

Page 2 of 16

Moderator: Ladies and gentlemen, good day and welcome to the Granules India Limited Q1 FY 25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Irfan Raeeen from Orient Capital. Thank you and over to you, Mr. Irfan.

Irfan Raeeen : Thank you. On behalf of Granules India Limited, I extend a warm welcome to all participants on Q1 FY25 Financial Result Discussion Call.

Today on the call, we have Dr. Krishna Prasad sir - Chairman and Managing Director; Dr. KVS Ram Rao sir - Joint Managing Director and Chief Executive Officer; Ms. Priyanka Chigurupati - Executive Director; Mr. Mukesh Surana - Chief Financial Officer.

Before we begin the call, I would like to give a short disclaimer:

This call may contain some of the forward-looking statements which are completely based upon our beliefs, opinion, expectations as of today. These statements are not a guarantee of our future performance and involve unforeseeable risks and uncertainties.

And with this, I would like to hand over the call to Krishna sir. Over to you, sir. Thank you.

Dr. Krishna Prasad: Thank you, Irfan. A very good evening, ladies and gentlemen, and thank you very much for attending our Q1 FY25 Earnings Call today. A detailed Presentation of our Quarterly Performance had been uploaded on our website and the trust all of you have reviewed it by now. We had a robust performance during the quarter hitting our planned trajectory after a few setbacks last year. Our strategic initiatives for formulation led growth trajectory driven by a new product pipeline and geographical expansion are taking shape.

In line with our FD led growth strategy, the share of FD had progressively increased to 76%. This is a significant rise from 65% in FY24 and 50% in FY23. Similarly, the sales of new products beyond our legacy five products have been growing well, contributing 35% to our Q1 revenue. Their contribution was 25% in FY24 and 15% in FY23. We continue to strengthen and grow our business in the US, our most important market. We are uniquely positioned to optimize our offerings through Make in India at GIL and Make in America at GPI and GPAK sites in the US. Our investments in GPI, which includes a local manufacturing arm in the US with the platform for the CNS and ADHD segment are paying off very well and are a key driver of our growth in the US. Similarly, the capacity utilization at GPAK, our new packaging site in the US is improving quarter-on-quarter.

Granules India Limited

July 30, 2024

Page 3 of 16

Our OTC private label portfolio sold through our commercial arm Granules Consumer Health is also gaining good traction, contributing to our growth in the US. We continue to prioritize investment in building R&D capabilities and improving the quality of our product pipeline. We have exciting product pipelines in oncology, anti-diabetic segment, large volume molecules and select non-OSD dosage form. We have made significant progress on product developed on innovation and technology platforms such as biocatalysis and continuous manufacturing. We are gearing up to put commercial scale manufacturing capacity at Unit V in Vizag. Dr. KVS Ram Rao will elaborate on this further.

As we expect the formulation segment to drive growth moving forward, we are well placed with our FD capacity to cater to this incremental demand. The construction and capacity ramp up of our new formulation facility at Genome Valley, part of Granules Life Sciences is progressing well. The plant successfully

commenced operations in March for the first phase of 2 billion capacity and validation activities are ongoing.

On the sustainability front, we completed the milestone of submitting our climate action goals to SBTi aligned to the 1.5° pathway and net zero by 2050. Our net zero road map had been finalized and action plans have been initiated on efficiency measures, adoption of biofuels and renewable energy, supplier sustainability programs and the green molecule platform through our CZRO subsidiary.

To summarize:

We are excited about various avenues for growth, including advancing our core products up the value chain, strengthening our position in the CNS /ADHD segment, introducing differentiated new product line and expanding and deepening our presence in new geographical markets.

With this, I hand over the call to Dr. KVS Ram Rao.

KVS Ram Rao : Thank you, Chairman, and good evening everyone.

Through our efforts in portfolio management, R&D and continued innovation in new molecules,

we have successfully created the platform for the organization. A lot of progress has happened in terms of product development and filing, strategic approach to creation of infrastructure in the chosen segments and investment plans to reap the benefits in short term and medium term. On oncology platform, oncology products have been an important portfolio for Granules. We have already built world class infrastructure both in API and formulations at our Vizag facility. Our portfolio includes Para-4 first-to-file, Para-4-181 and first to launch in the US, Europe and rest of the world. With this global development program, we expect to leverage technology and scale in a very effective way. We are quite satisfied with the progress of product development and expect to file a couple of products in the next few quarters. The portfolio of filings include near-term launches and are likely to start in FY26.

Granules India Limited

July 30, 2024

Page 4 of 16

To prepare ourselves for the launches, we have taken up capacity expansion projects. We propose to create a new oncology API manufacturing facility and also augment finished dosage and other infrastructure enhancements. The project execution is likely to start from September and should take approximately 12 months to complete. This should enable us bring flexibility to our supply chain and enable us to become a significant player in the oncology segment. As mentioned in my previous communication, CNS /ADHD is a very important portfolio for Granules. The therapeutic area is growing in the US and also in other parts of the world. We expect to be significant player in this segment.

R&D efforts at our Chantilly facility with collaboration from R&D centers has progressed well in successfully developing a good portfolio of ADHD products. The portfolio in this segment includes Para-4, Para-4-181 and NCE -1 and also Para-3. It is a blend of near-term and medium-term launches. Our R&D in Chantilly also focuses on complex products. Some of which have been launched at a brand level for several years without competition owing to the complexity of the development. This addition of portfolio to our existing products should help us become a dominant player in this segment. Our strict policies and management around manufacturing and commercialization of these products have allowed us to gain momentum in US. With this well-balanced portfolio of immediate launches and IP driven litigation launches in the next couple of years, we see a lot of excitement in this category.

Enzymes and manufacturing technology platform : We have been communicating for the last four quarters on our progress on this platform. Five projects are significantly advanced and almost at the stage of completion of optimization in the lab. One of the projects has been tried at plant scale successfully. We are focused on creating

manufacturing technology infrastructure

in the next two quarters and start validation of at least 3 molecules in Q3 FY 25. This platform is expected to bring us global cost leadership, manufacturing technology excellence and help us lead towards our journey of sustainability.

Our investment plans to build infrastructure and manufacturing of enzymes is finalized and we expect to start the project execution from Quarter 3. Also, we have finalized the investment plans to build infrastructure for the chosen products in this segment for the chemical steps. These projects will get into execution by September '24 and will take around 14 to 18 months to complete. The progress of this platform in a short period of 4 quarters demonstrates our commitment towards transforming the organization through science and technology. It is clear from the above, Granules is fully focused on building world class product platforms and drive business growth through bottomline sustainability and living the purpose and vision of the organization. To achieve this transformation, spend in R&D has also been increased and stands at Rs. 62 crores for the quarter and is likely to increase in the subsequent quarters. Thank you, all and over to you, Mukesh.

Mukesh Surana : Thank you, CMD and JMD.

Let me take you all through the top Financial Parameters now:

Granules India Limited

July 30, 2024

Page 5 of 16

Revenue :

The 1st Quarter revenue was Rs. 11,799 million as compared to Rs. 9,855 million in quarter 1 FY24 with the growth of 20% driven by formulations. Revenue grew by 0.3% as compared to Q4 FY24. In line with our strategic focus, FD sales growth continued. It has been offset by a decline in Para API and PFI sales volume and price erosion. The sales breakup as per business divisions, geographic regions are presented in our investor presentation, which is available on the website.

Value-added :

Our Value-added as a percentage of sales for Q1 FY 25 was 58.9% as compared to 51.4% in Q1

FY24. Value -added as compared to Q1 FY24 is up by 7.6% points attributed to higher FD sales and lower raw material cost. Value -added as a percentage of sales for Q1 FY25 is down by 1.1% points from Q4 FY24 primarily on account of product mix.

EBITDA and EBITDA margin :

EBITDA for the quarter was Rs. 2,593 million that is 22% of sales as compared to Rs. 1,368 million that is 13.9% of sales in Q1 FY24, an increase of 89% in value terms, mainly on account of improved VA.

R&D

Our R&D spend for the quarter was Rs. 620 million as compared to Rs. 413 million in Q1 FY24 and Rs. 609 million in Q4 FY24.

Net debt :

Our net debt was Rs. 7,941 million as compared to Rs. 8,421 million at the beginning of the year. The net debt has decreased by Rs. 481 million.

Cash to cash cycle :

Our cash-to-cash cycle was 183 days in the current quarter as compared to 161 days at the beginning of the year. New launches and Red Sea issues impacted both inventory days and overall CCC days.

Operational cash flow :

Operational cash flow for the quarter was Rs. 2,161 million as compared to Rs. 35 million in Q1 FY24.

CAPEX:

Granules India Limited

July 30, 2024

Page 6 of 16

CAPEX spent during the quarter was Rs. 1,444 million, primarily invested in Granules Life Science, Rs. 691 million.

ROCE :

ROCE for Q1 FY25 is 19.6% as compared to 16.5% in Q4 FY24 and 9.4% in Q1 FY24. The increase is primarily on account of increase in EBIT.

With this, I open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty : Sir, my first question is on the conclusion of FD, we have achieved now 76% of the FD contribution to the overall total sales, how could this for the entire year and are we not focused on increasing the

pace of API and PFI during the year? What I want to understand that whether the contribution would fluctuate quarter -on-quarter or more or less it would remain stable during the year ?

Priyanka Chigurupati : Regarding your question, right, you are talking about the contribution of finished dosage as a part of our overall sales. With the number of launches we have going forward; we think there is a very strong possibility that it will remain this or grow a little bit further.

Rashmi Shetty : And what is your target contribution of FD to total sales and what are you aiming to achieve this in next 2 -3 years ?

Dr. Krishna Prasad: Rashmi, if you have seen our strategy is always to keep on increasing FD and that is why we have been talking about all these years and we are on the path. Most of the APIs we make go into our FDs and PFIs and PFIs go into FDs today. So, even if we sell all the APIs elsewhere and buy the APIs required for FD, our revenues would have been at a different level, but most of the APIs are made for in-house consumption. So, we see that this ratio will continue at the same level or possibly grow.

Rashmi Shetty : So, then, in that case, we expect that there should be decline in both API and PFI segment for this particular year because your FD contribution would be pretty high due to the increase in launches ?

Dr. Krishna Prasad: Yes, that is the strategy, Rashmi.

Rashmi Shetty : And, sir, then what about the gross margins, if the FD contribution also sustained, then do you think that the gross margin of this 58 %-59% of the sustainable during the year?

Dr. Krishna Prasad: It should be around this, a little bit here and there, plus or minus a few points, but it should be around that.

Granules India Limited

July 30, 2024

Page 7 of 16

Rashmi Shetty : Sir, on EBITDA margin, any particular guidance you are giving, I understand that your R&D and other expenses is being increasing, but your gross margins are improving as well, so are we still at the level of around 22 % or you feel for FY25 with the increased launches and all we would be able to do higher EBITDA margin?

Dr. Krishna Prasad: Rashmi, again, we always maintain that we will definitely be above 20% and we will keep improving year-on-year. So, now the 22% margin has to improve a little bit. How much it will improve, we will see.

Rashmi Shetty : And then last question on your OTC business, as the percentage of your formulation business, how much is your OTC contribution?

Priyanka Chigurupati : Rashmi that is about 15% of our overall business.

Rashmi Shetty : 15% of overall sales or our formulation business ?

Priyanka Chigurupati : Overall sales .

Moderator : Thank you very much. The next question is from the line of Tarang from Old Bridge. Please go ahead.

Tarang : So, just a couple of questions, specifically on geographies, North America, are there any industry tailwinds or would you describe most of the performance idiosyncratic to your business ? Second, if you could just comment on what is happening in Europe ? And third Chairman, I heard you made some reference to large molecules in your opening comments, if you could just elaborate a bit on that ?

Dr. Krishna Prasad: I think Priyanka will take this question, but before that let me clarify. I didn't say large molecules, I said large volume molecules.

Priyanka Chigurupati : So, I think the US has always been a very strategic market for us as you always know, and we are built for regulated markets. So, on that front, it was obvious that the US would be the biggest and continue to be the biggest. And that is primarily because of one, our strategy, like I said, our service levels, our quality and compliance, that I am sure you have seen in the news that we have had absolutely no issues. So, I think the combination of all these three and of course having the right products at the right time, all of them contributed towards growing US sales, which will continue to grow as we go. Number of launches also led to this increase in the US numbers. Just a clarification on Europe, what exactly did you mean by, can you provide some commentary on Europe ?

Tarang : The Europe business is down about 35% in INR terms. So, just wanted, is there something that you have already commented, and I missed ?

Granules India Limited
July 30, 2024

Page 8 of 16

Dr. Krishna Prasad: Yes, European sales were led by Paracetamol all these years and only recently we made the shift to FD and FDs are picking up. Paracetamol, like I have mentioned in the last quarter and most of you may know is in a very bad shape today. There is a lot of inventory which the customers have built up across Europe and US and some of them have inventory sufficient for another 6 months. So, literally there is no big market. And also, there is a lot of capacity that was built up anticipating a huge demand. So, Paracetamol has not contributed, and we do not expect it to contribute for at least another 2 quarters. I think it is only possibly next year Paracetamol will come back and add to our revenue and profitability.

Tarang : Just to follow up on US, roughly the run rates moved from about Rs. 700-Rs. 710 crores in March 23 quarter to about Rs. 870 crores and in that time span, we have seen additional approvals of about 10 products. So, if you could just give us a sense on how much of the incremental 25%, the dollar hasn't moved as much would be on account of really the traction on the new products and how much, just a ballpark would be on account of you getting more volumes in your base business ?

Priyanka Chigurupati : It is definitely a mix between both. The new launches to be very honest, we just touched a launch in Q1. So, you will see those making a bigger dent going forward. But primarily it was increased market share from the existing products.

Moderator : Thank you very much. The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri : So, just wanted to get an idea on currently how sales are panning out, so maybe, correct me if I'm wrong, but I think since the last 7-8 quarters we were in the range of around Rs. 1,100 to Rs. 1,200 crores. And I understand that US have grown that much. But I think because of our European business that eating up all our gains, so now just wanted to understand like in terms of our trajectory, we could see the similar growth in US, but will the European business stabilize or how would we see our growth going forward because I think March '23 and '24 have identical numbers on the face of it, I understand in depth, there are a lot of differences, so just wanted to get a color on your perspective?

Dr. Krishna Prasad: US will always be our primary driver Mr. Jhaveri. And so, it will always continue to grow, and we see no reason why it should not grow at the same pace. The only thing that will happen is Europe has degrown and we expect formulation growth to come up in the next few quarters. And in addition, when API sales also come up possibly in next year, there will be a better growth there. And we are also addressing lot of other geographies like many times I mentioned South Africa and Asian countries, so these are also will be contributing to growth in future.

Darshil Jhaveri : So, any kind of revenue guidance, could we have for FY25, sir?

Dr. Krishna Prasad: I think last time also we made it clear we will not guide anything, but we will see the trajectory improving.

Granules India Limited

July 30, 2024

Page 9 of 16

Darshil Jhaveri : So, I am just leaving , my last question in terms of overall in ex of North America, like in LATAM and India, what kind of market are we seeing ? How is it performing currently and any surprises from there or

something on the positive side you can expect from there?

Priyanka Chigurupati : Definitely no surprises. Paracetamol , LATAM was mainly led by PFI in the past, Paracetamol and other PFI. So, Paracetamol being in what state it is today there was a dip in Paracetamol sales in the LATAM . However , we managed to make it up with other PFIs and today the focus in LATAM is to shift away from PFI into FDs. Lot of efforts are being put into that and also new countries in LATAM also are being addressed right now. So, we see that LATAM will keep growing not at the pace like US will, but it will keep growing.

Moderator : Thank you very much. The next question is from the line of Sajal Kapoor, who is a Retail Investor. Please go ahead.

Sajal Kapoor : First, I would like to point our attention to slide 13, where we have listed our historic asset turn.

So, historically, 2x is what we got to Fiscal '22 as well as Fiscal '23 , now moving up the value chain and introducing better and more complex products , increasing gross margins. Logically thinking , we should try and improve our historic asset turns much better than 2x at full capacity , of course. I just wanted to understand what your thought process is, and I am not looking for any sort of guidance for this year or next, but on a directional basis ?

Dr. Krishna Prasad: Now , what has happened is US is performing to decent capacities rather close to full capacity and Unit V in Vizag is going to be utilized and MUPS block is almost fully utilized, so the asset turn as we go by will definitely improve. And you are also right, some of the products being made in the US are high value , so the asset turns will improve because of that too , the denominator being same , I think denominator will keep increasing. So, you are right, it will definitely improve.

Mukesh Surana : Mr. Chirman , I just want to add a clarification. So, as you rightly said, API is going into FD, so its captive consumptions are increasing. That is also in the overall asset turn instead of sales, we are getting better margins. So, return on capital employed is improving , but asset turn is reducing because of captive consumption of API and PFI . Secondly, we are also investing in new projects in Granules Life Science , those asset turn will happen starting from next year.

Sajal Kapoor : But directionally , we are all set to breach our historic high at some point, right?

Dr. Krishna Prasad : We should, definitely that is the whole idea and strategy.

Sajal Kapoor : And I think Mr. Surana mentioned that about the backward integration as the reason for the reduced or the reduction in the asset turn. So, Colchicine, on this molecule, are we backward integrated? If yes, are we backward integrated at the intermediate level or just the API?

Dr. Krishna Prasad: Colchicine is a very small molecule, Mr. Kapoor. The volumes of Colchicine are not very high. It is a very low dosage product, maybe 25 mg. So, there even if you are integrated, it doesn't

Granules India Limited

July 30, 2024

Page 10 of 16

really make any difference. And such very low molecules we prefer to buy from elsewhere if they are available. If they are not, we will make it ourselves.

Sajal Kapoor : And finally, to a previous participant's question, Dr. Prasad, you mentioned that Paracetamol uptake is still about 2 quarters possibly 3 quarters away because of this inventory and issue across Western world. So, does that mean that in the immediate next couple of quarters, we may not be reporting a decent topline growth because we need Paracetamol contribution to get back to a better topline, albeit with slight dilution in our gross margins, how do you look at the sales trajectory in the near term because Paracetamol is still off as well as gross margins impact because at some point in time Paracetamol will start hitting our P&L ?

Dr. Krishna Prasad: In the

next few quarters, this is the next two quarters where I can definitely have some visibility , there will be very marginal growth in topline, but we do expect the bottomline will not be proportionate , it will be a little higher than disproportionately higher than the topline, but maybe next year the Paracetamol will contribute, and revenues will grow along with bottomline next year. But definitely this year the bottomline will not be stagnant. That will be a little dynamic and move forward.

Moderator : Thank you very much. The next question is from the line of Hari th Ahamed from Aventus Spark. Please go ahead.

Harith Ahamed: Couple of questions on Granules CZRO, so last quarter towards the end we had commissioned a pilot plant for D CDA. So, any takeaways from that pilot plant so far and any updated thoughts on our Rs. 2,000 crore CAPEX in this project? And finally, any timelines around the PAP plant that we were planning to commission?

Dr. Krishna Prasad: Interesting question, something close to my heart. CZRO, we did commission the pilot plant. We had some teething issues like I have always been saying this is a new technology. It was demonstrated in lab scale and at pilot we had some issues. These are huge equipments, so we are making some changes and I think with the changes we will again restart next month modification of equipment, and hopefully it will go well. And once this is demonstrated for a few months, consistent yields and consistent quality, then we will start working on the main plant, which is to come up in Kakinada. The main plant equipments have been ordered already and we are waiting for some modifications that will be needed before they will be delivered to us. And regarding the Rs. 2,000 crore investment, we have mentioned that we are very cautious in going forward, at every place we have a stage gate and once we cross that only, we will be investing more. So, we are cautious and right now there has been a little issue or infrastructure creation in Kakinada. Power has to be brought in from adjacent, so a lot of discussions are happening with NTPC. Our partner already is working on that and also discussing with state governments and all on taxes for wheeling and the power. And also, for electrolyzer building and all that happening. Electrolyzers, they are making their own electrolyzers which will take some time. So, in view of infrastructure creation getting delayed, we are in no rush to get there.

Granules India Limited

July 30, 2024

Page 11 of 16

And we also understand we seem to be far ahead of anybody else and being too early also may not be the wisest thing. We will take it a little easy, become stronger and then go ahead.

Harith Ahamed: So, one related question, so we had announced these expansions of the backward integration projects when the prices of DCDA and PAP were much higher than where they are now. Now that PAP and DCDA prices have corrected. Is the case for backward integration as strong as it was at that point, and is that also factored into our capital allocation into this project?

Dr. Krishna Prasad: Financially, not as effective as it would have been in the past Mr. Harith, but again, when you look at the where the world is going, these prices where the overseas manufacturers are giving today may not last and our experience in the past years, these type of products hit a very low and again slowly start flipping up to abnormally high prices. So, we think we are on the right strategy wanting to do these APIs ourselves, intermediates, even though it may not give us any great attraction in the short term. The carbon footprint is going to be much lower than what we get from overseas. And as you know, with CBAM coming in Europe and other places and incentives in other places, this is going to make a tremendous difference and it is definitely the right way to go.

Harith Ahamed:

The last one on the formulations business. So, in FY24, we had received quite a few interesting approvals like Metoprolol, Esomeprazole, Pantoprazole, all modified lead versions. And then we had we were preparing for launching these in FY25, so are there any timelines that you can share or any updates on specifically these products? And if I may add one second part to the same question, Priyanka mentioned that 15% of our formulation sales is from OTC. I was hoping if you could give some more color regarding the share from the controls of sensors, the ADHD products and our legacy molecules. Some ballpark break up would be very helpful?

Priyanka Chigurupati: Harith, I will take your second question first, the share from the controlled substances versus legacy products is not something we can really share, but I will say that both are equally contributing. There is no significant change in the percentage of contribution necessarily and on your other questions yes, we did receive a lot of launches last year. We launched about 3 products at the very end of Q4, which essentially we launched in Q1 and also another two products in Q1. So, that is about total of 5 launches that we did. But we just started the business. So, the actual value from those businesses, you will see over the next couple of quarters.

Moderator: Thank you. The next question is from the line of Sahil Vora from M&S Associate. Please go ahead.

Sahil Vora: I just had a couple of questions. The employee costs and other expenses have increased by approximately 16% to 18% year over year. So, when can we expect the operating costs to grow at a slower rate than revenues?

Mukesh Surana: So, employee expenses have gone up, you are right. Other expenses are coming down. The increase in percentage for other expenses will be lesser in FY25, but we see employee expenses

Granules India Limited

July 30, 2024

Page 12 of 16

will still be at double digit rate of increase in the FY25, which will come down in FY26 where

we can see a better operating leverage of employee cost.

Sahil Vora : My second question was the Paracetamol API sales have been declining and is witnessing the price erosion somewhat. So, where do you see these stabilizing?

Dr. Krishna Prasad: Mr. Vora, it has already sort of stabilized at the very lowest uneconomical levels. Now, it is only the way up. Like I said, only end of this fiscal year or early next year, we will see that things will look up. It is going to take some time.

These are cycles that happen once in about 7 -8 years. These type of cycles happen, and this is one of the worst cycles I have

seen in about 40 years of existence in Granules.

Moderator : Thank you very much. The next question is from the line of Tarang from Old Bridge. Please go ahead.

Tarang : Just wanted to check on the OTC business about 15% of formulations revenue in Q1, there was a comment in Q4 FY24 that the OTC business grew by about 25% in FY24, but if you would give us a sense on how big the business was for full year 24 and full year 23?

Mukesh Surana : So, in the current quarter it is about USD 20 million. So, it is increasing in strong double -digit quarter -on-quarter as well as year-on-year.

Tarang : And how much was this for FY24 and FY23?

Dr. Krishna Prasad: Full year financial numbers, you are asking?

Tarang : Yes.

Priyanka Chigurupati : FY23 was roughly about USD 40 million , FY24 about USD 60 million.

Tarang : Just a last comment, sir, if you could just give us a comment on your top five products one ? And second, given the performance that we have seen in FY 24, considering the cycle that Paracetamol has been going through, would it therefore be safe to presume that year on even though Paracetamol and the top five products are significant contributors, but in a large sense you have been able to hedge your business or your dependency on these products or is it

here still

time for us to reach that conclusion?

KVS Ram Rao : I think as mentioned in the strategy both by Chairman and me in the last couple of communications, while these core products like Para, Metformin continue to be very important products, but we started looking at the increase in the FD shares and also we are looking at the addition to different product portfolios in different baskets . So, you clearly see that in quarter 4 and quarter 1, although Paracetamol decline is seen in the API, we are still able to maintain a very healthy and the sustainable bottom line. I think as I told before, this itself is a good example

Granules India Limited

July 30, 2024

Page 13 of 16

of our derisking and also making sure that we have a very positive way forward in terms of looking at FD growth in US and other geographies and this should enable us to continue to act. And when the Para comes back as told by Chairman as well, I think we will only add more to the bottom line.

Tarang: Most of the capacity creation that has happened in Para has been mostly in India, right?

KVS Ram Rao: It is only in India.

Moderator: Thank you very much. The next question is from the line of Foram Parekh from ShareKhan. Please go ahead.

Foram Parekh: My first question is , I see North America sales growing by almost 45% and I understand it is because of the lower base. So, may I just understand like what would be the normalized growth rate going forward? How do we see North America region? Do we see any price erosion pressure there or how do we think about it?

Mukesh Surana : Yes, you are right. Last year Q1 was lesser because of cyber incident as well. But we are seeing North America region to grow in excess of 20% and largely driven by formulations.

Foram Parekh: Sir, my second question is now that we expect formulation sales to increase even from here on and European region also to contribute from next year as Paracetamol sales kicks in. So, do we expect EBITDA margins to go north of 22% and settle somewhere around 25% in a year's time or so ?

Mukesh Surana : Yes. So, that is the aspiration, but we are currently staying around this range and also inch up quarter -on-quarter as we see with the increased revenue of formulations.

Foram Parekh: And my last question, if I may squeeze in, may I just understand that on a sequential basis, do our sales have gone up and RM costs have come down, then what has impacted gross margin by 100 bps almost on a sequential basis?

Mukesh Surana: On a sequential basis, it is not because of raw material cost. Raw material costs were more or less flat. It is primarily the product mix within the formulations.

Foram Parekh: So, is it the API sales which has not kicked in or what in the product sales?

Mukesh Surana: In the Formulation also there is a product mix, so largely sequentially the formulation mix has changed. It is more of product mix, nothing major, but this 100 basis point plus minus we will see every quarter plus minus . It depends on the products we sell and the customer mix and

product mix.

Foram Parekh: So, largely we would want to maintain around 60% odd on a gross margin level, right?

Granules India Limited

July 30, 2024

Page 14 of 16

Mukesh Surana: Yes, plus, minus around that level.

Moderator: Thank you. The next question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Priyanka, question to you in the US business, what is the price erosion now?

Priyanka Chigurupati: Price erosion has stabilized to a very large level. I would say it is an average of mid to a little bit of a higher single digits, but it is more of mid-single digit.

Rashmi Shetty: So, you said that earlier that you have increased the share in the existing products and with this mid-single digit growth, you are not seeing any sort of value erosion in the US business. Is this

r

right to understand?

Priyanka Chigurupati: Yes. I wouldn't say no value erosion. I would say no significant value erosion.

Rashmi Shetty: And on the launches part, how much are you targeting for the new launches this year?

Priyanka Chigurupati: In terms of number of products like I think I mentioned to somebody earlier, we did about end of Q4 in early Q1, we did about 5 launches. So, in addition to increasing share on those launches and starting to see value on those launches, we will be doing about 3-4 launches in the US and roughly about 8 launches in the rest of the world for the rest of this year.

Rashmi Shetty: So, for the full year in the North America that is in the US, we will be doing around 6-7 launches?

Priyanka Chigurupati: Yes, it would be about 3-4 more launches and we have already launched about 2, if you consider Q1, but I would say about 9 launches roughly if you consider the last part of Q4.

Rashmi Shetty: And on the cash conversion cycle, you all mentioned that Red Sea issue had impacted the working capital days. So, are we expecting to get normalized during the year and it should be similar to what we have seen in FY24, or it would remain at the elevated level?

Mukesh Surana: We are looking at similar to FY24 level during the year. So, it will be normalized as the Red Sea issue impact comes down.

Rashmi Shetty: And one last question, on the FD site, what is the current capacity utilization?

Dr. Krishna Prasad: Gagilapur facility, we are almost 100% and we just started validations in our new GLS site. The first stage has 2 billion capacity, I think by the end of this year, we should be doing at least 1.2 billion, 1.3 billion. And early next year, the new capacity of another 8 billion will start up. So, we expect to take up another 2 billion or 3 billion of that capacity too in the next year.

Rashmi Shetty: So, basically, what I understand that as the capacity pick up, you will see that the second half to be much stronger than the first half?

Granules India Limited

July 30, 2024

Page 15 of 16

Dr. Krishna Prasad: Second half, you are right.

Rashmi Shetty: Second half will be stronger?

Dr. Krishna Prasad: Yes.

Moderator: Thank you very much. The next question is from the line of Ashish Soni from Family Office. Please go ahead.

Ashish Soni: Sir, this future portfolio onco product and other product when do you think can be launched?

KVS Ram Rao: So, as I told before that we expect from FY26 the launch of oncology products should happen and they won't happen in all the geographies. I think it kicks off with a chosen geography where there is a possibility of early launch or early approval, and it keeps going and we expect this to go on from FY26 onwards.

Ashish Soni: And this innovative product for diabetes, what exactly are you trying to do here? Can you just throw some color on that?

KVS Ram Rao: So, we are trying to look at because we are very strong on Metformin, so we are trying to look at several derivatives of Metformin as a part of our diabetic segment. So, we are trying to look at the gliflozins, the Gliptins and also other important areas of diabetes just because we want to be the serious player in this segment and you keep hearing a lot more as we move forward on how we are going to look at this segment and this platform in a larger way.

Ashish Soni: In this future portfolio, how much revenue can it contribute like in terms of percentage in your overall revenue in next 2-3 years?

KVS Ram Rao: I think we have been looking at this. We feel that it will contribute quite significantly to our entire portfolio and maybe because all the launches are going to be, most of them are going to be on day one and also we are looking at the dominance of this as a part of our Metformin. We look to be a very significant player in the diabetic segment, and I think that is what the guidance

we want to give.

Ashish Soni: And any CAPEX plan for this year and next year?

KVS Ram Rao: I have already told that we have been taking a lot of capacity expansion both in finished dose as well as in the API and also in our enzyme technology platforms. Yes , there are CAPEX plans, and we will be in line with all our estimates and the expectations on the capital expenditure.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today due to time constraints . I now hand the confer ence over to Mr. Krishna Chigurupati for closing comments.

Granules India Limited

July 30, 2024

Page 16 of 16

Dr. Krishna Prasad: Ladies and gentlemen, thank you very much for attending this call today and I wish you all great rest of the day and good night too. Thank you very much.

Moderator: On behalf of Granules India limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

REGISTERED OFFICE

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Date: November 13, 2024

To,
National Stock Exchange of India Limited
BSE Limited
Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,

Sub: Transcript of the Earnings Conference call for Q2 and half year of FY25.

Ref: Our letter dated 21.10.2024 for intimation of the schedule of the Earnings
Conference call for Q2 and half year of FY25.

Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, the transcript of the earnings conference call of the Company for the Q2
and half year of FY25 is enclosed with this letter and has been uploaded on the website of the
Company at the below -mentioned link:

<https://granulesindia.com/investors/investor-resources/earnings-call-transcripts/>

Kindly take the above information on record.

For GRANULES INDIA LIMITED

CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)

Encl. as above.

CHAITANYA
TUMMALADigitally signed by CHAITANYA
TUMMALA Date: 2024.11.13 10:00:39 +05'30'
Page 1 of 15

"Granules India Limited
Q2 FY '25 Earnings Conference Call"
November 06, 2024

MANAGEMENT : DR. KRISHNA PRASAD – CHAIRMAN AND MANAGING
DIRECTOR – GRANULES INDIA LIMITED
DR. KVS RAM RAO – JOINT MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – GRANULES INDIA
LIMITED
MS. PRIYANKA CHIGURUPATI – EXECUTIVE DIRECTOR
– GRANULES INDIA LIMITED
MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER –
GRANULES INDIA LIMITED

MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL

Granules India Limited
November 06, 2024

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '25 Earnings Conference Call of
Granules India Limited. As a reminder, all participant lines will be in the listen-only mode and

there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-down phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Irfan Raean from Orient Capital. Thank you, and over to you, sir.

Irfan Raean: Thank you, Shlok. On behalf of Granules India Limited, I extend a warm welcome to all participants on Q2 and H1 FY '25 Financial Result Discussion call. Today on the call, we have Dr. Krishna Prasad, Chairman and Managing Director; Dr. KVS Ram Rao ; Joint Managing Director and Chief Executive Officer; Ms. Priyanka Chigurupati, Executive Director; Mr. Mukesh Surana , Chief Financial Officer.

Before we begin the call, I would like to give a short disclaimer. This call may contain some of the forward-looking statements, which are completely based upon our belief, opinion, expectation as of today. These statements are not guarantee of our future performance and involve unforeseen risks and uncertainties. With this, I would like to hand over the call to Dr. Prasad. Over to you, sir. Thank you.

Krishna Prasad: Okay. Thank you very much. Good evening, ladies and gentlemen, and thank you for joining us on our Q2 FY '25 earnings call. We appreciate your continued interest in Granules. We have uploaded a detailed presentation of our quarterly performance on our website and I trust you have had a chance to review it. During Q2, our sales were impacted by a voluntary pause in manufacturing and distribution activities at our Gagillapur facility.

Today, let me begin with an update on the recent USFDA inspection at this site. As many of you are aware, the USFDA conducted an inspection of our Gagillapur finished dosage facility from August 26 to September 6 of '24. This resulted in six Form 483 observations. We submitted a comprehensive response to the FDA on September 27, outlining the corrective actions and initiatives we are implementing to address these observations.

Granules has a longstanding history of regulatory compliance, reflecting our commitment to responsibly advancing healthcare. We take our regulatory obligations with utmost seriousness, ensuring that every product meets the highest standards of quality and safety. Following the inspection, we took a voluntary pause in manufacturing and distribution to assess any possible risk to the already manufactured products and also future production. Throughout the process, we maintained full transparency with the USFDA.

To diligently investigate and address the FDA observations and to develop systems-based connective and preventive actions that are supported by science and reflect its strong quality of mindset, we engaged third-party independent consultants for a detailed review of our site's cleaning protocols and cross-contamination controls.

Granules India Limited
November 06, 2024

Page 3 of 15

We have also started working closely with additional independent experts to develop and implement protocols that reinforce best practices around personnel performance, data management and investigation processes. Based on our risk assessment studies and with the FDA's concurrence, we resumed dispatches in late September and began a phased restart of manufacturing operations in October.

To further strengthen our quality culture, we are enhancing our organizational structure too. We have appointed new leadership in operations and manufacturing and are bolstering our quality function to embed a culture of excellence and continuous improvement.

Now looking at Q2 performance.

While the voluntary pause impacted sales, we delivered healthy margins, driven by strong sales of formulations and a favourable formulation product mix. The API and PFI segment saw reduced contributions due to price erosion and softer demand in light of the still continuing high customer inventory levels, especially for paracetamol.

Despite these challenges, our operations generated a healthy cash flow of INR1,997 million. As we look ahead, our growth in the near future will be driven by new product launches from our GPI site in the US market, especially the CNS and ADHD segment and finished dosage sales in Europe. We are preparing for new launches from the GPI side, which we expect will help lower the impact of the Gagillapur slowdown in Q2, which also has a small spillover effects into Q3. Our new formulations facility at Genome Valley under Granules Life Sciences is progressing well. Phase 1 with a capacity of 2.5 billion doses have been commissioned and commercial dispatches of monograph products have commenced. We are targeting prescription products commercialization for Europe in Q4 '25 and Q1 of '26. Phase 2 with an additional 7.5 billion dose capacity is expected to be completed by Q4 FY '25 with validation and commercialization activities slated to begin in Q1 FY '26.

In summary, we are prioritizing the enhancement of quality and compliance across the organization while actively pursuing our growth objectives. These include new launches from

our API facility, expanding our formulations capacity at GLS and investing in R&D to support our portfolio expansion in the long -term. Dr Ram Rao will provide further insights on some of these initiatives. So, I hand over the call to Dr. Ram Rao.

KVS Ram Rao: Thank you. Good evening, ladies and gentlemen. Innovation has been a core priority for Granules serving as a foundation of the company's strategy over the last couple of years. In an industry where scientific advancements are constant, our approach to innovation has helped us to foster growth, accelerate marketing and ensure that we are able to adapt to evolving healthcare challenges and regulatory requirements.

With R&D spend of INR524 million in Q2 FY '25, this continues to be a consistent focus for Granules. R&D spend in H1 FY '25 of INR1,144 million is significantly higher, 26% more than that of the same period last year, demonstrating the organization's growing commitment to research and innovation. We have been making consistent progress in achieving our R&D goals. In addition to our growing list of product approvals globally, Granules at present has 17 ANDAs

Granules India Limited

November 06, 2024

Page 4 of 15

in the US and four applications in Europe and eight applications in rest of the world under review for approval.

We continue to grow our current therapeutic portfolio with new filings in CNS, antidiabetic category, etc. and Q2 FY '25. Globally, our R&D efforts have been centered around achieving the following objectives. At our Chantilly facility, we are developing the CNS products with a focus on ADHD therapies. The progress of our portfolio is on track having filed one product in Q2 and we expect to file several promising products in the next few quarters. Oncology is another focus area for Granules. We are making significant progress on our Oncology platform with several new products in development that are expected to be filed globally in the coming quarters. Our world-class infrastructure in both API and finished dosage forms for Oncology coupled with strategically selected portfolio of near-term launch products with market entry barriers, we aim to become a key player in this segment.

Another focus area for our R&D is on the Fermentation and Bio-Catalysis. Bio-Catalysis is observed to be an effective green substitute. In line with our company's philosophy of developing environmental

friendly benign processes, we have embarked upon development of enzymes. Using latest protein engineering concepts and enzymes are designed to develop for affecting the specific chemical transformations.

Process validation of the first API with this technology is set to be completed in quarter 3 of the current financial year, followed by two more products in the subsequent quarters. This platform helps us build sustainability and global cost leadership. We are making continued progress in the development of our fermentation technology products with four products currently under feasibility and development. I'm pleased to share that we have remained consistently focused on executing our R&D strategies and developing a robust portfolio for the future. Thank you all.

Mukesh Surana: Thank you, CMD and JMD. Let me take you all through the top financial parameters now.

Revenue, the second quarter revenue was INR 9,666 million as compared to INR11,895 million in Q2 FY '24 with a decline of 19% and revenue declined by 18% as compared to Q1 FY '25.

The sales breakup as per business division, geographic regions are presented in our investor presentation, which is available on the website.

Gross margin, our gross margin as a percentage of sales for Q2 FY '25 was 62% as compared to 51.7% in Q2 FY '24. Gross margin as compared to Q2 FY '24 is up by 1,036 basis points achieved by higher favourable mix of FD sales. Further, raw material costs were also lower as compared to Q2 FY '24. Gross margins as a percentage of sales for Q2 FY '25 is up by 307 basis points from Q1 FY '25, primarily achieved by higher favourable mix of FD sales.

EBITDA and EBITDA margin, EBITDA for the quarter was INR2,033 million, that is 21% of sales as compared to INR2,130 million, that is 17.9% of sales in Q2 FY '24, an increase of 313 basis points from Q2 FY '24, mainly on account of improved gross margins. EBITDA as a percentage of sales for Q2 FY '25 is down by 94 basis points from Q1 FY '25.

Granules India Limited

November 06, 2024

Page 5 of 15

R&D, our R&D spend for the quarter was INR524 million, that is 5.4% to sales as compared to INR496 million in Q2 FY '24, that is 4.2% to sales and INR620 million in Q1 FY '25, that is 5.3% to sales.

Net debt, Our net debt was at INR7,973 million as compared to INR7,941 million in Q1 FY '25. Our net debt was INR8,421 million at the end of March '24.

Cash -to-cash cycle, Our cash -to-cash cycle was 213 days in the current quarter as compared to 183 days in Q1 FY '25. New launches, Red Sea issues and a voluntary pause of operations of Gagillapur facility impacted inventory days and overall CCC days.

Cash flow from operations, Cash flow from operations for the quarter was INR2,007 million as compared to INR329 million in Q2 FY '24 and INR2,161 million in Q1 FY '25.

Capex , Capex spend during the quarter was INR1,324 million, primarily invested in Granules Life Science amounting to INR794 million. In H1, we spent 2,768 million, primarily invested in Granules Life Science INR1,485 million.

ROC E, ROC E for Q2 FY '25 is 16.9% as compared to 19.6% in Q1 FY '25 and 12.9% in Q2 FY '24.

With this, I open the floor for questions.

Moderator: Thank you very much, sir. We will now begin the question -and-answer session. The first question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Yes, thanks for the opportunity. Our first question is on the remediation cost. You mentioned in the call that you all have hired third consultants. So for that any big expenses is supposed to be spent? I mean for -- in this year, in FY '25 basically in the second half of the year or it is already spent in the second quarter?

Krishna Prasad: Rashmi, a little bit was already spent and we expect that this could be anywhere up to \$2 million for this year.

Rashmi Shetty: \$2 million and that will be sitting all in

the other expenses, right?

Krishna Prasad: Yes.

Rashmi Shetty: Okay. And so, you know, related to the facility observations, what are you gauging with the response, which is coming from the USFDA ? Is it something you feel that it will get resolved in near term or you feel that it might take some time?

Krishna Prasad: We are pretty confident that this will get resolved and it all depends on the EIR, which we expect will be coming in December. And we expect a positive outcome of that.

Rashmi Shetty: Okay. And the spillover, which you mentioned that third quarter will also have some sort of impact because of the shutting down of the lines at Gagillapur. So you know, in third quarter,

Granules India Limited

November 06, 2024

Page 6 of 15

can we expect that there would be -- it would be still better than quarter 2? I mean in terms of sales that got impacted in quarter 2 or you feel that it would be more or less similar.

Krishna Prasad: In the sales, the impact of lost sales will be less than quarter 2.

Rashmi Shetty: Lesser than the quarter 2?

Krishna Prasad: Yes, the lost sales, Yes.

Rashmi Shetty: Okay. And just to understand that you said that you will be doing more filings from the other facilities to de-risk basically. So just want to understand this thing that from the Gagillapur plant, we are just supplying the core products or we are supplying some other products, which are your non-core product where the contribution in the US is now going up. If you can explain that.

Also, if you can explain that, you know, like the breakup sort of like you mentioned that the upcoming 7.5 billion dosage in Genome Valley will be consisting more of a CNS and ADHD products. But what about the older phase, the Phase 1, where we have already 2.5 billion dosage, what exactly we are producing and supplying from that plant and from the Vizag plant. Just want to understand that the MUPS product, control substances, these are the products basically supplied from which plants. If you can just explain us.

Krishna Prasad : Rashmi, first of all, from Gagillapur, we have quite a few products. It's just not the core products. There are lot of MUPS products and many other products which have been supplying and this will continue to be supplied from there. We, all the new filings, we are doing some from GLS because there is a problem of capacity in Gagillapur. And also as a possible de-risking strategy, some of the important existing products also, we have filed some and will be filing some more from our GLS facility.

And regarding our GPI facility, we have a lot of products, it's just not ADHD and CNS. We have a lot of other products, which also are good products and which have been contributing fairly well in the past. And on the Vizag, we have the Onco facility in the FD and these we have done some very interesting filings of Onco products, which will be launched in the near future on approval and expiry of patents, but we also do a lot of third-party manufacturer in Vizag, and that's picking up right now to manufacture for other companies.

Rashmi Shetty: Understood. So currently, just to have a little clarity, the product supplies are mainly from the finished dosages supplies are mainly from Gagillapur, your Genome Valley, which is the older phase and your Vizag -- sorry, Vizag is something which is something expected in the future from the Virginia. Is this correct?

Krishna Prasad: Virginia, a little bit from GLS, Gagillapur and Onco also, there are products that are going on

CMO basis.

Rashmi Shetty: On the CMO basis, understood. Got it. And one more question, if I may. Just on the API and the PFI side, like you mentioned that still the demand has not revised, inventory is still there in the market. You know, when can we expect this to turn -around? And is this thing which is happening Granules India Limited
November 06, 2024

Page 7 of 15

on

ly on the paracetamol side or on the other API products also which you are supplying, your other core API and PFI product?

Krishna Prasad: It's mainly on the paracetamol and there also we see a little bit of easing. We saw some positivity in Q2 and we think that it will improve in Q3, but definitely not come back to normalcy.

Rashmi Shetty: Okay. It will not come back only.

Krishna Prasad: In Q3. Q4 could be a normal quarter. We have to go and we have to see.

Rashmi Shetty: Understood. Okay. Thank you, sir. That's it from my side.

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Thanks for the opportunity. Sir, given the kind of measures we are doing at Gagillapur, but at the same time, do we have any product should come up for approval over the next three to five months, which could be from this side. Any market action date?

Krishna Prasad: Priyanka, do you want to take that call?

Priyanka Chigurupati: Yes, I'll take that question. We have about three approvals pending from Gagillapur in Q4.

Tushar Manudhane: Okay. And would you also share some thoughts on this generic toprol and metoprolol succinate? How has been the traction or sort of the business from that product?

Krishna Prasad: Tushar, can you come again? Yes, go ahead Priyanka.

Priyanka Chigurupati: We're doing well, much better than we expected on the product. And we are continuing to supply. I mean, you can look at the IMS data. It shows -- it just reflects our launch quantities. But I would say that we did really well on that product right now in terms of market share.

Tushar Manudhane: what kind of like price discount is sort of taken to get the business.

Priyanka Chigurupati: Let's not get on to those details, Tushar. That's too much information.

Tushar Manudhane: Alright. Thank you. That's it from my side.

Moderator: Thank you. And the next question comes from the line of from Harshit Dhoot from Dymon Asia. Please go ahead.

Harshit Dhoot: Hi, thanks for taking my question. My main question is on Gagillapur. Sir, given the same inspector who did the inspection of Intas and ultimately the plant got ended with import alert. So what is the -- what do you think that is giving confidence to the management for resolving this matter?

Krishna Prasad: Harshit, I think I only heard the last part of your question. Can you repeat it once again?
Granules India Limited
November 06, 2024

Page 8 of 15

Harshit Dhoot: Yes, sure, sir. Sir, given the same inspector who did the inspection for the Intas and ultimately, they did import alert to the plant. So what is -- what are the things that giving confidence to the management for resolving the matter and getting the plant clear from FDA?

Krishna Prasad: Okay. Now still the question was not clear, but I think I broadly understood the tone of the question and let me attempt answering it. Yes, I thought the question was what gives us confidence on being able to resolve the key issue.

Harshit Dhoot: Am I audible, sir? Am I audible?

Krishna Prasad: But it's getting a little, you know, maybe if you speak slowly, we should be able to hear you better.

Harshit Dhoot: Can you hear me now, sir?

Krishna Prasad: Is my assumption correct? What I said your question was about --

Harshit Dhoot: No, sir. My question was that given the same inspector who did inspection of Intas and ultimately the inspector gave the import alert to the Intas plant. So what are the things that are giving confidence to the management that this plant will get clear or matter will get resolved? Considering the critical nature of the inspections which were mentioned in the 483.

Krishna Prasad: Okay, got it. Got it, Harshit. Okay, the same inspector in some other company would have resulted in a warning later, but with the same inspector in some other company h

as resulted in a

VAI. So it doesn't -- it all depends on how the company is responding, what are the actions the company is taking and how we communicated to the FDA. So we are pretty confident about the

actions we have taken.

And also the very fact that with no compulsion or no instructions, we ourselves took a voluntary pause and then did a thorough risk assessment, not only by ourselves, even by using third-party consultants and only after satisfying ourselves that things are good to go, with concurrence from the US -FDA, with their consent, we restarted sales and production. That itself is a good sign that we are very proactive and not reactive and this goes very well with our quality culture and nature of our response and the actions we have taken, the actions we are continuing to take gives us a lot of confidence that things should be in control.

Harshit Dhoot: Okay, sir. But the 483 observations are largely similar in terms of GMP document and all the things. So that was the key things because the observations were very critical. That's why?

Krishna Prasad: They are critical but we have good responses to that. I would like to explain, but unfortunately I cannot go into details.

Moderator: Okay, sir. No problem. Thanks. Does that answer your question, Mr. Harshit?

Harshit Dhoot: Yes, yes, sir.

Granules India Limited

November 06, 2024

Page 9 of 15

Moderator: Thank you. Next question comes from the line of Tarang Agrawal from Old Bridge. Please go ahead.

Tarang Agrawal: Hi, good evening, sir. Am I audible?

Krishna Prasad: Yes sir, you are.

Tarang Agrawal: Yes. Sir, a couple of questions. One, on the gross margin for Q2 FY '25, a fantastic gross margin delivery. Is it a function of any one-off development, I mean, pricing advantage in some of our products or it's really just a function of the mix change in terms of the marketplace and in terms of skewing more towards formulations?

Krishna Prasad: It is a mix towards, I mean, skewing towards formulations, which is a very high percentage this quarter. And also within the formulations, it's a product mix. If we did our entire sales possibly the margins would have come down a bit because there are less profitable products. So it's more that the more profitable products were sold that they made a better margin. However, the increase in margins is on the upward trend. While I say that it was profitable products that contributed, it doesn't mean our gross margins will fall drastically.

Tarang Agrawal: Sure. If I recall correctly from our last conversation in the previous earnings call, five products were launched in H2 of FY '24, that was supposed to drive growth for FY '25. Has that at all been impacted because of developments in Gagillapur?

Krishna Prasad: No, some of these products went out on time and they will continue to grow and they will definitely drive the growth in '25. And some of these products are the growth drivers in margins.

Tarang Agrawal: So there has been a partial impact. Would that be the right way to look at it?

Krishna Prasad: Sorry? Partial? So go ahead.

Tarang Agrawal: Yes. So, I mean, the conclusion would be there has been some partial impact, maybe not a significant impact, but a partial impact, correct?

Mukesh Surana: Yes. You're right.

Tarang Agrawal: Okay. Sir, between the sales that have been lost owing to the voluntary shutdown, additional spends on remediation, would it be fair to presume that on the bottom line, the hit would be close to about \$25 million?

Mukesh Surana: Yes, I have not understood how you are computing it. If it is only remediation expenses, the Chairman has clarified it could be close to \$2 million.

Mukesh Surana: Are you also computing loss of sales?

Tarang Agrawal: Yes, a loss of sale and because of which -- because of the voluntary shutdown and owing to that, the negative operating leverage or the loss of profits that

we would have made on the sales.

Granules India Limited

November 06, 2024

Page 10 of 15

Krishna Prasad: You are referring to Q2, right? Or is it going to be for the year?

Tarang Agrawal: Q2. And I mean overall for the year. So between Q2 and Q3.

Mukesh Surana: It's a -- probably I will give a little judgmental number over here, let's say, close to INR200 crore of sales and close to INR50 crores -60 crores of profit.

Tarang Agrawal: Sure. And the last question, I mean, what utilization was Gagillapur running prior to the inspection and my sense is a large part of September and some part of October has been lost. So what utilization was it running prior to the audit? What utilization is it running at today? And would it be safe to presume that we've lost about 1.5 months of revenues.

KVS Ram Rao: So it was running at around 90% of the capacity and we are close to that way back and close to

that as on today. It's only the 45 days or 40 days that we had an impact. We are back to the original number.

Tarang Agrawal: Super. Thank you, sir, all the best.

Moderator: Thank you. And the next question comes from the line of Bino Pathiparampil from Elara Capital. Please go ahead.

Bino Pathiparampil: Hi, good evening. Just a follow-up question. You know, I have -- in your financial statements, I see that your revenue across geographies are impacted, not just the US. So when you say there was a shutdown of lines, are the lines very common across the US, other emerging markets, semi-regulated markets, India, etc etc?

Krishna Prasad: We have only one facility for all these markets and when we said that we took a voluntary pause, we have a different perception of quality. It's quality for everybody that has to be the same. It's not for different markets. So we took a pause for all markets and having satisfied ourselves that there is no possibility of risk to product and contamination, we release it across. So, to answer your question, the pause has affected sales through all products from this plant.

Bino Pathiparampil: Got it. And sir, when you say it is starting in a phased manner from October, is that same for all markets again or is it that our markets can ramp up faster than US supplies?

Krishna Prasad: Yes, as of today, we give -- because US continues to be a very big market for us. The priority goes to US and other -- we have ramped that up quickly and other markets are ramping up now. There is a backlog which also has to be cleared. So the ramp-up in other markets will be a little slow.

Bino Pathiparampil: Understood. Thank you very much.

Moderator: Thank you. The next question is from the line of Harith Ahamed from Avendus Spark. Please go ahead.

Harith Ahamed: Hi, thank you for the opportunity. So my first question is on Granules Life Sciences, the new facility. You mentioned that you're undertaking validation activities there. So how should we Granules India Limited
November 06, 2024

Page 11 of 15

think in terms of the timelines for starting commercial supplies from the tablet block that we have there. So can that be expedited given some of the issues that we have at Gagillapur? That's what I'm trying to understand.

Krishna Prasad: Let me answer this first, Harit. The commercial supplies from GLS have already started. And in fact, last month also we did ship product out and that will keep continuing. It is especially to the US with monograph products, which don't need a facility inspection and approval. So this is going on. The 2.5 billion capacity, we expect to hit a run-rate of about 1 billion in possibly two months' time and then ramp it up.

We could have hit a bigger number, but we don't have packaging capacity till the main plant comes up. Main plant is expected to go commercial possibly in Q1 of next fiscal and we are doing everything possible to speed it up. And also lot of new filings are going to happen from

here and some site transfer products are also happening.

Harith Ahamed: Okay, got it, sir. And on Gagillapur, you mentioned that we've reached utilization levels which we had before the inspection currently. But the 45 days when we were impacted, was it a complete shutdown or did -- were we operating at a lower utilization level?

Krishna Prasad: So we were just finishing products which are WIP, but granulation has stopped.

Harith Ahamed: Okay, okay. And then in terms of next steps on the -- from the USFDA side the final classification and if there are any further steps, how should we think about the timelines for those?

Krishna Prasad: Typically, it takes about 90 days and normal limit from completion of inspection. EIR is expected and that's what the FDA is supposed to give, but it could be delayed a bit. We have to see how it goes. And meanwhile, it's not only our response, but we are in constant communication and updating the FDA on various development programs we are doing, various initiatives and the results that are happening here. And like I said, we are doing everything that we think is the right way to go ahead and we are confident that this could result in a lot of positive results.

Harith Ahamed: Okay. And last one, on the pantoprazole launch that you mentioned during the quarter, can you share some color on the market opportunity here and the competitive intensity and what market shares you've been able to achieve as of currently?

Krishna Prasad: Priyanka, you want to take that?

Priyanka Chigurupati: Sure. Hi. Give me a second. In terms of pantoprazole, the overall market size is about \$100 million genericized -- well, sorry, gross value. But if you talk about the market share, we've already taken some market share. We've launched the product, but we haven't completely reached our target market share yet. So we want to grow slowly because this is a high volume product. So we want to make sure that we don't crash prices in the market and grow slowly on

this product.
Granules India Limited
November 06, 2024

Page 12 of 15

Krishna Prasad: And Harit, just to mention that we are fully integrated on this product, even though we have launched the product with bought-out API, third-party API, now we have approval received last week, accepting our in-house API. So that should add to some strength in the product.

Harith Ahamed: Okay. Understood, sir. Thanks for taking my questions.

Moderator: Thank you. The next question is from the line of Foram Parekh from BOB Capital. Please go ahead.

Foram Parekh: Thank you for the opportunity. My first question is on margins. Since we expect a spillover effect of the facility shutdown even in the next -- Gagillapur facility shutdown even in the next quarter and we see that the base for the margin base in the -- is higher at 22%. So how much impact do you see of this facility a spillover effect or impact on the margins at an EBITDA level?

Mukesh Surana: Foram, I will talk about the gross margin, maybe then you can arrive at how you are looking at EBITDA. Gross margin, you know, the next quarter, the spillover is there and there is a reduction in the formulations also of Gagillapur. So there can be some favourable margin from formulation, not to the extent of Q2, slightly better from Q1, but at the same time, API also will catch-up in a little bit. So overall, you can look at not as high as Q2. Probably would have to consider a moderate margin in Q3.

Krishna Prasad: So revenue would increase, but margin may fall a little bit.

Foram Parekh: Okay, got that. And my second question is on the API side. I see this massive decline both on a Q-o-Q and Y-o-Y basis. So is it because of some price realization, I mean lower price realization or what has led to such massive decline?

Krishna Prasad: It is the price erosion on one side and lower sales also on the other side. This lower sales are due to

customer inventory buildup. And just to give you a little bit of history, what we -- our analysis is and discussions with our customers based on our discussions with the customers, people were very worried, especially paracetamol during COVID time, they built up huge inventories. They also expected their sales will continue at the same level. And their sales dropped of finished dosages. In fact, even consumers have stocked up.

So they also were not buying and that resulted not only in lost sales for us, it's also the pricing pressure because there were no sales, there was competition offering better prices. So it's a result of -- and then came the Red Sea. Once the Red Sea problem came up, again, there was panic buying and stocking up. So that led to this continued excess inventory. But like I mentioned earlier, we see a little softening. And Q4, I think things will be in very good shape -- better shape I would say, much better shape.

Foram Parekh: So can we expect growth from Q4 onwards in this API division or we can still expect some sort of decline?

Granules India Limited
November 06, 2024

Page 13 of 15

KVS Ram Rao: Decline won't be there. It will definitely be a growth over the current quarters, but whether it will touch Q2 of last year, it may not, but at least in the next fiscal, it will definitely go to that level.

Foram Parekh: Sure. And my last question, if I may. So the formulation sales has -- is showing muted growth, but overall, the geographies I see have declined massively. So could you just explain the reason why Europe, India continues to you know decline steeply.

KVS Ram Rao: Basically like I said we have prioritized US sales during the slowdown also during the falls and we give priority to US. Now there are a lot of European sales which are catching up so -- and other markets. That's where there is a big decline. So overall decline, we mostly had it into Europe and other places.

Priyanka Chigurupati: I just want to add one thing to this. US, as you can -- I'm sure you know that it's primarily B2C business, right? So we had -- we always maintain enough safety stock in the US, which we could immediately release post communication with the FDA and push out into the market versus having to manufacture the entire product and release to Europe and rest of the regions. So that's why we were able to increase the US sales because of our safety stock.

Foram Parekh: Okay, got that. Thank you.

Moderator: Thank you. The next question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Yes, thanks for the follow-up. Just want to understand on the PFI side of the business. You know when you temporarily stop the production at Gagillapur, was PFI block was also the part of it.

Krishna Prasad: Yes, granulation, we stopped. PFI we sell as a product and we also use PFI for our tableting. So it's mainly granulation that has stopped. And WIP, we continue d to compress and coat but not – PFI.

Rashmi Shetty: Okay, got it.

Krishna Prasad: And now those PFI lines have already started, I mean from the October onwards, everything back to normal as of today.

Rashmi Shetty: Got it. Okay. And, you know, earlier we were saying that in the PFI segment, we will be adding -- we are seeing more customer increase in LatAm markets and all. So what is the update over there? I understand that one quarterly impact we have. But just on a, you know general terms, what are you seeing demand from those geographies.

Priyanka Chigurupati: I'll take that question. There has been an increase in demand for our PFI segment. We've been redirecting that business. And so you can see the absolute numbers of PFIs in LatAm go up gradually. In addition to that, we are also qualifying new customers but as, you know, registrations in Latin -America take some time. So we're building a strong BD pipeline for our existing PFIs and also some new

PFIs.

Granules India L imited

November 06, 202 4

Page 14 of 15

Rashmi Shetty: Okay. Another question to Priyanka. You know, just on the launches side, we were expecting that for the US business this year, we will be doing around eight to nine launches. But because of this Gagillapur impact, do you think that the number of launches f or this year would come down or you feel that at the end of the year, you'll be able to launch around eight to nine products in the US market?

Priyanka Chigurupati: So we've also launched about I would say about three products in so far and the remaining half of the year, we have another five launches -- four launches planned for the US, which are on track. Now, if all goes well by the end of March, we'll receive another two approvals, but either way, they won't come into this year sa les. They'll float into next year sales.

Krishna Prasad: But there will be some products that are getting approved from GPI, which will be launched.

Rashmi Shetty: Okay. Okay. Got it, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Tarang Agrawal from Old Bridge. Please go ahead.

Tarang Agrawal: Hi, Priyanka, in response to one of the participants, you suggested that three approvals are pending from Gagillapur in Q4. Is it Q4 FY '24 or Q4 -- sorry, Q4 FY '25 or Q4 CY '24?

Priyanka Chigurupati: In fiscal '25.

Tarang Agrawal: Okay. Thanks.

Moderator: Does that answer your question, Mr. Tarang?

Tarang Agrawal: Yes.

Moderator: Thank you. The next question is from the line of Sahil Vora from M&S Associates. Please go ahead.

Sahil Vora: Yes. I just had some questions. Just a second. Yes. Sir, with the softer input costs this quarter contributing to gross margin expansion and the major molecules being backward integrated, how sustainable do you anticipate these margins to be going forward.

Mukesh Surana: Yes, we have already clarified that the Q2 margins are little higher because the USFDA issue was there. So we have prioritized and sold favourable margin products in terms of priority. But at the same time, the margin will not fall significant ly in Q3, Q4. So we will be able to have a good margin run -rate.

Sahil Vora: Okay, got it. And could you provide more insight into the new product launches during the first half of FY '25?

Priyanka Chigurupati: What would you like to hear from us on that front?

Sahil Vora: In general, I wanted just an idea about the product launches.

Granules India L imited

November 06, 202 4

Page 15 of 15

Priyanka Chigurupati: We launched three products in this fiscal year, both from GPI and GIL and like I mentioned in my previous call, we launched about three products at the end of fiscal '24, which kind of extended into this year. So if you consider about six products, we've m ade decent inroads into every single product. But again, all of them have room to grow.

And if you look at IMS data, etc etera , whatever data source that you look at, you'll just start seeing small numbers because we just launched them into the market. So going forward, as production ramps up, we'll be taking over -- we'll be actually supplying in full and taking on more market s hare.

And also, I just want to clarify something to the participant from earlier. When I mentioned that we have about four launches coming up the rest of this year and also three to four launches that were -- sorry, approvals that we're expecting in Q4, these are not linked. The two out of the four launches or three out of the four launches that we are expecting to do are from products that have been approved a while ago that we're launching now because the market opened up in a very good way for us. So they're not linked. I just wanted to clarify that.

Sahil Vora: Okay, okay. Understood. Thank you for the detailed answer. And lastly, could you provide an unexpected -- sorry, expected timeline for t

he Gagillapur facility to resume operations?

Krishna Prasad: Gagillapur has already resumed operations and clarified a few times in this call that things as of today, we are producing at normal capacity.

Sahil Vora: Okay. Thank you for the clarification and all the best. Thanks.

Moderator: Thank you, sir. As there are no further questions from the participants, I would now like to hand the conference over to Krishna Prasad for closing comments. Over to you, sir.

Krishna Prasad: Once again, ladies and gentlemen. My sincere thanks for your interest in Granules and for joining us in this earnings call today. I wish you all a great time ahead. Thank you.

Moderator: Thank you everyone. On behalf of Granules India Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2025

REGISTERED OFFICE

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Date: January 30, 2025

To,
National Stock Exchange of India Limited
BSE Limited
Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,

Sub: Transcript of the Earnings Conference call for Q3 of FY25.

Ref: Our letter dated 09.01.2025 for intimation of the schedule of the Earnings
Conference call for Q3 of FY25.

Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, the transcript of the earnings conference call of the Company for Q3 of
FY25 is enclosed with this letter and has been uploaded on the website of the Company at the
below -mentioned link:

<https://granulesindia.com/investors/investor-resources/earnings-call-transcripts/>

Kindly take the above information on record.

For GRANULES INDIA LIMITED

CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)

CHAITANYA
TUMMALADigitally signed by
CHAITANYA TUMMALA Date: 2025.01.30 12:10:20 +05'30'
Page 1 of 13

"Granules India Limited
Q3 & 9 Months FY '25 Earnings Conference Call"
January 24, 2025

MANAGEMENT : DR. KRISHNA PRASAD CHIGURUPATI – CHAIRMAN AND
MANAGING DIRECTOR – GRANULES INDIA LIMITED
DR. KVS RAMA RAO – JOINT MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – GRANULES INDIA
LIMITED
MS. PRIYANKA CHIGURUPATI – EXECUTIVE
DIRECTOR , GPI AND GUSA – GRANULES INDIA
LIMITED
MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER –
GRANULES INDIA LIMITED

MODERATOR : MS. PRACHI – ORIENT CAPITAL

Granules India Limited
January 24, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Q3 and 9 Months FY '25 Earnings Conference Call of Granules India Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded. I now hand the conference over to Ms. Prachi from Orient Capital. Thank you, and over to you, ma'am.

Prachi: Thank you, Man av. On behalf of Granules India Limited, I extend a warm welcome to all the participants on Q3 and 9 months FY '25 Financial Result Discussion Call . Today on the call, we have Dr. Krishna Prasad, Chairman and Managing Director; Dr. KVS Ram Rao, Joint Managing Director and Chief Executive Officer; Mr s. Priyanka Chigurupati, Executive Director; and Mr. Mukesh Surana, Chief Financial Officer.

Before we begin the call, I would like to give a short disclaimer. This call may contain some of the forward -looking statements, which are completely based upon our beliefs, opinion expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Dr. Prasad for his opening comments. Over to you, sir. Thank you.

Krishna Chigurupati : Thank you, Prachi. A very good evening , ladies and gentlemen, and thank you very much for joining us on our Q3 FY '25 Earnings Call . We appreciate your continued interest in Granules. We have uploaded a detailed presentation of our quarterly performance on our website, and I trust you have had a chance to review it.

As many of you know, the USFDA conducted an inspection of our Gagillapur finished dosage facility from August 26 to September 6, resulting in six Form 483 observations. The FDA has determined the classification of the inspection as "official action Indicated". Granules has undertaken a proactive voluntary and comprehensive remediation plan to address observations raised by the US FDA.

Following the inspection, we voluntarily paused manufacturing and distribution in September to conduct a thorough risk assessment, ensuring that there are no product contamination or patient safety concerns. Operations and dispatches have since resumed in October following this assurance , while maintaining full transparency with the FDA throughout the process.

Our voluntary remediation plan encompasses comprehensive corrective and preventive actions, independent third -party oversight, ongoing product testing for risk assessment and regular monthly progress updates to the U S FDA.

The plan is structured around three key focus areas: First, demonstrating a thorough understanding of identified issues by implementing appropriate CAPAs; second, ensuring the effectiveness of closed CAPAs through rigorous metrics -based evaluations; and third, mitigating risks by implementing interim controls for all ongoing activities related to open CAPA. To date, Granules India Limited
January 24, 2025

90% of CAPAs have been completed , with the remaining ones on track for closure by March '25.

To help us with this process, we have engaged multiple third -party consultants and experts who are working closely with our team on the ground. We are in constant touch and engaged with the US FDA to present our progress on the corrective measures and request a potential reinspection.

Following our initial response to the FDA on 28th September, we have shared three monthly status update report with the agency on 28th October, 26th November and 26th December, communicating the progress on implementation of corrective measures that we have put in place. Our fourth

monthly update will go out before the end of January.

We are also making a systemic change in the quality and compliance culture across the organization, including at Gagillapur, which are directed towards infrastructure improvements, capability building, automation, process changes and inculcating a quality mindset that is in sync with the ever -evolving regulatory expectations.

We are maintaining continuous communication with our customers and have had several visits and on -site meetings with our top customers. These interactions have been highly positive, and I think allowing us to transparently share our progress on corrective actions being taken at the site.

As part of our ongoing efforts to strengthen leadership in quality and manufacturing, the quality function and leadership, Dr. Rajesh Kapoor has been appointed as Global Head of Quality at

Granules. He was already, a head of quality for our North American operations.

On the manufacturing side, Ramraj Rangarajulu has joined us back as new Head of Formula tion Operations for India sites. Ramraj, in his previous stints, was Head of Gagillapur plant. The OAI classification does not impact the ongoing manufacturing distribution or sale of existing products from the site. However, it may impact review of pending submissions for approval of new products until the status is resolved.

Granules' growth trajectory remains robust and diversified, underscoring that our strategy is not solely dependent on new product approvals from the Gagillapur site. Key drivers include new launches from our GPI ability in the US, growth from large volume products in the US and Europe, capacity addition and commercialization of greenfield formulation facility at Genome Valley, value chain advancements in Europe and our expanding oncology pipeline from Unit V in Vi zag

As we look ahead, our near -term growth will be driven by new product launches from our GPI site for the US market, especially the C NS ADHD segment. During the last quarter, we have received US FDA approval for Lisdexa m phetamine chewable tablets , and few other exciting products are under approval which we expect to come through in the near future.

Our new formula tion facility at Genome Valley under Granules Life Sciences is progressing well. Phase I with the capacity of 2.5 billion doses has been commissioned and commercial Granules India L imited

January 24, 202 5

Page 4 of 13

dispatches of monograph products have commenced. We are targeting prescription product commercialization for Europe in March or April. Phase II with an additional 7.5 billion dose capacity is expected to be commissioned by Q4 of FY '25, with validation act ivities slated to begin in Q1 FY '26.

To summarize, we are prioritizing the enhancement of quality and compliance across the organization while actively pursuing our growth objectives. These include new launches from our GPI facility, expanding our formulations capacity at GLS and investing in R&D to support our portfolio expansion in the long term.

I request Dr. Ram Rao to provide further insights on some of the initiatives.

K.V.S. Ram Rao : Thank you, Chairman. Good evening, ladies and gentlemen. Building a robust and a diverse product portfolio has been a focus for Granules, forming the cornerstone of the company's growth strategy in the last couple of years. We have been steadily advancing towards our R&D objectives . in each passing quarter , We have been consistently growing our product portfolio. Today, Granules has 83 ANDAs in the US with 15 ANDAs awaiting approval, 12 applications in Europe with four awaiting approval, and 15 applications in rest of the world with eight awaiting approval. Additionally, we have received approval for two of our formulation products in the US in the last quarter.

We are ac tively expanding our therapeutic &product portfolio by submitting new filings in areas

uch as C NS, oncology and antidiabetic segments while also pursuing market expansion for our existing products. This past quarter, Granules R&D spend was close to INR57 crores , another testament to our commitment to continuous innovation.

Following are the areas of primary focus for growth in the portfolio, ADHD based out of Chantilly facility in the U S. We are developing medicines to adjust one of the fastest growing therapeutic segments and health concerns in the US and world today. The global ADHD market is projected to grow from USD 15.8 billion in '23 to USD 24 .6 billion in 2032. Increasing ADHD diagnosis, advancement in diagnostic tool, and the continuous development of innovative treatments is driving this growth.

Despite being rapidly growing therapeutic segment, patients in the US frequently face shortages of ADHD medications. A combination of the above factors make ADHD attractive therapeutic area for Granules. We have been developing a very robust ADHD portfolio with 10 products in pipeline for development, which includes first -to-file Day 181 and regular launch opportunities. We also have 5 to 6 ADHD products commercialized in the US and have obtained approval for Lisdexa mphetamine chewable tablets in December 2024.

Overall, Granules ADHD portfolio is designed to address majority of the US ADHD market. Oncology therapy is another focus area for Granules, and we are making substantial strides into our oncology portfolio. We continue to expand our oncology portfolio with 7 to 8 products currently under development, this includes NCE opportunities and the Day 1 opportunity products.

Granules India L imited

January 24, 202 5

Page 5 of 13

Our state-of-the-art infrastructure for both API and finished dosage in oncology, combined with strategically curated portfolio in the near term that have high market entry barriers, positions us to become a significant player in this segment. Diabetes treatment is another cornerstone of our portfolio. We are currently working on 8 to 9 diabetic medication portfolio and anticipate submitting several of them for approval in the upcoming quarters.

Biocatalysis is a focus area for our R&D. We are developing our products using this technology, process validation of the first API of this segment is set to be completed in the current financial year, followed by two more products in the subsequent quarters. We continue to develop these products with an eye on sustainability and global cost leadership.

It's great to report that we have stayed consistently dedicated to executing our R&D strategy and building a strong portfolio for the future. Thank you all, and over to you, Mukesh.

Mukesh Surana : Thank you, CMD and JMD. Let me take you all through the top financial parameters now. Revenue,

the third quarter revenue were INR11,377 million as compared to INR11,556 million in Q3 FY '24, with a decline of 2% and revenue improved by 18% as compared to Q2 FY '25. The sales breakup as per business division, geographic regions are presented in our investor presentation, which is available on the website.

Gross margins.

Our gross margin as a percentage of sales for Q3 FY '25 was 61.7% as compared to 57% in Q3 FY '24. Gross margin as compared to Q3 FY '24 is up by 474 basis points, achieved on account of profitable sales growth of finished dosages. Gross margin as a percentage of sales for Q3 FY '25 is down by 20 basis points from Q2 FY '25. We sustained higher sales quarter-on-quarter and prioritized sales of higher margin within the finished dosages.

EBITDA and EBITDA margin.

EBITDA for the quarter was INR2,303 million, that is 20.2% of sales as compared to INR2,505 million, that is 21.7% of sales in Q3 FY '24, a decrease of 144 basis points from Q3 FY '24.

EBITDA as a percentage of sales for Q3 FY '25 is down by 80 basis points from Q2 FY '25 on account of air freight, failure to

supply and professional expenses that have gone up on account of the recent US FDA inspection at the Gagillapur facility.

R&D.

Our R&D spend for the quarter was INR568 million as compared to INR468 million in Q3 of '24 and INR524 million in Q2 FY '25.

Net debt

Was INR8,289 million as compared to INR7,973 million in Q2 FY '25. Our net debt was INR8,421 million at the end of March '24.

Granules India Limited

January 24, 2025

Page 6 of 13

Cash-to-cash cycle.

Our cash-to-cash cycle was 213 days in the current quarter, which is same as Q2 FY '25. Cash flow from operations. Cash flow from operations for the quarter was INR1,315 million as compared to INR1,880 million in Q3 of '24, and INR2,007 million in Q2 FY '25. With the sequential quarter's sales growth, receivables have gone up. However, DSO remained at 76 days as compared to Q2 FY '25 of 73 days.

Capex.

Capex spend during the quarter was INR1,335 million primarily invested in Granules life science of INR940 million. At a Y-T-D level, we spent INR4,102 million for capex primarily invested in Granules Life Science of INR2,425 million.

ROCE

ROCE for Q3 FY '25 is 16.4% as compared to 16.9% in Q2 FY '25 at 15.3% in Q3 FY '24.

With this, I open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have a first question from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane : Sir, with almost 90% remediation of incremented and new approvals or launches expected, could you just guide us in terms of revenue in FY '25 in terms of revenue growth and EBITDA margin?

Krishna Chigurupati : Tushar the remediation is going on, like I said in my opening remarks. We have voluntarily taken a lot for steps for remediation. We have consultants looking at last 2 years reports of investigation and to just to give confidence to ourselves and the FDA that everything has been good in the organization. And given ongoing investigations also, they will be taken care of. So, so work is happening.

And now it all depends. If everything is status quo, and it is OAI, we will not get approval since that is clear, new approval. So the growth has to come from existing products, increasing market

in Europe and other places and mainly from the US operations and production from GLS. So we cannot put a number today.

But definitely, when you see CAGR, we will continue to maintain it even though there are blips.

So CAGR will definitely be around 20% plus. So that's all I can guide on the growth today .

Tushar Manudhane : Understood. And for the quarter, there has been a sharp uptick for Europe sales. Anything you would you want to comment on that?

Krishna Chigurupati : Did you say uptick, did you say that?

Tushar Manudhane : Quarter -on-quarter, there has been a sharp jump in the Europe sale?

Granules India L imited

January 24, 202 5

Page 7 of 13

Krishna Chigurupati : Quarter -on-quarter, there has been a jump. But because that reason is last quarter was actually dip. So if you see Europe in a continuing basis, Europe not doing that great, it is also a factor of capacity. Our capacity is not in finite . Until we have the new GLS plant running ,this will continue. And we continue to allocate most of our capacity in US. So if you see the US growth rate and the growth in Europe, you can see the connection. Overall, great growth in Europe. That's all I can tell you.

Tushar Manudhane : And lastly on like while this has slightly impacted the EBITDA margin for the quarter, but if you would like to call out what kind of cost has gone in terms of remediation measures, which is sort of not recurring in nature?

Krishna Chigurupati : Cost has not only gone up on remediation, Tushar. Due to disruption of supply, there was a lot of material that has to be airlifted that has drastically added to the cost. And

of course,

remediation cost has been there. And a few other expenses, which are not in regular line have happened in this quarter. And I won't say this is one -off for this quarter. Some of these things will happen in next quarter too, though they will be at a much reduced level.

Moderator: The next question is from the line of Rashmi Shetty from Dolat Capital.

Rashmi Shetty : So just a follow -up from the earlier participant. You mentioned in your presentation that your expenses during the quarter has gone up due to the professional fees related to the remediation activity and some SPS expenses also. So if you can quantify that number, what was the cost related to the failure to supply and that penalty is going to recur in next 2, 3 quarters? Or you feel this is one -off in third quarter only? And remediation cost, how much is something which is recurring in nature in the next subsequent quarters?

Mukesh Surana : Sure, Rashmi. So, we have incurred consultancy fees , failure to supply and also there was increase in air freights . Some we could recover from customers, some we could not. All put together, I would say it would be close to \$3 million. And some of this may not repeat fully in quarter 4. There will be a reduction in this number in quarter 4.

Rashmi Shetty: Okay. So out of \$3 million, which you are saying that -- which has been exp ended in this quarter, how much is something which would be rec urred ? I mean is it like 25%, 50% of this amount would rec ur in the quarter 4? To model in our numbers, we would want to know that?

Mukesh Surana : So it would be a little above 50%, I would say. It's a judgment as of now.

Rashmi Shetty: Okay. Understood. That's really helpful. And on the U.S. FDA inspection part, when you're communicating with the agency, anything which you can g auge that the inspection can happen soon? Or you feel that currently, only the timely updates will happen? Anythi ng which you can gauge from them?

Krishna Chigurupati: We are updating them Rashmi, regularly on the work that is happening here, and which is very positive. But we are planning to request them for the re -inspection. We don't know when they'll give us an appointment and when they will come back. It all depends. As of today, we cannot put any dates on that.

Granules India L imited

January 24, 202 5

Page 8 of 13

Rashmi Shetty: Okay. So the 4 to 5 product launches, which were expected in FY '25, second half, will that happen from other facility or we believe that probably now that will get delayed to next year or till the time it is settled?

Krishna Chigurupati : So this could get delayed to last quarter. But definitely, these products shifting to other sites. If we start filing those from the other site, it could take in to first quarter of next fiscal, from an , I am talking of '27.

Rashmi Shetty: Okay. So net -net, to say that at least 2 quarters' time...

Krishna Chigurupati : There would be some loss in sales from the new launches.

Priyanka Chigurupati : No, Rashmi , to complete that answer, we have still about 4 to 5 launches from the GPI sites that are planned for Q4, which will go on as planned. And from that, about two products are new

approvals, one of which we've already received and three products are from old products that we've already received approvals for, but we'll be launching officially in Q4.

Rashmi Shetty: Understood. So those 4 to 5 products will go on?

Priyanka Chigurupati : Yes.

Rashmi Shetty: Okay. And related to your API business, what is the update over there? We were seeing some sort of price erosion. Even the demand scenario was weak because of the inventory level at the customer? But we expected that probably prices will recover in second half and also, there would be some inventory, which would get over. So, API growth could improve. So, what is the update on that for this end of year? Also, if you can update relat

ed to FY '26?

Krishna Chigurupati : Priyanka, do you want to take that? Or Shall I?

Priyanka Chigurupati : Sure. I'll take one half of the question for sure. So the API prices, I'm assuming you're referring to paracetamol prices. and in general, they have certainly gone up a little bit, but -- and have stabilized right now at a new base. And going forward, I do expect it to go up from here. And regarding the rest of the API prices, I wouldn't necessarily say there's too much of a change either way in any of the prices overall.

In terms of inventory, so again, all other inventory situation is fine. But with paracetamol, there still is a situation of high stockage because customers did take some additional product because of the Red Sea issues on top of the past inventory that they were sitting on. So again, right now, we see it -- we see projections for FY '26 to be pretty good. But Q4 FY '25 will still be pretty flat. But FY '26 looks good for now.

Rashmi Shetty: Okay. Got it. Thank you. That's it for my side.

Moderator: Thank you. We have our next question from the line of Darshil Jhaveri from Crown Capital.

Please go ahead.

Granules India Limited

January 24, 2025

Page 9 of 13

Darshil Jhaveri: Some of my questions have been answered. I think the first participant asked about the growth. I think sir said, we are targeting a CAGR of 20% plus. Is that fair like for FY '26? Have I heard that correctly, sir?

Krishna Chigurupati : No, Mukesh you want to answer that question?

Mukesh Surana : Yes. So in the long run is what you were trying to say, not quarter-on-quarter. In the long run, we are expecting to achieve 20% plus CAGR in the long run.

Darshil Jhaveri: Okay. Fair enough. And so in the short term, like how do we see FY '26 planning out for in terms of like revenue? Because we can't launch fully that all the products that we want. So how much will be able to maintain the current pace or quarterly run rate or how would it go, Sir?

Krishna Chigurupati : '26 will definitely be a lot better than '25, Darshil, which will be aided by GLS where we are likely to have a European inspection early next -- very early next fiscal. So that will help us to start the European business and the business will go on. We expect very positive growth in next year. And maybe we are looking at something like a 20% growth next year.

Darshil Jhaveri: Okay. Fair. That helps a lot, sir. And sir, margins like we had some nonrecurring expenses, as you've said. So 20%, 22% margin range, that's also a fair assumption, sir?

Krishna Chigurupati : Yes, definitely, very much. If you see our gross margins are only improving, but some of these one-off expenses have been eating into that.

Darshil Jhaveri: Yes, correct, sir. And sir, I just wanted to know like any potential implications of the Trump presidency that we can expect, like even like we have some facilities in US also. So what do you see as the political risk? Is there like something that can maybe hurt us or can it be a gain for us? Anything on that sort of, sir?

Krishna Chigurupati : I mean this administration could be a little unpredictable, we cannot say. But overall, this administration is industry friendly. So I personally think there could be a lot of positivity that can happen to the pharma industry from this administration. And we having a facility in US also definitely will help.

Darshil Jhaveri: Okay. Fair enough, sir. And sir, just last on my end sir. So FDA, we are continuously updating them. So any rough timeline? Nothing that we can hold on to, but in your experience, how much like timeline, like it can be maybe a few months or maybe a quarter or two? what do you feel, sir, can -- when will they come back for an inspection? And how would it go on? So just any timeline that you could like to give, sir? Nothing specific, some range will also do?

Krishna Chigurupati : It's very difficult

to fix a timeline, but we're going to request them for a meeting any time from next month onward. And let's see what happens. Maybe within a quarter, I am sure they would definitely visit us.

Moderator: The next question is from the line of Abhishek Pipariya from ICICI Bank.

Abhishek Pipariya : This is in relation to the capex expenses which is expected in FY '26. So, can we just know what

is the capex we are planning in FY '26?
Granules India Limited
January 24, 2025

Page 10 of 13

Mukesh Surana : See, some of those capex, there is some carry forward also of the current year plan. So, we are estimating as of now, we have not yet done the budgeting exercise, but anywhere between INR500 -odd crores.

Abhishek Pipariya: Okay. And sir, in recent past, there has been USFDA observations. So, what would have been the contribution from the Gagillapur plant, which has been affected? And what is the decline you are expecting in the current year from this?

Krishna Chigurupati : We expect that revenues will not decline any more. This quarter, they could have declined because we took a pause in production. We expect that we will continue with Q1 numbers from this site and possibly improve a little bit, because some of the new launches are taking off. Their sales are improving.

Abhishek Pipariya: And sir, what is the kind of overall contribution in the top line from the Gagillapur plant in a financial year?

Mukesh Surana : Sorry, come again?

Krishna Chigurupati : Top line from the Gagillapur plant percentage.

Mukesh Surana : It is in the range of 60 -plus percentage, 60 percentage to 65 percentage on overall total consolidated sales.

Moderator: We have our next question from the line of Sahil Vora from M&S Assets.

Sahil Vora : Yes. My first question is, is Granules planning to participate in the GL -1 market, given its growing significance in the pharmaceutical landscape?

Krishna Chigurupati : Yes, Mr. Vora. This is a market which no company should neglect such a huge opportunity, and everybody should aim for a piece of that big pie. We are definitely looking at it and possibly you will hear from us in future quarters on what we are doing.

Sahil Vora: Okay. Thank you for the update. My next question is, with the finished dosages contributing 76% of revenues, what is the outlook for this segment? And are there plans to diversify revenue streams further?

Krishna Chigurupati : FDs has always been the ultimate target. And the reason we make -- even though we were selling a lot of APIs and PFIs, our target was to convert the PFI business into FDs. So that we have been achieving, and focus will be totally on FDs. While we need the APIs and PFIs to feed into our FDs, so all these will be for in-house consumptions. So, we do make a lot of APIs today, but they're all going into internal consumption.

And regarding diversification, if I got your question right, we are looking at various new APIs, again, based on the FDs, which we have filed. And also possibly you'll be hearing from us about our foray into a few different dosage forms in the coming quarters.

Moderator: We have our next question from the line of Sreesankar Radhakrishnan from EIP

Granules India Limited

January 24, 2025

Page 11 of 13

Sreesankar R. : Got two quick questions. The first one is, even in Q2 in your Investor Presentation, I couldn't see a balance sheet there. If you can give a balance sheet that will be great. You don't need to give it on the third quarter, etcetera, but it will be greatly helpful. That's the first one.

Second is, every year, you just mentioned that you probably have around closer to INR500 crores capex in FY'26. Did I hear right?

Krishna Chigurupati : Yes.

Sreesankar R. : Yes. If that's the case -- you have been doing your investment, the capex also has been increasing, rather on the high side at every point of time. But my question

really is when do you start to see

your cash flows going to keep funding your capex and your debt continues to reduce?

Mukesh Surana : Yes. I would like to clarify. Our Investor Presentation has all the balance sheet key parameters in Slide #8, where we cover the fixed asset turn, net debt, CCC days, cash flow, capex and ROCE. So probably you can refer that. And also detailed balance sheet is anyway uploaded. With respect to the INR500 capex, as I have clarified, as of now, I'm just giving an estimate because the budgetary exercise is still under process.

And the third question is with respect to cash flow generation. If you see with the significant increase in capex, our net debt has still not gone up. And we are building this capex. One important capex, which we are building, is on the granules life science, which is an additional INR10 billion capacity, which has already started commercialization to the extent of INR2.5 billion.

The run rate of INR2.5 billion, we will see it soon. And also the next INR7.5 billion also will

happen. So , it's a matter of 2 -3 years. So , the capex, whatever we have spent is going to give returns in the next 2, 3 years. So , the cash flow as such is managed well. We are not taking additional borrowings.

Shivshankar R .: No, I appreciate that. My only point was, yes, you are generating cash, you are generating. But when are we going to see rundown in your net debt? That was the only question. I take your point on Slide 8, I can see that, but it would have been much easier if the entire balance sheet also is given. So , you've got a P&L, you've got a lot of those things that are given. So that was a suggestion, that's it.

Moderator: We have our next question from the line of Madhav from Fidelity.

Madhav : I just had one question basically for our Gagillapur site, it has an OAI classification. I just wanted to check my very basic understanding that generally, OAI is followed by either a warning letter or an import alert. So , do we expect that final classification to come in very soon? Or is it already -- I don't know how does it usually work? Am I missing something that -- or is it like stays at OAI without either of these coming out , or how does that work?

Krishna Chigurupati : The worst case in an OAI, of course, is import alert, but intermittent is the warning letter. We are pretty pretty confident based on our conversations with our consultants that import alert is a very, very remote possibility. And warning letter is a possibility, though we feel and they feel
Granules India L imited
January 24, 202 5

Page 12 of 13

confident that it may not happen. And the best case scenario is to keep it a s OAI come back and inspect us.

Management : And that I answered a little while ago, it could happen in a quarter or so possibly.

Madhav : Okay. So basically, sir, just again, a basic question, so it can just stay at an OAI without going to either warning letter or import alerts ? Or it still gets resolved there itself...

Krishna Chigurupati : Yes, they may want to come back for an inspection and there's an intermittent letter they give. I don't know the exact name of the letter , that letter will say we will come and inspect you. So that could happen.

Madhav : Okay. And given that our inspection was in September -- August or September. So generally, the re -inspection, what's the earliest from sort of -- is it like 1 year that they come back or it could be even faster than that? Any sense there would be...

Krishna Chigurupati : So, it depends, like if our responses are good and the APA is convinced that we are doing a good job, they'll definitely come back earlier.

Moderator: We have our next question from line of Rashmi Shetty from Dolat Capital.

Rashmi Shetty : Just one question. If you can call out your total gross borrowings, not net. Total gross borrowings and your average cost of debt?

Mukesh Surana :

See, the gross debt is INR1,025 crores. And -- the cost of borrowing has a mix of PCFC , term loan and also different banks. So if I have to say, largely we borrow in PCFC and USD borrowing. So the sp read ranges from 0.2 to 0.7 range for working capital. And for long -term loan, it is also 100 to 150 basis point kind of a range.

And then obviously, there will be an IFRS accounting of INR equivalent cost, which goes into the interest cost. It's foreign currency borrowing.

Moderator: We have our next question from th e line of Mamta Agarwal from ABN Investments.

Mamta Agarwal: Sir my question is, can you share retails about the greenfield formulation expansion at the GLS? And elaborate more on contribution to future revenues?

Krishna Chigurupati : This capacity, Mamta, is going to be about 10 billion capacity. 2.5 billion is already online in one phase. And since we do not have an FDA inspection or a European inspection so far, we are producing US monograph products for the U.S., and we're shipping them out today.

And we are expecting a European inspection late March or early April. And after that inspection, within a few months, we expect to start shipping f or Europe -- and later on, Europe doesn't need any filings. It can be a separate process. And US inspection, we have already done some filings, and we expect it could be 6 months, 9 months, whatever.

We're trying to push them. We'll see what happens. But meanwhile, European sales and US monograph sales will continue to happen from that side.

Granules India L imited
January 24, 202 5

Page 13 of 13

Mamta Agarwal: Okay. Fair enough. Sir, follow up question is, what is the company's focus on launching new products or entering untapped therapeutic areas in the near term?

Krishna Chigurupati : Untapped from Granules side, different dosage forms, we are working on. And therapeutic areas, as you know, everybody now is into diabetes, weight loss segments, the GLP -1s. So , we

will definitely be looking at that. And like I said, you will hear from us in the next few quarters.

Krishna Chigurupati : Yes of course in the therapeutic segment, we are focusing on diabetes like the CNA segments, some of the segments we are focusing on. But beyond that, we are looking at different things.

Moderator: We have our next question from the line of Harith Ahmed from Avendus Spark.

Harith Ahmed : What was the R&D spend for the quarter? I couldn't find it in the presentation.

Krishna Chigurupati : Yes. So , I had called it out, it was INR568 million for the current quarter.

Harith Ahmed : Okay. And you mentioned there was an increase in receivables during the quarter. So , we would share the current debtor days and this increase was related to which market? If you can throw some color on that.

Mukesh Surana : The DSO days that also I had read in my CFO speech. It is in the same level. Currently, it is 76 days and last quarter, it was 73 days. So , it is largely because of the increase in sales in the Q3, sequentially, Q2 to Q3.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Krishna Chigurupati : Once again, thank you very much, ladies and gentlemen, for attending the call and your continued interest in Granules India. So , I just wish you a great weekend and a Happy Republic Day. Thank you very much.

Moderator: Thank you. On behalf of Orient Capital, that concludes this call. Thank you for joining us, and you may now disconnect lines.

Call: Jun 2025

Date: June 04, 2025

To,

National Stock Exchange of India Limited

BSE Limited

Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,

Sub: Transcript of the Earnings Conference Call for Q4 and the financial year ended on March 31, 2025.

Ref: Our letter dated May 07, 2025 for intimation of the schedule of the Earnings Conference call for Q4 and the financial year ended on March 31, 2025.

Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, the transcript of the earnings conference call of the Company for the Q4 and financial year ended on March 31, 2025 is enclosed herewith and has been uploaded on the website of the Company at the below -mentioned link:

<https://granulesindia.com/investors/investor-resources/earnings-call-transcripts/>

Kindly take the above information on record.

For GRANULES INDIA LIMITED

CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)

Encl: As above

REGISTERED OFFICE

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Page 1 of 16

“Granules India Limited Q4 & FY '2025 Earnings
Conference Call ”

May 28, 2025

MANAGEMENT : DR. KRISHNA PRASAD CHIGURUPATI – CHAIRMAN AND
MANAGING DIRECTOR , GRANULES INDIA LIMITED

DR. K.V. S. RAM RAO – JOINT MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER , GRANULES INDIA
LIMITED

MS. PRIYANKA CHIGURUPATI – EXECUTIVE
DIRECTOR , GRANULES INDIA LIMITED

MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER ,

Granules India Limited
May 28, 2025

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to the Granules India Limited Q4 FY '25 Earnings Conference Call.

As a reminder, all participant s' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*", then "0" on your touch tone phone. Please note that this conference has been recorded.

I now hand the conference over to Ms. Prachi Ambre from MUFG Investor Relations team. Thank you, and over to you ma'am.

Prachi Ambre: Thank you, Anushka. On behalf of Granules India Limited, I extend a warm welcome to all the participants on Q4 & FY '25 financial results discussion call.

Today on the call, we have Dr. Krishna Prasad Chigurupati – Chairman and Managing Director; Dr. K.V. S. Ram Rao, Joint Managing Director and Chief Executive Officer; Ms. Priyanka Chigurupati, Executive Director; and Mr. Mukesh Surana, Chief Financial Officer.

Before we begin the call, I would like to give a short disclaimer. This call may contain some of the forward -looking statements, which are completely based upon our beliefs, expectations, and opinions as of today. These statements are not a guarantee of ou r future performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Dr. Krishna Prasad sir for his opening comments. Over to you, sir. Thank you.

Dr. Krishna Prasad C.: Thank you, Prachi. Good evening, ladies and gentlemen, and thank you very much for joining us on the Q4 FY '25 Earnings Call. We appreciate your continued interest in Granules. We have uploaded a detailed presentation of our quarterly and full year performance on our website, and I trust you have had a chance to review it.

I will start with the update on the US FDA remediation at our Gagillapur facility.

Let me begin with the update on the US FDA inspection status at our Gagillapur finished dosage facility :

As shared in our previous quarterly call, the facility underwent FDA inspection in August 2024, which concluded with six Form 483 observations and was classified as official action initiated.

On February 26 , 2025, we received a warning letter from the FDA for the site. The warning letter does not affect the supply of approved commercial products. However, it may temporarily impact the FDA's review of pending product submissions from this facility until the ma tter is resolved.

Granules India Limited
May 28, 2025

Page 3 of 16

While manufacturing and distribution continue , the ongoing remediation measures have resulted in a slowdown of operations, which impacted our Q4 output and is expected to continue for another quarter or two. Our remediation program initiated immediately post -inspection , has been driven under the guidance of three globally recognized consulting firms with deep expertise in quality, compliance, and regulatory affairs. These experts have been closely collaborating with our team, both on -site and remote, since September 2024. As part of this initiative, we voluntarily paused operations in September to conduct a comprehensive risk assessment. Operations resumed only after confirming there was no product safety or contamination concern, and in concurrence with the US FDA.

We initiated extensive testing of both previously manufactured and ongoing batches for cross -contamination. So far, over 1,200 post -inspection and pre -inspection batches have been tested, all are within acceptable limits. Additionally , more than 2,600 swab and rinse samples have been tested with no deviations observed. We developed and validated 89 test methods specifically for contamination testing, and analysis remains ongoing. We continue to generate and compile data to demonstrate the robustness and sustainability of our

CAPAs in preparation for a future FDA meeting.

Beyond compliance, we have implemented enterprise -wide quality culture initiatives, including corporate procedures for cleaning validation, visual checks , residue limits, change controls, and competency building across teams. We remain fully engaged with the FDA, customers, and other stakeholders throughout this process, and are committed to embedding long -term improvement in our quality systems. We are confid ent that the steps we are taking will lead to a satisfactory resolution within a reasonable timefra me.

Granules' growth trajectory remains focused and diversified, underscoring that our strategy is not solely dependent on new product approvals from the Gagillapur site.

Key drivers include :

- New launches from our GPI facility in the US.
- Growth from large -volume products in the US and Europe .
- Capacity addition and commercialization of the Greenfield formulation facility at Genome Valley .
- Value chain advancement in Europe .
- Expanding oncology pipeline from Unit -V.

Our near -term growth will be driven by new product launches from our GPI site for the US market, especially the CNS and ADHD segments.

During Q4, we received approval for lisdexamfetamine capsules following the early approval of the chewable tablet formulation in Q3. With this, we now have both dosage forms, capsules and chewables approved and commercially launched, enhancing our presence in the CNS and ADHD

Granules India Limited

May 2 8, 2025

Page 4 of 16

segment. Additionally, we launched multiple key products during the quarter, including paracetamol -oxycodone, paracetamol -hydrocodone combination and dofetilide capsules. These launches reflect our continued focus on expanding our complex generic portfolio and reinforcing our position in the US prescription market.

Our new formulation facility at Genome Valley under Granules Life Sciences is progressing well. Phase -1 with a capacity of 2.5 billion dosage has been commissioned and commercial dispatch of monograph products are ongoing. We are awaiting inspections by both European agencies as well as the US FDA towards commercialization of prescription products from GLS. Inspections are expected in Q2 of FY '2 6. Phase -2, with an additional 7.5 billion dose capacity has been commissioned in the current quarter and validation activities for monograph products have also commenced.

I will now talk about Granules' foray into peptides and the acquisition of Senn Chemicals :

The global market for peptide -based anti -obesity and anti -diabetic therapy has already crossed \$50 billion in annual sales and is projected to reach \$100 billion to \$150 billion by 2030. Beyond metabolic disorders, we see exciting opportunities in oncology , cosmetics, and therapeutics where peptides are enabling next -generation targeted therapy.

With the strategic acquisition of Senn Chemicals, a Swiss -based CDMO, Granules has entered the high -growth peptide therapeutic space. This marks a formal entry into complex peptides, including GLP -1 receptor anti -agonistic one of the most transformative classes of therapy in the fight against diabetes and obesity.

Founded in 1963 and headquartered in Dielsdorf, Switzerland, Senn Chemicals is a specialist CDMO with a strong multi -decade track record in developing complex liquid -phase peptide synthesis processes for peptide APIs and fragments, offering end -to-end customer manufacturing solutions across pharmaceuticals, cosmetics, therapeutics, and amino acid derivatives. We have completed acquisition formalities in April, and integration activities are in progress. We would provide more updates in the coming quarters .

On the sustainability front :

We made significant progress during the year. Granules received a gold rating from EcoVadis, placing us in the top 5% of the pharmaceutical companies globally in our very first corporate - level assessment.

We also include our CDP climate rating to a B and secured SBTi validation of our climate goal. Additionally, we launched our supplier sustainability program to extend our impact across the value chain.

To summarize :

We remain firmly focused on strengthening quality and compliance systems across the organization, while staying on course with our clearly defined growth strategy. In the near -term, Granules India Limited

May 2 8, 2025

Page 5 of 16

momentum will be driven by new product launches from our GPI facility, and ramp up commercial operations at our Genome Valley formulation site.

Looking ahead, we are strategically expanding into high -growth areas such as oncology and peptides, which will shape our medium to long -term strategy. Concurrently, we continue to invest in R&D to build a differentiated portfolio that underpins sustained value creation and global competitiveness.

Dr. K.V. S. Ram Rao will provide further insights on some of these initiatives. I now hand over the call to Dr. Ram Rao.

K.V.S. Ram Rao: Thank you, Chairman. Good evening, all of you. At Granules, developing a strong and a diverse product portfolio has always been a key priority, and it remains central to our strategic approach. Over the last financial year, Granules' R&D spend was Rs. 238 crores versus the Rs. 199 crores in FY '24, representing a 20% increase in investment, which demonstrates our commitment towards R&D. We have been making steady progress in achieving our R&D goals. With every passing quarter, we continue to expand and strengthen our product portfolio. We have a total of 127 dossiers filed across various regions. We have 85 ANDAs in the US, 16 pending for approval, 18 in Europe, with 10 pending for approval, and 24 in other regions, including Canada, with eight pending for approval. We have received two approvals, one in US and one in Europe in the last quarter. We filed three US ANDAs and six European dossiers in Q4, including a first to file product from the GPI facility.

On the API front:

We filed 18 DMFs, including US DMFs, CEPs, ASMFs, Korean and Brazilian DMFs. There has been a significant progress in our ADHD portfolio. We have been developing a robust ADHD portfolio with about 10 products in the pipeline for development, which includes day one launches and day 181 launch opportunities, including some first to file.

In February, we launched lisdexamfetamine caps and chewable tablets in the US market. Furthermore, API validation and DMF filing is expected to be done in quarter one FY '26 for lisdexamfetamine, which leads to vertical integration and supply chain reliability for this product. Overall, Granules ADHD portfolio covers a significant portion of the US ADHD market.

We continue to expand our oncology portfolio with around 10 products currently under development. This includes NC E-1 day one launches, first to file, and day 181 opportunities. We continue to make significant progress in our oncology portfolio. Last quarter, we submitted a promising high-growth oncology ANDA in the US and the European geographies, marking the commencement of our oncology filings.

Granules India Limited

May 28, 2025

Page 6 of 16

FY '25 also saw the entry of Granules into the peptide as a global CDMO business. Peptide has emerged as one of the most important and promising class of therapeutic agents. From treating metabolic disorders like obesity and diabetes with GLP-1 agonist to offering innovative targeted therapies in cancer treatment, peptide holds the potential to significantly enhance treatment outcomes across a range of conditions.

As a part of our strategic objective to tap into this rapidly growing segment, Granules has acquired Switzerland-based CDMO. This acquisition marks a pivotal moment for Granules. It will accelerate our transformation into a more diversified science and innovation-led organization with sophisticated product capabilities.

With Senn Chemicals AG, we are not just bringing a European company to our fold, we are

gaining immediate high-value access to the rapidly expanding peptide therapeutics market, while also firmly establishing our footprint in the specialized CDMO sector. Senn Chemicals adds to Granules' proficiency in complex high-growth areas like peptide development and manufacturing using technologies like liquid-phase, solid-phase peptide synthesis. It also brings a long-standing relationship with pharmaceutical, cosmetic and therapeutics clients worldwide. Looking ahead, we are confident the strategic synergies created by this acquisition will unlock significant value. Our focus going forward will be on seamlessly integrating their expertise, while maintaining the operational excellence, accelerating joint development activities and maximizing the opportunities this acquisition presents.

This acquisition represents a tangible step in our journey to evolve our complex product portfolio, enhance our technical capabilities and solidify Granules' position as a leading global pharmaceutical player in high-value specialized segments. I am pleased to share that we have remained steadfast in our commitment to executing our R&D strategies and developing robust portfolio and capabilities for the future.

Thank you, all. Now, I hand over to Mukesh Surana, CFO. Thank you.

Mukesh Surana: Thank you, CMD and JMD. Let me take you all to the top financial parameters now.

Revenue:

The 4th Quarter revenue were Rs. 11,974 million as compared to Rs. 11,758 million in Q4 FY '24, with a growth of 2%. And revenue grew by 5% as compared to Q3 FY '25. Sales growth saw increase in FD, and API sales though there was a continuous price erosion. The full year revenue were Rs. 44,816 million as compared to Rs. 45,064 million in FY '24.

Formulation sales grew by 18% despite a voluntary pause of production in September '24 at our Gagillapur facility, in response to US FDA observations and with remediation efforts, slowdown of production in H2. Further price erosion and demand issue in API and PFI has

Granules India Limited

May 28, 2025

Page 7 of 16

impacted the sales growth. The sales breakup as per business divisions, geographic regions are presented in our investor presentation, which is available on the website.

Gross Margin:

Our gross margin as a percentage of sales for Q4 FY '25 was 63.4% as compared to 60.1% in Q4 FY '24. Gross margin as compared to Q4 FY '24 is up by 333 basis points achieved due to higher finished dosages, sales with higher margin. Gross margin as a percentage of sales for Q4 FY '25 is up by 169 basis points from Q3 FY '25. Sustained higher finished dosages, sales with higher margin has given this improvement. The full year gross margin as a percentage of sales for FY '25 is up by 635 basis points from FY '24. Margin improvement is due to strategic shift towards high margin formulation products.

EBITDA and EBITDA Margin :

EBITDA for the quarter was Rs. 2,524 million, that is 21.1% of sales as compared to Rs. 2,557 million, that is 21.7% of sales in Q4 FY '24, a decrease of 67 basis points from Q4 FY '24.

Professional expenses have gone up on account of consultancy for remediation of US FDA observation that has impacted the EBITDA margin. EBITDA as a percentage of sales for Q4 FY '25 is up by 83 basis points from Q3 FY '25.

EBITDA margin is better despite continued professional expenses on account of consultancy for remediation of US FDA observation and increase in R&D expenses. EBITDA for the year was Rs. 9,452 million, as compared to Rs. 8,560 million in FY '24, a growth of 10% over the previous year. EBITDA improved with better margin despite Airfreight and professional expenses incurred for remediation of US FDA observation.

R&D :

Our R&D expenses for the quarter was Rs. 665 million, as compared to Rs. 6

09 million in Q4

FY '24 and Rs. 568 million in Q3 FY '25. R&D expenses for the year was Rs. 2,377 million. We are going to continue to spend on R&D in the coming quarters as well.

Net Debt:

Our net debt was Rs. 7,061 million, as compared to Rs. 8,289 million in Q3 FY '25. Our net debt was Rs. 8,421 million at the end of March '24.

Cash -to-Cash Cycle:

Our cash -to-cash cycle was 202 days in the current quarter, as compared to 213 days in Q3 FY '25 and 161 days at the beginning of the year.

Granules India Limited

May 28, 2025

Page 8 of 16

Cash Flow from Operations:

The cash flow from operations for the quarter was Rs. 3,183 million, as compared to Rs. 1,315 million in Q3 FY '25, and for the year was Rs. 8,666 million, as compared to Rs. 4,394 million in FY '24.

CAPEX:

CAPEX spend during the quarter was Rs. 1,598 million, and for the year was Rs. 5,700 million, primarily invested in Granules Life Sciences of Rs. 3,135 million in FY '25.

ROCE :

ROCE for Q4 FY '25 is 16.6% as compared to 16.4% in Q3 FY '25 and 16.5% in Q4 FY '24.

With this, I open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please proceed.

Tushar Manudhane: Yes. Thanks for the opportunity. Sir, just wanted to know with respect to these Senn Chemicals, what further investment would be required for next two years to further sort of either integrate with Granules and further scale up the capability or capacity?

Dr. Krishna Prasad C.: Tushar, we are analyzing the whole situation. There is going to be a lot of CAPEX that has to come up in Switzerland . And also , we are putting up a peptide R&D facility in Hyderabad , and which will be followed by a peptide manufacturing also. Some of the developments will happen in Switzerland, and commercialization of large volume products will happen here. We are analyzing what we have to do and maybe in the next quarter we will have a clear idea on this.

But definitely there is going to be a CAPEX on peptides.

Tushar Manudhane: Currently, sir, any like sales or profits from this entity , if you could share that number?

Mukesh Surana .: It's sort of breakeven or slight loss as of today , yes. And we think in the next one or two quarters or three quarters it will continue to be around that level, but going forward with the new strategy, it should improve.

Tushar Manudhane: Got it. And just secondly, as far as the Gagillapur facility is concerned, you said the production

is disruption for couple of quarter s. Kindly if you could share FY '26 revenue, EBITDA guidance?

Dr. Krishna Prasad C.: We cannot give you any guidance on this, but definitely all I can say is it's going to be better than last year. And I also want to make it clear that the slowdown on operation in Gagillapur will continue for a quarter or two. Despite that, we think that we will do better than last year.

Granules India Limited

May 28, 2025

Page 9 of 16

Tushar Manudhane: Got it. And just lastly, this professional and consultancy fees which you would have paid for Gagillapur in FY '25, if you could quantify that?

Mukesh Surana.: So, I will just quantify not only professional expenses, all kinds of expenses, including air freight and US FDA consultancy expenses, all have been close to Rs. 60 crores for FY '25.

Tushar Manudhane: And this will not recur in FY '26, or there will be some more spending in FY '26?

Dr. Krishna Prasad C.: It will continue for Q1 and Q2, but slowly declining. But definitely till Q2 we see that it should be continuing. We have taken up a complete remediation plan, not a mandatory part exercise.

So we have a lot of consultants working on the site. So we think that this will continue for some time.

Mukesh Surana: One more clarification, air freight may not be as hi

gh as what we have incurred in Q3,

particularly in FY '25, there we are seeing an improvement with a better planning.

Tushar Manudhane: Okay. Thank you, sir. Thank you.

Moderator: Thank you. The next question is from the line of Rashmi Shetty from Dolat Capital Market Private Limited. Please proceed.

Rashmi Shetty: Yes. Thanks for the opportunity. Just on the Senn Chemicals, you said that you will also be exploring the GLP -1 opportunity. So which part of the value chain you would be targeting, only intermediates or the entire formulation part? And you will be targeting generic companies, I mean, in the CDMO space, or will you be supplying to the innovators?

Dr. Krishna Prasad C.: On the CDMO, it will be some of the innovators we are targeting already. And on the GLP -1 separation, basically let me explain a little bit in detail for everybody's benefit. Our relationship with Senn Chemicals started with us wanting them to develop GLP -1 products for us. It gives them a contract manufacturing opportunity. And when we saw that, they had some very good capabilities, we thought we should get hold of that company so that we can also have a kickstart with technologies ready-made. And we are working on APIs for GLP -1, and we expect to plan to do formulation. And formulations we will be developing in India and getting it contract manufactured for the time being.

Rashmi Shetty: And it will be for various markets, like because India and the other emerging markets are already opening up from March '25 end?

Dr. Krishna Prasad C.: India markets also, but we are a little late for India market starting now, because our API will be available after a while. But definitely for the US market, the US is the biggest target we have.

We have to wait for a while. But then other GLPs going forward, we have a lot of time, and we will be targeting all markets at one time.

Granules India Limited

May 28, 2025

Page 10 of 16

Rashmi Shetty: Okay. And you mentioned that EBITDA or the PAT currently is at the breakeven level or slightly loss, but what is the current sales from Senn Chemicals? And what kind of products are being manufactured over here?

Mukesh Surana: So currently, they are doing roughly CHF20 million a year and with the breakeven EBITDA. And they are largely into CDMO related to peptides, pharma, cosmetics and theragnostics. And they also have amino acid derivatives, largely for peptides CDMOs.

Rashmi Shetty: Okay. So with the CAPEX planned forward for Senn Chemicals, and plus, we also have an ongoing CAPEX for Granules. So put together, what will be the CAPEX guidance for FY '26 and FY '27?

Mukesh Surana: So currently, we have done estimate for FY '26, FY '27 we are still working on. So FY '26, overall CAPEX estimate is about Rs. 600 crores. This includes further CAPEX, which we have to incur for Granules Life Science and also oncology and peptide investment.

Rashmi Shetty: This includes the Senn Chemicals' CAPEX also, that will be additional in case it is planned?

Mukesh Surana: Yes, this includes that as well.

Rashmi Shetty: Understood. And on the GLS Phase -II, that is 7.5 billion dosage, the entire CAPEX is over, or that extra amount is going to come in FY '26 also?

Mukesh Surana: It will come in FY '26 also.

Rashmi Shetty: Okay. So the plant is not ready for 7.5 billion dosage?

Mukesh Surana: We do have some CAPEX creditors and also we are incurring additional CAPEX expansion in terms of packing facility and some press-fits, all of that will be spent in FY '26.

Dr. Krishna Prasad C.: But commercialization has already started in the new Phase -II, Rashmi.
Rashmi Shetty: Okay, but the total installed capacity currently is not 7.5 billion, I mean it is ongoing, right?
Dr. Krishna Prasad C.: No, we have already 2.5 billion in Phase -I and this will be 7.5 billion --
Rashmi Shetty: Yes, that is first phase. That is your first pha

se.

Dr. Krishna Prasad C.: That's right. 7.5 billion is, I think, you can say 7.5 billion capacity by next month onwards , okay.
So, 7.5 billion from next month, but it will take us time to get into full utilization, because we must need to get approval from the FDA and the European authorities, which we expect to have in Q2. Once we get this approval, we will start full production and then I think by possibly this year, we may do about 40%, 50% capacity utilization and close to 90% by next fiscal end.
Granules India Limited
May 28, 2025

Page 11 of 16

Rashmi Shetty: Got it. So 7.5 billion dosage will get over by, we can expect by Q2 of FY '26.
Dr. Krishna Prasad C. : No, no, it will be FY '27.
Rashmi Shetty: Okay, sir. Okay.
Dr. Krishna Prasad C. : Close to 100%, 90% or so.
Rashmi Shetty: Got it. And just on the gross margin, so we had a strong formulation phase during the year and that is why with the help of a good business mix, our gross margin was 61.5% during the year.
But what are we expecting for the AP I and PFI segment from the last two consecutive years due to external factors, we have seen a decline. But were there any small growth or anything we can expect in these two segments? And if the sales increase of these two segments, FY '26, the gross margin would decline, or it would be at the similar level?
Dr. Krishna Prasad C.: Rashmi, first of all, all the APIs and PFIs we make are slowly getting consumed in -house. So it's a vertical integration that's giving us the benefit. Except paracetamol API, where we have a large capacity, other APIs are all being used in -house. So paracetamol, we had quite a substantial API sale, which has been impacted by extra capacity created in the world. And so instead of trying to push more API into the market at negligible margins, we are concentrating on converting most of it into PFIs and FDs. So we will see the FD share at this level or possibly increase a little bit more. Definitely, I can tell you, API percentage will not increase.
Rashmi Shetty: API percentage will not increase. So year -on-year, we will see a small decline or maybe a flattish.
Dr. Krishna Prasad C.: Yes, because all that is where the capacity is going into consumption for --
Rashmi Shetty: It's getting converted to the FDs.
Dr. Krishna Prasad C.: Yes.
Rashmi Shetty: Got it. So then this kind of gross margin is sustainable.
Dr. Krishna Prasad C.: We hope to, and we are confident as of today definitely.
Rashmi Shetty: Okay. Got it, sir. And one last question just on the Europe business. We have seen for Q4 and for the full year decline, whereas even in the rest of the world, we have seen a decline. Your other markets like India and US have done well. So is it mainly because of the paracetamol and the API segment impact, which is actually reflecting in the geographies like Europe and all.
Dr. Krishna Prasad C.: Yes, you are perfectly right. Europe was mostly driven by paracetamol API with some of the big brands. And there was a slowdown there, it's only picking up, but I don't think it will go back to where it was. The price erosion continues to stay, I don't think we will get back to the old levels,
Granules India Limited
May 28, 2025

Page 12 of 16

which actually was helped during COVID. And except for very valued customers, we do not plan to sell paracetamol. And European sales will be mostly driven by formulations, where we had lot of filings, there was a little delay in launching this product. And once these products are launched, European sales will increase, but as a percentage, it may remain the same.
Rashmi Shetty: Okay. Got it, sir. Thank you. That's it from my side.
Dr. Krishna Prasad C.: Yes.
Moderator: Thank you. The next question is from the line of Tarang Agarwal from Old Bridge. Please proceed.
Tarang Agrawal: Thanks, sir. Good evening, and congrats for a reasonable set of numbers given the background of Gagillapur. So three questions, sir. Firstly, on Senn Chem acquisition. Sir, what's the --
Dr. Krishna Prasad C.: Tarang, you are breaking up, Tarang, I cannot hear you properly.
Tarang Agrawal: Okay. Sir, this is basically with respect to the Senn Chem acquisition , what are the medium -term milestones and say, slightly longer -term milestones that you are looking at? And a subsequent question, given the strategic nature of this acquisition, how should we calibrate the eventual success or failure of this acquisition?

K.V.S. Ram Rao: On the Senn acquisition, the medium-term, I think we will be focusing on A, improving the CDMO segment. So as already mentioned in the speeches that there are four areas where there is already enough customer base. And also there is a lot of potential, and we will be exploiting this potential on both the science technology as well as the infrastructure to enable Senn to be competitive diversified and lead to a kind of a good CDMO play in the medium to long-term. That is one segment.

Second segment, the GLP -1s, as already mentioned by Chairman, we actually started our journey with them on GLP -1s and we have gone quite a bit of distance in development of the product. So this will become an important journey in terms of looking at GLP -1s, and therefore, using this knowledge, experience, and technology to look into various fragments of GLP -1 both for CDMO business and also for the Granules consumption. I think that will be the long-term approach to sell.

Dr. Krishna Prasad C.: And the strategic importance, Tarang, is that we will have access to good capabilities rather than starting from scratch. So it's just going to be transfer from there to India for increased volumes of GLP -1s to start with and then there are various other peptides we want to concentrate on as we go by.

Tarang Agrawal: Got it. Sir, second, I mean, your R&D clip has been quite significant, especially in the last five years. How are you measuring the productivity of your R&D spends? I mean, if you could help us with some anecdotes, it will be quite helpful.

Granules India Limited

May 28, 2025

Page 13 of 16

K.V.S. Ram Rao: So R&D spend productivity is seen through one, the number of quality filings that we are doing both in US and Europe in ADHD and oncology segments. I think that is the first measurement that we see. The second measurement is on the value of the filings. So the NC E-1s and the first to files are the differentiated filings. So I think, we have been very consistently maintaining that our portfolio is going to be focused on ADHD and oncology segments and the measurement of filings. And you already see that we have a lisdex amphetamine chewables and oral tablets approval as a beginning of our journey to the ADHD segment. So we are very clear on the number of filings globally and also in specific geographies as one big productivity measure, and I think we are pretty satisfied with the kind of progress we are making on our R&D spend and its productivity.

Dr. Krishna Prasad C.: Tarang, we also have a benchmark for return on investment of one particular ANDA. How many times of that in what period and these are different numbers for regular products, P3 products and for going forward with first to files and all is going to be another aspect. So we are fairly happy with the progress and the returns we are getting.

Tarang Agrawal: Sure. Just last question, sir, with whatever uncertainty that's sort of been created over the last two, three months with the impending tariffs, given your significant exposure to the US, how are people looking at it? I mean, are you positioned? I mean, what are the conversations that are happening internally to address the eventuality if at all it, would be possible to do it?

Dr. Krishna Prasad C.: Yes more than internally, I think external communication is important. We are talking to all

our customers in the US about the possible impact. And we have been mentioning that if duties, tariffs come in, we will have to increase prices, there is no way we can absorb it. And we don't see too much resistance as of today, but let's see when it actually happens what the impact will be. And my feeling is this is going to impact everybody just not us and it's a level playing field and there may not be too much of an effect, because everybody is going to get hit with this tariff and there is so much anybody can absorb on margins especially products genericized long ago.

Tarang Agrawal: Correct. And last I mean, Mukesh, on CAPEX, what's the CAPEX number for FY '26?

Mukesh Surana: Rs. 600 crores, Tarang, that is what we guided.

Tarang Agrawal: Okay. And Senn Chem is on top of that, so about Rs. 1,100 crores of outlay, correct?

Mukesh Surana: Yes, you are right, Senn Chemical investment is on top of that. That is equity plus debt put together, Rs. 450 crores Enterprise Value and we did that recently.

Tarang Agrawal: Okay. Thank you. All the best.

Mukesh Surana: Thank you.

Moderator: Thank you. The next question is from the line of Sahil from M&S Associates. Please proceed.

Granules India Limited

May 28, 2025

Page 14 of 16

Sahil Vora: Hello, sir. Thank you for the opportunity. Sir, I have a couple of questions. Firstly regarding the new formulation facility at Genome Valley, which commenced commercial dispatches. Sir, could you discuss the impact of it? Sir, could you discuss its impact on the overall capacity and revenue?

Dr. Krishna Prasad C.: Only Phase -I has been commercialized, Sahil, and Phase -II is under commercialization right

now, which will happen within a quarter or two. So there has been, like we said, a slowdown in Gagillapur till the FDA remediation is completed, there will be a slowdown because of various activities that are being undertaken there. So all that from this quarter, both to some extent, and Q2 in a better way will be made up by GLS and also from our US sites with new product launches.

So going forward, Genome Valley site is going to play a very important role in our revenue because even when Gagillapur returns to full normalcy, the demand for our products we foresee will be increasing and we definitely see that this cycle contributes quite a bit.

Sahil Vora: Understood, sir. Sir, secondly, how is the company addressing the decline in European sales?

And what are the plans to regain market share in that region if you can shed some light on that?

Dr. Krishna Prasad C.: I just mentioned a little while ago that Europe was mainly dominated by Paracetamol API sales.

And now, API sales demand has come down and we are moving the APIs more into PFI's and formulations that have been happening in US and other places and paracetamol sales API will improve a little bit, but we do not see it going back to the old times. And we will make up for European sales with formulations where the margins also will be high and we had a delay in launches of some products and we expect that to be back on track and sales will definitely improve. But as a percentage I said a little while ago, the US will continue to be the biggest growth driver.

Sahil Vora: Okay, sir. Thank you. That's it from my end. Thanks.

Dr. Krishna Prasad C.: Thank you.

Moderator: Thank you. The next question is from the line of Varun Mishra from SK Investments. Please proceed.

Varun Mishra: Yes. Hi, sir. Thank you for the opportunity, sir. I had a couple of questions. So I wanted to know like from North America, like we have been accounting almost 79% of total revenues as per Q4 and FY '25. So sir, like what are our strategies in place to diversify geographical revenue mix.

Dr. Krishna Prasad C.: Yes, we do have a strategy. Priyanka, would you like to take that?

Priyanka Chigurupati: Sure, I will take that question. So we have been working

on the North America strategy for

almost 10, 12 years now in terms of filings, etc. So that market has been and will continue to be our biggest growth driver. But if you look at the number of filings that we're doing in other

Granules India Limited

May 28, 2025

Page 15 of 16

regions, this year we have done about 11 filings for Europe and we continue to increase that momentum.

In addition to that, we are framing up the strategies for the rest of the world for finished dosages and plan on increasing our existing current API and pay by business as well. So going forward, you'll see an absolute increase in numbers coming from ROW markets as well. But again, I just want to reiterate that the US, just the size of the market is so big that even for us that will continue to be a focus.

Varun Mishra: All right, ma'am. Thanks a lot for that. Sir my second question was around what is your outlook on the API and the PFI segments? Could you give the current contributions to the revenue? How are they contributing? Like could you throw some light on that?

Mukesh Surana: Yes, currently it is less than 25% and this is how the trend also we see going forward, as Chairman clarified in the earlier conversation. So we are producing API more for in-house consumption. So we are focusing more on formulation. So this trend of around close to 25% of API, PFI will be in that range.

Varun Mishra: All right, sir. My last question is, sir, can you please provide an update on the CAPEX spend on the GLS and the CZRO projects in FY '25? How do we see these projects like contributing on the topline in the coming years?

Mukesh Surana: So in terms of CAPEX investment, I had clarified in my speech, we have spent about Rs. 313 crores in FY '25, and we have further amount left to be spent in FY '26 also in Granules Life Science. And in CZRO, we are going slow. We have not incurred much in FY '25. Largely whatever we have incurred is on the land, which was incurred a year before and some pilot facility, which we have incurred over the last two years. CZRO, we are cautious and going slow, at the right appropriate time we will do. In terms of priority, GLS expansion is our priority, and also the new oncology and peptide facilities are our priority.

In terms of near-term revenue, we don't expect much from CZRO immediately in near-term and also similarly from peptides in the near-term in terms of revenue other than the acquired revenue.

In terms of Granules Life Science, our Chairman has clarified that this year, it would be about 40% of capacity utilization, next year it will be closer to 90% plus.

Varun Mishra: All right, sir. Thank you. That's all from my side, sir. Thank you, and all the best.

Mukesh Surana: Thank you.

Moderator: Thank you. The next question is from the line of Mr. Doshi from an Individual Investor. Please proceed.

Mr. Doshi: Hello, sir. So thanks for the opportunity. Sir, I just wanted to have some color on the oncology portfolio that we have. You just mentioned that we filed one US ANDA. I wanted to understand
Granules India Limited
May 28, 2025

Page 16 of 16

what are the total number of molecules that we have here in the pipeline? And where are we in the development of regulatory timeline, along with any market sizes for the same, if you can share?

K.V.S. Ram Rao: On the oncology pipeline, as I mentioned in my speech, that we have already filed one molecule in the US and European segment, and we have a full double -digit pipeline of oncology products, which will be, as I told before, which will be NC E-1 segment some of them are first to launch, some of them are Para IV 181. And most of these products are for global development, and as mentioned by Priyanka that we are building our Europe and ROW business, and oncology will become a significant element of this building of the business in terms of PFI stroke, the formulation business. So over

rall, this is the portfolio, and we expect this portfolio to start yielding us revenues from FY '28 onwards.

Mr. Doshi: Okay. All right. Got it, sir. So this was the first filing, and do we expect to see filing every quarter or every six months from now on?

K.V.S. Ram Rao: I think every quarter, we make progress in terms of filing, but you know R&D and therefore, I would not like to say a quarter or this one, but we have a fairly good idea about the timeline of filing in US and in other geographies.

Mr. Doshi: All right. Got it. And just an extension to that one, we would be here looking at making the API in-house with full integration and then going on to the formulations, or how are we thinking about it?

K.V.S. Ram Rao: As Granules strategy and as you heard our Chairman just a few minutes ago, I think most of it will be vertically integrated. So the entire differentiation in the API comes completely from a vertical integration and that is one of the reasons and also one of the strategies for selecting our portfolio.

Mr. Doshi: All right. Okay. Thank you so much, sir. That's all from my side. All the best.

K.V.S. Ram Rao: Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Dr. Krishna Prasad C.: Thank you very much, ladies and gentlemen. It's been an interesting discussion. And I look forward to meeting you all once again in the next earnings call with possibly better results and till then, have a great day and a great time ahead.

Moderator: On behalf of Granules India Limited Q4 FY '25 Earnings Conference Call, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

G GRANULES

Date: August 19, 2025

To,

National Stock Exchange of India Limited

BSE Limited

Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,

Sub: Transcript of the Earnings Conference Call for Q1 of FY26

Ref: Our letter dated July 21, 2025 & August 07, 2025 for intimation of the schedule of the Earnings Conference call for Q1 of FY26.

Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, the transcript of the earnings conference call of the Company for Q1 of

FY26 is enclosed with this letter and has been uploaded on the website of the Company at the link:

<https://granulesindia.com/investors/investor-resources/earnings-call-transcripts/>

Kindly take the above information on record.

For GRANULES INDIA LIMITED

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le NA CHAITANYA TUMMALA 2 Hyderabad 3

(COMPANY SECRETARY & =

COMPLIANCE OFFICER) ee

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"Granules India Limited Q1 FY'26 Earnings Conference Call"

August 12, 2025

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MANAGEMENT: DR. KRISHNA PRASAD CHIGURUPATI— CHAIRMAN AND

MANAGING DIRECTOR, GRANULES INDIA LIMITED

MS. PRIYANKA CHIGURUPATI — EXECUTIVE DIRECTOR,

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MR. MUKESH SURANA — CHIEF FINANCIAL OFFICER,

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Dr. P.V. SRINIVAS — CHIEF TECHNOLOGY OFFICER,

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MR. SANJAY KUMAR — CHIEF STRATEGY OFFICER,

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MODERATOR: MS. PRACHI AMBRE — IR TEAM, MUFG

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Moderator:

Prachi Ambre:

Krishna P Chigurupati: GRANULES

Granules India Limited

August 12, 2025

Ladies and gentlemen, good day and welcome to the Granules India Limited Q1 FY26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I] now hand the conference over to Ms. Prachi Ambre from MUFG IR team. Thank you and over to you, ma'am.

Thank you, Shruti. On behalf of Granules India Limited, I extend a warm welcome to all the participants on Q1 FY26 Financial Results Discussion Call.

Today on the call, we have Dr. Krishna Prasad Chigurupati — Chairman and Managing Director, Ms. Priyanka Chigurupati — Executive Director, Mr. Mukesh Surana — Chief Financial Officer, Dr. P.V. Srinivas — Chief Technology Officer and Mr. Sanjay Kumar — Chief Strategy Officer.

Before we begin the call, I would like to give a short disclaimer:

This call may contain some of the forward-looking statements which are completely based upon our beliefs, expectations and opinions as of today. The statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Dr. Knshna Prasad, sir for his opening comments.

Over to you, sir. Thank you.

Thank you, Prachi. Good afternoon, ladies and gentlemen. Thank you very much for joining us on our Q1 FY26 Earnings Call. We appreciate your continued interest in Granules. We have uploaded a detailed presentation of our quarterly performance on our website, and I trust you have had a chance to review it.

Let me start with U.S. FDA remediation at our Gagillapur facility:

We are in the final stages of remediation following the August 24th US FDA inspection and subsequent warning letter. A fourth status report was submitted on July 31st, and so far, no concerns have been received from the FDA on the adequacy or pace of our corrective action. We will reach the six-month eligibility milestone for a meeting and re-inspec

tion in September and plan to engage with the agency at that time.

Meanwhile, the site has cleared inspections by German and Danish authorities, with Denmark granting an EU GMP certificate in July '25.

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August 12, 2025

Across our network, multiple regulatory milestones have been achieved. At our US-based GPI site, an unannounced FDA inspection was completed successfully with one observation and has been responded to within the stipulated timelines.

Our API Unit I facility at Bonthapally completed an FDA inspection in June '25, also with a single observation, and the response was submitted in a timely manner.

A key milestone was achieved at our new formulations facility at Genome Valley under Granules Life Sciences, which underwent its first-ever FDA pre-approval inspection from July 28th to August 1st. This was successfully completed with a single procedural observation, and the response will also be submitted within the stipulated timeline. These successful inspections across multiple sites reaffirm our commitment to strengthening quality and compliance across the organization. Our focus remains on embedding a proactive, data-driven, and sustainable culture of quality for the long-term. Restarting the growth phase:

With these developments, we are confident of returning to the growth trajectory of our formulations business from India, free from delivery constraints. The successful US FDA inspection of our Greenfield Formulations facility at Genome Valley unlocks an additional 10 billion doses of formulations capacity, a 40% increase over the existing 26 billion dose capacity at Gagillapur, and establishes a second source supply of finished dosages and PFIs to the US from India.

Supplies of monograph products to the US have already commenced, and ramp-up of prescription product supplies will follow FDA approval.

In the coming quarters, inspections by European authorities for the Genome Valley sites are also expected.

With remediation at Gagillapur expected to conclude in the near future, post which we anticipate swiftly overcoming the production slowdown from additional protocols, securing new product approval, and enabling the site to fully support our return to the growth trajectory. Together, these steps will free us from delivery constraints in both the US and EU, enabling us to fully leverage the growth potential of our formulations business from India.

Additional growth will come from CNS ADHD segment from our GPI facility in the US, scale-up of large-volume products in the US and Europe, moving up the value chain in Europe, as well as oncology capacity monetization from Unit V, creating a balanced platform for near-term performance and long-term growth.

We have also taken a significant step into high-growth peptide therapeutics and CDMO space with Senn Chemicals and Ascelis Peptides.

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Sanjay, our Chief Strategy Officer, will elaborate on this strategic platform later in the call.

On the sustainability front, Granules was named to the 2024 CDP Supplier Engagement A-List for Leadership in Supplier Climate Action and Value Chain Emissions Management.

We also joined the pharmaceutical supply chain initiative, furthering our commitment to transparency, sustainable operations, and global supply chain excellence, building on our SBTi-validated net-zero targets and EcoVadis Gold Medal, and CDP Climate Score of B.

To conclude, we are entering the phase of reviving our growth with a stronger quality foundation, expanded capacity, and a more diversified portfolio. Near-term momentum will be driven by the ramp-up of prescription supplies from our Genome Valley facility, continued growth from our US operations, moving up the value chain in Europe, and finally, expected normalization of operations, and new product approvals from Gagillapur post-completion of the remediation. Over the mediu

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to long-term, our strategic expansion into high-value segments such as peptides through Senn

Chemicals, and Ascelis Peptides, alongside oncology, will further strengthen our competitive position. Supported by our sustainability commitment and disciplined execution, we are confident in delivering sustained value to all stakeholders. With this, I now hand over the call to "Sanjay Kumar, our Chief Strategy Officer, who will share more on our Peptides and CDMO Growth Platform." Thank you, Chairman Sir. Good afternoon, everyone.

I will take you through one of the most exciting strategic developments at Granules, our foray into the peptides and CDMO space through the acquisition of Senn Chemicals and the creation of our wholly-owned subsidiary, Ascelis Peptides.

Peptides have rapidly emerged as a cornerstone of advanced therapeutics with applications spanning diabetes, obesity, oncology, cosmetics, and theragnostics. The advent of GLP-1 drugs such as Semaglutide and Tirzepatide has been transformative for the obesity market, fueling unprecedented revenue forecasts and exceptional consumer interest. With the global peptide market driven in part by GLP-1 receptor agonists now at a run rate of US\$78 billion per annum and projected to surpass \$130 billion by 2030, this segment represents a compelling long-term growth opportunity. It is reshaping industry and buzzing with innovator activity worldwide, creating a growing need for a credible CDMO partner.

Ascelis anchors Granules transition from a primarily small-molecule oral solid-doses-focused business to a diversified platform encompassing peptides and in time oligonucleotides.

Senn Chemicals is a Swiss-based CDMO with more than six decades of expertise in both liquid-phase and solid-phase peptide synthesis, backed by a strong regulatory credential and a proven track

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record in peptide synthesis with a leading innovators company. This expertise forms the foundation for Ascelis as a full-spectrum CDMO solution provider serving innovators across pharmaceuticals, cosmetics, and theragnostics with flexible, high-quality manufacturing solutions.

The team at Senn includes more than 80 highly qualified professionals with more than 50% of the managerial roles in R&D, manufacturing, quality, and business development held by Ph.D. graduates, demonstrating the depth of expertise that drives our CDMO capabilities.

Our execution roadmap for Ascelis Peptides is anchored on "Four Strategic Pillars." First, we are prioritizing the CDMO arm of Senn Chemicals to deepen engagement with the top innovators. This involves prioritizing flawless execution of ongoing CDMO projects, expanding the customer base to more innovators, enhancing service offerings, and leveraging Senn's long-standing reputation for delivering complex, high-quality peptides.

Second, we are creating the backbone of amino acid derivatives and peptide fragments out of India to serve multi-segment applications across target peptide markets. This capability will ensure a wide range of therapeutic and specialty applications, ensuring that we have the essential building blocks for both the current and the future customer needs.

Third, we are building a dual-site manufacturing network for high-value peptide APIs, leveraging Switzerland for small-scale, high-complexity production, and India for large-scale, cost-efficient manufacturing to serve global markets. This structure provides both flexibility and scale, enabling us to meet the diverse requirements for innovator customers in the CDMO space.

In addition to the pharmaceutical peptides, Senn Chemicals operates in two niche but attractive segments -- Cosmetics and Theragnostics -- forming the fourth pillar.

In Cosmetics, Senn and Ascelis are positioning as an early mover and a credible player in the cosmetics industry's transition towards a TFA-free peptide actives, addressing both performanc

e and

sustainability expectations of the customers.

In Theragnostics, peptides serve as a precise targeting agent that can be radiolabeled for imaging and conjugated with therapeutics for treatment, offering strong potential in oncology, rare disease, and personalized medicine.

"The Path Forward." As I mentioned, we are advancing on two parallel fronts, enhancing Senn's capabilities to target more number of high-value CDMO projects through customer expansion and integrated R&D manufacturing capabilities, while simultaneously establishing a robust India-based R&D and manufacturing infrastructure for amino acid derivatives, peptide fragments, and eventually full-length peptides.

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A key milestone of this journey includes the Peptides R&D Facility and Center of Excellence at the Indian Institute of Technology, (IIT), Hyderabad, scheduled to become operational by October of this year, and a commercial scale peptide manufacturing facility in India, targeted for completion by the end of the next financial year.

The integration of Senn Chemicals into the Ascelis platform is progressing well, with cross-functional teams driving synergies across R&D, engineering, quality, and regulatory functions, while

harmonizing systems, strengthening governance, and accelerating business development. These initiatives are aimed at positioning Ascelis as a credible, mid-size CDMO player in tight modalities over the next three to five years, serving as an innovation-aligned growth engine for the next decade. With this, I will now hand over the call to Mukesh Surana — our Chief Financial Officer, who will take you through the Financial Performance."

Thank you, Chairman Sir and Sanjay. Let me take you all through the top financial parameters now.
Revenue:

The 1st Quarter revenue was Rs.12,101 million as compared to Rs.11,799 million in Q1 FY25, reflecting a growth of 3% and revenue grew by 1% as compared to Q4 FY25. This also includes the revenue generated from Senn Chemicals AG of Rs.291 million. North America had a year-on-year growth and Europe grew sequentially. Lower sales in ROW was primarily because of PFI supply backlog from Gagillapur.

The sales break-up as per the business divisions and geographic regions are presented in our investor presentation, which is available on the website.

Gross Margin:

We delivered a strong gross margin of 64.9% in Q1 FY26, representing an improvement of 593 basis points year-on-year and 148 basis points sequentially. Gross margin improved primarily with consolidation of Senn Chemicals AG.

EBITDA and EBITDA Margin:

EBITDA for the quarter was Rs.2,467 million i.e. 20.4% of sales as compared to Rs.2,593 million i.e. 22% of sales in Q1 FY25, a decline of 159 basis points from Q1 FY25. The decline in EBITDA was primarily due to increase in professional expenses incurred for consultancy and remediation efforts in responses to US FDA observations. EBITDA as a percentage of sales for Q1 FY26 is down by 69 basis points from Q4 FY25. EBITDA percentage is impacted on account of higher manpower costs with consolidation of Senn Chemicals AG.

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Moderator:

Tushar Manudhane:

Krishna P Chigurupati: GRANULES

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R&D:

R&D expenses for the quarter were Rs.678 million, which is 5.6% to sales as compared to Rs.620 million, which is 5.3% to sales in Q1 FY25 and Rs.665 million which is 5.5% to sales in Q4 FY25.

We will continue to spend similar amounts to support our long-term strategic growth.

Net Debt:

Our net debt stood at Rs.9,480 million post acquisition of Senn Chemicals AG as compared to Rs.7,061 million in Q4 FY25.

Cash-to-Cash Cycle: Our cash-to-cash cycle was 205 days in the current quarter as compared to 202 days in Q4 FY25.

Cash Flow from Operations:

Cash flow from operations for the quarter was Rs.2,806 million as compared to Rs.3,183 million in

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Q4 FY25.

CAPEX:

CAPEX spent during the quarter was Rs.1,137 million as compared to Rs.1,598 million in Q4 FY25.

ROCE:

ROCE for Q1 FY26 is 16% with increased capital employed post acquisition of Senn Chemicals AG as compared to 16.6% in Q4 FY25.

With this, I open the floor for questions.

Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Thanks for the opportunity. Sir, now that remediation measures are more or less done, we have got ramp up of Genome Valley as well, so for FY26, what kind of revenue growth and EBITDA margin one can think of?

Tushar, remediation, we are going to meet the FDA next month. And by the time they come and re-audit us and clear this, it could take up till end of December. So, we see good and also, for the new GLS site, the approval we expect in another 40 days or whatever, 35 days. So, after that, only the real growth would start. And also, the new approvals that are pending with US FDA for Gagillapur site

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Tushar Manudhane:

Mukesh Surana:

Tushar Manudhane:

Priyanka Chigurupati:

Tushar Manudhane:

Moderator:

Maitri Sheth:

Moderator:

Maitri Sheth:

Moderator:

Maitri Sheth: GRANULES

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will also be cleared, and they will take some time to revamp. So, you can see FY27 as a very good growth year, starting from last quarter of this year.

Got it. So, this peptide segment, what kind of investment one should sort of think of for FY26 to start with? And then over a period of time, overall, what kind of amount are we sort of parking for this space?

Tushar, Mukesh this side. we have acquired this business, equity plus debt, overall enterprise value of about Rs.450 crores. And this year, we are looking at additional investment of probably close to Rs.100 crores in Switzerland, and also another Rs.20-30 crores or so for the backend in India for R&D lab and all. This is for FY26. And FY27, we may want to spend a little CAPEX on the backend manufacturing capability. We are still estimating that.

Got it. Sir, just thirdly on the EU sales, we have seen slight uptick after FY25 to be sort of muted.

So, as we are also moving up the value chain, so what kind of growth prospects can be sought for Europe business?

Europe, yes, there was a small uptick this quarter. There continues to be an uptick. This is essentially because over the last year, we have actually had orders for Europe. So, now that we have started slowly freeing up our capacity, we have started supplying more products to Europe. In addition to that, some of the approvals that we got earlier, we started launching them in Europe through some partners. So, that is essentially it. Going forward, you will see this getting to about 15%, 20% of the revenue.

Got it. Got it, ma'am. Thanks. That is it from my side. Thank you.

Our next question is from the line of Maiti Sheth from Choice Institutional Equities. Please go ahead.

Hi. Thank you for the opportunity. Just a couple of questions. One is on the CDMO and the peptide segment, which is now...

Maitri ma'am, your voice is coming very low. Can you please take the device close to you and be -.

So, I just had a question on the CDMO and peptide segment. Now that it is subject to the revenue, how much does it affect total revenue contribution in...

Maitri ma'am, sorry. Your voice is breaking when you are speaking.

I will just join back the queue.

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Moderator:

Madhav:

Sanjay Kumar:

Madhav:

Sanjay Kumar:

Madhav:

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Okay, ma'am. Please. Thank you. Our next question is from the line of Madhav from Fidelity. Please go ahead.

Yes. Sir, [just wanted to understand that for this peptide CDMO franchise which we are looking to invest in, generally CDMO businesses have a slightly longer gestation period to get the pipeline with the inn

ovators and build it up. Just wanted to understand where we are in that journey in terms of client relationship or projects in the pipeline? And how much time does it take before we see some of these molecules commercializing and scaling up for us? So, if you could give some timeline there, it will be helpful just to understand where we are in the cycle?

So, Madhav, you are right. The CDMO business by very nature is a long gestation projects by itself. But having said that, Senn Chemicals already have a book of business and ongoing projects at various levels, though at a small scale, that gives it some revenue visibility right away. What we are seeing today is both from the innovator company and the other players in the CDMO supply chain geared towards serving the innovator customers, we are seeing enquiries and demands all across the spectrum. And we are responding to those. We believe with Senn legacy, its own customer connect both with the innovators and with the other pharma partners, we are in a good shape. So, the priority is first on to execute well on the ongoing CDMO project that we are partnering on some of the in-clinical assets and simultaneously execute well on all the RFP, RFQ that we are receiving through them. So, we do have a visibility and the story of legacy of Senn backed by the backbone infrastructure that we are creating also out of India in a cost-efficient environment, is the story that has been gaining traction through our initial conversation with the customers. So, I will stop short

there and will be able to provide additional visibility in the coming quarters. However, it is sufficient to say that we have an existing book of business and existing set of enquiries that we are responding to giving us a good visibility on the expected business that we can expect in the future quarters. But just a quick follow up, in terms of projects in the pipeline, generally, peers in the space, they give a breakdown in terms of how many projects they have in, phase one, phase two, phase three, something like that, are there any projects which are in phase three today or are we doing more phase one, phase two kind of projects, if you could give some color so we can make some assessment there. So, Madhav, we are bound by confidentiality on these assets, and we are not at the freedom to disclose those. But yes, these are in clinical early stages, Madhav.

Understood. Got it. Thank you.

Our next question is from the line of Devanshi Shah from SDA Finance. Please go ahead.

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So, I had a few questions. First one was, with the new peptide R&D facility and integration of Senn Chemicals, what is roadmap for scaling peptide APIs and CDMO services and how do you see this contributing to differentiated growth in regulated markets?

So, Devanshi, in earlier question I alluded to the ongoing traction that we have on the CDMO side with a few existing projects in line and additional enquiries that we receive. I can provide additional color to the nature of those enquiries. Some of these are linked to the early phase in clinical asset and some of these are by the big innovator company to check for our capabilities as they ramp up their pipeline and more and more assets are expected. They are scouting for the right kind of assets and capabilities, asking the partners to demonstrate these capabilities in specific peptide segments. So, we are getting those tractions as well. In addition, there are needs for amino acid derivatives and small peptide fragments which is a common element across most of the players and they are looking for a reliable and a cost-efficient source outside of China. That is another tailwind that that industry is facing and Senn Chemicals is well suited with this Ascelis platform to serv

e those demands.

Okay, got it sir. Also, Europe's revenue contribution has improved sequentially. What factors really drove this recovery, was it like volume growth, say customer additions or improved supply dynamics, so, what was it?

I will take that question. I just answered it with the earlier gentleman. It is an increase in our capability of supply to Europe in addition to some additional launches that we actually pursued this quarter. So, we actually launched one product this quarter and you will see increased revenues coming from that one product going forward as well. And going forward for Europe, we have about 10 approvals that are pending within this year and next year, out of which one or two products we can only launch later because of patent situation, but we have about six products that we can launch upon approval. So, you will see revenues from Europe going up sequentially.

Got it. Thank you so much. Thank you for answering my questions.

Our next question is from the line of Maitri Sheth from Choice Institutional Equities. Please go ahead.

So, I just have a couple of questions. One is on the CDMO peptide segment that has now started contributing to the revenue. So, if you can share any color on how much contribution we are expecting by this fiscal end? That is one. Second is on the API segment. If we are expecting any recovery going forward because the segment has been seeing a drag for quite a few quarters. So, maybe by this fiscal end, can we see a low single digit or mid single digit growth in the segment?

That is all.

On the API, let me take that question and the other question Sanjay will take that. API has never been a focus which means we are always trying to move forward in the chain. API is converting to PFI

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and PFI to tablets. If you see our formulations growth, most of it has come from using our own APIs. And also there was a drag on Paracetamol in the past. That has slowly started picking up... Paracetamol, PFIs and APIs. So, we see some growth happening in APIs, but overall most of the APIs made in our facility will be for in-house use.

On the peptides, Maitn, the current book of business on an annualized basis is in the range of CHF15 to CHF20 million. But the good thing is now the Senn Chemicals would be out of certain delivery constraints. Earlier it was not able to take certain opportunity because it did not have the backbone of India-based supply infrastructure that we are able to bring to Ascelis. The number two, it did not have the scale-up capability beyond its (inaudible) 32:11. We are addressing both of these constraints and trying to get the best use of, again I keep on saying, the once-in-a-lifetime opportunity that we see in more enquiries, more interaction with the customers, so that Senn is now well suited to leverage and execute on those opportunities, which earlier it was not able to do so.

Our next question is from the line of Krisha Kansara from Molecule Ventures. Please go ahead.

Thank you for letting me join again. Sir, I have one question related to our Gagillapur facility. So, you mentioned that the remediation activities will be concluded in near future. So, I have two questions with respect to this. One is, till date, how much have we spent towards this remediation initiative for our formulations facility? That is one. And second is somewhat similar to what the first participant asked. So, I just wanted to reconfirm the timeline because I missed your point? You mentioned that you are going to meet someone from FDA in this month and then they will plan for a re-inspection at our facility by December this year. And post that, it will take one or two months for the approval or the final outcome to come. Am I correct on the timeline? Thank you.

Yes, you are perfectly right, Krish

a, on the timelines and the remediation. Basically, we are not supposed to go back to the FDA for six months from the date of the warning letter. So, that six months will be over next month and then we plan to go there. And regarding the other part of your question, Mukesh will take it.

Yes, Krisha. So, with respect to remediation expenses and also there were some air freight costs we have incurred quarter-on-quarter, both put together, over the last three quarters, we have spent about Rs.80 crores on the OPEX side. In addition to that, on the CAPEX side, we have also incurred close to about Rs.50-odd crores. Some are improvement and some are also related to IT infrastructure and MES, which is estimated at Rs.50 crores. We have not fully spent, but CAPEX side is another Rs.50 crores.

Okay. Sure. Thank you.

Our next question is from the line of Devanshi Shah from SDA Finance. Please go ahead.

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Hi. Sorry, I have a few more follow-up questions. So, my first question was manpower costs have risen following the acquisition. So, should we expect these to stabilize over time or will they remain elevated due to ongoing integration and expanded operational scope?

So, this increase in manpower cost is primarily with the consolidation of Senn Chemicals. So, this will remain at these levels going forward.

Okay. Also, the ROCE has declined to 16% in Q1 FY26. So, partly due to increased capital incurred following the same chemicals acquisition? So, have you planned to improve return metrics over the coming quarters and what timeline do you see for realizing synergies from this investment?

So, it is primarily because of Senn Chemicals AG acquisition, the ROCE has slightly dipped. Quarter-on-quarter, we may not see a significant improvement because it is a long gestation project where Sanjay has clarified earlier.

Yes, sure. So, we are working on quickly turning this around to a profitable business and we believe within 12 to 18 months, it will match the return metric that the parent organization has.

Okay. Okay. And my last question was can you share more on the progress of the Gagillapur remediation program and its expected impact on operational readiness and supply continuity?

Devanshi, we have answered this question initially but let me repeat it. Yes, we are close to remediation and we expect that sometime in December, we will have a pre-audit and maybe a few weeks after that, we should get our clearance. And the impact is we will be able to produce more in

our Gagillapur facility. Today, we are constrained to some extent. We have business but we have supply issues and also we will have a new approval coming through, and as we start launching those, again there will be uptick in sales. So, next fiscal, it is going to be a good year, back to our growth trajectory.

Got it, sir. Thank you for taking my questions again. Thank you.

Our next question is from the line of Harith Ahmed from Avendus Spark. Please go ahead.

Hi. Thanks for the opportunity. Sir, if you can comment a bit about the new GLS facility and how we should think about ramp-up of utilizations there?

Yes, Harith. GLS, we have been producing some monograph products for the US so far, small quantities. Now, that is getting ramped up and also once we get the approval for the first molecule which we have done a site transfer to GLS, that is a large volume molecule and at least 40%, 35% of the capacity of GLS can be taken up just by that one product and then there are other filings which we have made for site transfer as they come through and those are all basically CBE-30s. So, they

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would not take too long. So, I think by 1st Quarter of next year, we would have been fully ramped up in this site.

Okay. Understood, sir. And now, when I look at our R&D spends, we have stepped up versus let us say four to five quarters back. So, the current spends of around Rs.300 crores on an annualized basis. Can you provide some color on the areas where we are spending and if you can quantify or talk about the number of filings that we are targeting?

Priyanka, you want to take that question, Priyanka?

Yes. Like we mentioned in several calls earlier, while we continue to spend on our regular products that we work on, the large volume integrated products, two special areas that we are focusing on are ADHD and oncology. The spend of each is a little bit higher than what we typically spend on as of now. Two, we are working on global expansion of these products. And that in itself increases the filing costs, etc., are quite significant in each region. So, if you combine both of them, that is why you see that the spend has gone up over the last couple of quarters. And also, the quality of filings that we are doing have significantly improved only because you can see that we have a couple of first-to-file products, which we can get into details about a little bit later, which we are very excited to launch in the next couple of years. And again, like I mentioned, oncology products, you will see them being going off-patent in about three to four years. So, we will start launching them in about three to four years in global markets. Does that answer your question?

Yes. I was thinking about some qualitative color on the various segments, like control substances or some of the other areas.

ADHD means control substances, right, and apart from therapy agnostic.

Concentration is mostly on onco and ADHD as of now. And like Priyanka said, we are therapy-agnostic, but we are mostly concentrating on first-to-files and possibly some 505(b)(2). So, that is where the cost is going up.

Sir, also about the recent leadership change, if you can give some color on how we are planning the transition post Dr. K.V.S. Ram Rao's resignation?

I am fully back in the seat, Harith, and I am very excited. And I think I will be able to make a positive difference. And also, family is getting involved more and more. And I am very confident of a very positive outcome.

Thank you, sir. And last one, with your permission, on peptides, I am not very familiar with the capabilities that Senn Chemicals has. So, what exactly are our capabilities there in terms of protected amino acids, peptide fragments, APIs, and how do we see the capabilities evolving in the peptide

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Harith Ahmed:

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space? And if you can also comment a bit about the competitive landscape here? Some of our peers are fairly advanced in terms of their capabilities and capacity enhancements. So, are we a bit late in terms of our entry into the space, given that the market is fairly established and supply chains are fairly evolved currently?

Hi, Dr. Srinivas here. So, regarding Senn Chemicals, yes, they have very experienced peptide chemists and with a good pedigree and they are considered as experts in liquid phase peptide synthesis. But they also practice even solid phase peptide synthesis too. And of course, they are there in amino acid derivatives and then serving to the needs of both pharmaceutical industry as well as cosmetics. And they are all custom-made peptides and to the innovators as well as to cosmetic industry. Innovators, when I say that you know both in the case of pharmaceuticals as well as in cosmetic industry. So, they are there in that field and essentially, they have the c

apacity to produce

up to kilogram scale, if not more than that. So, that is what about the capability of Senn Chemicals as of now. And we are backing it up by setting up the R&D facilities here in India. And essentially, what we are trying to do is that we are setting up both the synthesis as well as characterization facilities. And so, that whatever API development, that goes on, whether it is in India or in Switzerland, the characterization will happen here.

Harith, let me just add. Today people are moving away from solid phase synthesis to liquid phase. There are so many advantages in liquid phase, which was not realized before. And the capability Senn has on liquid phase is recognized by many of the companies and they are giving us products or discussing products with us, which will only be made in liquid phase and not in solid phase. So, that gives us a differentiated advantage as of today. And the fact that Senn is an expert on liquid phase is known throughout.

Okay, sir.

Also, let me just add another one. The future is liquid phase synthesis for peptides.

Okay. Got it, sir. Thank you for taking my questions.

Ladies and gentlemen, as there are no further questions, I now hand the conference over to Dr. Krishna Prasad Chigurupati, the Chairman and Managing Director, for closing comments. Over to you, sir.

Thank you very much, ladies and gentlemen, for being with us today in spite of having many other Investor Calls today. So, thank you once again and look forward to meeting with you and being with you for the next quarter's results.

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Moderator: Thank you. On behalf of Granules India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

Page 1 of 14

"Granules India Limited Q2 FY'26 Earnings
Conference Call "

November 13, 2025

MANAGEMENT : DR. KRISHNA PRASAD CHIGURUPATI - CHAIRMAN AND
MANAGING DIRECTOR , GRANULES INDIA LIMITED
MS. PRIYANKA CHIGURUPATI - EXECUTIVE
DIRECTOR , GRANULES INDIA LIMITED
MR. MUKESH SURANA - CHIEF FINANCIAL OFFICER ,
GRANULES INDIA LIMITED
DR. P. V. SRINIVAS - CHIEF TECHNOLOGY OFFICER ,
GRANULES INDIA LIMITED
MR. SANJAY KUMAR - CHIEF STRATEGY OFFICER ,
GRANULES INDIA LIMITED
MODERATOR : MR. IRFAN RAEEN - MUFG

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November 13, 2025

Page 2 of 14

Moderator : Ladies and gentlemen, good day and welcome to the Granules India Ltd Q2 FY '26 Earnings
Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing '*' then '0' on your touchtone
phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Irfan Raeen from MUFG. Thank you and over to you,
sir.

Irfan Raeen: Thank you, Muskaan. On behalf of Granules India Ltd, I extend a warm welcome to all
participants on the Q2 and H1 FY '26 Financial Results Discussion Call.

Today on our call, we have Dr. Krishna Prasad Chigurupati – Chairman and Managing Director ;
Ms. Priyanka Chigurupati – Executive Director ; Mr. Mukesh Surana – Chief Financial Officer,
Dr. P. V. Srinivas – Chief Technology Officer and Mr. Sanjay Kumar – Chief Strategy Officer.

Before we begin the call, I would like to give a short disclaimer :

This call contains some of the forward -looking statements, which are completely based on our
expectations, beliefs, and opinions as of today . These statements are not a guarantee of our future
performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Dr. Krishna Prasad sir, for his opening comments.

Over to you, sir. Thank you.

Dr. Krishna Prasad: Thank you, Irfan. Good evening, ladies and gentlemen, and thank you very much for joining us
on our Q2 FY '26 Earnings Call.

We appreciate your continued interest in granules. We have uploaded a detailed presentation of
our quarterly performance on our website. I trust you had a chance to review it.

I will start with an update on the U.S. FDA remediation at our Gagilapur facility :

We are in the final stages of remediation following the August 24 U.S. FDA inspection and
the subsequent warning letter. As communicated during the last investor call, we have reached
the eligibility milestone for a request for a meeting and reinspection, and we have now initiated
formal engagement with the agency. We have been granted a meeting with the FDA in January
2026, which is Q4, and remain on track with all the required remediation measures in preparation
of this interaction. We continue to submit monthly progress reports with the latest update

provided on October 31, 2025. In addition, multiple status reports have been shared to date, and Granules India Limited
November 13, 2025

Page 3 of 14

the FDA has raised no concerns regarding the adequacy or pace of our corrective actions. Cross-contamination testing on more than 3,000 retrospective and concurrent samples have also shown no failures to date.

Meanwhile, the Gagi Ilapur site had received a GMP certificate from the German authorities, an outcome of the inspection completed in February '25. The site had also completed eight customer audits with no critical observations, and received the UL certificate last quarter. The facility is now cleared by the German and Danish authorities, with Denmark granting us a EU GMP certificate in July 25.

Across our network, multiple regulatory milestones have been achieved. At GPI site located at Chantilly, Virginia, the U.S. FDA has issued an Establishment Inspection Report for the unannounced pre-approval inspection conducted in June '25 for a first-to-file controlled substance A NDA. Our API Unit 1 facility at Bonthapally has received an EIR and has been classified as VAI by the FDA following the June '25 inspection.

Our Greenfield GL S facility at Genome Valley, Hyderabad, has received U.S. FDA approval for a product following the PAI conducted between July 28 and August 1, 2025. This marks the first FDA approval for the GL S site, strengthening our finished do

sage capabilities and enabling
multi-site manufacturing.

In the coming quarters, inspection for the GL S Genome Valley site, inspection by the European Authority is also scheduled. With these developments, we are confident of returning to the growth trajectory for formulation business from India, free from delivery constraints. The successful U.S. FDA inspection of a greenfield formulation facility at Genome Valley unlocks an additional 10 billion doses of formulation capacity, a 40% increase over the existing 26 billion dose capacity at Gagi Ilapur. It also establishes a second source supply of finished dosage and PFIs to the U.S. from India. Supplies of monograph products to the U.S. have already commenced and ramp-up of prescription product supplies will follow this FDA approval.

With remediation at Gagi Ilapur expected to conclude in near future, post which we anticipate securing new product approvals and enabling the site to fully support our return to the growth trajectory. Together, these steps will free us from delivery constraints for both the U.S. and EU, enabling us to fully leverage the growth potential of our formulations business from India. Additionally, growth will come from CNS-ADHD segment from our GPI facility in the U.S., scale-up of large volume products in the U.S. and Europe, moving up the value chain in Europe, as well as the oncology capacity monetization from Unit 5 in Vizag, creating a balanced platform for near-term performance and long-term growth.

Our peptide CDMO platform, Ascelis Peptides, built on Senn Chemical's strong Swiss legacy, is progressing well through its integration and capability building phase. Our Swiss innovation Indian scale model is resonating strongly with target customers and Sanjay will take you through this later in the call.

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November 13, 2025

Page 4 of 14

To conclude, we are entering the phase of reviving our growth with a stronger quality foundation, expanded capacity and a more diversified portfolio. Near-term momentum will be driven by the ramp-up of prescription supplies from our Genome Valley facility, continued growth from our U.S. manufacturing operations, moving up the value chain in Europe, and finally, expected normalization of operations and new product approvals from Gagi Ilapur post-completion of remediation. Over the medium to long-term, our strategic expansion into high-value segments, such as peptides through Senn Chemicals and Ascelis Peptides, alongside oncology and new dosage forms, will further strengthen our competitive position.

Supported by our sustainability COMMITMENTS and disciplined execution, we are confident in delivering sustained value to all stakeholders.

With that, I will now hand over the call to Sanjay Kumar, our Chief Strategy Officer, who will share more on our peptides and CDMO growth platform.

Sanjay Kumar: Thank you, Chairman Sir, and good afternoon everyone. Let me take you through the development and progress of our peptides CDMO platform, Ascelis Peptides, which is being built on the strong foundation of Senn Chemicals in Switzerland. Ascelis operates as a separately managed subsidiary, maintaining an arm's-length relationship with its parent, that is Granules India Limited.

The Swiss site at Senn Chemicals continues to function as our global R&D and CDMO hub, ensuring complete data confidentiality and IP protection for our customers. In parallel, Ascelis

India is being developed as a scalable manufacturing and R&D backbone, creating a swift innovation and Indian -scale platform that differentiates us in the global peptide CDMO landscape. A key milestone on the India side is the establishment of the Peptide R&D Centre of Excellence at Indian Institute of Technology, IIT Hyderabad, which is now ready and will become operational this month.

Over the past few months, the Senn and Ascelis teams have collabora

ted closely across

Switzerland and India on CAPEX execution, quality initiatives, and various other support functions. This has helped reshape the business into a true CDMO model, focused on complex and emerging peptide segments. At the same time, we have strengthened leadership, governance, and performance management system at the site.

Our quarterly performance was in line with the expectations, reflecting the ongoing transitions, integration activities, and inherent variability of CDMO operations. Importantly, the underlying traction remains strong. We are in an integration and infrastructure upgradation phase and expect to turn profitable in Q4 of this year, while continuing to target FY '27 as the first fully synergized and profitable year for Ascelis .

On the commercial front, customer engagement continues to gain momentum. Recent interactions at major industry events, including CPHI Frankfurt and ongoing TIDES Europe in Granules India Limited

November 13, 2025

Page 5 of 14

Basel from where I am speaking right now, have reinforced growing interest from leading innovator pharma companies, emerging biotech, and cosmetic peptides customers. We are seeing multiple feasibility programs, new inquiries, and renewed discussion with several global innovators. Our LPPS hybrid chemistry capabilities and the India -scale manufacturing narrative have been particularly well -received by early -stage biotech companies seeking agility, responsiveness, and cost -effective development pathways. Senn Chemical's deep expertise in liquid phase synthesis continues to attract innovators looking for scalable and economical process development and manufacturing solutions. In the cosmetic segment, Senn's TFA -free peptide offering remains a unique differentiator, valued especially by Europe -based innovators and brand owners.

In summary, Ascelis is now emerging as a differentiated peptide CDMO combining Swiss craftsmanship, Indian efficiency and global reach. With rising partnership interests, advancing technology collaborations and growing customer confidence, we are building a strong foundation for a credible and competitive peptide CDMO platform.

With that, I will hand over to Mukesh Surana, our CFO, who will take you through the financial performance.

Mukesh Surana: Thank you, CMD and Sanjay. Let me take you all through the top financial parameters now.

Revenue :

The 2nd Quarter revenues were Rs. 12,970 million as compared to Rs. 9,666 million in Q2 FY'25, reflecting a growth of 34% and revenues sequentially grew by 7% as compared to Q1 FY'26. Year -on-year growth was primarily driven by the formulation business in North America and Europe. In Q2 FY '25, the Company had voluntarily paused production in Gagillapur plants to reassess the potential risk on account of U.S. FDA observations. The sales break -ups as per business divisions and geographic regions are presented in our investor presentation, which is available on the website.

Gross Margin :

We delivered a strong gross margin of 65.7% in Q2 FY '26 representing an improvement of 368 basis points year -on-year and 82 basis points sequentially. Gross margin improved primarily because of improvement in operational efficiency and product mix.

EBITDA and EBITDA Margin : EBITDA for the quarter was Rs. 2,782 million i.e. 21.5% of sales as compared to Rs. 2,033 million that is 21% of sales in Q1 FY '25, an improvement of 42 basis points from Q2 FY'25 . Despite EBITDA loss of Ascelis peptides of Rs. 200 million. EBITDA as percentage of sales for Q2 FY'26 is improved by 106 basis points from Q1 FY'26. The improvement in EBITDA was primarily due to sale growth and margin expansion.

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November 13, 2025

Page 6 of 14

R&D : R&D expenses for the quarter were Rs . 705 million i.e. 5.4% to sales as compared to Rs . 524 million i.e. 5.4% to sales in Q2 FY '25 and Rs . 678 million i.e. 5.6% to sa

les in Q1 FY '26.

We will continue to spend similar expenses to support long term strategic growth.

Net debt:

Our net debt stood at Rs . 10,241 million as compared to Rs . 9,480 million in Q1 FY '26 primarily due to increase in CAPEX spends in the quarter.

Cash -to-Cash Cycle:

Our cash-to-cash cycle was 204 days in the current quarter as compared to 205 days in Q1 FY '26.

Cash Flow from Operations :

Our cash flow from operations for the quarter was Rs . 1,937 million as compared to Rs . 2,806 million in Q1 FY '26.

CAPEX :

Our CAPEX spend during the quarter was Rs . 2,112 million as compared to Rs 1,137 million in Q1 FY '26.

ROCE:

ROCE for Q2 FY '26 is 16.2% as compared to 16% in Q1 FY '26.

With this, I open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Tarang from Old Bridge Asset Management. Please go ahead.

Tarang: Hi, good evening. Congrats for a strong quarter and the compliance outcomes that you received for a couple of your facilities in the last quarter. I had a couple of questions actually. One, just to get the health of the organic, the base business ex-Senn . Is there any positive or negative one - off in this quarter?

Mukesh Surana: So, Tarang, one -off with respect to the overall granules group you are asking or any specific question?

Tarang: I mean, special one -time opportunities or some one -time expenditures that you incurred in this quarter?

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November 13, 2025

Page 7 of 14

Mukesh Surana: So, the US FDA consultancy expenses is continuing. Other than that, it is more or less similar. Of course, post -acquisition of Ascelis , there is a full quarter loss in the current quarter.

Tarang: With the first quarter of Ascelis integrated into the business, would it be fair to presume that all the fixed costs associated are baked into your P&L and this is the trend that we should see going forward or we could see further escalation in your cost structures?

Mukesh Surana: In terms of fixed cost, Tarang, full quarter expenses have been considered. So, it will be similar going forward. Maybe some additional if at all if you want to hire a headcount. And with respect to the revenue and profitability visibility, Sanjay has already covered in his discussion. Sanjay, do you want to add on?

Sanjay Kumar: Sure. So, Tarang, the same thing as Mukesh confirmed. There could be minor headcount -related expenditure as we build our operations in India going forward. But from the revenue and the cost perspective, things are expected to get better from here.

Tarang: Question not audible

Moderator: Thank you. The next question is from the line of Ritwik Sheth from One Up Financial. Please go ahead.

Ritwik Sheth: Hi. Good evening, sir. So, a few questions from my end. So, firstly, Ascelis includes Senn Chemicals, right?

Dr. Krishna Prasad: Yes, Ritwik.

Ritwik Sheth: Okay. So, this 20 crores is related to c ompletely Senn chemicals. Would that be a right understanding?

Mukesh Surana: It is largely Senn chemicals only. Ascelis , we have just started some of the R&D infrastructure setup.

Ritwik Sheth: Okay. Got it. And sir, in your opening remarks, you mentioned that you expect to turn profitable in Ascelis Peptide. So, what kind of revenue trajectory should we expect going forward in Ascelis Peptide and S enn chemicals combined? And what is the base right now? If you can give us that figure for Q2?

Dr. Krishna Prasad: Sanjay, wh y don't you go ahead with that? But basically, I don't think we don't give guidelines. But Sanjay, you can give a strategic outlook.

Sanjay Kumar: Yes. Sure. Happy to jump in See, we will be unable to diverge the details at a quarterly split level. But it's safe to assume that the base with which we acquired is just under 20 million. And the

growth will be multiple around that. We are not looking at incremental growth around it. But we will not b e able to provide you a quarter -to-quarter guidance. And current base business is in

Granules India Limited

November 13, 2025

Page 8 of 14

no way a reflection to what we intend to build, given the excitement in the peptide space. And the encouraging new inquiries that we are receiving bases are Swiss and India play. So, we will

leave it at qualitative at this moment. Yes, that's where I will stop.

Ritwik Sheth: Sure, and sorry to hop upon Ascelis peptide and Senn Chemicals, what is the capital employed in Ascelis peptide and Senn Chemicals?

Mukesh Surana: There's no major change from what we have said in the last earnings call. It is a total Rs. 450 crore of acquisition debt plus equity. And additionally, we have invested another 100 crores for additional scaling up of CAPEX.

Ritwik Sheth: Okay. And what could be the asset turn that you would have going forward once you completely integrate this over the next two years? Can you give some sense on that?

Mukesh Surana: It's a CDMO business. So, CDMO business asset term would be completely different than the normal business. And also the margin profiles would be completely different. So, we are generally not giving sales guideline. But what Sanjay has clarified already is, there is a base and we are not looking at simple incremental growth. It will be a multiple of the base.

Ritwik Sheth: Got it. And what is the internal timeline to scale this up? Would it be two years -three years or sooner than that? Just to get a qualitative sense on that.

Dr. Krishna Prasad: Sanjay, can you answer that?

Sanjay Kumar: Sure. So, the first year we want to just make sure that we turn profitable. And FY '27, that's the target is to turn it profitable. In terms of a build out, the CDMO business is typically a long lead item. But it doesn't mean that we have to wait out three years to get to what we realize. I think we have been good shape in starting with the six months from now to an 18 month period. That's where we start converting some of the inquiries into the real businesses for ourselves. And we keep our investment proportional to the kind of projects that we start getting in. So, again, stopping short of guidance, but we are not looking at a very, very long term beyond three year horizon. But the real build out happens from a one to three year period itself. Again, a multiplier function, not an incremental function.

Ritwik Sheth: Got it. And I have one more question. Can I go ahead?

Dr. Krishna Prasad: Yes, go ahead.

Ritwik Sheth: So, sir, if you see in the last 2 to 3 years, we have been around this ballpark, top line of approximately 700 to 1,200 crores per quarter. And earlier in the last phase from 2014 -2015 to 2022, we have grown at double digit. So, would you think that with all these remediation and the new site getting approvals one -by-one, would you suggest that we would start growing at double digit from FY '27 onwards on the top line on the base business and plus peptide business?

Granules India Limited

November 13, 2025

Page 9 of 14

Dr. Krishna Prasad: I think you are right, Tarang. We were constrained by certain things last few years. But now, like I said in my opening remarks, we are going to have a breakout and get back on our growth track.

Ritwik Sheth: Got it. Okay, sir. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Tarang from Old Bridge Asset Management. Please go ahead.

Tarang: I was lost in the middle. So, the last few questions were not by me. They were from someone else.

Dr. Krishna Prasad: Okay, go ahead.

Tarang: Sir, just to get a better sense of the German subsidiary that's been incorporated, what's the thought process there? And number two, we saw very strong traction in both your Europe business

as well as your US business this quarter. So, has that got to do anything with Paracetamol coming back?

Dr. Krishna Prasad: A little bit, Tarang. Not totally Paracetamol. But now your first question about the German subsidiary. We are focusing on EU growth now. And we need to have an arrangement for stocking and selling. So, that's the reason we are starting a subsidiary there. It will not be a big affair, but slowly we see growth there. And regarding the growth, EU is going as per plan. We had a little dull slowdown in the last quarter, but it's on track now. And of course, the US, as we anticipated, mentioned many times, we are expecting a very strong growth from our US manufacturing especially, more than Indian products sold in the US. GPI as a standalone unit has picked up and doing quite well. And we anticipated good growth from there.

Tarang: Has that meaningfully contributed this quarter?

Dr. Krishna Prasad: Yes, Tarang.

Tarang: Okay. Thank you guys. All the best.

Moderator: Thank you. The next question is from the line of Priti Agarwal from SK Associates. Please go ahead.

Priti Agarwal: Thank you so much for the opportunity. I would like to know what were the key drivers behind the increase in EBITDA?

Mukesh Surana: The key driver is largely operational efficiency. Operational efficiency, of course, includes various things in terms of yield improvement and some of the leveraging on the packing side,

etc. And also product mix. And this EBITDA margin could have been further higher if EBITDA
Granules India Limited
November 13, 2025

Page 10 of 14

loss of peptides was not there. So, the product mix and operational efficiency has helped us in improving EBITDA.

Priti Agarwal: Understood. And how did the 200 million EBITDA loss from Ascelis peptides affect overall profitability?

Mukesh Surana: So, the turnover we have already covered in the presentation. So, it is almost similar number of turnover quarter-on-quarter in Ascelis, Rs. 28 crores -Rs. 29 crores. And the EBITDA loss is about Rs. 20 crores from Ascelis.

Priti Agarwal: Understood, sir. Thank you so much and all the very best.

Moderator: Thank you. The next question is from the line of Maitri Shah from Sapphire Capital. Please go ahead.

Maitri Shah: Hello. Just on the peptide business. So, we said that we will turn profitable. Are we expecting to turn PAT profitable or EBITDA profitable by Q4?

Sanjay Kumar: In Q4 we should be PAT profitable.

Maitri Shah: And do we see a lot of program coming in in this business, that is why we are expecting this PAT profitable from Q4 or this is mostly on... How do we expect this growth to happen?

Sanjay Kumar: I understood the question. So, we do have the visibility for the Q4 right now and if execute it well, we are hopeful of turning profitable in Q4. And that's very much in the side. On the inquiries and on the new projects, those are longer lead items and those will get realized subsequently. But our Q4 performance will not be largely dependent on those development or any outcome of those discussions. But yes, there are indeed some great discussions that is ongoing. But I will just caveat it by saying that these are slightly long lead time discussions and we will have to wait out. But we are very hopeful of converting those.

Maitri Shah: Okay. So, then the entirety of FY '27, do we expect these inquiries to convert or are we expecting them to happen post FY '27?

Sanjay Kumar: So, these are typically, we are talking to innovators with their in clinical assets and their programs. It could be a calendar year 26, financial year 27. And the visibility we have is over a longer horizon as well. These will have the projects and the programs at various stages. In FY '27, we are in discussion with companies with a program in FY '28 and subsequently for the later stages the project goes through. So, these are very long lead time

discussions. Part of it can be

realized in the coming year. And there will be an ongoing component from there based on the success of a project. And we become a co-traveler along the innovators on the agenda.

Granules India Limited

November 13, 2025

Page 11 of 14

Maitri Shah: Okay. And secondly, what sort of revenues do we need to clock in to have a positive EBITDA and also a positive PAT? I don't want any guidance, but hitting this revenue figure can turn us profitable, basically?

Sanjay Kumar: I won't be able to give you the exact detail, but when you see the Q4 numbers, we will get a better idea on what could be a breakeven number, both on EBITDA and PAT front. We do have the visibility and we will cross that in Q4.

Maitri Shah: What sort of visibility do we have, sir? Are these contracts that something we got into before this business was incorporated?

Sanjay Kumar: As a part of our project, there are certain commercial products out of the previous project, which have gone to a commercial stage and there are supply commitments and those are phased out along different quarters. The visibility that we have for the Q4 for those commercial supplies items will help us take us over the profitability benchmark and breakeven numbers.

Maitri Shah: So, these projects, these commercial projects will continue throughout FY '27. Is that also correct?

Sanjay Kumar: Yes, that will also be correct.

Maitri Shah: So, could you give us like an annual range of what is this commercial project, like what sort of annual revenue we see?

Sanjay Kumar: We cannot divulge more detail on more granularity into the business at this point in time.

Maitri Shah: Okay. Yes, that is it from my side. Thank you so much for answering.

Moderator: Thank you. The next question is from the line of Aditya from Sowilo Investment Managers. Please go ahead.

Aditya: Thank you for the opportunity. My question is on the Gagillapur facility. So, I think earlier the timeline we were looking at was December 2025 to get the FDA to re-inspect. Are we still on that timeline?

Dr. Krishna Prasad: No, not really, Aditya. We expected once we were ready for the inspection and once we inform

FDA, we thought that they would come for a quick re-inspection. So, we did get back to them last month and they gave us a meeting only in January of '26. And after that, how long they are going to take is something we will see. But from our side, we are ready and let's hope that it all happens fast.

Aditya: Okay. So, just to understand, so now when we say that we need them to come and inspect, so what kind of like in terms of say, I don't know if it's the right word to use, but revenue loss

Granules India Limited

November 13, 2025

Page 12 of 14

because of this we are facing or is it that we are compensating for the volumes to some other facility?

Dr. Krishna Prasad: We had constraints in capacity and we were not operating at full capacity, Aditya. Definitely there was a revenue loss because of that. We did compensate from our US manufacturing quite well and a little bit on OTC products from our GLS facility. But now with the approval of the GLS facility by the FDA, we will be able to manufacture more RX products from here and we should be able to make up for and we should be able to increase our revenues. However, once the Gagi Ilapur facility is out of the warning letter, we have some approvals, new products that are pending. And once we get those, I think there'll be a better increase in revenue.

Aditya: Okay. So, basically it's not, it's not that the existing ones which will get spread. We have, there is scope for further revenue growth once it comes back online, right?

Dr. Krishna Prasad: That's right. Not only from GLS, but also from Gagi Ilapur itself, there'll be better growth.

Aditya: Understood. That was my question. Thank you.

Moderator: Thank you. The next question is

from the line of Ritwik Sheth from One Up Financial. Please go ahead.

Ritwik Sheth: Thank you for the follow-up. So, just one question, you mentioned that the consultancy expenses are still going on in this quarter. So, can you just give us that figure for Q2 and H1 F Y'26?

Mukesh Surana: Sure. F Y'26, I would hesitate to give because continuously we are monitoring, but Q2 actual numbers I can give, it's at about \$2 million in the quarter.

Ritwik Sheth: Okay. And first half?

Mukesh Surana: First half is also, first quarter also of similar number.

Ritwik Sheth: Okay. So, basically there's a \$4 million expenses that we have incurred in H1 F Y'26.

Mukesh Surana: That is right.

Dr. Krishna Prasad: Trend of it coming down. I think it'll come down in Q3 and Q 4, it'll come down drastically.

Ritwik Sheth: Okay. So, FY'27, this would be close to nil ?

Dr. Krishna Prasad: Yes. That's the expectation. Quite confident.

Ritwik Sheth: Sure. And sir, are you looking to do any product side transfer from Gagillapur to Genome? What kind of timelines would you have for these products?

Granules India Limited

November 13, 2025

Page 13 of 14

Dr. Krishna Prasad: We have already applied, made applications for some of the products and some more are being filed right now, which will be a CB-30 and we expect quick approval. I think about 4 to 5 products will be transferred from Gagillapur and that will give us the needed capacity.

Ritwik Sheth: Got it. And sir, can you throw some color on the control substance growth for H1 F Y'26 and how do you see it panning out in the next couple of years?

Dr. Krishna Prasad: I think Priyanka, can you take that question?

Priyanka Chigurupati: Sure. The control substances were pretty stable over the first two quarters, but going forward, we have about, do you want short term or long term?

Ritwik Sheth: For next 2 to 3 years.

Priyanka Chigurupati: Two to three years, we will see possibly one to two approvals from the side, but then most of our products are about 2 to 3 years out. So, we will have the launches happen three years post because most of them are patent protected and some of them are first to file. So, we do expect tentative approvals to come in within the next quarter.

Ritwik Sheth: And what kind of growth can we expect from this business?

Priyanka Chigurupati: Without giving exact numbers, I will say that there's going to be a significant growth over the next 3 years to 10 years because we have products filed until 2035. So, we have a lot of confidence in this particular pillar of growth and we are very excited to see this pan out.

Ritwik Sheth: Yes. Okay. That's it for my time.

Moderator: Thank you. The next question is from the line of Vivek Gupta from Star Investment. Please go ahead.

Vivek Gupta: Actually, I just happened to join the call a little late, so I am not sure if the question was answered previously. But I just wanted to know what factors contributed to the revenue growth in formulation markets in North America and Europe?

Dr. Krishna Prasad: The question was answered, but for your benefit, I think Mukesh will go through it again.

Mukesh Surana: Yes. So, in the current quarter, sequentially also, we have grown significantly better. So, some of the remediation activities are robust enough. The productivity improvement has happened already in Gagillapur. Genome Valley also started giving monograph products. And in the near future, we will have other products also as per approval Q3 -Q4 onwards. In addition to that, the year-on-year growth was significantly contributed because last year quarter, there was a USFDA audit observation and the plant was temporarily shut down. And third pillar of growth on the formulation, which is just now Priyanka has clarified, controlled substances also significantly contributing to the growth.

Granules India Limited
November 13, 2025

Page 14 of

14

Priyanka Chigurupati: Actually, I will also answer, I will also respond to that. We have also won some awards with our existing business. And if you recall a couple of, I mean, every concall, I always keep saying that some of the products that we pick are long-term products in terms of gaining market share. So, we do have products that we got approval for about almost 2 to 3 years back, and we are still gaining share on those products. So, if you look at IMS data, you'll see that slowly we penetrate the market. Most of the products, we start with 5, 10, 15, and we go up to a very, very decent market share. And that's also contributed to the growth in North America this quarter.

Vivek Gupta: Okay. That helps. So, sir why did the company voluntarily pause the production at the Gagillapur plant in Q2 FY'25?

Dr. Krishna Prasad: This was discussed and explained in the past, Vivek, but then I will explain once again. See, once the FDA brought in some serious concerns, we just cannot say we are good, we will keep continuing, we will continue to produce. So, we took a pause to assess the exact situation and to prove to ourselves and to the FDA that there is no risk, the product is good, there's no cross-contamination in the product. And we also told the FDA, we have taken a pause. And they told us, you don't have to take a pause, you can continue production. We wanted to hear from the FDA rather than doing it ourselves. And that has gone a long way in convincing the FDA that we are a very compliant company.

Vivek Gupta: Okay. So, how did API and PFI sales in the rest of the world markets impact the overall revenue growth?

Mukesh Surana: It has been pretty good. It is there in the investor presentation. We have done good growth of PFI in the LATAM market, which we had constraints in Q1 because of the capacity. Now, with the available capacity, with the robust remediation activities in place, we have capacity available and we are growing.

Vivek Gupta: Okay. Thank you. That was from my side and all the best for the future quarters.

Dr. Krishna Prasad: Thank you, Vivek.

Moderator: Thank you. As there are no further questions from the participant, I would now hand the conference over to the management for the closing comments. Over to you, sir.

Dr. Krishna Prasad: Once again, ladies and gentlemen, thank you very much for joining us and we appreciate your questions. And I hope that we have done our best to answer them and in case you need some more clarifications, please feel free to reach out to our CFO and he will be able to update you.

Thank you once again and have a good day.

Moderator: Thank you. On behalf of Granules India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jan 2026

.GRANULES

Date: January 28, 2026

To,

National Stock Exchange of India Limited

BSE Limited

Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,

Sub: Transcript of the Earnings Conference call for Q3 of FY26.

Ref: Our letter dated 08.01.2026 for intimation of the schedule of the Earnings

Conference call for Q3 of FY26..

Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, the transcript of the earnings conference call of the Company for Q3 of

FY26 is enclosed with this letter and has been uploaded on the website of the Company at the

below-mentioned link:

[https:// granulesindia. com/investors/investor-resources/earnings-call-transcripts/](https://granulesindia.com/investors/investor-resources/earnings-call-transcripts/)

Kindly take the above information on record.

For GRANULES INDIA LIMITED

CHAITANYA TUMMALA

(COMPANY SECRETARY &

COMPLIANCE OFFICER)

REGISTERED OFFICE

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Page 1 of 14

"Granules India Limited

Q3 & 9 Months FY26 Earnings Conference Call"

January 23 , 2026

MANAGEMENT : DR. KRISHNA PRASAD CHIGURUPATI – CHAIRMAN AND

MANAGING DIRECTOR – GRANULES INDIA LIMITED

MS. PRIYANKA CHIGURUPATI – EXECUTIVE DIRECTOR

– GRANULES INDIA LIMITED

MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER –

GRANULES INDIA LIMITED

DR. P.V. SRINIVAS – CHIEF TECHNOLOGY OFFICER–

GRANULES INDIA LIMITED

MR. SANJAY KUMAR – CHIEF STRATEGY OFFICER –

GRANULES INDIA LIMITED

MODERATOR : MS. PRACHI AMBRE – MUFG INVESTOR RELATIONS

Granules India Limited

January 23 , 2026

Page 2 of 14

Moderator: Ladies and gentlemen, good day and welcome to Granules India Limited Q3 and 9 Months FY26 Earnings Conference Call hosted by MUFG Investor Relations. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Ms. Prachi Ambre from MUFG Investor Relations. Thank you and over to you, ma'am.

Prachi Ambre: Thank you, Danish. On behalf of Granules India Limited, I extend a warm welcome to all the participants on the Q3 and 9 months FY 26 Financial Results Discussion Call. Today on the call, we have Dr. Krishna Prasad Chigurupati, Chairman and Managing Director; Ms. Priyanka Chigurupati, Executive Director; Mr. Mukesh Surana, Chief Financial Officer; Dr. P.V. Srinivas, Chief Technology Officer and Mr. Sanjay Kumar, Chief Strategy Officer.

Before we begin the call, I would like to give a short disclaimer. This call contains some of the forward-looking statements, which are completely based on our expectations, beliefs and opinions as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Dr. Krishna Prasad sir for his opening remarks.

Over to you, sir. Thank you.

K. P. Chigurupati : Thank you, Prachi. Good evening, ladies and gentlemen. Thank you for joining us today and for your continued interest in Granules India. We trust, you have had a chance to review the detailed presentation available on our website. Let me begin with our consolidated performance. Q3 FY '26 has been one of our strongest quarters despite a temporary loss at our Peptide CDMO business.

We reported revenues of INR1,388 crores, a 22% increase year-on-year. EBITDA was INR308 crores, growing 34% over the same period last year. Margins improved meaningfully, driven by disciplined execution and better operating leverage. This momentum reflects the strength of our diversified business model and the progress we are making on multiple strategic fronts.

Regulatory and quality update. Regulatory excellence continues to be a critical priority for us.

We made steady progress across all our facilities for this quarter. Gagillapur facility. Our remediation plan remains on track. We held a post-warning letter meeting with the FDA in early January.

We will be submitting the requested documentation shortly. Importantly, to date, the agency has not raised any concerns regarding the adequacy or pace of our corrective action. We expect a formal feedback after our submission and remain confident about the pathway to resolution. As a prudent de-risking measure, we have filed select products from our US and GLS facilities.

The site also received ANVISA Brazil GMP certification, reinforcing the improvement in our quality system. GLS at Genome Valley, the US FDA conducted an unannounced PAS and GMP Granules India Limited

January 23, 2026

Page 3 of 14

inspection from 15th to the 19th of December. We received five observations, none related to data integrity. Our responses were submitted within the stipulated timelines.

Earlier in the quarter, GLS received a PAS approval on 10th November, and an EIR on 11th December, for the inspection held in August. We have also received a CBE 30 approval following the recent inspection. Our GPI facility in USA received EIR on 5th November, closing the PAS inspection from June. GCH, our U.S. packaging site. The U.S. FDA completed a GMP inspection on 4th December with zero Form 483.

Across the network, we continue to advance digitalization of manual operations. Several initiatives are already live at GPI.

We expect to complete implementation at Gagillapur by the mid-calendar year, followed by rollout to other sites. While a lot of our consultancy costs have come down, we expect to invest into system enhancements, which will involve some capex and opex over the coming quarters. These steps will strengthen both the reliability and resilience of our operations.

R&D filings. Our R&D and regulatory pipeline progressed well this quarter. We filed 1 EU dossier, which is DCP, 8 new product registrations in rest of the world markets through partners, 4 DMFs in rest of the world countries. Approvals included a tentative U.S. FDA approval for generic Adzenys from GPI, 1 approval in Europe, two approvals in ROW markets, 1 DMF approval in China. Our increasing focus on ROW markets supports our strategy to diversify beyond the US and Europe.

ESG progress. Sustainability continues to be a core part of who we are. This quarter, our CDP climate change rating improved to A up from B. Our S&P CSA score increased to 62 placing us among the top 10% of our global peers. We reinforced our commitment as a signatory to the UN Women's Empowerment Principles, UN Global Compact and PSCI.

Our Gagillapur facility achieved zero waste to landfill, which is platinum plus with over 99% waste diversion. We continue to make measurable progress across Scope 1, 2 and 3 emissions, renewable energy, sustainable procurement and water neutrality initiatives. Preferential issue.

During the quarter, we also took a strategic step to strengthen our balance sheet through the preferential issue, which saw strong support from shareholders in yesterday's EGM.

The proceeds from this issue enhance our financial flexibility and will be deployed prudently to support capacity expansion, drive efficiency and pursue value-accretive opportunities while maintaining our focus on governance and capital discipline. We believe this capital raise positions the company well to accelerate growth and create sustainable long-term value for all shareholders.

Strategic direction. As we noted last quarter, Granules has entered a phase of renewed momentum. Our strategic priorities remain clear: transitioning to higher complexity generics,

normalization at Gagillapur following remediation and strengthening the quality systems holistically across all the facilities, strengthening our market presence across key geographies, scaling operations at GLS as regulatory milestones translate into commercial execution.

Granules India Limited

January 23, 2026

Page 4 of 14

Building a differentiated peptide CDMO platform through Ascelis with rising innovator engagement. These pillars position us well for sustainable quality-led growth. For ease of understanding, we have broken down our portfolio strategy into integrated Rx, complex Rx and CDMO. The definitions and directions of which have been presented in our IR presentation. To conclude, this has been a strong quarter operationally, financially and strategically. We remain committed to building a high-quality innovation-driven global pharmaceutical enterprise supported by robust governance and a resilient multisite supply chain. With this, I now hand over the call over to Sanjay Kumar, who will speak about our peptides and CDMO growth platform. Over to you, Sanjay.

Sanjay Kumar: Thank you, Chairman, sir. Good evening, everyone. Let me briefly update you on the progress of our Peptide CDMO platform, Ascelis Peptides and Senn Chemicals. As anticipated, performance in the Q3 was modest, but consistent with the transition phase we have discussed earlier. Having said that, Q3 was an execution and activity intensive quarter, focused on executing key projects, increasing utilization and strengthening delivery readiness for the Q4. Also during the quarter, Q3, we incurred high operating costs on account of planned maintenance activities and additional shifts towards the

key customer project. The benefit of this increased

activity are expected to translate as deliveries conversion in the next quarter, that is the Q4.

From an execution standpoint, Q4 is anchored on delivering key projects where work carried out over the last quarters is now moving into delivery stage. Accordingly, Q4 is tracking towards a meaningful improvement in performance, supported by ongoing project deliveries. Our focus remains on disciplined execution, predictable delivery and strengthening customer confidence. On the R&D front, we are seeing active collaboration between our Switzerland and India teams working together on live customer projects after operationalization of our Peptide Center of Excellence at IIT Hyderabad. The India R&D setup has begun contributing directly to the customer projects, including development and execution responsibility.

The R&D team is also making progress on TFA-free peptide chemistries, reinforcing our technology differentiation, particularly in the cosmetics segment. On the commercial front, our focus over the next couple of quarters is on progressing feasibility discussions with our customers, seeding samples with those select customers, particularly in amino acid derivatives and complex peptide fragments and responding to the RFQs and RFPs across the active pipelines.

These activities are focused on building a conversion pipeline for the coming financial year and beyond the next financial year. With that, I will hand over to Mukesh Surana, our Chief Financial Officer, who will take us through the financial performance.

Mukesh Surana: Thank you, CMD and Sanjay. Let me take you all through key financial highlights for Q3 FY '26. Revenue, The third quarter revenue were INR13,879 million as compared to INR11,377 million in Q3 FY '25, a growth of 22% and revenue sequentially grew by 7% as compared to Q2

Granules India Limited

January 23, 2026

Page 5 of 14

FY '26. Revenue growth was broad-based with strong contribution of formulation business in North America and Europe.

The sales breakup as per business division and geographic region are presented in our investor presentation, which is available on the website. Gross margin. We delivered a gross margin of 63.9% in Q3 FY '26 representing an improvement of 216 basis points year-on-year and decrease of 183 basis points sequentially. Year-on-year, gross margin improved with a better product mix for the finished dosage segment.

EBITDA and EBITDA margin. EBITDA for the quarter was INR3,081 million, that is 22.2% of sales as compared to INR2,303 million, that is 20.2% of sales in Q3 FY '25, meaningful improvement of 196 basis points from Q3 FY '25 despite EBITDA loss of Ascelis Peptides of INR248 million. Quarter-on-quarter increase in EBITDA loss of Ascelis Peptides is due to regular and preventive maintenance taken up in December '25 at Senn Chemicals facility.

EBITDA as a percentage of sales for Q3 FY '26 has improved by 75 basis points from Q2 FY '26. The improvement in EBITDA was primarily due to sales growth and margin expansion.

R&D. R&D expenses for the quarter were INR689 million, that is 5% of sales as compared to

INR568 million, that is 5% to sales in Q3 FY '25 and INR705 million that was 5.4% to sales in Q2 FY '26. We will continue to spend similar amounts to support long-term strategic growth. Net debt. Our net debt stood at INR10,151 million as compared to INR10,241 million in Q2 FY '26. Cash-to-cash cycle. Our cash-to-cash cycle has slightly improved to 202 days in the current quarter as compared to 204 days in Q2 FY '26. Net working capital as a percentage to sales was at 27%, improved from 33% in the year beginning. Cash flow from operations. Cash flow from operations for the quarter was INR2,187 million as compared to INR1,937 million in Q2 FY '26. Cap ex spend during the quarter was INR1,298 million as compared to IN

R2,112 million in Q2 FY '26. ROCE. ROCE for Q3 FY '26 is 16.8%

as compared to 16.2% in Q2 FY '26. ROCE has improved with the improvement in operating profit quarter-on-quarter. With this, I open the floor for questions.

Moderator: Thank you, sir. Ladies and gentlemen, we will begin with the question and answer session. Our first question comes from the line of Krisha Kansara from Molecule Ventures. Please go ahead.

Krisha Kansara: Am I audible?

Moderator: Yes, ma'am, you are.

Krisha Kansara: I joined the call a bit late. So pardon me if the answer to my question has already been answered in your opening remarks. But my question is on our Gagillapur facility. So in the last quarter, you informed that we were going to meet the FDA in January month. So could you please update your investors regarding the same? Have we met them already? And if yes, could you please outline the next steps that we as a company are required to follow before we clear this warning letter? This is my question.

Granules India Limited

January 23, 2026

Page 6 of 14

K. P. Chigurupati : Krisha, we had a meeting with the virtual meeting with the FDA early January, and they have requested us for some more documentation, which we'll be submitting shortly. The most important part is the agency has not raised any concerns regarding the adequacy or pace of corrective action. So once we submit our response and further information, we will see what the FDA comes back with, but we are -- that's it, yes.

Krisha Kansara: Right. So would you be able to put a timeline to it, like when are we expecting the final reinspection from there end?

K. P. Chigurupati : We cannot put a timeline to that, but we will be submitting the response quite early in the very near future. But we'll have to see how the agency and then what timelines are going to come out. But again, like I mentioned, we have also been de-risking. Some of the filings have been happening in our U.S. facility and also at our GLS facility. And some products are being site transferred to a GLS facility here, too. Slight amount of de-risking is happening. Even if it takes a little longer, it should not be a major problem.

Moderator: Our next question comes from the line of Bino Pathiparampil from Elara Capital.

Bino Pathiparampil: A couple of questions from my side. One, there is this INR25 crores of loss from the peptide franchise, which you have given in the investor presentation. How has this moved across quarters from 1Q to 3Q? And what is the outlook for the next few quarters?

K. P. Chigurupati : I think it's a good idea Sanjay take this call. Sanjay? Sanjay is responsible for the peptides business and anything regarding peptides, he will be answering.

Sanjay Kumar: Yes. So Bino, so the numbers are comparable to the financial performance of the previous quarter. In terms of outlook, this is a typical of a CDMO business where the quarter-to-quarter variation happens. And as I covered as a part of my early commentary, while the financial performance was lower and as anticipated, the quarter itself was activity intense and our projects progressed through the execution, which typically take a couple of quarters.

And the outcome of the last quarter will be reflected in the Q4, and we are expecting a very meaningful improvement in the Q4 performance. And we do have a visibility over the next set of quarters, and the numbers are significantly improved over the past 2 quarters on the revenue basis.

Bino Pathiparampil: Understood. Just to follow up on that. When you say improvement in performance, are you referring to breakeven and a positive EBITDA sometime soon?

Sanjay Kumar: Yes. I exactly mean that, and that is something that we covered in the last con call as well that we expected Q4 to go above the neutrality on EBITDA that you asked. So we remain confident, and we are on track to get to that position.

Bino Pa

thiparampil: Q4 as in next quarter, right, this coming quarter?

Sanjay Kumar: Yes, the current ongoing quarter.

Granules India Limited

January 23, 2026

Bino Pathiparampil: Okay. And what will drive that? Is it transfer of manufacturing to India or additional projects that you have taken up? What is leading to this sharp turnaround?

Sanjay Kumar: So I won't put it as actively as that. Like as you would assume the lead time to execute these projects go beyond a quarter. So we did have the visibility on the execution timeline for this, and we understood that those deliveries will happen in Q4. Again, the quarter -to-quarter variation is very unique to the CDMO business. So we did have the visibility. We were executing during the Q2, Q3, and we continue to execute through the Q4 and some of the key customer deliveries are happening in the Q4.

Bino Pathiparampil: Understood. And can we also assume that it will remain in the positive EBITDA territory through the quarters in FY '27 as well?

Sanjay Kumar: So our target is always to turn positive from next financial year. But again, I keep on saying the quarter -to-quarter variation will remain a characteristic of this business. But on a year basis, we are turning towards neutrality and profitability for sure .

Bino Pathiparampil: Got it. And second, is there any cost related to Gagillapur facility remediation still sitting in the P&L in Q3?

Mukesh Surana: Yes, Mukesh. This side, Bino. The remediation cost has substantially come down. So it will be in these normal levels for a few quarters and then will be negligible. It has come down substantially.

Bino Pathiparampil: Got it. And one last question on the U.S. If I look at your U.S. revenues in dollar terms, the last couple of years, we have added like \$40 million to \$50 million, somewhere between \$40 million and \$50 million every year to the US revenue. Is that something which we can kind of look forward to in the coming couple of years as well?

K. P. Chigurupati : That's what we aspire for and we are confident of that.

Bino Pathiparampil: Got it. Thank you. I will join back the queue.

Moderator: Thank you. Our next question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just on the Ascelis Peptide, how much of the revenue would have been in this quarter or, let's say, 9 months?

Mukesh Surana: So this quarter is INR33 crores, Tushar.

Tushar Manudhane: Okay.

Mukesh Surana: And quarter -on-quarter, last quarter, it was INR28 crores and the previous quarter also around INR28 crores, INR29 crores. This quarter, INR33 crores. And the loss has gone up, which Sanjay also has clarified, I also clarified. Primarily, we have taken higher execution activities, both on Granules India Limited

January 23 , 2026

the -- some of the active projects where the revenue will further come in Q4. And also, we have taken up regular and preventive maintenance cost in December.

Tushar Manudhane: So effectively, that maintenance cost will reduce and then there will be scale up in the revenue, which is why the EBITDA breakeven for Ascelis Peptides...

Mukesh Surana: You are right, Tushar, yes.

Tushar Manudhane: Even if I leave aside or even if I -- so if I exclude, let's say, Ascelis revenue and the EBITDA loss with respect to the Ascelis, the ex of that business has also scaled up both in terms of revenue as well as profitability. So how that piece of the business will improve subsequently, maybe like fourth quarter onwards or in FY '27, given that the regulatory issue -related expenses are actually at least largely behind, we might wait for inspection -- re-inspection for Gagillapur site. But even of that, how to think about the growth in the business in FY '27, if you can shed some light on that?

Mukesh Surana: Tushar, we are looking at sequential improvement, both on

on the sales and margin side.

Tushar Manudhane: And that would be driven by?

Mukesh Surana: That will be driven by one expenses, operational leverage, for sure, and more than that, in fact, revenue as well.

Tushar Manudhane: But this is to do with our, let's say, core products or the new approvals and which geographies, if you can give more color?

K. P. Chigurupati : Tushar -- Priyanka, go ahead, you can answer that.

Priyanka Chigurupati: Yes. Tushar, I'll answer that. A few things, well, the last couple of quarters like we mentioned in our past calls also, we -- while we were producing, we weren't producing to the full of our capability. So right now, we are going to be increasing capacities and catering to all the awards that we have in the U.S. and to the other markets.

So just the operational efficiencies will increase, productivity will increase, and that will

certainly increase the numbers going forward. In addition, if all goes well with Gagillapur, we have our launches in place. That will also facilitate the growth. We have a few C BE30 approvals and some PAS approvals from the GLS side, which we plan on launching, that will also facilitate growth.

Moderator: Our next question comes from the line of Yashika Gogia from Nirzar ENT.

Yashika Gogia: I just had one question. I wanted to gain some clarification on lisdexamfetamine. What's the product status? As we heard previously that GPI received FDA approval for the same chewable tablets in December '24 and then in January '25, the capsules. Is there any revenue recognition also, I just wanted to gain some insight for lisdexamfetamine?

K. P. Chigurupati : Priyanka, can you take that?

Granules India Limited

January 23, 2026

Page 9 of 14

Priyanka Chigurupati: Yes, sure. Yes. It's been four quarters since we've launched lisdex caps and tabs and it provides a meaningful revenue addition to our U.S. business.

Yashika Gogia: All right. So could you clarify some numbers or the revenue for the same?

Priyanka Chigurupati: No, we don't get into product specifics, unfortunately. But I will tell you that we have -- we were a late entrant to the market, but because of our quota history and our compliance history with the DEA, we were able to get meaningful share, and we plan on increasing it as we keep going further.

Yashika Gogia: All right. So will it be feasible for you to tell how much incremental demand this will signal since you mentioned that the quota for U.S. -- the quota for lisdexa has been improved. And in '24, it was around 26,000 per kg, whereas in '25, it was increased to 32,000 per kg. And in September '19 also, it was raised. So can we see any numbers from our and what benefit we can see?

Priyanka Chigurupati: I'm sorry, can you please repeat your question?

Yashika Gogia: I mean to say that since lisdexamfetamine quota was increased around September, it was announced by US DEA that the quota has been increased from '24 to '25 annual approximately 40,000 per kg. So what incremental demand does this signal? And does the industry have sufficient end market demand to absorb this?

Priyanka Chigurupati: First of all, I'd like to clarify that without end market demand, the DEA will not increase the quota overall for any product. So yes, there is market. And based on compliance history of each company and the continuous outflow of products quarter-on-quarter based on legitimate demand. And again, I want to say, based on the compliance aspect of that, the DEA awards quotas to the suppliers.

Moderator: Next question comes from the line of Ritwik Sheth from One Up Fin.

Ritwik Sheth: Sir, a couple of questions. Firstly, sir, we've got an approval -- in principle approval for amphetamine product in December across two dosage forms. And you mentioned the market size is \$220 million to \$230 million per annum, and we are one of the few players to get approval for this. So

when can we expect the launch of this product in U.S.? And over a period of time, what kind of market share can we garner?

Priyanka Chigurupati: I'll take that question. If you're referring to the approval of generic Adzenys, it was a tentative approval. It's not an approval yet because it is an IP-based product. The overall value of the product right now, including the brand, is about 170 million units, but there's only one other generic player in the market. So -- but the timing of launch, I cannot confirm right now because it is a tentative approval, which is in litigation stage right now.

Ritwik Sheth: Okay. And when do we get the final approval, if at all, we get it?

Priyanka Chigurupati: It will take a year.

Granules India Limited

January 23, 2026

Page 10 of 14

Ritwik Sheth: Okay. It will take a year. Okay. Got it. And second question is on controlled substance. What kind of growth did we clock in Q3 and 9 months FY '26 in this segment?

Priyanka Chigurupati: I think we should start referring to this entire basket instead of just looking at controlled substances. I would urge you to just look at our investor presentation where we are segregating our divisions into integrated pharma, complex generics and others. And within that, the definitions, et cetera, have been mentioned in the presentation. But within the complex generics range itself, just from Y-o-Y growth, Q3 to -- Q3 FY '25 to '26, we grew from 27% as a total contribution to 49%. And Q-on-Q, we grew from 40% to 49% within the complex generics range.

Ritwik Sheth: Right. So controlled substance would be a significant part of the complex generics?

Priyanka Chigurupati: Yes.

Ritwik Sheth: Okay. Got it. This is helpful. And just 1 last question on bookkeeping. Sir, what was the remediation expense in Q3 FY '26?

Mukesh Surana : So Ritwik, it has been substantially lower, almost half of what we incurred in Q2.

Moderator: The next question comes from the line of Sucrit D. Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sucrit D. Patil: I have two forward -looking questions. My first question is, as Granules continues to grow -- sorry, as Granules continues to grow its formulations and CRAMS business, how do you see capacity use and overall production levels changing over the next 1 to 2 years? And particularly, how will steps like making more of your own APIs using automation in manufacturing and strengthening regulatory compliance be put into practice to improve efficiency, reduce production time and keep the company competitive in the global market? That's my first question. I'll ask my second question after this?

K. P. Chigurupati : Priyanka, go ahead.

Priyanka Chigurupati: In terms of capacity utilization, if I understood your question right, at Gagillapur, we will have some capacities over the next couple of quarters. But GLS, we will have significant capacities. And more importantly, both the sites will have a lot of products in common. So if there is a lot of demand that we see going forward, we can cater to it from both the sites. And on the operational efficiencies, could you please repeat your question?

Sucrit D. Patil: No, I just want to understand who -- like what steps you taking -- making more of your own APIs using automation in manufacturing and strengthening regulatory compliance to reduce production time and keep the company competitive in the global market?

Priyanka Chigurupati: I think to answer your question, if it's specifically about APIs, almost all the APIs that we make, we are already very cost competitive. So when we talk about automation and digitization, digitalization, it's more to increase quality compliance to make sure that we are one of the Granules India Limited

January 23 , 2026

Page 11 of 14

strongest companies in quality going forward, and quality has always been a strong pillar for us. So that's where we

will be spending a lot of our resources with automation and digitalization.

K. P. Chigurupati : Let me clarify, Sucrit. The existing plant, there is a level of automation already. But any new plants that are coming up, including one API plant with a different type of differentiated technology in Vizag, this is going to be totally DCS driven and very few people on the site. So even that will happen in addition to paperless documentation.

Sucrit D. Patil: Good to hear. My second question is specifically to Mr. Mukesh. With strong cash flows and ongoing expansion into CRAMS and specialty formulations, how do you plan to keep EBITDA margins steady while also funding new investments? From a financial perspective of view, how will you handle the working capital more efficiently, manage currency risk on -- export revenues and use digital tools to control costs so that ROE and balance sheets remain strong in the near medium term ?

Mukesh Surana: Thank you, Sucrit. It's a multi -loaded question. EBITDA improvement, of course, with a good mix of formulation, getting into larger complex generics share , the EBITDA margin, of course, gross margin to EBITDA margin will continue to improve. And thereby, of course, cash flow from operations will be positive quarter -on-quarter. At the same time, with the increased sales, there will be investment in working capital.

At the same time, we are seeing that how we steady state at the CCC days, even with the new launches and increase in inventory requirement, how we efficiently manage the CCC days so that working capital blockage is lesser with the growth as well. That is a continuous process which we do.

And we do have -- on the forex side, which you have asked, we have a good risk management governance, and we balance hedging also accordingly. And if you see all of these processes are effectively managed. That's how you see ROCE is improving and return on equity is also improving quarter -on-quarter with a business improvement.

Sucrit D. Patil: Thank you for the guidance and I wish the entire team best of luck for the next quarter.

K. P. Chigurupati : We don't give guidance, Sucrit. It's all going to be positive. That's all we can say. We have no guidance.

Sucrit D. Patil: I said thank you and best of luck for the next quarter.

Moderator: Our next question comes from the line of Abu Rafe from Wealth Catalyst. Please go ahead.

Abu Rafe : Thank you, sir. Thank you for giving me the opportunity. Sir, my question is, earlier management had indicated that paracetamol demand was weak due to elevated inventory. Could you update on the current inventory situation? Has the excess inventory largely been cleared, sir? And how does the management feel the demand outlook for paracetamol over the next few quarters?

K. P. Chigurupati : Priyanka, you want to take that?
Granules India Limited
January 23, 2026

Page 12 of 14

Priyanka Chigurupati: Sure, I can take that. Paracetamol as an absolute -- if you talk about the inventory situation, in certain markets, they have eased down. And we are seeing an increase in demand from our key customers in both APIs, PFIs and finished dosages. While we are seeing good growth, and that's what facilitated the growth in some of our regions this quarter, we do see some amount of price erosion also in paracetamol. But in terms of inventory, the volumes are building back up.

Moderator: Our next question comes from the line of Vivek Gupta from Star Investment. Mr. Gupta, you may please proceed with the question.

Vivek Gupta: Yes. Am I audible?

Moderator: Yes, you are.

Vivek Gupta: So sir, could you outline the expected timeline for meaningful product launches from the Genome Valley facility and like share your estimates on the incremental revenue contribution that is anticipated in FY '27?

K. P. Chigurupati : Priyanka?

Priyanka Chigurupati: I'll take that question. Yes. We are g

oing to be launching at least 1 product, if not two products, which are existing products from the G pp sites to cater to additional demand that we have. So these two products will be launched over the next couple of -- next two quarters, one to two quarters. We'll start this quarter, and we'll see an incremental revenue coming up. And we're also expecting -- once we have a European approval for that site, then we expect even more numbers to come in.

Vivek Gupta: Okay. So with oncology and high -value segments positioned as key long -term growth levers, how do you plan to scale capacity, build partnerships and progress regulatory filings to unlock their potential?

Priyanka Chigurupati: So if you look at the 3 baskets that we have mentioned in our investor presentation, sequentially, even if you look at the R&D filings in order of how they have changed over time, you'll see that the percentage of complex generics, which is where oncology, CNS and other products come into play, they have sequentially grown. So we plan on filing a certain number of products more inclined towards complex generics in the future, while integrated generics remain a core area of focus as well.

Vivek Gupta: Okay. Thank you.

Moderator: Thank you. Our next question comes from the line of Saniya from SS K Capital. Please go ahead.

Saniya : Hello. Am I audible?

Priyanka Chigurupati: Yes, you are.

Saniya : Hi, good evening. Actually, I joined a little late. I had a question regarding that the controlled substances that are emerging as a key growth driver in the US market. Could you provide a
Granules India Limited
January 23, 2026

Page 13 of 14

greater visibility on the pipeline, like the outline, the expected launch timeline ? And can you share how the management anticipate this product will contribute to your earnings for the next 2, 3 years?

Priyanka Chigurupati: I'll take that question also. When somebody -- sorry, I forget the name, but somebody spoke to me about it in the past couple of minutes. I mentioned that we should look at it as integrated generics, complex generics and others. So CNS, ADHD and controlled substances are a part of the complex generics range.

We have about 8 to 9 products in the market, 5 to 6 of which are amongst the top 3, if not number 1 in the markets today. So going forward, as immediate launches -- well, immediate launches, meaning within the next year, 1.5 years, we have about 3 launches, and they will -- 3 to 4 launches, and they will contribute to a very meaningful percentage of our overall growth story.

Saniya : Okay. Got it. And also regarding the tentative approval for amphetamine, could you please elaborate on the strategic importance of this molecule, particularly in the terms of potential revenue contribution and the market share?

Priyanka Chigurupati: See, I don't want to -- yes. Sorry, please finish your question.

Saniya : No, it's okay.

Priyanka Chigurupati: It is a very important -- very, very important product for us from a strategic perspective because it reinforces our strategy of filing limited competition products to be able to get -- to be able to give patients with ADHD immediate access to products by launching generics that are early to the market.

And from a manufacturing and development perspective, these are difficult products. These are products that -- some of the products have been in the market with this particular product, well, there has been one generic for a long time, but others have not been able to develop, file and get approval for this product because of the complexity involved. So overall, it is a very good product that fits exactly within the pipeline that we have envisaged for ourselves and it will contribute to a very meaningful amount going forward.

Saniya : Okay. Got it. Thank you and best of luck.

Moderator: Thank you. As there are no further questions from the participant, I would

like to hand the

conference over to management for the closing comments. Thank you and over to you, management.

K. P. Chigurupati : On behalf of the entire leadership team, I would like to thank all our shareholders, analysts and participants for taking the time to join us today. We value your insights and your continued trust.

This brings our call to a close. Thank you and have a wonderful evening.

Priyanka Chigurupati: Thank you.

Granules India Limited

January 23, 2026

Page 14 of 14

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of MUFG Investor Relations Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

Date: May 05, 2026

To,

National Stock Exchange of India Limited

BSE Limited

Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,

Sub: Transcript of the Earnings Conference Call for Q4 and the financial year ended on March 31, 2026.

Ref: Our letter dated April 16, 2026 for intimation of the schedule of the Earnings Conference call for Q4 and the financial year ended on March 31, 2026.

Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings conference call of the Company for the Q4 and financial year ended on March 31, 2026 is enclosed herewith and has been uploaded on the website of the Company at the below -mentioned link:

<https://granulesindia.com/investors/investor-resources/earnings-call-transcripts/>

Kindly take the above information on record.

For GRANULES INDIA LIMITED

CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)

Encl: As above

REGISTERED OFFICE

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Page 1 of 16

“Granules India Limited

Q4 & FY26 Earnings Conference Call”

April 29, 2026

MANAGEMENT : DR. KRISHNA PRASAD CHIGURUPATI – CHAIRMAN AND
MANAGING DIRECTOR – GRANULES INDIA LIMITED

MS. PRIYANKA CHIGURUPATI – EXECUTIVE DIRECTOR
– GRANULES INDIA LIMITED

MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER –
GRANULES INDIA LIMITED

DR. P.V. SRINIVAS – CHIEF TECHNOLOGY OFFICER–
GRANULES INDIA LIMITED

MR. SANJAY KUMAR – CHIEF STRATEGY OFFICER –
GRANULES INDIA LIMITED

MODERATOR : MS. PRACHI AMBRE – MUFG INVESTOR RELATIONS

Granules India Limited

April 29, 2026

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to Granules India Limited Q4 and FY '26 Earnings Conference Call, hosted by MUFG. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded.

I now hand the conference over to Ms. Prachi Ambre from MUFG. Thank you, and over to you, Prachi.

Prachi Ambre: Thank you, D anish. On behalf of Granules India Limited, I extend a warm welcome to all the participants on the Q4 FY '26 financial results discussion call. Today, on the call, we have Dr. Krishna Prasad Chigurupati, Chairman and Managing Director; Ms. Priyanka Chigurupati, Executive Director; Mr. Mukesh Surana, Chief Financial Officer; Dr. PV Srinivas, Chief Technology Officer; and Mr. Sanjay Kumar, Chief Strategy Officer.

Before we begin the call, I would like to give a short disclaimer. This call contains some of the forward-looking statements, which are completely based on our expectations, beliefs and opinions as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Krishna Prasad sir, for his opening remarks. Over to you, sir. Thank you.

K.P. Chigurupati: Thank you, Prachi. A very good evening to all of you, ladies and gentlemen, and thank you very much for joining us today. I appreciate your continued interest in Granules India and welcome you to our Q4 and full year FY '26 update. We have shared a detailed presentation on our financials and operating performance, and I trust you have had an opportunity to review it.

Q4 and full year FY '26. FY '26 marked a year of deliberate reset and measurable progress for Granules India. Following a period of regulatory and operational correction, the organization stabilized performance, strengthened execution and made clear strategic choices to reposition the business for sustainable and value-led growth.

The year demanded discipline and focus. While external cost pressures and regulatory remediation continue to weigh on operations, Granules delivered steady improvements across compliance, operations and portfolio quality. By the close of FY '26, the company had materially strengthened its foundation and is better prepared for the next phase of growth.

Granules India Limited

April 29, 2026

Page 3 of 16

Strategic and business progress. FY '26 was a defining year for the organization's operating platform. The GPI facility in Virginia reached its targeted operating potential and demonstrated consistent performance through the year. Capacity expansion and the ongoing development of a new distribution center further reinforces the site's ability to support future growth and scale. I am happy to share that as per IQVIA, GPI as a company had moved to 27th position of all U.S. generic companies in terms of sales value in FY '26 as compared to 74th position in FY '21. It also stands at 4th position in the controlled substance space.

The acquisition of Senn represented a deliberate strategic expansion into the CDMO segment. The business turned EBITDA positive within the third quarter post-acquisition, validating the investment thesis and establishing peptides and CDMO as a meaningful long-term growth engine for Granules. Equally impor

tant, FY '26 saw continued and intentional evolution of the product portfolio. The company accelerated its shift towards more complex and differentiated products. The transition is already strengthening competitive positioning and opening pathways for higher-value opportunities, including potential first-to-file filing.

Financial and operational performance. The fourth quarter concluded a year of stabilization and strengthening fundamentals. Momentum improved sequentially through the year, with Q4 reflecting operational stability across both API and finished dosage businesses, improved compliance readiness and consistent execution against stated priorities.

Finished dosages remain the core business, contributing 74% of revenue. Europe delivered strong growth of 81% year-on-year and now represents approximately 15% of total revenue. Without Senn, Europe represented a 49% growth. Most notably, peptide CDMO emerged as a fourth revenue pillar, generating INR 1,593 million in FY '26 revenue and delivering a positive EBITDA in Q4. These results were delivered despite elevated logistics costs and ongoing remediation expenditure, underscoring the benefits of a diversified footprint, disciplined execution and improved business resilience.

Quality, regulatory and compliance. Quality and compliance remained uncompromised priorities throughout the year. At Gagillapur, remediation activities progressed materially with cleaning validation completed across all PFI, MUPS and finished dosage blocks using dedicated equipment. The post-warning letter engagement with the U.S. FDA was completed in January with all action point responses submitted in February and regular progress updates maintained thereafter.

During the year, regulatory inspections were successfully completed across key sites. The GLS facility at Genome Valley received an EIR with VAI status following the inspection. The Chantilly GPI facility underwent a routine U.S. FDA inspection in March to April '26, resulting in 4 procedural Form 483 observations with no data integrity findings. Responses were submitted within the stipulated timeline. The GCH facility in Virginia completed its inspection with zero observations.

Beyond individual inspections, the organization continued to systematically strengthen its quality systems. Investments in digital quality infrastructure, including electronic logbooks, Granules India Limited

April 29, 2026

Page 4 of 16

calibration management, document control and MES implementation are now materially enhancing compliance rigor, traceability and operational effectiveness.

Safety, ESG and sustainability. Safety remains non-negotiable across all operations. The FY '26 closed with a clear reduction in reportable injuries, visible progress towards a more proactive, accountable safety culture. ESG performance continued to strengthen and gain external recognition. During the year, Granules achieved the EcoVadis Gold rating, received an A rating from CDP for climate change and recorded strong scores across water security and forests. The company's S&P Corporate Sustainability Assessment score improved to 62, placing Granules amongst the top 10% of the global peers.

The company further reinforced its commitment to responsible growth by becoming a signatory to the UN Women's Empowerment Principles. Gagillapur facility achieved zero waste to landfill Platinum Plus certification with similar programs progressing across other sites.

R&D filings and portfolio development. R&D efforts were firmly aligned to portfolio depth, complexity and future readiness. During FY '26, Granules continued to advance filings and approvals across APIs and finished dosages with a clear emphasis on complex generics. During the year, we filed a total of 6 U.S. ANDAs, 3 EU dossiers, 1 Canadian dossier and 15 filings across various regions. We filed 6 U.S. DMFs, all to support integration

of complex products,

and 10 other DMFs across various regions. Complex generics accounted for a meaningful share of total filings, reinforcing the long-term direction of the development pipeline and the company's focus on sustainable value creation.

Outlook. Granules enters FY '27 with improved stability, clearer priorities and greater organizational confidence. The focus in the year ahead remains unambiguous: achieving sustained U.S. FDA readiness in Gagillapur; scaling commercial contributions from GLS; accelerating the shift towards complex and differentiated products; and maintaining disciplined capital allocation. The company is also preparing for potential U.S. product launches as approvals progress, including 9 applications awaiting clearance from Gagillapur site. Ongoing product transfers across sites will further strengthen supply continuity, resilience and risk mitigations.

While external uncertainties remain, Granules is materially better positioned today than a year ago. The strengthened operating platform, healthier balance sheet and sharper execution discipline provide a solid base for delivering long-term shareholder value.

Finally, FY '26 was a year of recalibration and rebuilding. The progress achieved was necessary, deliberate and foundational. Granules now moves into its next phase with greater clarity, confidence and control. Thank you very much, and I pass this on to Sanjay for a detailed explanation on the Senn Chemicals' peptide business.

Sanjay Kumar: Thank you, Chairman sir. Good afternoon, everyone. Let me briefly update you on the progress of our peptide CDMO platform, Ascelis Peptides and Senn Chemicals. Q4 performance was in line with the direction we had indicated earlier. Revenues improved meaningfully, supported by planned pharmaceutical deliveries and robust cosmetic offtake during the quarter. The quarter Granules India Limited

April 29, 2026

Page 5 of 16

also marked a return to positive EBITDA performance, reflecting progress from transition into execution phase. We did incur certain additional operating expenses linked to an important

customer program, including higher manpower deployment and additional shifts. These are largely associated with first campaign of such nature.

During the quarter, we also executed multiple programs across R&D projects, development of TFA-free cosmetics and supplies, and sample feeding initiative for prospective pharmaceutical customers. On the organization front, we have moved to a leaner management structure at Senn with a focus on execution and accountability. And we have rolled out our long-term incentive for key executives at Zurich facility. We are also progressing well on infrastructure upgrades at Zurich site and planning the next phase of peptide API capacity.

On the India side, our peptide CoE at IIT Hyderabad is now fully active and working in a very close collaboration with our Zurich R&D team on multiple live customers projects. The next stage in India journey will be a brownfield manufacturing facility for peptide intermediate, which is expected over the coming months, followed by a peptide API capacity in India at the appropriate stage.

For FY '27, though, our focus is to deliver a PAT positive performance on an annual basis, while recognizing quarter-to-quarter variations inherent in a project-driven CDMO business like ours. Overall, we are highly excited by the opportunity in the peptide CDMO space and by the fact that customer access, credibility and technical heritage that Senn brings to our peptide playbook. With that, I will now hand over the call back to Mukesh to take you through the financial performance.

Mukesh Surana: Thank you, CMD sir, and Sanjay. Good evening, everyone. I will now walk you through the financial performance for Q4 FY '26 and the full year FY '26. FY '26 has been a landmark year for the group. This year, we crossed a

landmark number of INR50,000 million in revenue, posted

6 straight quarters of sequential growth, record gross margin and demonstrated that the strategic priorities we placed 3 to 4 years ago, including complex generics, are now delivering the revenue growth.

Revenue for the year stood at INR53,656 million, registering a 20% year-on-year growth.

Growth was broad-based, driven primarily by formulations in North America and Europe.

Peptide CDMO business is a new revenue vertical, following the acquisition of Senn Chemicals AG. This vertical added INR1,593 million revenue, contributing 3% of the overall revenue.

Revenue for the quarter was INR14,706 million, up 23% year-on-year and 6% sequentially, marking our sixth consecutive quarter of sequential growth. The sales breakup as per business divisions and geographic regions are presented in our investor presentation, which is available on the website. Business diversification is improving the resilience and sustainability of revenues.

Gross margin. FY '26 gross margin expanded to 65%, an improvement of 355 basis points year-on-year. This expansion is on account of a sustained shift towards complex generics and higher Granules India Limited

April 29, 2026

Page 6 of 16

contribution from value-added formulations. Q4 FY '26 gross margin improved to 65.7%, up 233 basis points year-on-year and 186 basis points quarter-on-quarter, with growth particularly from peptide CDMO converting into margin expansion. Gross margin rose from 50% in FY '22 to 65% over 4 years, demonstrating our sustained strategic progress.

EBITDA and profitability. EBITDA for FY '26 stood at INR11,851 million, up 25% year-on-year, with margins expanding by 100 basis points to 22.1%. This clearly demonstrates the structural improvement in earnings quality. This EBITDA in FY '26 includes loss of INR445 million in Ascelis, the peptide CDMO platform acquired during the year. Q4 FY '26 EBITDA stood at INR3,521 million, growing 40% year-on-year and 14% quarter-on-quarter, with margins expanding to 23.9%. Q4 FY '26 marked the first quarter of positive EBITDA in our acquired peptide CDMO business, which is an important milestone.

R&D. R&D remains central to our long-term strategy. R&D expenses for FY '26 was INR2,853 million, representing 5.3% of sales. Our focus areas include CII/ADHD, oncology, MUPS and other high barrier formulations. These investments are laying the foundation for sustained and differentiated growth. We will continue to invest in R&D in the coming quarters.

PBT and PAT. FY '26 PBT before exceptional items grew 26% year-on-year and PAT grew by 19% year-on-year to INR5,950 million post exceptional items. Q4 FY '26 PBT before exceptional items grew 48% year-on-year and 22% sequentially. And PAT grew by 33% year-on-year to INR2,016 million and 34% sequentially post exceptional items.

Net debt. Net debt reduced to INR4,021 million from INR7,061 million in FY '25. Net debt to EBITDA improved to 0.34x from 0.75x. The reduction in net debt was supported by an additional equity infusion of INR6,656 million during FY '26, in addition to EBITDA growth in FY '26.

Working capital. Net working capital percentage to sales remained at 33% of sales, in line with

FY '25, with higher working capital to support growth in FY '26.
Cash flow from operations. FY '26 cash flow from operation was INR7,933 million compared to INR8,666 million in FY '25. Cash conversion was moderated due to planned working capital buildup to support growth and new launches.
Capex spend for Q4 FY '26 was INR1,000 million compared to INR1,298 million in Q3 FY '26. Full year FY '26 capex was INR5,547 million compared to INR5,700 million in FY '25.
ROCE. ROCE improved to 17.6% as compared to 16.8% in Q3 FY '26 and 16.6% in FY '25.
With this, I open the floor for questions. Thank you.
Moderator: Thank you so much sir. Our first quest

ion comes from the line of Harith Ahamed from Aventus

Spark. Please go ahead.

Harith Ahamed: Sir, would you be able to comment on the pricing environment for paracetamol and metformin currently? Has there been any increase following the situation in West Asia? And also, looking
Granules India Limited
April 29, 2026

Page 7 of 16

at a 33% growth for the API segment this quarter, so wondering if there were any benefits from a better pricing environment?

K.P. Chigurupati: Interesting question, Harith. Definitely, there were no price increases we wish we had, whereas raw material prices have gone up and are still going up. There's a small -- I mean, there is a little bit of uncertainty, but we are sure we should be getting price increases to compensate for the raw material increases. So, to answer your question and to clarify, the growth in API was due to new APIs that we have been launching. And the APIs that we develop for our own integrated formulation development, we also sell outside, and those have contributed mainly to the growth in APIs.

Harith Ahamed: Okay. Got it, sir. And on Ascelis Peptides, good to see the strong performance this quarter and the EBITDA breakeven. Just wondering how we should think about the coming quarters? Is this a sustainable level of performance that we should extrapolate into the coming quarters?

K.P. Chigurupati: I think let's hear from the horse's mouth. Sanjay, can you answer that? [inaudible 0:22:18] peptides and chemicals. That's for your clarification. Go ahead.

Sanjay Kumar: Sure, sir. Harith, so our objective is very clear, to move towards sustainable profitability from FY '27 onwards. Individual quarters may vary, depending on customer milestone and shipment timing, but the platform is now far more execution-led and operationally aligned than before. So the direction of travel is firmly towards annual EBITDA and PAT positivity.

Harith Ahamed: And Sanjay, if you could comment a bit on the business mix here, pharmaceuticals versus other segments like cosmetics? And within pharmaceuticals, what exactly are we supplying, peptide building blocks or fragments or APIs? Some qualitative color will be helpful.

Sanjay Kumar: Sure. So what you just mentioned already that our business is a mix of pharmaceutical and cosmetics, and both are important, although the opportunity space for peptides, API pharmaceutical is quite good. Our customers vary multiple across, I would say, 3 dimensions. One is the big innovator, the big pharma itself. And the second one is the virtual biotechs, the start-up biotech ecosystem that is looking for a very agile and responsive CDMO to work on their early clinical program.

And the third interestingly is, we are all partners while we might be a competitor in certain spaces. So there are different players across the value chain of peptides and the CDMO space. And we also work collaboratively with the other players in the peptides value stream. So that's on the pharmaceutical side. On the cosmetics side, that's definitely a strong pillar for us.

And we've seen some increased traction starting last 2 quarters, especially in the last quarter, where our focus on developing and supplying TFA-free peptides has got a good attention and a good traction with customers. So we are working on multiple projects on making the cosmetic peptide TFA-free. So those 2 are the broad, I would say, details on the 2 sides. Since the base is quite low on both the businesses, the growth opportunity is quite immense. So it's a complete blue ocean for us.

Granules India Limited

April 29, 2026

Page 8 of 16

Harith Ahamed: And last one, sir, specifically on Granules CZRO. So we had set up a pilot plant for DCDA in Vizag. And so, if you can comment on the scale-up on this front? And what are our plans and what's the kind of capex that we're looking at? How has been the progress? So these are some of

the questions.

K.P. Chigurupati: Yes. It was and is still a dream project being the only DCDA manufacturer outside China. And

yes, we did stabilize our production. But then, what has happened during the process is, the Chinese competition, they started reducing prices drastically. And we have been trying to do better than them or at least meet those prices, and we have been still improving our processes. So I think we are close to wrapping up the pilot stage and getting into commercialization. I think in another 2 months to 2.5 months, we should wrap up, and then we should go ahead with ordering equipment for the commercial plant. So the project should cost somewhere around INR200 crores, and we'll freeze the numbers shortly.

Moderator: Our next question comes from the line of Shashank Krishnakumar from Emkay Global Financial Services.

Shashank Krishnakumar: My first one was on the gross margin expansion that we have seen Q-o-Q. I think the sale of API this quarter was still higher. So just trying to understand what has driven the sharp GM expansion on a Q-o-Q basis. And I also wanted to try and understand how should we look at it -- look at gross margins going forward, given that input costs are sort of inching up, though the mix improvement will also sort of play out? Just want to get your thoughts on how we should look at GM for FY '27.

Mukesh Surana: Thanks, Krishna. Mukesh this side. So quarter-on-quarter, sequential gross margin improvement is primarily because of CDMO business, which has significantly grown from INR 33 crores to INR70 crores, where the VA percentage gross margin percentage is significantly higher. That has helped the margin expansion for the quarter. With respect to your second question, Chairman has elaborated, and also current war situation, cost escalation situations, it is a little uncertain in terms of giving margins clarity in terms of percentage. But of course, we are trying our best to get the raw material cost escalations pass through.

Shashank Krishnakumar: Got it. My second question on the capex plan for FY '27-'28. If you could just sort of highlight how you are looking at it in terms of the overall figure and -- as well as which are the areas where we should see the incremental investment being deployed, if you could just share that?

Mukesh Surana: So next year, the capex will be broad-based. There is a new API facility, which we are doing. In addition to that, we are also investing on the IT side. And we are also planning for -- as part of Chairman's speech also, it was covered -- the distribution center -- warehouse distribution center in U.S.A. So it will be broad-based in multiple capex projects in the coming year.

Shashank Krishnakumar: Any figure which you could sort of share?

Mukesh Surana: So we are talking about in the similar range of INR600-odd crores in the upcoming year. K.P.Chigurupati: INR200 crores plus will be for distribution.

Granules India Limited

April 29, 2026

Page 9 of 16

Shashank Krishnakumar: Got it. Got it. Just last one, if I may squeeze in. So if you can call out the remediation spend cumulative for FY '26? And what is the kind of remediation spend that we should expect probably from 1Q onwards?

Mukesh Surana: FY '27 onwards, it should be substantially lower, which has already come down Q3, Q4. The expenses were very high in H1. Cumulatively, only the remediation expenses we have incurred close to INR50-plus crores in the current year.

Moderator: Our next question comes from the line of Tushar Manudhane from Motilal Oswal.

Tushar Manudhane: Sir, as far as the West Asia issue is concerned, as far as freight cost will -- just to have understanding correct, the freight cost increase will get reflected immediately in the coming quarters. But as far as passing on of the increase in the raw material prices, will that have a lead lag impact? And secondly, we would have cer

tain inventory already, which will take care for at least 1, 2 quarters. If you could just help us with that trajectory?

K.P. Chigurupati: There are inventories, and we can wait for a while. It's not going to be overnight price increases. It's going to take a while, and that will take care of -- the current inventories will take care of that. But all said and done, still uncertain period. While we are confident that over the year, we'll be fine, quarter-on-quarter variations may be there. And yes, we have got to get used to the uncertainty and work towards improvement.

Tushar Manudhane: Got it. And as far as the peptide or the Senn Chemicals business is concerned, if you could just break down the revenue into projects which are at R&D and do the commercial manufacturing?

Sanjay Kumar: Tushar, we would rather not get into that exact split, but I think it's sufficient that this is a project-initiated pipeline. So whatever is at the commercial stage are result of our development in the past. We do have a lot of exciting projects underway, but I will not like to, at this point in time, split the revenue and give the details along those lines.

Tushar Manudhane: Broadly, just to understand that, at least for FY '27-'28, while the investment is underway, which is INR200 crores, but prior to that, how the scale-up of business is expected to happen? Is it like more projects-driven increase or it's more commercial manufacturing increase?

Sanjay Kumar: So I understood the question, Tushar. So let me just give you that we are working on some active projects, which would have a commercial supplies pipeline, although at the development stages,

various clinical stages that we are seeing a few interesting projects. We got at least one project graduated to a stable commercial supply, starting this financial year. So we are working on a few of those as well. Given the business size is low currently, low base effect, it may be not prudent for me to call out those specifically and club it together into -- but we do have a very interesting program, which could drive the future growth.

Tushar Manudhane: Got it. And just lastly, on the overall net debt for the company, considering the projects in terms of capital expenditure, as well as working capital probably increased requirement, maybe not immediately, but if the situation prolongs, then what kind of net debt we should sort of build for FY '27?

Granules India Limited
April 29, 2026

Page 10 of 16

Mukesh Surana: There can be a flattish net debt or a slight increase, depending upon the timing of the capex and increase in the growth. In the current uncertain period, because of the cost escalation, the working capital investment is also going to be higher side. So there will be a small increase -- very small increase in the net debt.

Moderator: Our next question comes from the line of Sajal Kapoor from Antifragile Thinking.

Sajal Kapoor: Congratulations on an amazing execution despite the Gajilapur constraints. I have a few questions, please. What proportion of Granules' current and upcoming CDMO capacity is already tied to committed or late-stage customer programs? And what utilization level would you fall to if, let's say, a hypothetical scenario, your top 2 or top 3 projects were to be delayed or canceled?

Sanjay Kumar: So Sajal, see, we are -- in terms of utilization, our capacity today is not very large, but we do not want -- we are not expanding unresponsibly. Our approach towards capex deployment is always demand-linked. And as the customer program progresses, we are investing, and that's the promise with which we are approaching the customers. Having said that, the utilization in the Q4 was at a healthy level.

And at the same time, we are building capacity that will come online towards the second half of the year. And our visibility, if everything is all right, is, we will be quickly seeing a full

utilization to that. So there's capacity that we're building in Zurich. There's capacity that we will be building in India, especially on the intermediates side. And we see a quick utilization turnaround within the year itself on those capacities.

But the larger point is, we haven't built capacity ahead of time. We are doing it concurrently, and we are doing it as an optionality in a close, I would say, partnership with the customers and quite close disclosure where we have been open to them and open with the willingness to invest in the future capex, should they choose to and as and when the program advances.

Sajal Kapoor: No, that's helpful. So I think if I translate what you said, Sanjay, it's not speculative. It's tracking either a verbal commitment or tracking a late-stage plan program, so the capacities are not created for the heck of it. That's how I translate it. And if you could also clarify what is the level of customer concentration?

I mean, typically, what happens is, at a low base -- and this has been the journey with Neuland Labs, Laurus Labs all of them. Typically, when your base is low, you are really dependent on just 1 or 2 customers. Are we also having that level of high dependency of customer concentration? Or are we having a broad-based participation, albeit -- despite having a very low base today?

Sanjay Kumar: So Sajal, on part one, your interpretation is correct on the capex investment, and we are very transparent with the customers and giving them the optionality to choose across the two components -- 2 continents across the various timelines during their journey, number one. Number two, our customer base is not overly concentrated. We will definitely like customers with a big share in our portfolio.

Granules India Limited
April 29, 2026

Page 11 of 16

But right now, we are working on multiple projects, and they are very well spread across double-digit customers. And they're all at the initial stages with a good pedigree across both the big pharmaceutical and start-up biotech, and interestingly, the cosmetic side as well. Having said that, what differentiates us with the other CDMO apart from diversification is the quality of the customer itself.

The quality of customers that we have access to through the legacy of Senn is quite remarkable. And this is the value that this acquisition has brought on the table. We got the proof of concept. We got the validation of access. What now lies ahead is our ability to execute on these 2 -

continent model, which is going well with the customers.

Sajal Kapoor: Sure, sure. And second question is for Dr. Chigurupati, if I may. Sir, if I -- if you had to pinpoint the single biggest constraint to scaling the business over the next 2, 3 years, whether it's pricing pressure or customer concentration, regulatory timelines or execution? I mean, what would that constraint be? And what specifically are you doing to sort of make the businesses stronger and counter that potential constraint?

K.P. Chigurupati: Sajal, I think you have part of the answer. It's mainly regulatory timelines and execution -- the quality of execution. I think the regulatory timelines also depend on how we execute the project and the quality of the filings. I think we have almost got it right, and we are fairly confident that we should be able to reduce the regulatory timelines. And of course, other thing is the GGP remediation and FDA acceptance, which -- where we are already ready and waiting for the FDA to come in. We can't push them, but we keep letting them know that we are ready.

Sajal Kapoor: Sure. So on that basis, Dr. Chigurupati, assuming that we get Gagillapur back in action because we have got some outstanding filings there, that should -- and assuming that the gross margins stay where they are, despite an imminent threat that some input solvents, et cetera, will get expensive, you may already be facing

some packaging cost escalation due to what's happening

in the Middle East. But adjusting for all those, broadly speaking, if we stay at 64%, 65% gross margin, is it fair to expect a 24%, 25% EBITDA margin going forward?

K.P. Chigurupati: I think the raw material prices and packing material prices, freight prices have gone up. So there's a lot of uncertainty in the market. But hopefully, we are sure that we'll get some price increases. So this uncertainty continues till we get the price increases. And gross margins, while we were very confident of that some time ago, now, we are taking a step back and not committing to anything, but we remain confident and positive.

Moderator: Our next question comes from the line of Tarun Krishna from iThoughtPMS.

Tarun Krishna: My question is on the large-scale peptide that we are going to set up in India. So we have indicated that we'll be manufacturing GLP there, and we also have an option to manufacture the peptide drug conjugates and oligonucleotide. So when this site comes live, which products will we exactly be manufacturing? And will all these 3 products come at the same time? Can you give some light around that?

Granules India Limited

April 29, 2026

Page 12 of 16

Sanjay Kumar: First of all, we are doing a major capex investment. And the way it has been sequenced is, building a peptide API capacity at Zurich at certain scale, followed concurrently by investment in a brownfield manufacturing facility for the intermediates in India. And then, once we complete this, we are right now at a planning stage of the India peptide API facility, and that will be out by at least a year, to begin with.

We are looking at peptide drug conjugate as a market space -- as a market segment, and we are at a planning phase in assessment side of it. But our focus is completely the peptides business as for the moment. This platform does give some optionality on the oligonucleotide side in the future, but our current attention and the focus is completely on the peptides and it's the value chain and making sure that our investments are sequentially well aligned and proportionally upgraded across the 2 locations, which is aligned with the customers' demand. Dr. PV you want to add something.

P. V. Srinivas: No, you got it everything. And at this point of time, we are just focusing on peptides. And then, certainly, we will have a look at ADCs and then oligonucleotides, but still we are -- it's at a selection phase. We're in the process of selecting the portfolio.

Tarun Krishna: Understood. And exactly which products will we be manufacturing from there and what would be the split for it, if there are multiple products from there?

Sanjay Kumar: So Tarun, your question is about what? Which one? Are you looking at India API manufacturing?

Tarun Krishna: No, It's about the large scale peptide manufacturing, which we're setting up in India intermediates?

Sanjay Kumar: So those are intermediates and basic amino acid -- protected amino acid derivative that actually is required for the peptide API manufacturing. So think of it as a backward integration and a common element across multiple projects where it could be used internally for our own program and whereas it could also be supplied from India to other players also to go into their peptide APIs.

Moderator: Our next question comes from the line of Krishna Kansara from Molecule Ventures.

Krishna Kansara: I'm sorry if this is a repeat question. I had a weak connection. But I had a question on our Gagillapur facility inspection. So you already mentioned that we submitted additional documentation with them after our meeting in January. So could you give us an update on when is the reinspection expected?

And my question is because it's been more than a year since we received the warning letter. So I wanted to know your opinion, your take on this. Why is it taking so long? And ho

w confident

are we to clear this follow -up USFDA inspection? And what is your e stimate on the timeline?

Priyanka Chigurupati: Hi, Krisha, this is Priyanka. I'll take your question. You're right in saying that we have been corresponding with the FDA for the last 2 years since we got the original observations. After the

Granules India L imited

April 29, 202 6

Page 13 of 16

warning letter, our updates continue. We had a meeting with the FDA, and we have continued to update the FDA with our progress. In our updates, we did mention that a lot of our activities, like CMD mentioned, would be closed by the end of March, which we a re on time for. So we are in -- like CMD said, we are ready for an audit.

And it really depends on when the FDA wants to come in at this point. From our side, we've notified them that the activities are essentially complete. But now, I don't think we can estimate when they would walk in, but we're ready for an anytime audit. But that said, just -- we are actually confident in getting through with the FDA because we've had almost -- if you look at the investor presentation also, we've had a lot of audits in the last year across several regulatory bodies and many, many customers. And every -- there is nothing critical that came out of them. So we're very positive about getting through.

Krishna Kansara: Right. But not even like a tentative timeline that you can give?

Priyanka Chigurupati: See, last time, we mentioned something, we got comments now saying you skipped the timelines. We can't read the FDA's mind, right? So it really depends on when -- there has been no communication from the FDA, but we are in touch with them.

Krishna Kansara: Okay. And given that we recently received ANVISA GMP certificate for Gagillapur facility, has this prepared us in some way for the U.S. FDA re -inspection? Or is it not the case? How do we read this?

Priyanka Chigurupati: Like I said, it's not just ANVISA, but 108 customer audits and 13 regulatory audits happened in FY '26. And we welcome these audits because like you said, it prepares us better to be audit - ready when the FDA walks in. So yes, to answer your question, the ANVISA audit and the other audits all prepare us for the FDA.

Krishna Kansara: So, in summary it is like a wait and watch situation for us?

Priyanka Chigurupati: Yes

Moderator: Next question comes from the line of Preet Jain from Niveshaay.

Preet Jain: Basically, my first question is, for Lisdexamfetamine, you had 5% prescription share in CY '25?

So what quota did DEA assign you for CY '25? And can I know the same quota for current year '26 and current year '27? And is this quota will support your sales of the products, specifically this product?

Priyanka Chigurupati: With lisdexamfetamine, I mean, we obviously cannot share the quota details, but we got everything that we wanted. And I think we have demonstrated our ability to supply to the customers on time and in full, which essentially is a precursor to why you woul d get quota. And even for FY '27, we expect the quota situation on this product to be as we budgeted for.

Preet Jain: Sure. And my next question is, you have said that you plan to add 1, 2 new controlled substance products annually for next 2 to 3 years. Can you name or give us the light on which products you expect to launch in next coming 2 years? And what is the addre ssable market size for them?

Granules India L imited

April 29, 202 6

Page 14 of 16

Priyanka Chigurupati: I don't -- again, I can't give you names of any products. I think it's best you wait and watch because the products -- actually, the products -- 2 of them are already in the public domain. So you can just research that. Two of them, we've received tentati ve approvals for already. So based on -- the next steps will be determined based on an ongoing litigation, which I would not like to talk about over a call. B

ut we also have 1 to 2 other products that we'll be launching on the generic side of things and 1 or 2 products that we'll be launching with a potential first -to-file outside of the tentative approvals that we got.

Krishna Kansara: And the last question is, can you -- have you any current order book in Senn's project, the CDMO Senn project? Is there any order book for that project?

Sanjay Kumar: We can't disclose those kind of information.

Moderator: Our next question comes from the line of Ritwik Sheth from One Up Financial.

Ritwik Sheth: Sir, a couple of questions from my end. So firstly, what are the plans of deploying the money

that we raised from the promoter and QIP a few months ago?

Mukesh Surana: Yes. Thanks for the question, Ritwik. We have clarified in our EGM as well as last earnings call, this is to strengthen the balance sheet and also invest for organic as well as inorganic growth.

Organic growth is capex, as well as working capital and R&D. And inorganic, if there are any good opportunities, we're continuously exploring. That money is also available based on the balance sheet strength.

Ritwik Sheth: Sir, second question is that on Senn Chemicals, how should we look at Senn Chemicals with a medium-term to long-term view in 3 to 4 years? What kind of growth and margins one can expect? Can the margins be at company level? How should we look at this business?

K.P. Chigurupati: Ritwik, we cannot comment on the growth -- I mean, percentages of growth. But all I can tell you is, that's a key pillar for our growth, and that is what will also drive a good percentage of the company's growth. I can't go into specifics. But it's very, very important for us. We see a great future there.

Ritwik Sheth: Sir, just one last question. In the past, you have mentioned that we are looking to launch controlled substances outside the U.S. market also. Can you throw some light when do we launch these products, say, maybe in EU and then ROW? How far are we? And what kind of infrastructure readiness we have for this?

Priyanka Chigurupati: So I'll just give you a little bit of background. Amongst all the controlled substances or, let's just say, medication for ADHD primarily -- I don't want to say controlled substances -- medication for ADHD, there's 2 that are globally prevalent -- sorry, globally relevant in terms of size, etc.

So out of the 2 products, one has already been tech transferred and we started filings across the globe. So within the next couple of years, 1 or 2 years, we'll start seeing -- not 1 or 2 years, that's 2 years, we'll start seeing revenue from those products on the finished dosage side. But APIs, we should be seeing the numbers come in a little bit sooner.

Granules India Limited

April 29, 2026

Page 15 of 16

Ritwik Sheth: Okay. So finished doses, EU can see sometime from FY '29 and API maybe a year earlier?

Priyanka Chigurupati: Not just in EU. We're filing in multiple countries.

Moderator: Our next question comes from the line of Shreya Chatterjee from Ageless Capital.

Shreya Chatterjee: Congratulations for a good set of numbers. So my first question is regarding the statement that you say that controlled substances you are now at the fourth position. So would it be possible to give out the number like total revenue of controlled substance? And also, in the controlled substance space, basically ADHD, you have a very high potential drug, which is lisdexamfetamine dimesylate, or the generic Vyvanse. So how is that going on? Because for the other generic companies also, there had been some issues of product recall. So if you could just comment on that.

K.P. Chigurupati: Shreya, we have a good history. I don't think product recalls and such is a great constraint for us. The revenue, we cannot -- by product, we cannot go into details. But lisdex is a good product for us, but we also have equally good products in our portfolio,

and more are in the pipeline.

And it's just not one product. That's all I can tell you.

Priyanka Chigurupati: I just want to mention, Shreya, because the prior participant had the same question on lisdexamfetamine, if you look at all our historical investor calls also, and if you just, I guess, track the number of approvals we have received, you will know that it's not just lisdexamfetamine like CMD just said. There are other products. And the name of the game is to make sure that we're consistently growing in all the products to achieve this position in the ADHD/controlled space.

Shreya Chatterjee: Got it. And would it be possible to give out the market share for this Vyvanse, the current market share that you have captured? Okay. And any comments on the pipeline for both the controlled substance and the oncology drugs? Like in the next 3 to 5 years, how big you see that opportunity to be growing?

Priyanka Chigurupati: See, the market size is heavily -- I think in the investor presentation, we said 41 billion \$ as the TAM. But that said, that is the combination of the brand and generics. All I'll say is that the quality of filings are significantly improving. They're moving more and more towards complex products, more in the controlled space and oncology space, 2 big drivers for us. And we have a first -- well, we have a few first-to-files targeted, a lot of NC E-1 targeted, and we plan to be there on day 1 with a very, very good value proposition.

Shreya Chatterjee: Got it. And would it be possible to guide on the working capital situation maybe this year, FY '27, given the volatilities going on?

Mukesh Surana: This is, of course, uncertain period, Shreya. So the cost escalations are currently there. Whether it will continue for a few months, a few quarters, we are not so sure. But considering that, we would want to maintain our working capital to sales ratio of 33% range.

Granules India Limited

April 29, 202 6

Page 16 of 16

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I would like to hand the conference over to the management for the closing remarks. Thank you and over to you team.

K.P. Chigurupati: Once again, thank you very much, ladies and gentlemen, for joining us today. And I just wish you all the best for the rest of the week, and have a great weekend after that. Thank you.

Moderator: Thank you so much, sir. Ladies and gentlemen, on behalf of MUFG, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2026

Date: July 27, 2026

To,

National Stock Exchange of India Limited

BSE Limited

Symbol: NSE: GRANULES: BSE: 532482

Dear Sir,

Sub: Transcript of the Earnings Conference Call for Q1 of FY27

Ref: Our letter dated July 09, 2026 for intimation of the schedule of the Earnings Conference call for Q1 of FY27.

Pursuant to regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings conference call of the Company for Q1 of FY27 is enclosed with this letter and has been uploaded on the website of the Company at the link:

<https://granulesindia.com/investors/investor-resources/earnings-call-transcripts/>

Kindly take the above information on record.

For GRANULES INDIA LIMITED

CHAITANYA TUMMALA
(COMPANY SECRETARY &
COMPLIANCE OFFICER)
Encl: As above

REGISTERED OFFICE

Granules India Limited

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Page 1 of 17

“Granules India Limited
Q1 FY27 Earnings Conference Call ”
July 21, 2026

MANAGEMENT : DR. KRISHNA PRASAD CHIGURUPATI – CHAIRMAN AND
MANAGING DIRECTOR – GRANULES INDIA LIMITED
MS. PRIYANKA CHIGURUPATI – EXECUTIVE DIRECTOR
– GRANULES INDIA LIMITED
MR. MUKESH SURANA – CHIEF FINANCIAL OFFICER –
GRANULES INDIA LIMITED
DR. P.V. SRINIVAS – CHIEF TECHNOLOGY OFFICER–
GRANULES INDIA LIMITED
MR. SANJAY KUMAR – CHIEF STRATEGY OFFICER –
GRANULES INDIA LIMITED

MODERATOR : MS. PRACHI AMBRE – MUFG INVESTOR RELATIONS

Granules India Limited
July 21, 2026

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to Granules India Limited Q1 FY27 Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Prachi Ambre from MUFG Investor Relations. Thank you, and over to you.

Prachi Ambre : Thank you, Atharva. On behalf of Granules India Limited, I extend a very warm welcome to all the participants on the Q1 FY27 Financial Results Discussion Call. Today on the call, we have Dr. Krishna Prasad Chigurupati, Chairman and Managing Director; Ms. Priyanka Chigurupati, Executive Director; Mr. Mukesh Surana, Chief Financial Officer; Dr. P.V. Srinivas, Chief Technology Officer; and Mr. Sanjay Kumar, Chief Strategy Officer.

Before we begin the call, I would like to give a short disclaimer. This call contains some of the forward-looking statements, which are completely based on our expectations, beliefs and opinions as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Krishna Prasad sir, for his opening remarks. Over to you, sir. Thank you.

K. P. Chigurupati: Thank you, Prachi. Good evening, ladies and gentlemen, and thank you very much for joining us today. I appreciate your continued interest in Granules, and I trust you have had a chance to go through the presentation we have uploaded.

Let me not begin with a number, but with a conviction. Granules today is no longer a company defined by volume and cost alone. It is becoming an innovation-led complex and differentiated pharmaceutical platform that turns scientific depth into durable, high return cash-backed earnings. Everything I will share this evening is in service of that one idea. We are moving up the value chain, and we are doing it with discipline.

Our purpose has not changed to heal life responsibly through pioneering green science. What has become clearer is why we win. Few companies can do what we do end-to-end, make the chemistry, convert it into the formulation and deliver it into the most demanding regulated markets in the world, and do all of that with quality and cost discipline. That integration from molecule to the tablet is our real strength. This is not easy to build, and it is not easy to copy.

Let me give you a few proofs that this is real and not just talk. In the U.S. our own manufacturing company, GPI, has moved up to the 27th position among all U.S. generic companies from 74th just 5 years ago. In the controlled substance space, we are now the fourth largest player, and I'm personally more satisfied to see our mission to sustainably supply critical ADHD medicines to patients without shortages, playing out well.

Granules India Limited

July 21, 2026

Page 3 of 17

Complex generics, which were around 39% of our finished dosages a year ago are now 50%. And our newest engine, the peptide CDMO built around Senn grew more than 100% over last year. These are not just slogans. This is our strategy showing up in numbers.

Now the numbers themselves. This is our strongest first quarter ever. Revenue grew 22% over last year to about INR1,477 crores. Gross margin stayed healthy at around 65.6% and EBITDA grew 37% to INR339 crores, and profit after tax grew 60% to INR180 crores, but the number I'm most pleased with is our return on capital, which has improved to 18%. Our net debt to EBITDA is now almost nothing, 0.07x. So for all practical purposes, we are debt free, and we generated over INR387 crores of operating cash this

quarter.

Let me come to the question, I know many of you have Gagillapur, and let me clarify. Our remediation work is essentially complete. We met the FDA in January, and we have submitted every response on time. To date, the agency has not raised a single concern on the adequacy or the pace of our corrective actions. 7 of our 8 facilities now carry a clean EIR, every site except Gagillapur, including our GPI facility in Virginia, which received its clearance in June.

Over the last 2 years, we have gone through more than 330 customer and regulatory audits without a single critical observation. We cannot tell the FDA when to come, but we can be ready every single day, and we are ready. And waiting behind that clearance are 9 applications ready to launch.

That said, we will continue to improve and maintain our quality systems across all sites with the implementation of digitalized systems across the network. So where do we go from here? I want to be honest about the difference between what we have committed to and what we are still exploring. You deserve both.

In the near term, the path is clear and is already funded. We bring Gagillapur across the line and

unlock the launches waiting there. We scale up our new Genome Valley facility, which adds about 40% to our formulation capacity. We keep taking complex generics higher. They are already half of our finished dosages. And we keep growing our ADHD and controlled substance products. Our oncology launches from Vizag and our fast-growing business in Europe and the rest of the world.

In the medium term, our growth comes from doing the most difficult things. We are deepening a differentiated portfolio 505(b)(2) products, first-to-file and day 1 launches where being early and being hard to copy, both matter. We already have 2 sole first-to-file products in the public domain with litigation expected. And there are a few more such opportunities in our pipeline. We are scaling our peptide CDMO across our Swiss and India model, which places us in the fast-growing peptide space.

And in the long term, we are studying a few larger opportunities. And I want to be clear, these are under consideration, not commitments. We are looking at several select nonsolid dosage areas to enter each of which would take the same core strength, our chemistry and our manufacturing into a much bigger market.

Granules India Limited

July 21, 2026

Page 4 of 17

There are several exciting opportunities, which when more concrete will be communicated. We'll approach them the way we approach everything linked to real demand, careful with capital, and only where we genuinely have the right to win.

So with this I pass on the mic to Sanjay, who will take you on the progress in the peptide sector.

Over to you, Sanjay.

Sanjay Kumar: Thank you, Chairman, sir. Good afternoon, everyone. Let me briefly update you on the progress of our peptide CDMO platform. Q1 performance was broadly in line with our expectation at CHF 5 million. Revenues improved on a year-on-year basis while moderating sequentially after a strong quarter 4. As seen in previous years, we expect the second half to be the stronger than the first and remain confident of delivering meaningful year-on-year growth, both in H1 and in H2.

During the quarter, we initiated 3 new customer projects, 1 in pharmaceutical, 2 in cosmetics, which have potential to grow over time and over the next few years. We also re-engaged with customers on 2 previously discontinued products, one of which we are optimistic and could be reactivated during the current fiscal year as well.

On the R&D front, Zurich and Hyderabad team are now operating as one integrated R&D organization, supporting active customer projects while expanding our technology portfolio. The Hyderabad center is contributing directly to process development and project execution, complementing our Swiss capabilities.

ties.

Building on our success in TFA-free peptide, we have now initiated work on TAG-assisted peptide synthesis, where encouraging early laboratory results have the potential to further strengthen our technology platform and support future customer opportunities.

We continue to progress on infrastructure upgrades at the Zurich site with additional solid phase reactors, large purification columns and lyophilization capacity expected over the next coming months. In parallel, we have now initiated the next phase of our India manufacturing footprint beyond the R&D infrastructure that we already have with land now earmarked for our peptide facility at Vizag.

As stated earlier, our focus for FY27 remains delivering a PAT positive performance on an annual basis, while recognizing the quarter-to-quarter variability inherent in a project-driven CDMO business.

With that, I'll now hand over the call to Mukesh, who will take you through the financial performance.

Mukesh Surana: Thank you, CMD and Sanjay. Good evening, everyone. I will now walk you through the financial performance Q1 FY27 revenue. Q1 FY27 revenues stood at INR14,768 million, up 22% year-on-year and broadly stable sequentially over good Q4. Growth was well balanced, led by finished dosages largely contributed by complex generics, supported by North America and Europe, while peptide CDMO continued to scale steadily.

Granules India Limited

July 21, 2026

Page 5 of 17

This performance indicates broader participation across our business with the revenue base becoming more diversified and dependable. The sales breakup as per business divisions and geographic regions are presented in our investor presentation, which is available on the website.

Gross margins : Gross margin was healthy at 65.6% and expansion of 74 basis points year -on-year, led by complex generic and higher value formulations enriched our product mix . While the operating environment continues to be influenced by geopolitical tensions in West Asia leading to inflation in select raw materials, packing inputs, freight and broadly supply chain costs , our opening inventory levels in the U.S.A helped to ensure that Q1 FY 27 gross margins remain largely insulated from these pressures broadly in line with Q4 FY26.

We continue to closely monitor the situation and where appropriate, pursuing calibrated pricing actions and cost pass -through mechanism with customers to mitigate the impact of sustained cost inflation for the upcoming quarters.

EBITDA and profitability : EBITDA was INR3,389 million, up 37% year -on-year at a margin of 22.9%, an expansion of around 256 basis points.

With our differentiated portfolio scale, profitability is improving steadily alongside it, with focused step -up investments in complex generics R&D for future growth. Q -o-Q EBITDA has marginally declined by 99 basis points.

R&D expenses were INR880 million, about 6% of sales and up 30% year -on-year.

We view R&D as the foundation of our future revenue, focused on high barrier areas, CNS, oncology, MUPS, and complex formulations where we can build a differentiated position. These investments are steadily converting into filings and a healthy launch pipe line, including potential first-to-file opportunities.

Q4 FY26 R&D expenses were 5.3% of sales.

PBT before exceptional items : PBT before exceptional items grew 41% to INR2,404 million year-on-year basis. This was supported by gross margin expansion.

Net debt : Net debt stands at INR1,012 million in Q1 FY27 from INR4,021 million at FY26 close. This healthy balance sheet gives us the comfort to fund our growth, capacities and R&D. Net working capital to sales improved to 29% in Q1 FY27 as compared to 30% in Q1 FY26 and Q4 FY26. Working capital investments in inventory at these levels are to support our growth while managing receivables well.

Cash flow from operations : Opera

ting cash generated from Q1 FY27 is INR3,874 million

compared to INR1,003 million in Q4 FY26. Healthy cash generation supported with good profitability and disciplined working capital management. Capex spent on Q1 FY27 is INR890 million compared to INR1,000 million in Q4 FY26. Capex moderated in Q1 FY27 as the Genome Valley investment completed, investment activity is expected to pick up gradually driven by digitalization and modular growth projects at existing facilities.

Granules India L imited

July 21 , 202 6

Page 6 of 17

ROCE : ROCE stood at healthy 18% on a steady upward trajectory compared to 17.6% in Q4 FY26. For a capital -intensive business, this is an important measure of how well we are converting our strategy into value. As Genome Valley facility and the peptide platform scale up in the medium term, we expect this to progress steadily.

With this, I open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Nishita Shanklesha from Sapphire Capital .

Nishita Shanklesha: Yes. So I wanted to understand, we've done 22% Y -o-Y growth in Q1 FY27. And like for the last 2, 3 quarters also, we've had the same similar growth trajectory. So what sort of growth can we see in FY27 on an overall year basis?

K. P. Chigurupati: Nishita, we are quite excited and positive that the growth will continue. It's -- yes, we are confident it will continue.

Nishita Shanklesha: Okay. And you mentioned that we've done INR890 million of capex in this quarter. So if you can give some sense on the total capex for the year that will be great?

Mukesh Surana: Yes, Nishita, as I clarified, the Q1 capex has moderated because the major investment Genome Valley is completed. Now the capex is expected to pick up with some other digitalization projects and some growth projects which we have taken up. So rest of the year, we have guided earlier INR600 crores. We still remain INR600 crores, INR89 crores is already spent.

Nishita Shanklesha: Okay. Okay. Understood. And our margins, are they going to stay in the similar range of 22% to 23%?

K. P. Chigurupati : Yes, Nishita. We expect that to continue.

Moderator: The next question is from the line of Shashank Krishnakumar from Emkay Global.

Shashank Krishnakumar: My first one is again on gross margins. I think I know you'd cautioned about RM pressures, but I think partly the mix change in favor of complex generics also seems to have helped. So next 1 or 2 quarters, would you expect the favorable mix impact to sort of offset any RM pressures you might see? How should we think about GM's going forward?

K. P. Chigurupati: Yes. You've got it right. Shashank, the RM pressures are quite high. There's a lot of challenges

we are facing. But like you said, the mix is really helping us. Move towards more complex generics is helping us. And we have every reason to believe that it will continue.

Shashank Krishnakumar: Got it, sir. And the second one on Europe and ROW, I think even excluding Senn, I think the Y-o-Y growth has been pretty strong. So what is it that is playing out in these markets? Is it API or formulations? Because I think earlier, we also mentioned that the API to FDF transition could also play out in Europe and other markets. So just trying to understand what is driving the growth in ex of U.S. market?

K. P. Chigurupati: Priyanka, do you want to take that?

Granules India Limited

July 21, 2026

Page 7 of 17

Priyanka Chigurupati: Sure. This is all planned growth in Europe. Like you said, ex of the CDMO business as well, this is increase in both the API business and the finished dosage business. There is a lot of demand coming in from the products that we've filed in the past in Europe. And this is only going to go in an upward trajectory going forward.

Shashank Krishnakumar: Got it. Just the last one, if

I could squeeze in. So just on Genome Valley, how is that ramping up? Are we on track to sort of get closer to the optimal utilization levels probably by the end of this year? And also wanted to check if some of the newer filings which we are making, I think, have made 5 filings this quarter. So are those being made from this facility? Some color around that?

K. P. Chigurupati: Yes, Genome Valley facility is scaling up. And by the end of the year, when I say optimal, it's not that we are close to full capacity, but maybe more than 50%, 60%. And believe that extra capacity, we just cannot utilize all capacity if we have to utilize that. We have to start building another plant today. And the filings, Priyanka, you would like to answer that question on filings?

Priyanka Chigurupati: Sure. So we have a lot of filings done from -- sorry, a lot of product extensions done to GLS to make sure that we have an alternate site to manufacture our existing products from. So GGP, while we've mentioned in the past, of course, is going to a warning letter situation, the demand has always been very high, and we're able to cater to some of the demand through the approvals that we've received in GLS.

In terms of new filings, there have been a few filings that we've done from GLS, but the majority is still from GGP, but we've also done some risk mitigation activities by transferring these products to GPI and also GLS facilities.

Moderator: The next question comes from the line of Sajal Kapoor from Antifragile Thinking.

Sajal Kapoor: I was just saying that growing from INR1 crore's annual PAT in 2001 to INR600 crores is an achievement very few pharma companies can match and many promoters talk and give interviews and they are available and visible in all sorts of shows and interviews. Very few deliver, actually. So talk is cheap as they say, and execution is expensive or rather very expensive. And I have a couple of questions, if I may?

K. P. Chigurupati: Yes.

Sajal Kapoor: So first is, can you give one example where Granules won business because of capability rather than manufacturing cost because our forte before COVID, at least was scale, economies of scale and cost, whereas if I read or if I read the annual report, the recent one and even the previous couple of years, we have been pivoting. Is there any evidence that you could help us out with where the capability was the driver for winning the business rather than our low-cost manufacturing?

K. P. Chigurupati: Yes, Sajal. Most of the complex products that we have today, we think the benefit from are difficult to make products very, very difficult. These are -- and also the some of the ADHD products in the U.S., the each product comes with a strength and very low dosages and consistency in manufacturing is very difficult. So a lot of people, it's not only because of quotas,

Granules India Limited

July 21, 2026

Page 8 of 17

they go out of stock because they've had manufacturing issues, and we continue to consistently make and supply these products.

And the biggest proof is if you -- if I may say so, is the sodium oxybate filing, which we did recently, which is sole first to file. That's a very, very complex product. A lot of people have been trying and are not very successful. And they have also been very confident that they were overcoming the IP barrier.

Sajal Kapoor: So that's very heartening to note. Dr. Krishna. And my second question is peptides, CDMO contributes only 4% of revenues today, yet it occupies a central place in your strategy. What operating milestone would tell you and us as the investors and analysts that the platform has

become structurally self-sustaining rather than simply strategically promising?

K. P. Chigurupati: Sanjay, why don't you take that?

Sanjay Kumar: So Sajal, our approach towards peptide CDMO is never incremental, but it's a multiplier, and we have stated out a goal

of 5x revenue in 5 years. But I think the intermediate milestone, if I had to answer your question directly, would be a \$50 million revenue and delivering it with an EBITDA margin, which is consistent with such play would be the first proof point, and we see somewhere in the mid of this journey of 5 years. So that's point number one. I missed any other part of the question that you have.

Sajal Kapoor: No, that's a very hard number, Sanjay and appreciate that. So can you just -- is it the USD number? And what kind of ballpark? Again, in the CDMO, we can never be specific where the business is lumpy, as we all know, but a ballpark kind of a mile stone that we can track that yes?

Sanjay Kumar: So that's very clear, USD 50 million revenue with 30% plus EBITDA, somewhere in the third year from now, mid of third year from now, should be our run rate. I think associated with that is some of the customer wins I count customer wins only if they get in to a potential annual size of \$10 million plus. I think 3 wins there, and I think that should be the proof of the concept.

Sajal Kapoor: That's a conservative stance.

Moderator: The next question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, first question on cash flow from operations. If you can explain the significant rise for the quarter, the reason for the same?

Mukesh Surana: Tushar, Mukesh this side. I'll try to clarify. One, the sequential revenue growth is not there. That means there is no additional investment in working capital. In fact, we have not only increased little inventory, but actually substantially reduced the receivables with the higher sales in U.S.A. So the receivable days of U.S.A is better. So that has been improving the working capital. And with no increase in working capital and lesser increase in capex, overall, Free cash flow has been better with the EBITDA.

Tushar Manudhane: Okay. So free capex, it would be how much?

Granules India Limited

July 21, 2026

Page 9 of 17

Mukesh Surana: Sorry, Tushar?

Tushar Manudhane: So capex was INR89 crores. So basically -- I got it. So basically substantial reduction in receivable days has helped to get higher cash flow from operations?

Mukesh Surana: That's right.

Tushar Manudhane: Sir, I missed the target of the peptide CDMO revenue, \$50 million in what time frame? 2.5 years? Is that understanding correct?

K. P. Chigurupati: Sanjay?

Sanjay Kumar: So the question was targeted towards what's our view in, let's say, a 5-year period. And I said that a validation of that number should come in the middle of that journey.

Tushar Manudhane: Okay. And lastly, in the opening comments, during upgrading of facilities in terms of solid phase reactors and lyophilization capacity capability was mentioned. If you could just help us -- help me know the amount -- the finance that would be spent for the set-up upgrades.

Sanjay Kumar: So I can give you a nature of the investment. Senn Chemicals has been known as a leading player in the liquid phase peptide synthesis. And it has a very small footprint, whereas some of the other capacity like solid phase capacity, purification columns and lyophilizing capacity. So we have actually already ordered and the deliveries of these equipment, some of these missing in the infrastructure bouquet will happen over the next few months. And integration of that, there will be subsequent installation costs attached to that.

These are not very high numbers. The components have been already been ordered in the past and the procurement has been done over the last -- more than 6 months now. We are -- what we are giving you a picture of that, that we are now scaling up these gaps in the infrastructure with a credible capability along the solid phase synthesis, purification columns and the lyophilization capacity.

Tushar Manudhane: Okay. And why not disclosing the amount

given the -- but capacity-wise, could you highlight like what kind of scale are we sort of putting up for the solid phase or lyophilization?

Sanjay Kumar: Yes. So we cannot go into each equipment capacity, but it's sufficient to say that it addresses the customers demand that we have been facing in the past.

Tushar Manudhane: Got it. And just lastly from my side. Just one comment with respect to certain product extensions done through GLS, probably to offset the warning letter impact on Gagillapur facility. Just to understand, while the warning is that the existing business continues to be on track or we have reduced certain production itself from the Gagillapur facility till we get the clearance from the

U.S. FDA? And the product extension, which we are referring to where these products are already approved but just as a matter of caution we have shifted to GLS. That's both my questions?

K. P. Chigurupati: Yes, you're right -- okay. Go ahead.

Granules India Limited

July 21, 2026

Page 10 of 17

Priyanka Chigurupati: So we mentioned this multiple times since day 1 of the warning letter, of the 483s to be precise. We've only taken an intentional stop for a couple of days. Post that, we never continued -- sorry, we never stopped production in our site till date. Demand has always been there. Supply has always been there. The only thing that stopped was approval of new products, which we hope will resume immediately after the FDA visits us, and we're very positive about a positive outcome.

And with respect to your question on GLS, it's a combination of both products, products where we wanted to mitigate risk and moved them to that side and also some new filings. And more importantly, filings also from different regions, so we can get all the regulatory agencies to come and audit the site and have them regulatory ready.

Moderator: The next question comes from the line of Rashmi Shetty from Dolat Capital.

Rashmi Shetty: So again, on this peptide and CDMO part, while you have given the target for 3 years, but how should we look at this year? We have already done a quarterly run rate of INR60 crores and last 2 quarters have been very good. And you said that the second half will also be stronger. So in terms of entire year, how should we really look at it?

Sanjay Kumar: This is Sanjay. I'll take that question. So our objective is a very single force. Turn PAT positive for this year is the target that we have taken.

Rashmi Shetty: Okay. But in terms of revenue, the quarterly run rate should be maintained for next 3 quarters also? Or we will see a big pickup in the second half?

Sanjay Kumar: So there will be a variation quarter-on-quarter. But if you're multiplying that by 4 to get to annual number, that's the minimum that we expect.

Rashmi Shetty: That's the minimum. Understood. Got it. And in terms of EBITDA, okay, like I understood that you will become PAT positive this year. And you said that quarter 4 in last con call, you all said that you all have turned breakeven in terms of EBITDA in this business. This year, there would be a decent margin with the ramp-up, or it would be just a few basis points above the margin that is high single digit or something with that?

Sanjay Kumar: Rashmi, I think we will stick to these 2 numbers. Turning PAT positive is the biggest ambition that we have for the year and we'll focus on that. We cannot deeper beyond this. Of course, EBITDA remains positive on that, PAT-positive numbers. But I think we'll restrict as far as numeric goes on to these 2 numbers.

Rashmi Shetty: Okay. All right. And my second question is related to oncology segment. Just want to understand that where do we stand currently from the Vizag plant in terms of API filings, API launches or oncology formulation, oncology exhibit batches, where are we ramping up? If you can give a broad picture on that part?

K. P. Chigurupati: Priya

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Granules India Limited

July 21, 2026

Page 11 of 17

Priyanka Chigurupati: Sure. The Vizag facility was till date used for CMO activities. And also, we have in the past, developed some APIs, and we were selling APIs that were both customer base, customer APIs and also our own APIs. The growth -- the numbers and contribution from the oncology business has been fairly minimal so far.

Going forward, though, starting in FY28, '29, we launched our first self-developed product, which is fully backward integrated, and it will have geographical presence -- geographical expansions. So we'll be launching it across many countries.

And currently, to add to that, we have close to 9 to 13 products in different phases of development. So oncology is a huge area of our growth, today within oral solid ranges -- within the oral solid dosage platform. And most of the products, if not all the products, we are fully backward integrated on. So this is going to be a huge growth driver for us.

Rashmi Shetty: This 9 to 13 products you said it's in the oral solid space, right?

Priyanka Chigurupati: In the oral solid space, correct, today.

Rashmi Shetty: Okay. And Priyanka, one more question related to the U.S. launches. How many are we planning to put everything together, GLS, GPI, everything together, how many launches are we planning for this year?

Priyanka Chigurupati: This year, if -- pending the FDA approval, we are expecting about 9 launches. And overall, we have about 18 approvals that are still pending, 9 of which will be launched immediately after the FDA clear GGP and plus another 1 product from GPI and the remaining are IP-based. So we have about 18 products that are pending approval.

Moderator: The next question comes from the line of Krisha Kansara from Molecule Ventures.

Krishna Kansara: Sure. So firstly, congratulations on a good set of numbers. Two questions on the peptide side. So firstly, what is the amount of capex that we have budgeted for the peptide intermediate plant that we plan to set up in India?

And secondly, we had achieved a positive EBITDA level in peptides business in the last quarter.

However, the current quarter shows a loss of INR12 crores. I just wanted to understand the reason. Is this because of a lower revenue base on a quarter-on-quarter basis? Or did we have some kind of a one-off cost which were related to particular projects? These are my 2 questions?

K. P. Chigurupati: Sanjay?

Sanjay Kumar: Yes. So I'll take the second one first. So there's not a big one-off there on the quarter. It's more a question of project to product mix. And within the product, the product mix itself. The opex component obviously have a quarter-to-quarter variation. It's not even across all the quarters. So that's the 2 factors.

And the third factor is some of the projects that we do is fairly long in its cycle time and lead time. So some of the projects that we do does not get monetized during the current quarter, it gets carried forward and the project value is realized later in H2 or later in the time.

Granules India Limited

July 21, 2026

Page 12 of 17

So these are some of the reasons why we have a negative EBITDA for this quarter. But just like our revenue, our cost basis or our delivery gets affected in terms of longer cycle time. And hence, the profitability also have these bumpy rides along the way.

Coming back to your first question around our estimate of our India investment, our initial estimates suggest roughly about INR100 crores numbers on the intermediate side, and if you take it forward to the API side, we are starting with INR200 crores of investment plan. This will all not be realized, both will not be realized during the first year, and these are our initial estimates to begin.

Krishna Kansara: Understood. So roughly INR300 crores of capex. And just one last question. What was the remediation expense that

we recorded in Q1 FY27?

Mukesh Surana: Yes, Krishna, this quarter 1 is not significant. It is largely in line with what we have been incurring. So only it is in last year, H1 was highest. Otherwise, we are in the range of less than \$1 million per quarter last couple of quarters.

Moderator: The next question comes from the line of Yashika Gogia from Nirzar.

Yashika Gogia: Am I audible?

K. P. Chigurupati: Not, a little faint, Yashika. Maybe a little louder?

Moderator: Sorry to interrupt, ma'am, your voice is not clear. Can you please come closer to your mic? I request you to use a handset, please?

Yashika Gogia: Yes. I'm doing that. Is it okay now?

Moderator: Yes. This is much better.

Yashika Gogia: Congratulations on a good set of numbers. I just had 2 pointers since I joined a little late, I might have missed that. So the first one is, our complex generics have shown a good result basically 50% hike in Q1 FY27. So what's your guidance regarding the same for the medium-term target?

And is the current pace of margin accretion from the shift sustainable?

And the second one, I just wanted you to highlight upon the Genome Valley, 10 billion dosage U.S. FDA-approved capacity. If it's possible for you to let us know what's the current utilization level? And over what time frame do you expect it to reach a steady-state utilization? Just these 2 pointers, rest I'll circle back to you?

K. P. Chigurupati: We have clarified -- yes, Priyanka, go ahead.

Priyanka Chigurupati: I'll take the first question on the complex generics. Like you rightfully said, today's contribution is about 50% of the overall numbers, and it has increased significantly over the quarters and -- from 39% Y-o-Y. The growth is sustainable, especially if you look at it from an absolute number percentage.

Granules India Limited

July 21, 2026

Page 13 of 17

And the reason I'm specifically calling that out is because there are going to be products outside of the legacy 5 that are going to be launched within the integrated basket as well. So both the

baskets will grow. Both the baskets, especially the new launches on the integrated side are going to be reasonably profitable. But of course, complex generics will lead the path.

Mukesh Surana : And Yashika on the second question on GLS , currently, the utilization levels are very low. By the year -end, we are expecting it will cross 50%.

Moderator: The next question comes from the line of Ritwik Sheth from One Up Financial Consultants Private Limited.

Ritwik Sheth: Sir, a couple of questions from my end. Firstly, on the controlled substance. What is the launch pipeline for controlled substance for FY27? And then next year in FY28?

K. P. Chigurupati: Priyanka, do you want to take that?

Priyanka Chigurupati: Yes. On controlled substances, we have about 1 to 2 launches coming up in the next year, 1.5 years to 2 years. But in total, we have about 4, 5 launches that are IP -based. We can't really disclose the timing of launches because of ongoing litigations, etc. But we have about 5 more products in addition to that within the controlled space.

Ritwik Sheth: Okay. Okay. So FY27, there won't be any launches, but starting FY28, you expect 1 to 2 products to be launched?

Priyanka Chigurupati: You're correct. But please remember that we already -- we have products that we have launched where we have not achieved our target market shares yet because the controlled business is very different than a traditional molecule business. So there will be growth from existing molecules in the controlled space, but there will also be -- but no new launches this year. You're right.

Ritwik Sheth: Right. Okay. Got it. And so in this quarter, we grew the complex product segment, which we report by almost 50%, 55% Y -o-Y. So is it fair to assume that bulk of this growth would be coming from controlled substance?

Priyanka Chigurupati: Complex,

if you look at the investor presentation is broken down into 3 segments. While we won't get into details of how much each segment grew, the overall segment has grown in totality.

Ritwik Sheth: Okay. Sure. And second question is on R&D. This quarter, we spent higher than a normal run rate of 5% to 5.5%. So is this the run rate that we should expect for the rest of the year as well?

K. P. Chigurupati: This will be around 5.5% to 6% as we go ahead.

Ritwik Sheth: Okay. And sir, where are the spends going in terms of if you can segment between complex and the other baskets, complex products and the other basket, what percentage would be going in the complex products? And if you can give some color?

Priyanka Chigurupati: We won't give a breakdown of the total percentage breakdown, but I would -- if you look at the investor presentation again, you'll see that the percentage of complex generics has been going up, and it's been very evident with the kind of filings we've been doing and the kind of approvals

Granules India Limited

July 21 , 2026

Page 14 of 17

so far, supplies that we've been receiving. So overall, integrated will also be a part of the basket, will be an integral part of the basket, but a majority of the spend will be towards complex generics.

Ritwik Sheth: Okay. Sure. And sir, one final question on capital allocation, especially on dividend. Since we are generating significant free cash flow and will be our cash flow for capex and then still, we'll have some -- so what is the thought on dividend payout policy?

Mukesh Surana : We have the dividend payout policy. And so far, we have been conservative. But going forward, we will look at it. Internally, also we are discussing, we will relook at it if we can increase.

Moderator: The next question comes from the line of Suhani Singh from Ross Capital.

Suhani Singh: This is Suhani. So I just had a couple of questions. Europe has remained a strong growth market on a year -on-year basis. However, there was some sequential softness during the quarter. So could you help us understand what drove this and whether it's largely time related or indicative of underlying demand trends?

K. P. Chigurupati: Priyanka, she's asking for Europe.

Priyanka Chigurupati: Can you please repeat the question?

Suhani Singh: Okay. I just needed to understand what drove the sequential softness during the quarter? And whether it was largely timing related or indicator of any underlying demand trend?

Priyanka Chigurupati: It was not really a demand trend. But I would say it's a mix of both. We do have demand. But one big aspect that played out here is the cost pressures on the legacy 5 business. As you can imagine, Granules has always been a long -term partner for our players. So there have been situations where we couldn't pass on very much of the pricing. So we held some of the demand in conversation with our customers.

So it's primarily been a mix of intentional hold of supply due to pricing and costing pressures. And the other thing is the new areas that we're looking to gain market share in is primarily within the controlled area where we want to grow sequentially, and we want to grow in a controlled manner. All the new approvals are still pending. So that's why there has been a little bit of a flattish growth Q -on-Q. So there's 2 reasons at a high level.

Suhani Singh: Understood. So on the development pipeline, could you provide an update on the pending ANDA approval?

Priyanka Chigurupati: What do you want from us? It's all in the investor presentation. Do you want any information outside of what's in the investor presentation?

Suhani Singh: I just needed to understand if there is an update on the pending ANDA approval?

Priyanka Chigurupati: So I answered this question a little bit earlier, but there was a little bit of some information that I forgot to provide. So I will just repeat my answer. In total

I, right now from GGP, we have about

Granules India Limited

July 21, 2026

Page 15 of 17

9 approvals pending facility approval. The market size is about \$11 billion. We have about 9 products pending approvals due to IP-related issues.

So they will be launched as the IP expires, et c. And we also have another 5 more from the U.S. that are still pending approval. Some of them are IP-based and some of them will launch on approval. So we have a total, we have about 23, 24 filings that are still pending approval.

Moderator: The last question comes from the line of Sameer Baisiwala from Sakman Capital.

Sameer Baisiwala: Quick question on onco products. Priyanka, I know you replied that, but how many ANDAs have you filed so far?

Priyanka Chigurupati: We have filed 2 ANDAs so far. But 2 ANDAs -- we filed one ANDA in the U.S., 2 ANDAs -- 2 dossiers in Europe, and we find about almost 14 extensions of the same dossier in various countries.

Sameer Baisiwala: Okay. So when you say that this will start to ramp up in fiscal '28, I presume this is all non-U.S.?

Priyanka Chigurupati: It's a mix of U.S. and non-U.S.

Sameer Baisiwala: Okay. How many do you target to file in the current fiscal for the year?

Priyanka Chigurupati: Unfortunately, we don't give that guidance, but you can look at the run rate. The run rate has been improving over the last couple of quarters. So it can be -- it will be on the basis of that.

Sameer Baisiwala: Okay. Sure. Because you're 9 to 13 under various stages, and I think you said you have filed 1 or 2 in the U.S., so I was just one wondering. Okay, no worries ...

Priyanka Chigurupati: One or two products were filed last year. And we had 9 to 13 at various stages only within oncology, but there's also products within the other complex range and also integrated basket.

Sameer Baisiwala: Yes, sure, of course. I was just focusing on onco for now. Just moving on, Priyanka, for your U.S. facility, GPI, what's the current utilization and how much more growth potential does it have?

K. P. Chigurupati: Let me take that, Priyanka.

Priyanka Chigurupati: Please go ahead.

K. P. Chigurupati: We are currently at around 70% capacity utilization. And we have quite a large leeway to go ahead. We are also doing a little bit of expansion, which we think we will need by end of '28.

Sameer Baisiwala: Okay.

Priyanka Chigurupati: I just want to add to what CMD said, is that the products that are made in GPI are not just pure volume-based products. These are low volume, high-value products. So in terms of capacity, 70% utilization is -- cannot be looked at as equal to, say, 70% utilization in the large volume facility. So we have a lot of room to play there.

Granules India Limited

July 21, 2026

Page 16 of 17

Sameer Baisiwala: Okay. And actually, that's what I was coming to in terms of your utilization of quota for controlled substance key products, how much more do you think you have got room for the current year? If you can talk about that?

Priyanka Chigurupati: I didn't understand your question because quotas are provided twice a year. And there's a lot of factors that go into receiving your quota. So I'm not really sure I can answer your question at this point. But if your answer is, if we have quota? Yes, we have sufficient quota to cater to all our customers.

Sameer Baisiwala: Yes. I was basically saying that if you were supplying X fiscal '26. Based on increased quota, how much can you do in fiscal '27 in that sense? It's a growing product. I mean, that's what I just wanted you to confirm.

Priyanka Chigurupati: Like I said, with whatever products we have, we have more than enough capacity and more to supply -- to get to our market share -- get to our target market share and also more.

Sameer Baisiwala: Okay. Okay. That's fine. And 1 final question, Priyanka, is any thoughts on the launch time lines for Dyanavelan

d Adzenys?

Priyanka Chigurupati: Unfortunately, these are all litigation -based products. I'm not -- I do not have the freedom to talk about these products, the time lines, etc.

Sameer Baisiwala: Do you think this can be in 2027 calendar or it's going to be beyond that? If you can.

Priyanka Chigurupati: I'm sorry, I really cannot answer those questions.

Moderator: The next question comes from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: Just one question from my side. I remember in the last call where we were -- we had our internal projection of around 33% of the working capital at 33% of the sales but we managed to -- due to mix and despite the cost escalation, deliver around 29%. So do we still stick to that 33% as a more conservative approach for the year or we can do something similar to what we did in FY26?

K. P. Chigurupati: Yes, Vignesh, thanks for the question. So what we've said in the last earning call is in the range. So we would be in the range is what we have said. This quarter, we have effectively reduced the receivables significantly with a higher increase in sales in U.S.A. where the receivable days are lesser.

As we move forward, when the growth are expected further U.S. as well as non -U.S. maybe slight increase in receivable days as possible. But overall, we will still try to control the overall working capital blockage and try to efficiently manage the working capital for a better cash flow generation.

Moderator: As there are no further questions, I would like to hand the conference over to the management for closing comments. Thank you, and over to you.

Granules India Limited

July 21 , 2026

Page 17 of 17

K. P. Chigurupati: Once again, ladies and gentlemen, thank you very much for attending this call. And in case any further clarifications are needed, please reach out to us. And I wish you all a great week ahead.

Thank you.

Moderator: On behalf of MUFG Investor Relations, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.